VISCOFAN, S.A. AND SUBSIDIARIES

Audit Report
Consolidated Annual Accounts and
Consolidated Management Report
at 31 December 2017

"This version of our report is a free translation of the original, which was prepared in Spanish. All possible care has been taken to ensure that the translation is an accurate representation of the original. However, in all matters of interpretation of information, views or opinions, the original language version of our report takes precedence over this translation."

Audit report on the consolidated annual accounts issued by an independent auditor

To the shareholders of Viscofan, S.A.

Report on the consolidated annual accounts

Opinion

We have audited the consolidated annual accounts of Viscofan, S.A. (parent company) and subsidiaries (the Group), consisting of the statement of financial position at 31 December 2017, the income statement, the statement of comprehensive income, the statement of changes in equity, the cash flow statement, all of the foregoing on a consolidated basis, and the notes to the consolidated annual accounts for the year then ended.

In our opinion, the accompanying consolidated annual accounts present fairly, in all material respects, the Group's consolidated equity and financial position at 31 December 2017 and the consolidated results of its operations and consolidated cash flows for the year then ended in accordance with the International Financial Reporting Standards adopted by the European Union (IFRS-EU) and other provisions of the financial reporting framework applicable in Spain.

Basis for opinion

Our audit has been carried out in accordance with prevailing Spanish auditing regulations. Our responsibilities under said regulations are described below under *Responsibilities of the auditor in relation to the audit of the consolidated annual accounts.*

We are independent of the Group in accordance with the ethical requirements, including those relating to independence, applicable to our audit of the consolidated annual accounts in Spain, as required by auditing regulations. In this respect, we have not provided any services other than audit services, nor have any situations or circumstances arisen that, in accordance with those regulations, might have undermined said independence.

We consider that the audit evidence obtained provides a sufficient and appropriate basis for our opinion.

Key audit matters

Key audit matters are those that, in our professional judgment, were of most significance in the audit of the consolidated annual accounts for the current period. These matters have been addressed in the context of our audit of the consolidated annual accounts as a whole and in the preparation of our opinion thereon, and we do not express a separate opinion on these matters.

R. M. Madrid, hoja 87.250-1, folio 75, tomo 9.267, libro 8.054, sección 3ª.
Inscrita en el R.O.A.C. con el número S0242 - CIF: B-79 031290

Key audit matters	How the matters were addressed in the audit
Revenue recognition The most significant item in the Group's income statement is revenue (note 5.1 to the accompanying consolidated annual accounts). This item is a key indicator of the Group's business. The Group's revenues include a multitude of transactions and relate mainly to sales of artificial wrappings for cold meats and, to a lesser extent, sales of electricity produced through co-generation systems (Note 1 to the accompanying annual accounts). Proper control of these operations is essential to ensure that sales are fully recognised in the correct period and for the correct amount, a risk inherent in these transactions and therefore an area of significant scrutiny in our audit.	Our audit procedures have included validating the efficiency of the controls over the sales process and verification procedures such as: • Verifying the design and implementation and operational efficiency of the relevant controls that support the integrity of sales, including identifying the manual and automatic controls of the information systems throughout the process used to create orders, generate delivery notes and invoice sales. • Evaluating the adequacy of the revenue recognition criteria, taking into account the contract terms and obligations, reviewing customer orders. • Performing tests of detail on sales operations, verifying, for a sample, the appropriate recognition of transactions through third-party supporting documentation. Performing tests assisted by technology and systems experts, verifying that all sales notes generated as a result of the dispatch of goods are duly recorded and, if appropriate, collected. • Selecting and verifying, if appropriate, the entries recorded in revenue that we considered could give rise to unusual or irregular items. • Obtaining confirmation of the year-end balances for a sample of customers. • Verifying that sales have been recognised in the correct period based on established terms and conditions. • Assessing the reasonableness of fluctuations in sales and margins for 2017 compared with trends in previous years. As a result of our tests, we have no relevant observations to make regarding this matter.

Other information: Consolidated management report

Other information refers exclusively to the consolidated Management Report for 2017, the preparation of which is the responsibility of the parent company's directors, and which does not form an integral part of the consolidated annual accounts.

Our audit opinion on the consolidated annual accounts does not cover the consolidated management report. Our responsibility for the information contained in the consolidated management report is defined in auditing regulations that distinguish two levels of responsibility:

a) a) A specific level applicable to the non-financial information statement, as well as certain information included in the Corporate Governance Report, as defined in article 35.2 b) of Law 22/2015 on auditing, which solely requires that we verify whether said information has been included in the management report or where applicable, that the management report includes the corresponding reference to the separate non-financial report as stipulated by prevailing regulations and if not, disclose this fact.

b) A general level applicable to other information included in the consolidated management report that consists of assessing and reporting on the consistency of that information with the consolidated annual accounts, on the basis of the understanding of the Group that we have obtained in the performance of the audit of those accounts, not including other information not obtained as evidence during the course of the audit and assessing and reporting on whether the content and presentation of that part of the consolidated management report are in conformity with applicable legislation. If, based on the work we have performed, we conclude that there are material misstatements, we are required to report this fact.

Based on the work performed, as described above, we have verified that the information referred to in paragraph a) above is provided in the consolidated management report, and that the remaining information contained therein is consistent with that provided in the 2017 consolidated annual accounts and its content and presentation are in conformity with applicable regulations.

Directors' and Audit Committee's Responsibility in relation to the Consolidated Annual Accounts

The directors of the parent company are responsible for drawing up and signing the accompanying annual accounts such that they present fairly the Group's equity, financial situation and performance in accordance with IFRS-EU and other provisions of the financial reporting framework applicable to the Group in Spain, and for the internal control which they consider necessary to permit the preparation of consolidated annual accounts that are free from material misstatements, due to fraud or error.

In drawing up the consolidated annual accounts, the parent company's directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as appropriate, matters relating to going concern and using the going concern basis of accounting, unless the directors either intend to liquidate the Group or to cease trading, or have no realistic alternative but to do so.

The parent company's audit committee is responsible for overseeing the preparation and presentation of the consolidated annual accounts.

Auditors' responsibilities in relation to the audit of the consolidated annual accounts

Our objectives are to obtain reasonable assurance that the consolidated financial statements as a whole are free from material misstatement due to fraud or error, and to issue an audit report that includes our opinion.

Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with auditing standards prevailing in Spain will always detect material misstatement when it exists. Misstatements can arise from fraud or error and are considered material, if individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the consolidated annual accounts.

As part of an audit in conformity with auditing regulations in Spain, we exercise our professional judgement and maintain professional scepticism throughout the audit. In addition:

- We identify and assess the risks of material misstatement of the consolidated annual accounts whether due to fraud or error, design and perform audit procedures responsive to those risks and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting material misstatement due to fraud is higher than in the case of a material misstatement due to error, as fraud may involve collusion, forgery, deliberate omissions, misrepresentations, or the override of internal control.

- We obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not to express an opinion on the effectiveness of the Group's internal control.

- We assess whether the accounting policies applied are appropriate and the reasonableness of the accounting estimates and the related disclosures by the parent company's directors.

- We conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our audit report to the related disclosures in the consolidated annual accounts or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on audit evidence obtained up to the date of our audit report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- We evaluate the overall presentation, structure and content of the consolidated annual accounts, including the disclosures, and assess whether the consolidated annual accounts represent the underlying transactions and events in a manner that achieves fair presentation.

- We obtain sufficient and adequate evidence in relation to the financial information of the companies or the business activities within the Group to express an opinion on the consolidated annual accounts. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the parent company's Audit Committee in relation to, among other matters, the planned scope and timing of the audit and the significant audit findings, as well as any major internal control deficiency that we identify in the course of our audit.

We also provide the parent company's audit committee with a statement to the effect that we have complied with applicable ethical requirements, including those of independence, and we have notified the Audit Committee of any issues that could reasonably pose a threat to our independence and, if appropriate, the relevant safeguards.

Among the matters communicated to the parent company's audit committee, we determine those that have been of the greatest significance in the audit of the consolidated annual accounts for the current period and which therefore are key audit matters.

We describe these matters in our audit report unless law or regulation precludes the public disclosure of the matter concerned.

Information on other legal and regulatory requirements

Additional report for the parent company's audit committee

The opinion expressed in this report is consistent with the content of our additional report for the parent company's Audit Committee dated 28 February 2018.

Term of engagement

We were appointed Group auditors for a three-year period as from the year ended 31 December 2017 at the Ordinary and Extraordinary General Meeting of shareholders held on 27 April 2017.

Services rendered

Non-audit services provided to the audited entity are detailed in note 26 to the annual accounts.

PricewaterhouseCoopers Auditores, S.L. (S0242)

Original in Spanish signed by David Zubizarreta Lecumberri (21650)

28 February 2018

VISCOFAN, S.A. AND SUBSIDIARIES

Consolidated Financial Statements and Consolidated Management report for the year ended

31 December 2017

(Free translation from the original in Spanish, in event of discrepancy, the Spanish-language version prevails)

Consolidated income statement
(Thousands of euros)

	Note	2017	2016
Sales and services rendered	5.1	778,136	730,833
Changes in inventories of finished goods and work in progress		18,809	2,387
Consumption of raw materials and other consumables		(229,549)	(205,307)
Other operating income	5.2	17,297	13,781
Employee benefits expenses	5.3	(184,280)	(168,576)
Other operating expenses	5.4	(189,889)	(173,412)
Intangible assets amortization	9	(3,488)	(3,282)
Property, plant and equipment depreciation	10	(52,894)	(46,417)
Impairment and gains (losses) on disposal of non-current assets		711	(116)
Negative differences from business combinations		-	4,475
Operating profit		**154,853**	**154,366**
Finance income	5.5	279	431
Finance costs	5.5	(1,846)	(1,819)
Losses on non-trade receivables	5.5	527	(721)
Exchange differences	5.5	(8,456)	2,998
Profit before tax		**145,357**	**155,255**
Income tax expense	21	(23,338)	(30,244)
Net result for the year from continued operations		**122,019**	**125,011**
Net result for the year from discontinued operations		**-**	**-**
Profit for the year		**122,019**	**125,011**
Result attributable to equity holders of the parent		122,101	125,084
Result attributable to non-controling interests		(82)	(73)

Earnings per share, basic and diluted, from profit for the year attributable to equity holders of the parent (in euros)	6	2.6200	2.6840
Earnings per share, basic and diluted, from continuing operations attributable to equity holders of the parent (in euros)	6	2.6200	2.6840

Consolidated statements of other comprehensive income

(Thousands of euros)

	Note	2017	2016
Result attributable to equity holders of the parent		**122,101**	**125,084**
Exchange differences on translation of foreign operations		(32,937)	11,227
Net movement on cash flow hedges	15.4	(724)	7,164
Income tax effect	15.4	256	(2,063)
Net other compehensive income to be reclasified to profit or loss in subsequent periods		**(33,405)**	**16,328**
Re-measurement gains (losses) on defined plans		642	(2,490)
Income tax effect		(217)	812
Net other compehensive income not to be reclasified to profit or loss in subsequent periods	17.1	**425**	**(1,678)**
Other comprehensive income for the year, net of tax		**(32,980)**	**14,650**
Total comprehensive income for the year, net of tax attibutable to equity holders of the parent		**89,121**	**139,734**

Consolidated statements of financial position
(Thousands of euros)

Assets	Note	2017	2016
Intangible assets	9	19,293	16,425
Property, plant and equipment	10	469,799	431,910
Deferred tax assets	21	17,472	16,329
Other non-current financial assets	13	9,149	12,793
Total non-current assets		**515,713**	**477,457**
Inventories	11	238,530	229,578
Trade and other receivables	12.1	144,082	147,641
Receivable from public administrations	12.1	24,218	23,781
Income tax receivable	21	3,834	3,449
Prepayments		2,727	2,574
Current financial assets	13	3,557	1,460
Cash and cash equivalents	14	28,143	45,054
Total current assets		**445,091**	**453,537**
Non-curent assets held for sale and discontinued operations		**-**	**-**
Total assets		**960,804**	**930,994**

Consolidated statements of financial position
(Thousands of euros)

Equity and liabilities	Note	2017	2016
Share capital	15.1	32,623	32,623
Share premium	15.2	12	12
Other reserves	15.3	650,573	592,173
Profit for the year		122,101	125,084
Interim dividend	15.7	(28,894)	(26,564)
Translation differences	15.5	(50,641)	(17,704)
Hedge transaction reserves	15.4	1,772	2,240
Equity attributable to equity holders of the parent		**727,546**	**707,864**
Non-controlling interests		**135**	**217**
Total equity		**727,681**	**708,081**
Grants	16	2,482	3,001
Provisions	17	22,235	23,317
Non-current financial liabilities	19	74,336	54,867
Deferred tax liabilities	21	20,514	22,811
Total non-current liabilities		**119,567**	**103,996**
Current financial liabilities	19	19,386	30,119
Trade and other payables	18.1	71,869	65,440
Payable to public administrations	18.2	10,785	10,156
Income tax payable	21	6,517	6,524
Provisions	17	4,999	6,678
Total current liabilities		**113,556**	**118,917**
Total equity and liabilities		**960,804**	**930,994**

Consolidated statement of cash flows
(Thousands of euros)

	Note	2017	2016
Profit for the year before tax		**145,357**	**155,255**
Amortization of intangible assets	9	3,488	3,282
Depreciation of property, plant and equipment	10	52,894	46,417
Changes in provisions		(695)	1,654
Capital grants	16	(637)	(1,284)
Gains/(losses) on disposal of non-current assets		(711)	116
Negative differences from business combinations	8	-	(4,475)
Finance income	5.5	(279)	(431)
Finance costs	5.5	1,846	1,819
Losses on non-trade receivables	5.5	(527)	721
Foreign currency translation differences (net)	5.5	8,456	(2,998)
Adjustments to reconcile profits before tax with net cash flows		**63,835**	**44,821**
Inventories		(20,178)	(7,443)
Trade and other receivables		(10,004)	(11,665)
Trade and other payables		8,404	(8,054)
Changes in working capital		**(21,778)**	**(27,162)**
Income tax paid	**21**	(28,549)	(31,330)
Contributions and other payments related to pension plans	**17**	(1,577)	(1,065)
Cash flow from operating activities		**157,288**	**140,519**
Acquisition of subsidiaries, net of cash acquired	8	(8,792)	1,110
Payments for acquisition of property, plant, equipment and intangible assets	**15.1**	(111,561)	(80,747)
Interest received		1,619	678
Increase (decrease) from discontinued operations		696	796
Cash flows from investing activities		**(118,038)**	**(78,163)**
Proceeds from borrowings	**15.1**	28,211	26,532
Repayment of borrowings	**15.1**	(11,382)	(25,361)
Dividends paid to shareholders of the parent		(69,439)	(64,779)
Interest paid	**15.1**	(1,836)	(1,708)
Other financial liabilities (net)		(834)	2,504
Grants received	16	181	612
Cash flows from financing activities		**(55,099)**	**(62,200)**
Impact of changes in exchange rates on cash and cash equivalents		(1,062)	445
Net increase (decrease) in cash and cash equivalents		**(16,911)**	**601**
Cash and cash equivalents at January 1,	14	45,054	44,453
Cash and cash equivalents at December 31,	14	**28,143**	**45,054**

Consolidated statement of changes in equity
(Thousands of euros)

	Equity attributed to the parent								
	Share capital (Note 15.1)	Share premium (Note 15.2)	Reserves (Note 15.3)	Interim dividend (Note 15.7)	Profit for the year attributable to equity holders of the parent	Hedge transaction reserves (Note 15.4)	Currency translation differences (Note 15.5)	Non-controlling interests	*Total equity*
Balance at January 1, 2016	**32,623**	**12**	**536,278**	**(24,234)**	**120,022**	**(2,861)**	**(28,931)**	**290**	***633,199***
Total recognized income and expense	**-**	**-**	**(1,678)**	**-**	**125,084**	**5,101**	**11,227**	**-**	***139,734***
Profit for the year attributed to equity holders of the parent	-	-	-	-	125,084	-	-	-	*125,084*
Other comprehensive income	-	-	(1,678)	-	-	5,101	11,227	-	*14,650*
Transactions with shareholders and owners	**-**	**-**	**-**	**(2,330)**	**(62,449)**	**-**	**-**	**-**	***(64,779)***
Increase / (decrease) on share capital	-	-	-	-	-	-	-	-	-
Dividends paid	-	-	-	(2,330)	(62,449)	-	-	-	*(64,779)*
Dividends paid	-	-	-	-	-	-	-	-	-
Other changes in equity	**-**	**-**	**57,573**	**-**	**(57,573)**	**-**	**-**	**-**	**-**
Transfers between equity accounts	-	-	57,573	-	(57,573)	-	-	-	-
Non-controlling interests	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(73)**	***(73)***
Profit for the year attributed to non-controling interests	-	-	-	-	-	-	-	(73)	*(73)*
Balance at December 31, 2016	**32,623**	**12**	**592,173**	**(26,564)**	**125,084**	**2,240**	**(17,704)**	**217**	***708,081***
Total recognized income and expense	**-**	**-**	**425**	**-**	**122,101**	**(468)**	**(32,937)**	**-**	***89,121***
Profit for the year attributed to equity holders of the parent	-	-	-	-	122,101	-	-	-	*122,101*
Other comprehensive income	-	-	425	-	-	(468)	(32,937)	-	*(32,980)*
Transactions with shareholders and owners	**-**	**-**	**-**	**(2,330)**	**(67,109)**	**-**	**-**	**-**	***(69,439)***
Increase / (decrease) on share capital	-	-	-	-	-	-	-	-	-
Dividends paid	-	-	-	(2,330)	(67,109)	-	-	-	*(69,439)*
Acquisition of non-controlling interests	-	-	-	-	-	-	-	-	-
Other changes in equity	**-**	**-**	**57,975**	**-**	**(57,975)**	**-**	**-**	**-**	**-**
Transfers between equity accounts	-	-	57,975	-	(57,975)	-	-	-	-
Non-controlling interests	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(82)**	***(82)***
Profit for the year attributed to non-controling interests	-	-	-	-	-	-	-	(82)	*(82)*
Non-controlling interests arising on a business	-	-	-	-	-	-	-	-	-
Balance at December 31, 2017	**32,623**	**12**	**650,573**	**(28,894)**	**122,101**	**1,772**	**(50,641)**	**135**	***727,681***

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1. Description and Principal Activities

VISCOFAN, S.A. (hereinafter the Company or the parent) was incorporated with limited liability on 17 October 1975 as Viscofan, Industria Navarra de Envolturas Celulósicas, S.A. At a meeting held on 17 June 2002 the shareholders agreed to change the name of the Company to the current one.

Its statutory and principal activity consists of the manufacture of artificial casings, mainly for use in the meat industry, as well as, to a lesser extent, the generation of electricity for sale to third parties through cogeneration systems. Its industrial installations are located in Cáseda and Urdiain (Navarra). The head office and registered office are located at Polígono Industrial Berroa, Calle Berroa nr. 15, 4ª planta, 31192 - Tajonar (Navarra). Its main offices and registered address are in Tajonar (Navarra).

Viscofan, S.A. is the parent of a group of companies (the Viscofan Group or the Group) which mainly carry out their activities in the food sector and in cellulose, plastic, fibrous and collagen casing sectors, as explained in more detail in Note 2.

The entirety of Viscofan S.A.'s shares have been listed since 1986, and are quoted on the Spanish electronic trading platform (continuous market).

The Group's 2016 consolidated financial statements were approved at the General Shareholders' Meeting held on 27 April 2017.

The parent's directors expect these 2017 consolidated financial statements, which were prepared on 28 February 2018, to be approved by the shareholders in general meeting without modification.

2. Viscofan Group

In November 2017, 100% of the shares of Supralon International AG and Supralon Verpackungs AG were acquired, including their subsidiaries (Supralon Produktions und Vertriebs GmbH and Supralon France SARL).

During October 2016, 100% of the shares in Vector USA Inc and Vector Europe NV were acquired, including their European subsidiaries (Vector Packaging Europe NV and Vector UK Ltd).

With these acquisitions, the Group strengthens its position in plastics technology, broadens its product range and improves its supply capacity in the main markets for this type of packaging: Europe and the United States.

The fair value of net assets acquired, both in 2017 and 2016, is reflected in Note 8.

Details of the subsidiaries and associates comprising the Viscofan Group at 31 December 2017 and 2016, including certain additional information, are shown below:

2.1. Details of subsidiaries and associates comprising the Viscofan Group at 31 December 2017

Group companies	Percentage of interest		Activity	Registered offices
	Direct	Indirect		
Gamex, C.B. s.r.o.	100.00%	-	Lease of an industrial warehouse (to the Group)/Other services	Ceske Budejovice (Czech Republic)
Koteks Viscofan, d.o.o.	100.00%	-	Manufacture and marketing of artificial casings	Novi Sad (Serbia)
Nanopack, Technology and Packaging S.L.	90.57%	-	Manufacture of interleaver film	Tajonar, Navarra (Spian)
Naturin Viscofan GmbH	100.00%	-	Manufacture and marketing of artificial casings	Weinheim (Germany)
Supralon Verpackungs AG	-	100.00%	Lease of an industrial machinery (to the Group)/Other services	Chur (Switzerland)
Supralon Produktions und Vertriebs GmbH	-	100.00%	Manufacture and marketing of artificial casings	Alfhausen (Germany)
Supralon France SARL	-	100.00%	Marketing of artificial casings	Courcouronnes (France)
Supralon International AG	-	100.00%	Marketing of artificial casings	Schaan (Liechtenstein)
Vector Europe NV.	100.00%	-	Marketing of artificial casings	Hasselt (Belgium)
Vector Packaging Europe NV.	-	100.00%	Manufacture and marketing of artificial casings	Hasselt (Belgium)
Vector UK Ltd.	-	100.00%	Marketing of artificial casings	Manchester (United Kingdom)
Vector USA Inc.	-	100.00%	Manufacture and marketing of artificial casings	Oak Brook, Illinois (USA)
Viscofan Canadá Inc.	-	100.00%	Marketing of artificial casings	Quebec (Canada)
Viscofan Centroamérica Comercial, S.A.	99.50%	0.50%	Marketing of artificial casings	San José (Costa Rica)
Viscofan CZ, s.r.o.	100.00%	-	Manufacture and marketing of artificial casings	Ceske Budejovice (Czech Republic)
Viscofan de México S.R.L. de C.V.	99.99%	0.01%	Manufacture and marketing of artificial casings	San Luis Potosí (Mexico)
Viscofan de México Servicios, S.R.L. de C.V.	99.99%	0.01%	Services rendered	San Luis Potosí (Mexico)
Viscofan do Brasil, soc. com. e ind. Ltda.	100.00%	-	Manufacture and marketing of artificial casings	Sao Paulo (Brasil)
Viscofan Technology (Suzhou) Co. Ltd.	100.00%	-	Manufacture and marketing of artificial casings	Suzhou (China)
Viscofan UK Ltd.	100.00%	-	Marketing of artificial casings	Seven Oaks (United Kingdom)
Viscofan Uruguay, S.A.	100.00%	-	Manufacture and marketing of artificial casings	Montevideo (Uruguay)
Viscofan USA Inc.	100.00%	-	Manufacture and marketing of artificial casings	Montgomery, Alabama (USA)
Zacapu Power S.R.L. de C.V.	-	100.00%	Cogeneration plant	Zacapu, Michoacán (Mexico)

2.2. Details of subsidiaries and associates comprising the Viscofan Group at 31 December 2016

Group companies	Percentage of interest		Activity	Registered offices
	Direct	Indirect		
Gamex, C.B. s.r.o.	100.00%	-	Lease of an industrial warehouse (to the Group)/Other services	Ceske Budejovice (Czech Republic)
Koteks Viscofan, d.o.o.	100.00%	-	Manufacture and marketing of artificial casings	Novi Sad (Serbia)
Nanopack, Technology and Packaging S.L.	90.57%	-	Manufacture of interleaver film	Tajonar, Navarra (Spian)
Naturin Viscofan GmbH	100.00%	-	Manufacture and marketing of artificial casings	Weinheim (Germany)
Vector Europe NV.	100.00%	-	Marketing of artificial casings	Hasselt (Belgium)
Vector Packaging Europe NV.	-	100.00%	Manufacture and marketing of artificial casings	Hasselt (Belgium)
Vector UK Ltd.	-	100.00%	Marketing of artificial casings	Manchester (United Kingdom)
Vector USA Inc.	-	100.00%	Manufacture and marketing of artificial casings	Oak Brook, Illinois (USA)
Viscofan Canadá Inc.	-	100.00%	Marketing of artificial casings	Quebec (Canada)
Viscofan Centroamérica Comercial, S.A.	99.50%	0.50%	Marketing of artificial casings	San José (Costa Rica)
Viscofan CZ, s.r.o.	100.00%	-	Manufacture and marketing of artificial casings	Ceske Budejovice (Czech Republic)
Viscofan de México S.R.L. de C.V.	99.99%	0.01%	Manufacture and marketing of artificial casings	San Luis Potosí (Mexico)
Viscofan de México Servicios, S.R.L. de C.V.	99.99%	0.01%	Services rendered	San Luis Potosí (Mexico)
Viscofan do Brasil, soc. com. e ind. Ltda.	100.00%	-	Manufacture and marketing of artificial casings	Sao Paulo (Brasil)
Viscofan Technology (Suzhou) Co. Ltd.	100.00%	-	Manufacture and marketing of artificial casings	Suzhou (China)
Viscofan UK Ltd.	100.00%	-	Marketing of artificial casings	Seven Oaks (United Kingdom)
Viscofan Uruguay, S.A.	100.00%	-	Manufacture and marketing of artificial casings	Montevideo (Uruguay)
Viscofan USA Inc.	100.00%	-	Manufacture and marketing of artificial casings	Montgomery, Alabama (USA)
Zacapu Power S.R.L. de C.V.	-	100.00%	Cogeneration plant	Zacapu, Michoacán (Mexico)

3. Basis of preparation

The consolidated financial statements have been prepared based on the accounting records of Viscofan, S.A. and the companies comprising the Group. The consolidated financial statements for 2017 have been prepared under EU-endorsed International Financial Reporting Standards (EU-IFRS) to present fairly the consolidated equity and consolidated financial position of Viscofan, S.A. and subsidiaries at 31 December 2017 and 2016, as well as the consolidated results from its operations, its consolidated cash flows and consolidated recognised income and expenses for the year then ended. The Group adopted EU-IFRS on 1 January 2004, and also applied IFRS 1 First-time Adoption of International Financial Reporting Standards at that date.

3.1. New and amended standards and interpretations

The accounting policies used during the preparation of these consolidated financial statements are the same as those applied for the consolidated financial statements for the year ended 31 December 2016.

The Group has applied the following standards and amendments for the first time for its annual financial year beginning on 1 January 2017:

- Recognition of Deferred Tax Assets for Unrealised Losses - Amendments to IAS 12.

- Disclosure Initiative - Amendments to IAS 7 requiring disclosure of changes in liabilities arising from financing activities, see Note 15.1.

The adoption of these amendments had no material effect on the amounts recognised in the year. Most of the changes will not affect future years.

3.2. Published standards which are not applicable

The Group intends to adopt these standards, interpretations, and amendments thereof published by the IASB but not considered mandatory in the European Union at the date these consolidated financial statements were prepared. However, they will be applied when they come into force. The group's assessment of the impact of these new standards and interpretations is set out below:

(a) IFRS 9 Financial instruments

Applicable standards for the years commencing 1 January 2018, the Group plans to adopt the new standard on the required date of application.

The identified accounting effects of the first application are:

- It simplifies the current financial asset valuation model and establishes three main categories: amortised cost, at fair value through profit or loss and at fair value with changes in other comprehensive income, based on the business model and the characteristics of the contractual cash flows: the Group expects to continue measuring its financial assets at fair value as is its current practice.

  Loans and trade receivables are held for contractual cash flow, and it is expected that these will be solely used to pay principal and interest. Therefore, the Group expects to continue to recognize amortised cost in accordance with IFRS 9.

- It introduces a new model of impairment losses on financial assets, the expected credit loss model, which replaces the current model of loss incurred.

- It introduces a new, less restrictive accounting recording model for hedges, requiring an economic relationship between the hedged item and the hedging instrument and requiring the same coverage ratio as that applied by the entity for its risk management. The new standard also modifies the criteria for documenting hedging relationships.

Based on the analysis of the new criteria, the Group envisages that the main changes will focus on documenting cash flow hedging policies and strategies and estimating the expected impairment loss on financial assets and its timing, although the Group does not expect any significant changes in the impairment provisions recorded.

(b) IFRS 15 Revenue from customer contracts

Applicable standards for the years commencing 1 January 2018. This standard has been amended in order to:

– Clarify guidance on identifying performance obligations, accounting for intellectual property licenses, and principal vs. agent evaluation (net versus gross regular income submission).

– Include new and modified illustrative examples for each of these areas of the guide.

– Provide additional practical resources related to the transition to the new standard.

These amendments do not change the fundamental principles of IFRS 15, but they do clarify some of the more complex aspects of this standard.

The Group has not identified any significant potential impact on its financial statements beyond the new disclosures to be provided in accordance with the requirements introduced by the Standard.

(c) IFRS 16 – Leases.

Applicable for years beginning on or after 1 January 2019, the Group plans to adopt the new standard on the required date of application and intends to apply the simplified transition approach and will not restate the comparative figures for the year prior to the first adoption.

Under the new standard, most leases will have to be recorded on the balance sheet as an asset for the right of use and a liability for the amounts payable. The only exceptions are short-term, low-value leases.

At the reporting date, the Group has non-cancellable operating lease commitments amounting to 7,613 thousand euros, see Note 10.

In 2018, the Group will continue to evaluate the potential effect of IFRS 16 on its consolidated financial statements. in relation to the change in the definition of the lease term and the different treatment of variable lease payments and extension and termination options. Therefore, it is not yet possible to estimate the amount of the leasing assets and lease liabilities that will have to be recognised when the new standard is adopted and how this may affect the group's profit or loss and the classification of future cash flows. However, management does not believes that the impact on its consolidated financial statements will be material.

Policies used by the Group when several options are permitted

International Financial Reporting Standards occasionally allow for more than one alternative accounting treatment for a transaction. The criteria adopted by the Group for its most relevant transactions are the following:

- Capital grants can be recognised reducing the cost of the assets for which financing was granted or as deferred income (which was the Group's choice). They are recognised in the income statement under "Other income."

- Certain property, plant, and equipment may be measured at market value or historical cost less depreciation and impairment loss. Viscofan has chosen the latter criteria.

3.3. Comparison of information

These consolidated financial statements present for comparative purposes, for each of the headings on the consolidated statement of financial position, the consolidated income statement, the consolidated comprehensive income statement, the consolidated cash flow statement, the consolidated statement of changes in equity and the notes to the consolidated financial statements, except when an accounting standard specifically establishes that this is unnecessary.

3.4. Relevant accounting estimates, assumptions and judgments

The preparation of financial statements in conformity with EU-IFRS requires Group management to make judgments, estimates, and assumptions, and to apply relevant accounting estimates in the process of applying Group accounting policies.

This section describes the main assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

(a) Taxes

The subsidiaries comprising the Group are individually responsible for their own local tax obligations, and do not file consolidated tax returns.

The Group analyses the possible inspections by the tax authorities of the respective countries and establishes provisions based on their best estimate. The amount of such provisions is based on various factors, such as experience of previous tax inspections and differing interpretations of tax regulations by the Group and the corresponding tax authority. Such differences of interpretation may arise on a wide variety of issues depending on the conditions prevailing in the country where the respective Group company is domiciled. The Group's policy, affecting all subsidiaries, is to apply conservative criteria when interpreting the different prevailing regulations in each of the countries where it operates.

Deferred tax assets are recognised for all unused tax losses and other temporary differences to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon likely timing and future taxable profits together with future tax planning strategies.

The years open for review by the tax authorities vary depending on each country's tax legislation, and returns are not considered definitive until the corresponding inspection period has elapsed or until they have been inspected and accepted by tax authorities.

The Company's management considers that all applicable taxes have been duly paid so that even in the event of discrepancies in the interpretation of prevailing tax legislation with respect to the treatment applied, the resulting potential tax liabilities, if any, would not have a material impact on the accompanying financial statements.

Further details on taxes are disclosed in Note 21.

(b) Pension benefits

The cost of defined benefit pension plans and other obligations and the present value of pension obligations are determined using actuarial valuations. Actuarial valuations involve making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates, and future pension increases. Due to the complexity of the valuation and its long-term nature, calculating the obligation is highly sensitive to changes in these assumptions.

Mortality rates are based on publicly available mortality tables for the specific country. Future salary and pension increases are based on expected future inflation rates for the respective countries.

Details on the hypotheses used and a sensitivity analysis are provided in Note 17.1.

(d) Provisions for litigation and contingent assets and liabilities

Estimation of the amounts to provision with respect to potential assets and liabilities arising from ongoing litigation is carried out based on the professional opinion of the legal representatives hired to deal with such matters and the internal evaluation performed by the Group's Legal Department.

The breakdown of provisions for litigations is shown in Note 17.3, while the main contingent assets and liabilities that may give rise to the future recognition of assets and liabilities are described in Note 17.7.

(e) Other accounting estimates and hypotheses

– Assessment of possible impairment losses on certain assets: (Notes 4.12 and 10).
– Useful life of property, plant, and equipment and intangible assets: (Notes 4.11 and 4.12)
– Measurement of derivative financial instruments: (Note 4.21)

4. Significant accounting principles

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and its interpretations as endorsed by the European Union (EU-IFRS).

A summary of the most significant principles is as follows:

4.1. Going concern basis

The consolidated financial statements have been prepared on a going concern basis.

4.2. Method of consolidation

All the subsidiaries were consolidated using the full consolidation method.

Control is obtained when the Group is exposed, or has the rights attached to variable interest rates arising from its involvement in a subsidiary, and is able to influence them as a result of the exercise of power over the subsidiary. Specifically, the Group has control of a subsidiary if, and only if it has:

- Power over the subsidiary (existing rights allowing it to manage relevant subsidiary's activities)
- Exposure, or rights, to variable returns from its involvement with the other company
- The ability to use its power over the other company to affect the amount of the company's return

Generally, it is presumed that the majority of voting rights grants control.

The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date it ceases. Subsidiaries are excluded from the consolidation scope from the moment control is lost. Note 2 breaks down the nature of the relationships between the parent and its subsidiaries.

The Group has applied the exemption permitted by IFRS 1 First-time Adoption of International Financial Reporting Standards regarding business combinations. Consequently, only business combinations which occurred subsequent to 1 January 2004, the date of transition to EU-IFRS, have been recognised using the purchase method. Entities acquired prior to that date were recognised under the former Spanish general chart of accounts, once the necessary transition date adjustments and corrections were considered.

All of the assets, liabilities, equity, income, expenses, and cash flow arising from transactions between Group companies are totally eliminated during the consolidation process.

The accounting policies of subsidiaries have been adapted to those of the Group.

The financial statements of consolidated subsidiaries reflect the same reporting date and period as that of the parent.

4.3. Effects of changes in foreign exchange rates

(a) Foreign currency transactions

The consolidated financial statements are presented in thousands of euros, which is the functional and presentation currency of the parent.

Each Group entity determines its own functional currency and the balances included in the financial statements of each company are measured using this functional currency.

Foreign currency transactions are translated into the functional currency using the exchange rate prevailing at the transaction date.

Monetary assets and liabilities expressed in foreign currencies have been translated into euros at the year-end exchange rate, whereas non-monetary assets and liabilities measured at historical cost in a foreign currency are translated using the exchange rate at the transaction date. Non-monetary assets denominated in foreign currencies measured at fair value are translated to euros at the foreign currency exchange rate prevailing at the date the value was determined.

Differences arising on settlement of transactions in foreign currency and on translation of monetary assets and liabilities expressed in foreign currency are taken to the income statement. Exchange differences arising from the translation of monetary items forming part of the net investment in foreign operations are recognised as translation differences in equity.

Translation gains or losses related to monetary financial assets or liabilities expressed in foreign currency are also recognised in the income statement.

(b) Translation of foreign operations

Translation differences are recognised in the Group's equity. Translation of foreign operations, excluding foreign operations in hyperinflationary economies, is based on the following criteria:

- Assets and liabilities, including goodwill and adjustments to net assets arising from the acquisition of businesses, including comparative balances, are translated at the year-end exchange rate at each balance sheet date.

- Income and expenses relating to foreign operations, including comparative balances, are translated at the exchange rates prevailing at each transaction date; and

- Foreign exchange differences arising from application of the above criteria are recognised under translation differences in equity

The Group does not carry out any business activities in hyperinflationary countries.

Translation differences arising as a result of the sale of foreign businesses recognised in equity are recognised as a single line item in the consolidated income statement when there is a loss of control of such businesses.

4.4. Classification of assets and liabilities as current and non-current

The Group classifies assets and liabilities in the consolidated statement of financial position as current or non-current based on the following criteria: For these purposes, current assets or liabilities are those that meet the following criteria:

- Assets are classified as current when they are expected to be realised, sold or traded in the Group's ordinary course of business within 12 months of the balance sheet date and when held essentially for trading. Cash and cash equivalents are also classified as current, except where they may not be exchanged or used to settle a liability, at least within the 12 months following the balance sheet date. The Group classifies the remainder of its assets as non-current.

- Liabilities are classified as current when expected to be settled in the Group's ordinary course of business within 12 months of the balance sheet date and when essentially held for trading, or where the Group does not have an unconditional right to defer settlement of the liability for at least 12 months from the balance sheet date. The Group classifies the remainder of its liabilities as non-current.

- Deferred tax assets and liabilities are classified as non-current assets and liabilities.

4.5. Calculation of fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or

- In the absence of a principal market, in the most advantageous market for the asset or liability. The principal or the most advantageous market must be accessible to by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities

- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Company considers that its cash, trade and other receivables, trade and other payables, and balances of accounts payable to and receivable from public administrations, have a fair value very close to their carrying amounts mainly as a result of their coming due in the short term.

The fair values for the remaining financial assets and liabilities are disclosed in Notes 13 and 19, respectively.

4.6. Financial instruments- Initial recognition and subsequent measurement

(a) FINANCIAL ASSETS

Initial recognition and measurement

Financial assets within the scope of IAS 39 are classified as financial assets at fair value through profit or loss, loans and receivables, held-to-maturity investments, available-for-sale financial assets, or derivatives designated as hedging instruments in "effective hedges," as appropriate. The Group determines the classification of its financial assets at initial recognition.

All financial assets are recognised initially at fair value plus transaction costs, except in the case of financial assets recorded at fair value through profit or loss.

Subsequent measurement

Subsequent measurement of financial assets depends on their classification, as described below:

Loans and receivable

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, these financial assets are re-measured at amortised cost using the effective interest rate method, less any impairment losses. amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest. Interests accrued in accordance with the effective interest rate are included in "Finance income" in the consolidated income statement. The losses arising from impairment are recognised as "Finance costs" for loans and in "Other operating expenses" for receivables.

Held-to-maturity investments

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group's management has the intention and ability to hold to maturity and which are recognised at amortised cost.

Held-to-maturity investments are initially recognised at fair value, including transaction costs that are directly attributable to the acquisition, and are subsequently carried at amortised cost using the effective interest method.

Interests accrued in accordance with the effective interest rate are included in "Finance income" in the consolidated income statement. The losses arising from impairment are recognised under "Finance costs" in the consolidated income statement.

Available-for-sale financial assets

Available-for-sale financial investments include equity investments and debt securities. Equity investments classified as available for sale are those that are neither classified as held for trading nor designated at fair profit or loss. Debt securities in this category are those that are intended to be held for an indefinite period of time and that may be sold in response to needs for liquidity or in response to changes in the market conditions. The Group did not hold any significant debt securities classified under this category during 2017 and 2016.

After initial measurement, available-for-sale financial investments are subsequently measured at fair value with unrealised gains or losses recognised as other comprehensive income in the available-for-sale reserve until the investment is derecognised, at which time the cumulative gain or loss is recognised in the consolidated income statement, or if the investment is found to be impaired the cumulative loss is reclassified to "Financial expense" in the income statement. Interest earned while holding available-for-sale financial investments is reported as interest income using the EIR method.

The Group evaluates whether the ability and intention to sell its available-for-sale financial assets in the near term is still appropriate. When, in rare circumstances, the Group is unable to trade these financial assets due to inactive markets and Management's intention to do so may significantly change in the foreseeable future, the Group may elect to reclassify these financial assets. Reclassification to loans and receivables is permitted when the financial assets meet the definition of loans and receivables and the Group has the intent and ability to hold these assets for the foreseeable future or until maturity. Reclassification to the held-to-maturity category is permitted only when the entity has the ability and intention to hold the financial asset accordingly.

For a financial asset reclassified from the available-for-sale category, the fair value carrying amount at the date of reclassification becomes its new amortised cost and any previous gain or loss on the asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortised cost and the maturity amount is also amortised over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is reclassified to the income statement.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The rights to receive cash flows from the asset have expired.

- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the asset is recognised to the extent of the Group's continuing involvement in the asset. In that case, the Group also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations retained by the Group.

(b) Impairment and irrecoverability of financial assets

The Group assesses, at each reporting date, whether there is objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if there is objective evidence of impairment as a result of one or more events that has occurred since the initial recognition of the asset (an incurred 'loss event') and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated. Evidence of impairment may include indications that the debtors or a group of debtors is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganisation and observable data indicating that there is a measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

Financial assets carried at amortised cost

For financial assets carried at amortised cost, the Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the Group determines that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised, are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The present value of the estimated future cash flows is discounted at the financial asset's original effective interest rate. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current EIR.

The carrying amount of the asset is reduced through the use of an allowance account and the loss is recognised in profit or loss. Interest income continues to be accrued on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as finance income in the income statement. Loans together with the associated allowance are written off when there is no realistic prospect of future recovery and all collateral has been realised or transferred to the Group. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after impairment was recognised, the previously recognised impairment loss is increased or reduced by adjusting the allowance account. If a write-off is later recovered, the recovery is credited to finance costs in the income statement.

(c) Financial liabilities

Initial recognition and measurement

Financial liabilities within the scope of IAS 39 are classified as financial liabilities at fair value through profit or loss, loans and borrowings, or as derivatives designated as hedging instruments in an effective hedge, as appropriate. The Group determines the classification of its financial liabilities at initial recognition.

All financial liabilities are initially recognised at fair value and, in the case of loans and borrowings, net of directly attributable transaction costs.

The Group's financial liabilities include trade and other payables, bank overdrafts, loans and borrowings, financial guarantee contracts, and derivative financial instruments.

Subsequent measurement

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the income statement.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled, or expires.

When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the income statement.

4.7. Impairment of non-financial assets subject to depreciation or amortisation

The Group periodically evaluates whether there are indications of possible impairment losses on assets other than financial assets, inventories, deferred tax assets and non-current assets held for sale, to determine whether their carrying amount exceeds their recoverable value (impairment loss).

(a) Calculation of recoverable amount

The recoverable amount of assets is the greater of their net selling value and value in use. An asset's value in use is calculated based on the expected future cash flows deriving from use of the assets, expectations of possible variations in the amount or timing of those future cash flows, the time value of money, the price for bearing the uncertainty inherent in the asset and other factors that market participants would reflect in pricing the future cash flows the entity expects to derive from the asset.

Recoverable amounts are calculated for individual assets, unless the asset does not generate cash inflows that are largely independent from those corresponding to other assets or groups of assets. In this case, the recoverable amount is determined for the cash-generating unit (CGU) to which the asset belongs.

(b) Reversal of impairment

Impairment losses are only reversed if there has been a change in the estimates used to determine the recoverable amount. Impairment losses on goodwill are not reversible.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment had been recognised.

The amount of the reversal of the impairment of a CGU is allocated to its assets, except goodwill, pro rata on the basis of the carrying amount of the assets, to the limit referred to in the previous paragraph.

4.8. Revenue recognition

Revenue from the sale of goods or services is recognised at the fair value of the consideration received or receivable. Revenue comprises the fair value of the consideration received or receivable for the sale of goods and services, net of VAT and any other amounts or taxes which are effectively collected on the behalf of third parties. Volume or other types of discounts for prompt payment are recorded as a reduction in revenue if considered probable at the time of revenue recognition.

(a) Goods sold

Revenue on the sale of goods is recognised when the following conditions have been satisfied:

- The Group has transferred the significant risks and rewards of ownership of the goods to the buyer.
- The Group retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;
- The amount of revenue and incurred or to be incurred costs can be measured reliably;
- It is probable that the economic benefits associated with the transaction will flow to the Group; and
- The costs incurred or to be incurred in respect of the transaction can be measured reliably.

(b) Services rendered

When the outcome of a transaction involving the rendering of services can be estimated reliably revenue associated with the transaction is recognised in the income statement by reference to the stage of completion of the transaction at the balance sheet date.

4.9. Earnings per share

Basic earnings per share are calculated by dividing net profit for the year attributable to the ordinary shares of the parent by the weighted number of ordinary shares outstanding during that year, excluding the average number of shares of the parent, Viscofan, S.A. held by any of the Group companies.

Diluted earnings per share are calculated by dividing net profit for the year attributable to the ordinary shareholders of the parent by the weighted average number of ordinary shares which would be in issue if all potential ordinary shares were converted into ordinary shares of Viscofan, S.A.

In the case of the Viscofan Group's financial statements for the years ended 31 December 2017 and 2016, there is no difference in basic earnings per share and diluted earnings per share as there were no instruments potentially convertible into ordinary shares during those years.

4.10. Business combinations and goodwill

The acquisition method of accounting is used to account for all business combinations, regardless of whether equity instruments or other assets are acquired. The consideration transferred for the acquisition of a subsidiary comprises:

- the fair values of the assets transferred
- liabilities incurred with former owners of the acquired business
- equity investments issued by the group
- the fair value of any asset or liability resulting from a contingent consideration arrangement, and
- the fair value of any previous equity interest in the subsidiary.

Identifiable assets acquired and contingent liabilities and liabilities assumed in a business combination, with limited exceptions, are initially measured at their fair values at the acquisition date. The group recognises any non-controlling interest in the acquired entity on an acquisition-to-acquisition basis at fair value or by the proportionate share of the non-controlling interest in the acquiree's net identifiable assets.

Acquisition-related costs are recognised as an expense when incurred.

The excess of:

- the consideration transferred
- the amount of any non-controlling interest in the acquiree; and
- the fair value at the acquisition date of any previous equity interest in the acquired entity

the fair value of the identifiable net assets acquired is recognised as goodwill. If those amounts are less than the fair value of the acquired subsidiary's identifiable net assets, the difference is recognised directly in profit or loss as a purchase on very advantageous terms.

When the settlement of any part of the cash consideration is deferred, future amounts payable are discounted to their present value at the exchange date. The discount rate used is the entity's incremental borrowing interest rate, the rate at which a similar loan could be obtained from an independent lender under comparable terms and conditions.

The contingent consideration is classified as equity or financial liability. The amounts classified as a financial liability are subsequently restated to fair value with changes in fair value recognised in profit or loss.

If the business combination is carried out in stages, the carrying amount at the acquisition date of the acquiree's equity interest in the previously-held acquiree is measured again at its fair value at the acquisition date, recognising any resulting gain or loss in profit or loss.

4.11. Intangible assets

(a) Self-constructed assets

Expenditure on research activities is recognised in the consolidated income statement as an expense as incurred.

Expenditure on activities which cannot be clearly distinguished from costs attributable to the development of intangible assets is recognised in the consolidated income statement. Expenditure on development that was recognised initially as an expense is not recognised subsequently as part of the cost of an intangible asset. The Group has not capitalised any development expenses.

(b) Other tangible assets

Other intangible assets are stated at cost, less accumulated amortisation and impairment losses.

Software maintenance costs are expensed as incurred.

(c) Useful lives and amortisation rates

The Group evaluates whether the useful life of each intangible asset acquired is finite or indefinite. An intangible asset is considered to have an indefinite useful life where there is no foreseeable limit to the period over which it will generate net cash inflows. At 31 December 2017 and 2016, the Group had no intangible assets with indefinite useful lives, except for Goodwill discussed in Note 9.

Intangible assets with finite useful lives are amortised by allocating the depreciable amount systematically on a straight-line basis over the useful lives of the assets in accordance with the following criteria:

	Estimate useful life (years)
Concessions, patents, and licenses	10
Development costs	5
Concession rights	10 - 30
Concession land rights in China	50
Software	4 - 6

The depreciable amount of intangible asset items is the cost of acquisition or deemed cost less the residual value.

The Group reassesses residual values, useful lives, and amortisation methods at the end of each financial year. Changes to initially established criteria are recognised as a change in accounting estimates.

Property, plant, and equipment

(a) Initial recognition

Property, plant, and equipment is stated at cost, less accumulated depreciation and any impairment losses. The cost of self-constructed assets is determined using the same principles as for an acquired asset, considering the principles established to determine the cost of production. The cost of production is capitalised with a charge to work performed by the Group on non-current assets in the consolidated income statement.

The cost of assets which have long installation periods includes finance costs accrued prior to their being put to use. Such costs meet the capitalisation requirements described above.

The Group opted to use the previous GAAP revaluation of property, plant, and equipment, as the cost recognised at 1 January 2004, as permitted by IFRS 1 First Time Adoption of IFRS.

(b) amortisation and depreciation

Property, plant, and equipment is depreciated systematically over the useful life of the asset. The depreciable amount of PP&E items is the cost of acquisition less the residual value. Each part of a PP&E item with a cost that is significant in relation to the total cost of the item is depreciated separately.

Depreciation of PP&E items is calculated using the straight-line method over their estimated useful lives, as follows:

	Estimate useful life (years)
Buildings	30 - 50
Plant and equipment	10
Other installations, tools and furniture	5 - 15
Property, plant, and equipment	3 - 15

The Group reassesses residual values, useful lives, and depreciation methods at the end of each financial year. Changes to initially established criteria are recognised as a change in accounting estimates.

(c) Subsequent recognition

Subsequent to initial recognition of the asset, only costs that will probably generate future economic benefits and which may be measured reliably are capitalised. Ordinary maintenance costs are expensed as they are incurred.

Replacements of property, plant, and equipment which meet the requirements for capitalisation are recognised as a reduction in the carrying amount of the items replaced. Where the cost of the replaced items has not been depreciated independently and it has not been practical to determine the respective carrying amount, the replacement cost is used as indicative of the cost of items at the time of acquisition or construction.

4.12. Leases

(a) Finance leases

The Viscofan Group classifies as finance leases all lease agreements in which the lessor substantially transfers to the lessee all the risks and rewards incidental to ownership of the asset. All other leases are classified as operating leases.

Assets acquired under finance leases are recognised as non-current assets according to their nature and purpose. Each asset is depreciated/amortised over its useful life when the Group considers there to be no doubt that it will acquire ownership of the assets at the end of the lease term. The assets are recognised at the lower of the fair value of the leased item and the present value of future lease payments.

(b) Operating leases

Lease payments under an operating lease, net of any incentives received, are recognised as an expense on a straight-line basis unless another systematic basis is representative of the time pattern of the user's benefit.

4.13. Inventories

Inventories comprise non-financial assets which are held for sale by the consolidated entities in the ordinary course of business.

Cost comprises all costs of acquisition, costs of conversion, and other costs incurred in bringing the inventories to their present location and condition.

Inventory conversion costs comprise the costs directly related with the units produced and a systematically calculated part of the indirect, variable or fixed costs incurred in the conversion process. Indirect fixed costs are distributed on the basis of the normal production capacity or actual production.

Indirect fixed costs distributed to each production unit are not increased as a result of a low level of production or idle production capacity. Indirect costs that are not distributed are recognised as expenses for the financial year in which they are incurred. In periods of abnormally high production, the amount of indirect costs distributed to each production unit is decreased so that inventories are not measured above cost. Variable indirect costs are distributed to each production unit on the basis of the actual use of the production facilities.

The methods applied by the Group to determine inventory costs are as follows:

- Raw materials, other materials consumed, and goods for resale: at weighted average cost.

- Finished and semi-finished products: at weighted average cost of raw and other materials and includes direct and indirect labour, plus other manufacturing overheads.

Volume discounts from suppliers are recognised when it is probable that the discount conditions will be met. Prompt payment discounts are recognised as a reduction in the cost of inventories acquired.

The cost of inventories is adjusted against profit or loss in cases where cost exceeds net realizable value. Net realizable value is considered as the following:

- Raw materials and other consumables: the Group only makes adjustments if the finished products in which the raw materials are incorporated are expected to be sold at a price equivalent to their production cost or lower;

- Goods for resale and finished products: estimated sale price, less selling costs.

- Work in progress: estimated sale price for corresponding finished products, less the estimated costs for completion of their production and selling costs.

Write-downs and reversals of write-downs are recognised in the consolidated income statement for the year. When the circumstances that previously caused the inventories to be written down below cost no longer exist or when there is clear evidence of an increase in net realizable value because of changed economic circumstances, the amount of the write-down is reversed against the following headings: "Changes in inventories of finished products" and "Work in progress and consumption of materials and other supplies." Write-downs may be reversed to the limit of the lower of cost and the new net realizable value.

(a) Emission rights

The Viscofan Group records emission rights when it owns them under the "Inventories" heading.

Rights assigned free of charge to each plant under each national emission rights assignment plan are initially measured at market value on the date granted and are recognised as a credit to "Grants" (Note 4.18) in the consolidated statement of financial position. Rights acquired from third parties are recognised at their acquisition cost.

These assets are measured using the cost method. At each year end they are analysed for any indications of impairment of their carrying amounts.

These emission rights are eliminated from the statement of financial position when they are sold, delivered, or have expired. Should the rights be delivered, they are derecognised from the provision made when the CO2 emissions take place applying the FIFO method (first in, first out).

4.14. Non-current assets held for sale and discontinued operations

The Group classifies assets whose carrying amount is expected to be realised through a sale transaction, rather than through continuing use, as "Non-current assets held for sale" when the following criteria are met:

- When they are immediately available for sale in their present condition, subject to the normal terms of sale; and

- When it is highly probable that they will be sold.

Non-current assets held for sale are accounted for at the lower of their carrying amount and fair value less cost to sell, except deferred tax assets, assets arising from employee benefits, and financial assets which do not correspond to investments in Group companies, joint ventures and associates, which are measured according to specific standards. These assets are not depreciated and, where necessary, the corresponding impairment loss is recognised to ensure that the carrying amount does not exceed fair value less costs to sell.

Disposal groups held for sale are measured using the same criteria described above. The disposal group as a whole is then remeasured at the lower of the carrying amount and fair value less costs to sell.

Related liabilities are classified as "Liabilities held for sale and discontinued activities."

A disposal group of assets is considered a discontinued operation if it is a component of an entity which either has been disposed of or is classified as held for sale and:

- Represents a significant and separate major line of business or geographical area of operations.

- Is part of a single coordinated plan to dispose of a significant and separate major line of business or geographical area of operations.

Discontinued operations are presented in the consolidated income statement separately from income and expenses from continuing operations, on a single line under "Profit from discontinued operations."

4.15. CASH AND CASH EQUIVALENTS

Cash and cash equivalents include cash on hand and demand deposits with credit institutions. Other short-term, highly-liquid investments are also included under this heading, provided that they were readily convertible into specified amounts of cash and had an original maturity of close to or not exceeding three months.

4.16. Dividend

The interim dividends approved by the Board of Directors in 2017 and 2016 are included as a reduction of the Viscofan Group's equity.

4.17. Government grants

Government grants are recognised on the face of the balance sheet when there is reasonable assurance that they will be received and that the Group will comply with the conditions attached.

(a) Capital grants

Government grants in the form of non-monetary assets are recognised at fair value in the same manner, with a debit to deferred income. They are transferred to “Other income” in the consolidated income statement in line with the depreciation of the related asset.

Non-repayable grants related to emission rights are initially recognised at market value on the date granted under "Grants," and are recognised in the consolidated income statement as they are used. They are recognised in "Other income" on the consolidated income statement.

(b) Operating subsidies

Operating subsidies are recognised as “Other income” in the consolidated income statement.

Grants received as compensation for expenses or losses already incurred, or for the purpose of providing immediate financial support not related to future expenses, are recognised as a credit to "Other Income" in the consolidated income statement.

(c) Interest rate subsidies

Financial liabilities with implicit interest rate subsidies in the form of below-market rates of interest are initially recognised at fair value. The difference between this value, adjusted where applicable by the costs of issue of the financial liability and the amount received, is recorded as an official grant based on the nature of the grant.

4.18. Employee benefits

(a) Liabilities for retirement benefits and other commitments

Defined benefit plans include those financed by insurance premium payments for which a legal and implicit obligation exists to settle commitments with employees when they fall due or pay additional amounts in the event the insurer does not pay all employee benefits relating to employee service in the current and prior periods.

Defined benefit liabilities recognised in the consolidated statement of financial position reflect the present value of defined benefit plans at year end, less the fair value of the assets related to those benefits.

Defined benefit plan costs are recognised under "Employee benefits expense" in the consolidated income statement and comprise current service costs plus the effect of any reduction or liquidation of the plan.

Interest on the net liability/(asset) relating to the defined benefit plan is calculated by multiplying the net liability/(asset) by the discount rate and is recognised in financial results under "Financial expenses."

Subsequent to initial measurement, the re-evaluation, which comprises actuarial gains and losses, the effect of the limit on the assets, excluding amounts included in net interest and performance of the plan assets are recognised immediately in the statement of financial position with a credit or debit to reserves, as appropriate, through other comprehensive income in the period in which they occur. These changes are not reclassified to profit or loss in subsequent periods.

A description of each of the Group's defined benefit pension plans is included in Note 17.1.

(b) Termination benefits

The Group recognizes termination benefits unrelated to restructuring processes when it is demonstrably committed to terminating the employment of current employees before the normal retirement date. The Group is demonstrably committed to terminating the employment of current employees when a detailed formal plan has been prepared and those affected have valid expectations that the process will be carried out, and there is no possibility of withdrawing or changing the decisions made. Indemnities payable in over 12 months are discounted at interest rates based on market rates of quality bonds and debentures.

(c) Short-term employee benefits

Short-term benefits accrued by Group personnel are recorded in line with the employees' period of service. The amount is recorded as an employee benefit expense and as a liability net of settled amounts. If the contribution already paid exceeds the accrued expense, an asset is recorded to the extent that it will reduce future payments or a cash refund.

The Group recognizes the expected cost of short-term benefits in the form of accumulated compensated absences, when the employees render service that increases their entitlement to future compensated absences, and in the case of non-accumulating compensated absences, when the absences occur.

The Group recognizes the expected cost of profit-sharing and bonus payments when it has a present legal or constructive obligation to make such payments as a result of past events and a reliable estimate of the obligation can be made.

4.19. Provisions

(a) General criteria

A provision is recognised in the balance sheet when the Group has a present legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation, provided a reliable estimate can be made of the amount of the obligation.

The amounts recognised as a provision in the consolidated statements of financial position are the best estimate of the expenditure required to settle the present obligation at the consolidated balance sheet date, taking into account the risks and uncertainties related to the provision and, where significant, financial effect of the discount, provided that the expenditures required in each period can be reliably measured. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

The financial effect of provisions is recognised under finance costs in the consolidated income statement.

Reimbursement rights from third parties are recognised as a separate asset where it is practically certain that these will be collected. The income reimbursed, where applicable, is recognised in the consolidated income statement as a reduction in the associated expense and is limited to the amount of the provision.

If it is no longer probable that an outflow of resources embodying economic benefits will be required to settle the obligation, the provision is reversed against income. The provision is reversed against the consolidated income statement where the corresponding expense was recorded.

(b) Onerous contracts

A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract.

(c) Restructuring expenses

A provision for restructuring is recognised when the Group has approved a detailed and formal restructuring plan, and the restructuring has either commenced or has been announced publicly. Provisions for restructuring only include payments directly related to the restructuring which are not associated to continuing activities of the Group.

(d) Emission rights provision

Provision is made systematically for expenses related to the emission of greenhouse gases. This provision is cancelled once the corresponding free-of-charge and market-acquired rights granted by public entities have been transferred.

4.20. Derivatives and hedge accounting

Derivatives are initially recognised at fair value on the date the derivative contract is signed and subsequently restated to fair value at each balance sheet date. The accounting for subsequent changes in fair value depends on whether the derivative has been designated as a hedging instrument and, if so, on the nature of the item being hedged. The group designates certain derivatives as:

- fair value hedges of recognised assets or liabilities or a firm commitment (fair value hedges)
- hedges of a specific risk associated with cash flows of recognised assets and liabilities and highly probable forecast transactions (cash flow hedges), or
- hedges of a net investment in a foreign operation (net investment hedges).

At the start of the hedge transaction, the Group documents the relationship between the hedging instruments and the hedged items, their objective for risk management and the strategy for undertaking various hedging transactions. The group also documents its assessment, both at the start and on a continuing basis, of whether the derivatives used in hedging transactions have been and will continue to be highly effective in offsetting changes in fair values or cash flows of the hedged items.

The fair values of certain derivative financial instruments used for hedging purposes are disclosed in note 7(h). Changes in the hedging reserve included in shareholders' equity are shown in note 9(c). The total fair value of a hedging derivative is classified as a non-current asset or liability if the remaining maturity of the hedged item exceeds 12 months; it is classified as a current asset or liability when the remaining maturity of the hedged item is less than 12 months. Trading derivatives are classified as current assets or liabilities.

(a) Cash flow hedges

The effective portion of changes in the fair value of derivatives designated and classified as cash flow hedges is recognised in other comprehensive income and accumulated in reserves in equity. The gain or loss relating to the ineffective portion is immediately recognised in the income statement for the year within other income or expenses.

Accumulated amounts in equity are reclassified to profit or loss in periods when the hedged item affects profit or loss (for example, when the hedged forecasted sale takes place). The gain or loss relating to the effective portion of interest rate swaps covering floating rate loans is recognised in profit or loss within "interest expense". The gain or loss on the effective portion of forward exchange rate contracts covering export sales is recognised as income or an expense within "sales". However, when the expected transaction to be hedged involves the recognition of a non-financial asset (e.g. inventories or property, plant and equipment), the gains and losses previously deferred in equity are transferred from equity and included in the initial measurement of the cost of the asset. Deferred amounts are definitively recognised in profit or loss as cost of goods sold in the case of inventories or as depreciation or impairment in the case of fixed assets.

When a hedging instrument expires or is sold or disposed of, or when a hedge no longer complies with hedge accounting criteria, any accumulated gain or loss in equity to that date remains in equity and is recognised when the forecast transaction is finally recognised in the income statement. When the forecasted transaction is not expected to eventually occur, the accumulated gain or loss in equity is immediately reclassified to profit or loss.

(b) Net investment hedges

Hedges of net investments in foreign operations are accounted for in a similar way to cash flow hedges.

Any gain or loss on the hedging instrument related to the effective portion of the hedge is recognised in other comprehensive income and accumulated in reserves in equity. The gain or loss relating to the ineffective portion is immediately recognised in the income statement within other income or expenses.

Accumulated gains and losses in equity are reclassified to profit or loss when the foreign operation is partially disposed of.

(c) Derivatives that do not qualify for hedge accounting

Certain derivative instruments do not qualify for hedge accounting. Changes in the fair value of any derivative instrument that does not qualify for hedge accounting are recognised immediately in profit or loss and included in other income or expense.

4.21. Income tax

Income tax on the profit for the year comprises current and deferred tax.

Current tax is the amount of income taxes payable or recoverable in respect of the taxable profit or tax loss for the year. Current tax assets or liabilities are measured for amounts payable to or recoverable from tax authorities, using tax rates enacted or substantively enacted at the balance sheet date.

Deferred tax liabilities are the amounts of income taxes payable in future periods in respect of taxable temporary differences, whereas deferred tax assets are the amounts of income taxes recoverable in future periods in respect of deductible temporary differences, the carryforward of unused tax losses, and the carryforward of unused tax credits. Temporary differences are differences between the carrying amount of an asset or liability in the balance sheet and its tax base.

Current and deferred tax is recognised as income or an expense and included in profit or loss for the year except to the extent that the tax arises from a transaction or event which is recognised, in the same or a different year, directly in equity, or from a business combination.

(a) Taxable temporary differences

Taxable temporary differences are recognised in all cases except where:

- Arising from the initial recognition of goodwill or an asset or liability in a transaction which is not a business combination and at the time of the transaction, affects neither accounting profit nor taxable profit, or

- Associated with investments in subsidiaries over which the Group is able to control the timing of the reversal of the temporary difference and it is probable that the timing difference will reverse in the foreseeable future.

In the foreseeable future, the group does not intend to dispose of companies or repatriate dividends beyond the profit for the year.

(b) Deductible temporary differences

Deductible temporary differences are recognised provided that:

- It is probable that taxable profit will be available against which the deductible temporary difference can be utilised, unless the differences arise from the initial recognition of an asset or liability in a transaction which is not a business combination and at the time of the transaction, affects neither accounting profit nor taxable profit.

- The temporary differences are associated with investments in subsidiaries to the extent that the difference will reverse in the foreseeable future and taxable profit will be available against which the temporary difference can be utilised.

Tax planning opportunities are only considered on evaluation of the recoverability of deferred tax assets and if the Group intends to use these opportunities or it is probable that they will be used.

(c) Measurement

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the years when the asset is realised or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted by the balance sheet date and reflecting the tax consequences that would follow from the manner in which the Group expects to recover or settle the carrying amount of its assets or liabilities.

The carrying amounts of deferred tax assets are reviewed by the Group at each balance sheet date to reduce these amounts to the extent that it is no longer probable that sufficient taxable profit will be available to allow the benefit of the deferred tax assets to be utilised.

Deferred tax assets which do not comply with the aforementioned conditions are not recognised in the consolidated statement of financial position. At year end the Group reassesses unrecognised deferred tax assets.

(d) Classification and offsetting

The Group only offsets current tax assets and liabilities if it has a legally enforceable right to offset the recognised amounts and intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

The Group only offsets tax assets and liabilities where it has a legally enforceable right, where these relate to taxes levied by the same tax authority and on the same entity and where the tax authorities permit the entity to settle on a net basis, or to realize the asset and settle the liability simultaneously for each of the future years in which significant amounts of deferred tax assets or liabilities are expected to be settled or recovered.

Deferred tax assets and liabilities are recognised on the consolidated statement of financial position under non-current assets or liabilities, irrespective of the date of realisation or settlement.

(e) investment tax credits

The group has investment tax credits in certain subsidiaries. These tax credits are recorded by reducing the corporate income tax expense for the year in which they are applied.

4.22. Environmental issues

The Group takes measures to prevent, reduce or repair the damage caused to the environment by its activities.

Costs incurred from these activities are recognised under "Other operating costs" in the year in which they are incurred.

Assets used by the Group to minimize the environmental impact of its activity and protect and improve the environment, including the reduction or elimination of future pollution caused by the Group's operations, are recognised in the consolidated balance sheet based on the criteria for recognition, measurement, and disclosure detailed in Note 25.

4.23. Related party transactions

Transactions with related parties are accounted for in accordance with the measurement criteria detailed throughout this Note. The only transactions with related parties are detailed in Note 23 on "Information relating to directors of the parent and key management personnel of the Group".

5. Operating income and operating expenses

5.1. Sales and rendered services:

The sales and services provided in the consolidated income statement include the delivery of goods to customers, services rendered in the course of the Group's ordinary activities and the sale of energy, net of sales-related taxes.

The detail of this heading for 2017 and 2016 is as follows:

	Thousands of euros					
	Casings sales and services		Energie sales and services		Total sales and rendered services	
	2017	2016	2017	2016	2017	2016
Spain	70,197	64,148	37,529	33,529	107,726	97,677
Other European and Asian countries	326,421	313,399	-	-	326,421	313,399
North America	221,533	211,232	6,534	6,096	228,067	217,328
South America	115,922	102,429	-	-	115,922	102,429
Total	**734,073**	**691,208**	**44,063**	**39,625**	**778,136**	**730,833**

5.2. Other operating income:

The breakdown of "Other Operating Income" for 2017 and 2016 is as follows:

	Thousands of euros	
	2017	2016
Work performed by the Group on non-current assets	262	571
Capital Grants (Note 16)	637	672
Other Grants	2,221	1,950
Emission rights	53	612
Other income	14,124	9,976
Total other income	**17,297**	**13,781**

Other income includes the payment of compensation for the fire in November 2016 at a spare parts warehouse on the site of Naturin Viscofan GmbH. The total amount of compensation received amounted to 14 million euros, 11 million euros of which were recorded in 2017 and 3 million euros had already been collected on account and recorded in the financial statements for 2016.

The conditions or contingencies associated to grants received.

5.3. Personnel expenses

The breakdown of "Personnel expenses" in 2017 and 2016 is as follows:

	Thousands of euros	
	2017	2016
Wages and salaries	140,737	127,787
Indemnity payments	743	981
Current service cost of defined benefits (Notes 17.1)	358	321
Company social security contributions	27,354	24,980
Other welfare benefits and taxes	15,088	14,507
Total personnel expenses	**184,280**	**168,576**

Group employees in continued operations during 2017 and 2016, by professional category and gender, were as follows:

	Year 2017					
	Executives	Technicians and supervisors	Administra-tives	Specialized personnel	Unskilled workers	*Total*
Men	87	782	62	671	1,735	***3,337***
Women	15	280	145	241	730	***1,411***
Total headcount at the end of year	**102**	**1,062**	**207**	**912**	**2,465**	***4,748***
Average number of employees	**99**	**1,028**	**191**	**879**	**2,357**	***4,554***

	Year 2016					
	Executives	Technicians and supervisors	Administra-tives	Specialized personnel	Unskilled workers	*Total*
Men	62	723	145	494	1,795	***3,219***
Women	10	227	225	137	723	***1,322***
Total headcount at the end of year	**72**	**950**	**370**	**631**	**2,518**	***4,541***
Average number of employees	**71**	**923**	**328**	**618**	**2,423**	***4,363***

Employees, in the parent company, with a recognised level of disability of 33% or more, who are reported in accordance with Royal Decree 602/2016, of December 2, amount to 5 employees, the same as in 2016. Broken down by professional category these are 3 technicians, 1 administrative assistant and 1 technician/manager.

Due to the circumstances of the production process, since 3 May 2017, Viscofan S.A. has recognised, through Resolution 1187 of the Managing Director of the Navarre Employment Service, the recognition of exceptionality that justifies adopting alternative measures to comply with the reserve quota in favour of disabled workers and authorises, as an alternative measure, the conclusion of civil or commercial contracts with Special Employment Centres, for a period of three years.

5.4. Other operating expenses

The detail of "Other operating expenses" for 2017 and 2016 is as follows:

	Thousands of euros	
	2017	2016
Research and development costs	2,535	2,183
Repair and maintenance	29,271	28,563
Environment	3,797	3,598
Power supplies	51,371	47,816
Plant expenses (surveillance, cleasing and others)	24,594	20,507
Leasing expenses	6,652	4,663
Insurance premium	4,477	3,943
Other taxes	5,640	4,643
Administrative and selling costs	52,231	46,857
Other expenses	9,321	10,639
Other operating expenses	**189,889**	**173,412**

R&D expenses are not susceptible to capitalisation, and were recognised as expenses during the year they were incurred.

"Plant expenses" includes, among other things, the works carried out at the Weinheim plant (Germany) as a result of the fire that occurred in November 2016 (see Note 10) and which have lasted until the first half of 2017.

"Other expenses" includes those corresponding to the acquisition of the Supralon Group companies, amounting to 598 thousand euros. Expenses relating to the acquisition of the Vector Group companies amounting to 1,544 thousand euros were included in 2016.

5.5. Financial income and expense

The breakdown of financial income and expenses for 2017 and 2016, according to the origin of the items making it up, is as follows:

	Thousands of euros	
	2017	2016
Financial income	**279**	**431**
Bank borrowings and other financial liabilities	(1,431)	(1,230)
Net finance cost of pension plans	(415)	(589)
Financial expense	**(1,846)**	**(1,819)**
Losses on non-trade receivables	**527**	**(721)**
Exchange gains	12,370	17,967
Exchange losses	(20,826)	(14,969)
Exchange gains (losses)	**(8,456)**	**2,998**
Financial incomer (expenses) total	**(9,496)**	**889**

6. Earnings per share

6.1. Basic

The calculation of basic earnings per share is based on the profit for the year attributable to the shareholders of the parent and a weighted average number of ordinary shares in circulation throughout the year, excluding treasury shares.

The breakdown of the calculation of basic earnings per share is as follows:

	Thousands of euros	
	2017	2016
Weighted average number of ordinary shares in circulation	46,603,682	46,603,682
Profit from continued operations attributable to ordinary equity holders of the parent	122,101	125,084
Basic earnings per share (in euros) from continued operations	**2.6200**	**2.6840**
Profit attributable to ordinary equity holders of the parent	122,101	125,084
Basic earnings per share (in euros)	**2.6200**	**2.6840**

6.2. Diluted

The weighted average number of ordinary shares in circulation coincides with the number of shares comprising the parent's share capital.

Diluted earnings per share are calculated by dividing profit attributable to equity holders of the parent by the weighted average number of ordinary shares in circulation considering the diluting effects of potential ordinary shares. As there are no potential ordinary shares, diluted earnings per share does not differ from basic earnings per share.

7. Segment reporting

GIRL 8: "Operating segments" establishes that an operating segment is a component of an entity:

a) when it engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same entity);

b) when its operating results are regularly reviewed by the entity's chief operating decision maker to make decisions about resources to be allocated to the segment and assess its performance, and

c) for which discrete financial information is available.

The Group's management bases its decisions on the assignment of resources and performance evaluations on the profitability of the markets in which it operates; its key geographic areas are Spain, Europe, and Asia, North America, and South America. Segment performance is evaluated based on operating profit or loss and is measured consistently with operating profit or loss on the consolidated financial statements.

The Group also carries out production-related activities, and sells electricity through its cogeneration plants in Spain, Mexico, and Germany. These cogeneration activities have three aims: to decrease the cost of electricity while remaining self-sufficient, and at the same time reducing CO2 emissions. Although the plants located in Spain and Mexico sell part of the energy produced to third parties, these activities are not organised as business segments, nor are they contemplated as business units to be reported on per se.

The following PP&E items and intangible assets in different segments were acquired during 2017 and 2016:

Year 2017	Thousands of euros					
	Spain	Other European and	North America	South America	Eliminations and other	*Consolidated*
Revenue from external customer	107,726	326,421	228,067	115,922	-	*778,136*
Revenue from inter-segment	79,057	239,977	92,826	29,859	(441,719)	-
Total revenue	186,783	566,398	320,893	145,781	(441,719)	*778,136*
Depreciation and amortization	(13,576)	(23,974)	(10,849)	(7,983)	-	*(56,382)*
Finance revenue	15	65	157	42	-	*279*
Finance costs	(752)	(584)	(467)	(43)	-	*(1,846)*
Exchange differences	(2,391)	(5,585)	132	(612)	-	*(8,456)*
Segment profit	**19,577**	**79,310**	**18,009**	**28,417**	**44**	***145,357***
Total assets	**215,248**	**426,051**	**226,021**	**163,354**	**(69,870)**	***960,804***
Total equity and liabilities	**114,425**	**106,118**	**70,681**	**23,961**	**(82,062)**	***233,123***
Acquisition of assets	**54,220**	**35,523**	**10,538**	**6,882**	**-**	***107,163***

Year 2016	Thousands of euros					
	Spain	Other European and Asian countries	North America	South America	Eliminations and other	*Consolidated*
Revenue from external customer	97,677	313,399	217,328	102,429	-	*730,833*
Revenue from inter-segment	78,522	215,432	98,531	14,442	(406,927)	-
Total revenue	176,199	528,831	315,859	116,871	(406,927)	*730,833*
Depreciation and amortization	(12,437)	(21,661)	(9,358)	(6,243)	-	*(49,699)*
Finance revenue	47	75	258	51	-	*431*
Finance costs	(591)	(654)	(380)	(194)	-	*(1,819)*
Exchange differences	271	244	(450)	2,933	-	*2,998*
Segment profit	**17,616**	**89,015**	**19,976**	**23,923**	**4,725**	***155,255***
Total assets	**200,285**	**412,160**	**249,113**	**176,066**	**(106,630)**	***930,994***
Total equity and liabilities	**117,179**	**94,331**	**90,400**	**36,204**	**(115,201)**	***222,913***
Acquisition of assets	**26,550**	**20,291**	**21,084**	**18,775**	**-**	***86,700***

8. Business combinations

8.1. Acquisitions in 2017

In November 2017, the Group, through its subsidiary Naturin Viscofan GmbH, acquired 100% of the shares of Supralon International AG and Supralon Verpackungs AG, including their subsidiaries (Supralon Produktions und Vertriebs GmbH and Supralon France SARL).

The fair value of the compensation received at the acquisition date amounted to 12 million euros, 10,5 million euros of which were paid in cash; an agreement was reached to pay the remainder in instalments.

With this acquisition, the Viscofan Group strengthens its position in plastics technology, broadens its product range and improves its supply capacity in Europe, one of the main markets for this type of packaging.

Amounts recognised at the date the assets, liabilities, and contingent liabilities were recognised at their fair value follow:

	Thousands of euros
Intangible assets (Note 9)	1,403
Property, plant and equipment (Note 10)	4,843
Deferred tax assets	-
Inventories	2,515
Receivables	2,968
Cash and cash equivalents	2,008
Total assets	**13,737**
Non-current financial liabilities	(279)
Current financial liabilities	(197)
Payables	(1,505)
Deferred tax liabilities	(1,142)
Total liabilities	**(3,123)**
Total identifiable net assets	**10,614**
Goodwill	1,386
Purchase consideration transferred	**12,000**

The goodwill generated and measured at cost amounts to 1,386 thousand euros, being the excess of the aggregate of the consideration transferred over the fair value of assets acquired and liabilities assumed.

The acquired business generated a consolidated profit for the period for the Group amounting to 178 thousand euros during the period ranging from the acquisition date and year end, and ordinary income totalling 1,776 thousand euros, which were incorporated in the consolidated income statement.

Ordinary income generated during the entire year from the acquired business totals 17,042 thousand euros, with net ordinary total results of 213 thousand euros.

Net assets recognised on the 2017 financial statements were definitively measured at fair value; obtained through an independent valuation of the land, buildings and machinery owned by Supralon Verpackungs AG and its subsidiaries. The remaining acquired net assets were also valued, including those which are intangible. The Group used an independent expert to carry out the main valuations.

8.2. Acquisitions in 2016

In October 2016, when effective control was taken, the Group acquired 100% of the shares in Vector USA Inc. and Vector Europe NV, including its European subsidiaries (Vector Packaging Europe NV and Vector UK Ltd.) through its parent Viscofan S.A. and its subsidiary Viscofan USA Inc.

The fair value of the consideration at the acquisition date amounted to 2,671 thousand euros, 641 thousand euros of which in cash in 2016 and 300 thousand euros in 2017, leaving 1,730 thousand euros as a deferred amount that could be reduced if unrecognised liabilities relating to the period prior to the Group's takeover were identified.

The acquisition of Vector USA Inc. and Vector Europe NV makes it possible to increase the Viscofan Group product range, while improving its plastic technology production offer, to thereby support its strategy to become the reference in the casings market and improve the service worldwide.

Subsequent to the acquisition, the Group paid off nearly the entirety of its bank borrowings, representing payment of 9,067 thousand euros (disbursement included in the cash flow of financing activities).

The 1,544 thousand euros in transaction costs were recognised under “Other operating expenses” (including cash flow for operating activities).

The acquired business generated a consolidated profit for the period for the Group amounting to 106 thousand euros during the period ranging from the acquisition date and year end, and ordinary income totalling 5,353 thousand euros, which were incorporated in the consolidated income statement.

The profit arising from the transaction totalled 4,475 thousand euros, and is recognised on the consolidated income statement under “Negative difference on business combinations.”

The most relevant factors contributing to the generation of a negative difference on business combinations is the Vector Group’s financial situation, which indicates that it would be not be complying with certain financial ratios. After obtaining control of Vector, the Group paid off all its bank borrowings.

Net assets recognised on the 2016 financial statements were definitively measured at fair value; in this regard, the Group obtained an independent appraisal on Vector's land and buildings. The remaining acquired net assets were also valued, including those which are intangible. The Group used an independent expert to carry out the main valuations.

Amounts recognised at the date the assets, liabilities, and contingent liabilities were recognised at their fair value follow:

	Thousands of euros
Intangible assets (Note 9)	719
Property, plant and equipment (Note 10)	9,443
Deferred tax assets	442
Inventories	6,887
Receivables	7,107
Cash and cash equivalents	1,716
Total assets	**26,314**
Non-current financial liabilities	(5,217)
Current financial liabilities	(5,301)
Payables	(6,836)
Deferred tax liabilities	(1,814)
Total liabilities	**(19,168)**
Total identifiifiable net assets	**7,146**
Negative differences from business combinations	(4,475)
Purchase consideration transferred	**2,671**

9. Intangible assets

The breakdown and movements in other intangible assets during 2017 and 2016 are as follows:

	Thousands of euros							
	Client portfolio	Software	Concessions, patents, licenses and use rights	Emission rights	Good will (Note 8)	Prepayments	Amortization	*Total*
Balance at January 1, 2016	**-**	**30,198**	**19,940**	**2,117**	**3,520**	**876**	**(38,317)**	***18,334***
Translation differences	-	574	191	-	-	35	(822)	*(22)*
Acquisition of a subsidiary	621	98	-	-	-	-	-	*719*
Additions	-	2,207	-	-	-	586	(3,282)	*(489)*
Disposals	-	(1,467)	-	-	-	-	1,467	-
Transfers	-	1,272	-	(2,117)	-	(1,258)	(14)	*(2,117)*
Balance at December 31, 2016	**621**	**32,882**	**20,131**	**-**	**3,520**	**239**	**(40,968)**	***16,425***
Translation differences	-	(1,188)	(1,292)	-	-	-	2,306	*(174)*
Acquisition of a subsidiary (Note 8.1)	-	12	1,391	-	1,386	-	-	*2,789*
Additions	-	3,434	191	-	-	121	(3,488)	*258*
Disposals	-	(5)	-	-	-	-	-	*(5)*
Transfers	-	186	-	-	-	(183)	(3)	-
Balance at December 31, 2017	**621**	**35,321**	**20,421**	**-**	**4,906**	**177**	**(42,153)**	***19,293***

The balances of this heading at 31 December 2017 and 2016 are the following:

	Thousands of euros					
	31.12.2017			31.12.2016		
	Cost	Amortization	*Total*	Cost	Amortization	*Total*
Client portfolio	621	(124)	*497*	621	-	*621*
Software	35,321	(26,596)	*8,725*	32,882	(24,920)	*7,962*
Concessions, patents, licenses and use rights	20,421	(15,433)	*4,988*	20,131	(16,048)	*4,083*
Good will (Note 8)	4,906	-	*4,906*	3,520	-	*3,520*
Prepayments	177	-	*177*	239	-	*239*
TOTAL	**61,446**	**(42,153)**	***19,293***	**57,393**	**(40,968)**	***16,425***

"Software" includes the ownership and usage rights for IT programs acquired from third parties.

Details of the cost of fully amortised intangible assets in use at 31 December 2017 and 2016 are as follows:

	Thousands of euros	
	2017	2016
Software	19,926	17,716
Concessions, patents, licenses and use rights	12,917	13,088
Fully anortizated intangible assets	**32,843**	**30,804**

Impairment test

Goodwill recorded on the Group's consolidated balance sheet corresponds to Nanopack Technology & Packaging, S.L.; its CGU corresponds to the legal company or subgroup (Note 5.2). It engages in manufacturing and marketing of film plastics and new products based on the acquired technology and its expected development.

The company acquired in 2015 is a start-up that is extremely focused on R&D&i in plastics technology in which they had made promising progress. As befits any company with these characteristics, it needs investment and commercial support to launch its novel products onto the market. After an improvement in UGE's turnover in 2017, it is expected to continue with increases in turnover in 2018, once the Company's performance fully reflects the efforts made in its new Cáseda plant, as well as novel products developed in Gerona, which add value and, in this vein, establish the foundations for growth in the future.

During 2017, the second complete year within the Group, Viscofan has continued investing in increasing capacity and plant and equipment by following the initial plan, based on the forecasts of future growth expected by the Management, which is coherent with the long-term view and industrial policies of Viscofan Group.

The assumptions include an increasing volume of sales during the first year's activity. 5-year projections were done, in which Management established forecasted business figures broken down by CGU managers (by year, country, customer, average product sales prices) based on historic data (internal/external sources), market, competition scenarios, information on new products and those in development, and actions to be implemented aimed at geographical expansion, and available macroeconomic forecasts.

The main assumption affecting cash flows arise from the projections made based on hypotheses on increases in average volumes and use of the installed capacity, as well as increases in sales prices and moderate costs.

The residual growth rate stands at 1.5%, in line with estimated long-term growth. The pre-tax discount rate (Wacc) is 8%.

The cash flows projections did not contemplate investments from capital increases. The investments made in 2017 make it possible to achieve the level of production required to satisfy sales of the last projected year on which the residual value is calculated. Current investments totalling '0.5 million euros should suffice to ensure that the plant remains operational and competitive.

The estimated residual value included a sustainable average flow and a growth rate of 1.5%. The sustainable average flow corresponds to cash flows during the most recently projected period.

Based on a sensitivity analysis;

- Variations of 10% in the discount rate do not imply the recognition of impairment.

- Sensitivity to reasonably possible changes in turnover does not entail the need to record any impairment losses.

The consolidated carrying amount totalled 6,660 thousand euros (goodwill totalling 3,520 thousand, with PP&E items amounting to 3,140 thousand euros).

Therefore, taking the above into consideration, the Directors consider that at year-end 2017, there were no indications that any impairment losses should be recorded.

Based on the business plan used for the November 2017 acquisition of the companies that make up the Supralon group, the company determined that it does not apply an impairment adjustment.

10. Property, plant, and equipment

The breakdown and movements in property, plant, and equipment during 2017 and 2016 are as follows:

	Thousands of euros							
	Land and buildings	Plant and machinery	Other install., equip. and furniture	Other property, plant and	Advances and assets under construct.	Amorti-zation	Impairment	*Total*
Balance at January 1, 2016	**214,118**	**668,692**	**83,956**	**29,425**	**28,564**	**(642,142)**	**(588)**	***382,025***
Translation differences	2,296	12,227	230	274	233	(11,410)	5	*3,855*
Acquisition of a subsidiary	6,212	3,080	16	31	104	-	-	*9,443*
Additions	5,634	28,758	3,237	2,657	43,619	(46,417)	(128)	*37,360*
Disposals	(709)	(17,145)	(5,211)	(2,682)	(662)	25,280	356	*(773)*
Transfers	6,724	29,820	1,114	795	(38,347)	(106)	-	-
Balance at December 31, 2016	**234,275**	**725,432**	**83,342**	**30,500**	**33,511**	**(674,795)**	**(355)**	***431,910***
Translation differences	(5,722)	(29,834)	(872)	(1,611)	(246)	21,639	(10)	*(16,656)*
Acquisition of a subsidiary (Note 8.1)	4,170	545	7	116	5	-	-	*4,843*
Additions	12,042	17,695	3,895	2,006	67,779	(52,894)	72	*50,595*
Disposals	(3,250)	(3,328)	(240)	(892)	(353)	7,031	139	*(893)*
Transfers	9,333	39,305	1,339	777	(50,757)	3	-	-
Balance at December 31, 2017	**250,848**	**749,815**	**87,471**	**30,896**	**49,939**	**(699,016)**	**(154)**	***469,799***

The balances of this heading at 31 December 2017 and 2016 are the following:

	Thousands of euros					
	31.12.2017			31.12.2016		
	Cost	Amortization and impairment	*Total*	Cost	Amortization and impairment	*Total*
Land and buildings	250,848	(105,307)	*145,541*	234,275	(103,389)	*130,886*
Plant and machinery	749,815	(504,881)	*244,934*	725,432	(486,786)	*238,646*
Other installations, equipment and furniture	87,471	(66,815)	*20,656*	83,342	(63,662)	*19,680*
Other property, plant and equipment	30,896	(22,167)	*8,729*	30,500	(21,313)	*9,187*
Advances and assets under construction	49,939	-	*49,939*	33,511	-	*33,511*
TOTAL	**1,168,969**	**(699,170)**	***469,799***	**1,107,060**	**(675,150)**	***431,910***

In 2017, investments in property, plant and equipment in the Group totalled 103,417 thousand euros. The main projects have been the construction of a new plant to install fibrous production in Cáseda (Spain), improvement of capacity and processes in cellulose, fibrous, plastic and collagen, energy optimisation improvements as well as improving safety conditions in various facilities.

On 3 November 2016, a fire broke out in a spare parts warehouse owned by Naturin Viscofan GmbH in Weinheim, Germany, which affected production for two days and caused the near destruction of the warehouse. Based on the insurance policy taken out, the compensation of 14,200 thousand euros includes the replacement value of the spare parts warehouse, its contents and the associated clearing and cleaning costs. Of the total amount, 3,300 thousand euros had already been collected on account and recorded in the financial statements for 2016.

Details of fully depreciated property, plant, and equipment in use at 31 December 2017 and 2016 are as follows:

	Thousands of euros	
	2017	2016
Buildings	37,677	34,401
Plant and machinery	348,869	333,715
Other installations, equipment and furniture	51,669	50,296
Other property, plant and equi	14,343	14,004
Fully depreciated property, plant and equipment	**452,558**	**432,416**

The Group's buildings, plant, and equipment were partly financed by government grants of 181 and 78 thousand euros in 2017 and 2016, respectively (Note 16).

The Group has insurance policies covering the various risks to which its items of property, plant, and equipment are exposed. The coverage of these policies is considered sufficient.

Within the framework of the annual investment plan, at year-end 2017 there were commitments to acquire PP&E for 7,000 thousand euros, which was mainly related to the reconstruction of the building that went on fire in Germany and innovation in technological processes.

At year-end 2016 there were commitments to acquire PP&E for the amount of 7,460 thousand euros, which were mainly related to optimising energy use in Mexico and Spain, as well as processes and technological updates.

Finance leases

The Group leases buildings and other items under finance leases as follows:

	Thousands of euros	
	Cost	Amortization
At January 1, 2016	1,154	(433)
Net movement	-	(142)
At December 31, 2016	**1,154**	**(575)**
Net movement (*)	(209)	9
At December 31, 2017	**945**	**(566)**

Details of minimum payments and current finance lease liabilities, by maturity date, are as follows:

	Thousands of euros			
	2017		2016	
	Minimum payments (Note 19)	Interest	Minimum payments (Note 19)	Interest
Up to one year	157	5	182	11
Between one and five years	33	1	160	4
Total	**190**	**6**	**342**	**15**

Operating leases

The Group leases various warehouses and other PP&E items in various countries. The minimum future payments on these contracts, by nature of the fixed assets, at 31 December are as follows:

	Thousands of euros			
Year 2017	Up to one year	Between one and five years	More than five years	*Total*
Buildings	1,028	1,716	241	*2,985*
Machinery and other equipment	969	1,995	43	*3,007*
Vehicles	842	779	-	*1,621*
Total	**2,839**	**4,490**	**284**	***7,613***

	Thousands of euros			
Year 2016	Hasta un año	Entre uno y cinco años	Más de cinco años	*Total*
Buildings	1,432	1,129	-	*2,561*
Machinery and other equipment	809	2,010	590	*3,409*
Vehicles	842	1,077	-	*1,919*
Total	**3,083**	**4,216**	**590**	***7,889***

Lease-related expenses during the year totalled 6,652 thousand euros (2016: 4,663 thousand euros - Note 5.4).

Impairment test

No evidence of impairment was detected in any of the Group's cash-generating units, as they are generally performing well; therefore, it was not considered necessary to perform any impairment tests.

11. Inventories

Details of inventories at 31 December 2017 and 2016 are as follows:

	Thousands of euros	
	2017	2016
Raw materials and other supplies	62,931	60,038
Semi-finished products	58,730	62,654
Finished products	107,678	93,843
Goods for resale	5,609	9,717
Greenhouse gas emission rights	2,064	2,821
Prepayments to suppliers	1,518	505
Total Inventories	**238,530**	**229,578**

The valuation adjustments in 2017, corresponding to impairment and obsolescence, entailed an income of 139 thousand euros (an expense of 2,600 thousand euros in 2016 and they are recognised under "Consumption of raw materials and other consumables" and "Changes in inventory of finished goods and work in progress" on the consolidated income statement and are recognised under "Consumption of raw materials and other consumables" and "Changes in inventory of finished goods and work in progress" on the consolidated income statement.

At 31 December 2017 and 2016, there were no inventories with a reimbursement period greater than 12 months recognised in the consolidated statement of financial position.

The emission rights consumed by the Company during 2017 and 2016 amounted to 250,324 and 240,356 tonnes, respectively.

Group companies have contracted various insurance policies to cover the risk of damage to inventories. The coverage of these policies is considered sufficient.

12. Trade and other receivables

12.1. Trade and other receivables

The breakdown for "Trade and other receivables" at 31 December 2017 and 2016 is as follows:

	Thousands of euros	
	2017	**2016**
Trade receivables	143,673	143,669
Other receivables	3,454	6,168
Advances to employees	343	316
Provisions for bad debts	(3,388)	(2,512)
Total trade and oher receivables	**144,082**	**147,641**

As of December 2016, the "Other non-trade receivables" heading included, among others, 3,300 thousand euros as part of the total amount receivable from the insurance company for damage to a spare parts store fire in Weinheim (Germany) and the estimated compensation for damage and loss of profit caused by a maintenance supplier in connection with the work carried out for Naturin Viscofan GmbH (Note 10). Management considers that the carrying amount of "Trade and other receivables" is similar to its fair value, as its items are recognised at their invoiced amounts, and therefore the effect of discounts is rendered totally immaterial.

At 31 December 2016 and 2016, the age of balances receivable related to sales based on their maturity, including balances which have not yet fallen due, those which have, and those which are totally impaired is the following:

	Thousands of euros					
	Not due	Due not impaired				
		< 30 days	31-60 days	61-90 days	> 90 days	*Total*
2017	125,739	15,094	2,240	259	750	***144,082***
2016	128,732	11,752	1,694	2,062	3,401	***147,641***

The Group has credit insurance contracts which cover the collection of the greater portion of its customer balances.

The movement in provisions for irrecoverable debt from trade receivables and other receivables is as follows:

	Thousands of euros	
	2017	2016
Balance at January 1,	**(2,512)**	**(2,193)**
Translation differences	80	(11)
Amounts provisioned	(1,570)	(876)
Amounts applied	614	568
Balance at December 31,	**(3,388)**	**(2,512)**

Trade receivables do not carry interest, and generally payment conditions range from 45 to 90 days.

The breakdown by currency for "Trade and other receivables" is as follows:

	Thousands of euros							
	Euros	US dollars	Czeck crown	Brazilian real	Mexican peso	Chinese yuan	Others	*Total carrying amount*
2017	54,452	62,021	20	17,061	495	7,151	2,882	***144,082***
2016	52,212	63,648	299	19,074	908	8,777	2,723	***147,641***

12.2. Receivables from public administrations

At 31 December 2017 and 2016, balances receivable from public administrations are as follows:

	Thousands of euros	
	2017	2016
VAT receivable form the Treasury	22,598	23,765
Withholdings and peyments on account receivable from the Treasury	-	2
Other public bodies	1,620	14
Balance at December 31,	**24,218**	**23,781**

A breakdown by currency is as follows:

	Thousands of euros							
	Euros	US dollars	Czeck crown	Brazilian real	Mexican peso	Chinese yuan	Others	*Total carrying amount*
2017	10,847	-	716	5,849	4,824	-	1,982	***24,218***
2016	7,926	14	712	6,172	5,992	413	2,552	***23,781***

13. Current and non-current financial assets

All financial instruments at 31 December 2017 and 2016 are included in level 2: assets and liabilities whose fair value has been determined with technical valuation techniques that use hypotheses observable in the market.

The breakdown at 31 December 2017 and 2016 of current and non-current financial assets not including trade and other receivables is as follows:

	Thousands of euros				
	Loans and receivables	Available-for-sale	Hedges	*Carrying amount*	*Fair value*
Financial investments	7,884	266	-	*8,150*	*8,150*
Cash flow hedges	-	-	322	*322*	*322*
Guarantees and deposits	677	-	-	*677*	*677*
Non-current financial assets	**8,561**	**266**	**322**	***9,149***	***9,149***
Current deposits	-	750	-	*750*	*750*
Guarantees and deposits	40	-	-	*40*	*40*
Cash flow hedges	-	-	2,767	*2,767*	*2,767*
Current financial assets	**40**	**750**	**2,767**	***3,557***	***3,557***
Total at December 31, 2017	**8,601**	**1,016**	**3,089**	***12,706***	***12,706***

	Thousands of euros				
	Loans and receivables	Available-for-sale	Hedges	*Carrying amount*	*Fair value*
Financial investments	9,116	134	-	*9,250*	*9,250*
Cash flow hedges	-	-	2,798	*2,798*	*2,798*
Guarantees and deposits	745	-	-	*745*	*745*
Non-current financial assets	**9,861**	**134**	**2,798**	***12,793***	***12,793***
Current deposits	-	-	-	-	-
Guarantees and deposits	19	-	-	*19*	*19*
Cash flow hedges	-	-	1,441	*1,441*	*1,441*
Current financial assets	**19**	**-**	**1,441**	***1,460***	***1,460***
Total at December 31, 2016	**9,880**	**134**	**4,239**	***14,253***	***14,253***

Financial investments include the balance to be recovered by ICMS (Brazilian VAT equivalent) amounting to 6,439 thousand euros (7,199 thousand euros in 2016). In the state of Sao Paulo, the import ICMS increased 18%, while ICMS charged to sales ranges from 4% to 18%, depending upon the jurisdiction in question. This is the reason for the negative ICMS balance which, the Sao Paulo state's tax authorities only permits recovery through offsetting against other balances generated by the same tax. In this regard, Viscofan do Brasil took steps to enable it to compensate and recover them within an estimated 2-3 years.

A breakdown of financial instruments by maturity is as follows:

	Thousands of euros						
	Less than 1 year	From 1 to 2 years	From 2 to 3 years	From 3 to 4 years	From 4 to 5 years	More than 5 years	*Total*
Cash flow hedges	2,767	322	-	-	-	-	*3,089*
Other financial assets	790	7,065	157	82	63	1,460	*9,617*
Total at December 31, 2017	**3,557**	**7,387**	**157**	**82**	**63**	**1,460**	***12,706***

	Thousands of euros						
	Less than 1 year	From 1 to 2 years	From 2 to 3 years	From 3 to 4 years	From 4 to 5 years	More than 5 years	*Total*
Cash flow hedges	1,441	2,424	374	-	-	-	*4,239*
Other financial assets	19	3,046	2,691	2,567	469	1,222	*10,014*
Total at December 31, 2016	**1,460**	**5,470**	**3,065**	**2,567**	**469**	**1,222**	***14,253***

A breakdown by currency is as follows:

	Thousands of euros							
	Euros	US dollars	Czeck crown	Brazilian real	Mexican peso	Chinese yuan	Others	*Total carrying amount*
2017	4,974	281	504	6,798	8	135	6	***12,706***
2016	6,059	440	-	7,597	8	144	5	***14,253***

14. Cash and cash equivalents

"Cash and cash equivalents" at December, 31 2017 and 2016 correspond entirely to balances held by the Group in cash and credit accounts, and an account which earns interest at market rates. The Group had no banking overdrafts during the periods, with all its balances freely distributable.

A breakdown by currency is as follows:

	Thousands of euros							
	Euros	US dollars	Czeck crown	Brazilian real	Mexican peso	Chinese yuan	Others	*Total carrying amount*
2017	11,953	5,904	615	1,505	610	4,309	3,247	***28,143***
2016	24,743	9,153	1,612	898	253	4,224	4,171	***45,054***

15. Equity

15.1. Share capital

At 31 December 2017 and 31 December 2016, the parent's share capital consisted of 46,603,682 registered ordinary shares with a par value of 0.70 euros each, fully subscribed and paid in. The shares were fully subscribed and paid in. The total capital value amounts to 32,623 thousand euros.

All shares bear the same voting and dividend rights and obligations, and are listed on the official Stock Exchanges of Madrid, Barcelona, and Bilbao under the automatic quotation system (continuous market). All shares are freely distributable.

At 31 December 2017 and 2016, the parent was aware of the following shareholders with a direct or indirect stake of over 3%:

	% of investment	
	2017	2016
Corporación Financiera Alba, S. A.	11.32	11.02
APG Asset Management N.V.	5.17	5.17
Angustias y Sol, S.L.	5.00	5.00
Norges Bank	4.96	5.25
Marathon Asset Management, LLP.	4.93	4.98

Additionally, in accordance with Article 32 of Royal Decree 1362/2007, of 19 October, on shareholders obliged to notify their residence in tax havens or in countries not requiring the payment of taxes, or with whom there is no effective exchange of tax information, no notification was received at year-end 2017 and 2016.

Capital management

The primary objective of the Viscofan Group's capital management is to safeguard its capital ratios to ensure the continuity of its business and maximize performance.

To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders, increase capital or cancel treasury shares.

The Group monitors capital by analysing trends in its leverage ratio, in line with common practice in Spain. This ratio is calculated as net financial debt divided by total equity. Net financial debt includes total borrowings in the consolidated financial statements less cash and cash equivalents, and excluding current financial assets.

The Viscofan Group's primary objective is to maintain a healthy capital position. The leverage ratios as well as the analysis of net debt, at 31 December 2017 and 2016 were as follows:

	Thousands of euros	
	2017	2016
Cash and cash equivalents	28,143	45,054
Other S.T. financial assets (Note 13)	3,557	1,460
Financial liabilities (Note 19)	(93,722)	(84,986)
Total net financial debt	**(62,022)**	**(38,472)**
Total equity	**(727,681)**	**(708,081)**
Leverage ratio	**8.5%**	**5.4%**

	Thousands of euros	
	2017	2016
Cash and cash equivalents (Note 14)	28,143	45,054
Other financial assets, S.T. (Note 13)	3,557	1,460
Financial debt refundable in one year (Note 19)	(19,386)	(30,120)
Financial debt refundable in more than one year (Note 19)	(74,336)	(54,867)
Net debt	**(62,022)**	**(38,473)**

	Thousands of euros	
	2017	2016
Cash and cash equivalents (Note 14)	28,143	45,054
Other financial assets, S.T. (Note 13)	3,557	1,460
Gross debt at fixed interest rates	(77,811)	(52,095)
Gross debt at variable interest rates (Note 22.4)	(15,911)	(32,892)
Net debt	**(62,022)**	**(38,473)**

The change in net debt, at 31 December 2017 and 2016 is as follows:

	Thousands of euros								
	Liabilities included on cash flows from financing activities								
	Cash and cash equivalents	Other financial assets, S.T.	S.T. Financial debt	L.T. Financial debt	Interest	Assets suppliers	Other financial liabilites, S.T.	Other financial liabilites, L.T.	Total net debt
Saldo inicial al 1 de enero de 2016	**44,453**	**1,214**	**(14,941)**	**(26,130)**	**(136)**	**(5,609)**	**(9,150)**	**(11,487)**	**(21,786)**
Cash flow	156	70	25,361	(26,532)	1,708	80,747	(702)	(1,872)	78,936
Adquisitions and other non-monetary changes	-	103	(20,436)	11,368	(1,754)	(86,568)	(343)	343	(97,287)
Variarion on fair value	-	-	-	-	-	-	2,674	338	3,012
Translation differences	445	73	(1,500)	(853)	1	(201)	730	(42)	(1,347)
Saldo final al 31 de diciembre de 2016	**45,054**	**1,460**	**(11,516)**	**(42,147)**	**(181)**	**(11,631)**	**(6,791)**	**(12,720)**	**(38,472)**
Cash flow	(15,849)	776	11,382	(28,211)	1,836	111,561	1,016	(958)	81,553
Adquisitions and other non-monetary changes	-	-	(6,598)	6,598	(1,892)	(107,163)	(1,782)	1,782	(109,055)
Variarion on fair value	-	1,310	-	-	-	-	2,859	135	4,304
Translation differences	(1,062)	11	389	1,081	9	(846)	(38)	104	(352)
Saldo final al 31 de diciembre de 2017	**28,143**	**3,557**	**(6,343)**	**(62,679)**	**(228)**	**(8,079)**	**(4,736)**	**(11,657)**	**(62,022)**

15.2. Share premium

The revised text of the Spanish Corporate Enterprises Act expressly permits companies to use the balance of the share premium account to increase capital and does not place any limit on the amount of the balance which may be used for this purpose.

15.3. Reserves

The movement is as follows:

	Thousands of euros
Balance at January 1, 2016	***536,278***
Actuarial gain (losses)	*(1,678)*
Apropiation of prior year results	*57,573*
Balance at December 31, 2016	***592,173***
Actuarial gain (losses)	*425*
Apropiation of prior year results	*57,975*
Balance at December 31, 2017	***650,573***

(a) Legal reserves

In accordance with the Spanish Corporate Enterprises Act, companies registered in Spain are obliged to transfer 10% of the profits for the year to a legal reserve until it reaches an amount of at least an amount equivalent to 20% of share capital. This reserve is not distributable to shareholders and its value at 31 December 2017 and 2016 amounts to 2,935 thousand euros.

(b) Revaluation reserve

The parent opted for the voluntary revaluation of PP&E items as established in the Navarre Regional Law 21/2012 of December 26, on modifying various taxes and other tax measures. The revaluation was carried out with respect to items recorded in the balance sheet for the year ended 31 December 2012, with the resulting reserve, net of 5% tax, amounting to 7,329 thousand euros. The effect of said revaluation was not recognised in the consolidated financial statements of the Group.

Once the inspection period had past, during 2017 the balance may be used to:

- Offset prior years' losses.
- Increase share capital.
- Increase freely distributable reserves once ten years have elapsed from the closing date of the balance sheet for the year in which the revaluation was recognised. However, said balance can only be distributed, directly or indirectly, when the revalued equity items have been fully depreciated, transferred, or derecognised.

Revaluation reserve in accordance with Navarra Regional Law 23/1996, is considered as distributable from 31 December 2006, on to the extent that gains have been realised, that is, when the related assets have been depreciated, disposed of or otherwise written off.

15.4. Unrealised gains/(losses) reserve

Movements in the years ended 31 December 2017 and 2016 were as follows:

	Thousands of euros			
	Interest rate swaps	Exchange rate insurance	Raw material derivatives	*Total*
Balance at January 1, 2016	**(23)**	**(502)**	**(2,336)**	***(2,861)***
Gains/(losses), net of tax effects	-	(806)	3,068	*2,262*
Reclassification of gains to the income statement, net of tax	19	502	2,318	*2,839*
Balance at December 31, 2016	**(4)**	**(806)**	**3,050**	***2,240***
Gains/(losses), net of tax effects	-	274	-	*274*
Reclassification of gains to the income statement, net of tax	4	806	(1,552)	*(742)*
Balance at December 31, 2017	**-**	**274**	**1,498**	***1,772***

15.5. Exchange gains (losses)

The detail of the most significant translation differences by company for the years ended 31 December 2017 and 2016 is as follows:

	Thousands of euros	
	2017	2016
Koteks Viscofan, d.o.o.	(10,781)	(12,570)
Viscofan de México S.R.L. de C.V.	(8,533)	4,547
Viscofan do Brasil, soc. com. e ind. Ltda.	(30,376)	(10,107)
Viscofan Uruguay, S.A.	(14,792)	(5,861)
Rest of Group companies	13,841	6,287
Balance at December 31, 2017	**(50,641)**	**(17,704)**

15.6. Movement in treasury shares

No transactions were carried out with treasury shares in 2017 and 2016.

The shareholders at their ordinary general meeting on 29 April 2013 agreed to renew the authorisation, for the maximum legal period, granted to the Board of Directors to buy and sell Company shares on the stock market at the price quoted on the transaction date, up to the legal maximum number of shares permitted by Article 146 of the revised text of the Corporation Tax Law, and at a minimum price of the nominal value and a maximum 15% greater than the quoted share price in the stock exchange system at the moment of acquisition.

15.7. Appropriation of profit and other remuneration paid to the shareholders

The proposed distribution of income of the parent for 2017, formulated by the Directors of the parent and pending approval by the General Shareholders' Meeting, corresponds to a total remuneration to shareholders of 1.55 euros per share, of which, the distribution of earnings in the form of dividends is 1.54 euros per share and 0.01 euros per share for the premium payment for attending the General Shareholders' Meeting in 2018.

In relation to 2016, the total remuneration for shareholders amounted to a total of 1.45 euros per share. Of the above, the distribution of profit represented a per-share dividend of 1.44 euros and 0.01 euros corresponding to the payment of attendance fees related to the 2017 General Shareholders Meeting. This premium was recognised as an expense for the year.

Parent profits for the year ended 31 December 2016 were distributed as approved by the shareholders at their annual general meeting held on 27 April 2017.

	Thousands of euros	
	Distribution proposal year 2017	Distributed profits year 2016
Dividends	71,770	67,109
Voluntary reserves	18,360	3,602
Distributable profits attributable to the parent	**90,130**	**70,711**

On 23 November 2017, based on projected profit for the year, the Board of Directors approved an interim dividend for 2017 of 28,894 thousand euros, equal to 0.62 euros per share. This dividend was paid on 21 December 2017. The amount of the dividend is less than the maximum limit permitted by prevailing legislation on distributable profit after the previous year end.

The statement required by current legislation and prepared by the parent's Board of Directors in respect of the distribution of the interim dividend for 2017 is as follows:

	Miles de euros
Cash available at 22.11.2017	**15,430**
Trade and other receivables	211,384
Other income	-
Trade and other payables	(133,692)
Payments to employees	(49,992)
Interest expense	(1,005)
Other payments	(6,300)
Cash flow from operating activities	**20,395**
Dividends received	71,367
Purchases of property, plant and equipment	(29,093)
Cash flow from investment activities	**42,274**
Variations in bank borrowings	2,516
Dividends paid	(72,236)
Cash flows from financing activities	**(69,720)**
Projected liquidity at 22.11.2018	**8,379**

16. Capital grants

The movements under this heading in 2017 and 2016 were as follows:

	Thousands of euros
Balance at January 1, 2016	**3,578**
Translation differences	17
Additions	78
Taken to profit	(672)
Balance at December 31, 2016	**3,001**
Translation differences	(63)
Additions	181
Taken to profit	(637)
Balance at December 31, 2017	**2,482**

The breakdown of capital grants during 2017 and 2016, all related to PP&E items, is as follows:

	Thousands of euros	
	2017	2016
Navarra Regional Government	1,950	2,260
International organizations	532	741
Balance at December 31	**2,482**	**3,001**

17. Current and non-current provisions

Details at 31 December 2016 and 2015 are as follows:

		Thousands of euros	
	Note	2017	2016
Defined benefit	17.1	18,361	19,733
Other employee benefits	17.2	3,277	3,177
Provisions for other litigation	17.3	554	398
Others		43	9
Total non-current provisions		**22,235**	**23,317**
Provisions for warranties/repayments	17.4	1,512	1,865
Provisions for safety in the workplace	17.5	1,664	2,276
Provisions for emission rights	17.6	1,390	1,754
Others		433	783
Total current provisions		**4,999**	**6,678**

17.1. Provisions for defined benefit plans

The Group makes contributions to various different defined benefit plans. The most relevant plans are located in Germany.

Independent actuarial valuations are used for all of them and there are no assets assigned to pension plans.

- Pension plans in Germany

A contribution is made through the Naturin Viscofan GmbH subsidiary for a defined benefit plan consisting of a life pension plan for retired employees. At 31 December 2017, there were 401 employees, 449 retirees, and ex-employees. At 31 December 2016, there were 415 employees and 450 retirees and ex-employees.

The number of the above beneficiaries does not included retirees which, from 2010 and 2013 are paid by the insurance company. The agreement does not imply cutting back or cancelling the policy, as the obligation ultimately lies with Naturin Viscofan GmbH. However, the characteristics of the plan make the value of the assets and liabilities constant for the duration of the contract, so that both the assets and the liabilities offset each other, resulting in a current value of zero for the obligation.

The net obligation corresponding to pension plans amounts to 16,446 thousand euros at 31 December 2017, and 17,577 thousand euros at 31 December 2016.

a) Changes in the present value of the obligations are as follows:

	Thousands of euros					
	Germany		Plans in other countries		*Total*	
	2017	2016	2017	2016	*2017*	*2016*
Obligations at january 1,	**17,577**	**15,027**	**2,156**	**2,151**	***19,733***	***17,178***
Service cost for the current period (Note 5)	324	284	34	37	*358*	*321*
Interest cost	295	356	77	75	*372*	*431*
Payments made	(1,004)	(466)	(217)	(217)	*(1,221)*	*(683)*
Actuarial gains/(losses)	(746)	2,376	104	114	*(642)*	*2,490*
Translations differences	-	-	(239)	(4)	*(239)*	*(4)*
Obligation at December 31,	**16,446**	**17,577**	**1,915**	**2,156**	***18,361***	***19,733***
Amount corresponding to active beneficiaries	*9,381*	*9,767*	*341*	*312*	*9,722*	*10,079*
Amount corresponding to exemployeebeneficiaries	*2,822*	*2,988*	-	-	*2,822*	*2,988*
Amount corresponding to retired beneficiaries	*4,243*	*4,822*	*1,574*	*1,844*	*5,817*	*6,666*

b) The following table provides information relating to the amounts recognised in the consolidated income statement. Current service costs for the period are included in employee benefits expenses.

	Thousands of euros	
	2017	2016
Current service cost	**358**	**321**
Plans in Germany	324	284
Plans in other countries	34	37
Net financial cost	**372**	**431**
Interest expense for German plans	295	356
Interest expense for plans in other countries	77	75
Expense (income) recognized for the year	**730**	**752**

c) The following table provides information relating to the amounts recognised in the consolidated statement of comprehensive income:

	Thousands of euros	
	2017	2016
Actuarial losses and gains of	**642**	**(2,490)**
Arising from changes in demographic assumptions	(26)	(35)
Arising from changes in financial assumptions	669	(2,258)
Arising from experience	(1)	(197)
Tax effect	**(217)**	**812**
Net results recognized in the consolidated statement of comprehensive income	**425**	**(1,678)**

d) The principal actuarial assumptions used in the plans located in Germany are as follows:

	2017	2016
Annual discount rate	1.9%	1.7%
Expected rate of salary increases	2.0%	2.0%
Expected age of retirement for employees	65-67	65-67

The mortality tables used to quantify the defined benefit obligation were those corresponding to Heubeck Richttafeln 2005 G.

Future payments expected for coming periods are shown in the following table:

	Thousands of euros	
	2017	2016
Payable within the next 12 months	331	466
Payable within 1 and 2 years	354	487
Payable within 2 and 3 years	374	497
Payable within 3 and4 years	398	521
Payable within 4 and 5 years	431	548
Payable within 5 and 10 years	2,715	3,294
Payable within more than 10 years	22,082	22,181

The following table shows the sensitivity analysis for each of the main hypotheses on how a possible reasonable change in each hypothesis would affect the obligation at year end:

	Thousands of euros	
	2017	2016
Discount rate		
Increase of 50 basic points	(1,541)	(1,658)
Decrease of 50 basic points	1,773	1,914
Increase in pensions		
Increase of 50 basic points	1,184	1,244
Decrease of 50 basic points	(1,073)	(1,128)
Life expectancy		
Increase of 1 additional year	692	892

The sensitivity analysis is based on a change in one hypothesis while considering the remaining hypotheses as unchanged.

17.2. Other employee benefits and long-term remuneration

The movements at 31 December 2017 and 2016, are as follows:

	Thousands of euros	
	2017	2016
Balance at January 1,	**3,177**	**3,186**
Translation differences	(24)	36
Acquisition of a subsidiary	115	-
Allowances	199	499
Payments	(190)	(544)
Balance at December 31,	**3,277**	**3,177**

Included under this heading are prizes that the subsidiary Naturin Viscofan GmbH has established for its employees. When its employees complete 10 years of service, a payment of 1,000 euros, 25 and 40 years of service (both amounting to 1,000 euros plus the gross monthly salary multiplied by 1.6 and one day of holiday), and, if applicable, 50 years of service (one day of holiday). They are settled with lump sum payments on the date on which the workers complete the relevant years of service.

The hypotheses used for calculating the obligations were the same as those used for the pension plan of the same subsidiary as described in the previous point.

The number of beneficiaries amounts to 401 employees (415 in the previous period), while the obligation amounts to 2,593 and 2,605 thousand euros at 31 December 2017 and 2016, respectively. The beneficiaries received 166 thousand euros in payments during 2017 (2016: 397 thousand euros). The payable amount expected for 2018 totals 148 thousand euros.

recognised service costs and financial expenses for the current period amounted to 137 thousand and 43 thousand euros, respectively (2016: 148 thousand and 154 thousand euros, respectively).

17.3. Provisions for other litigations

The movements at 31 December 2017 and 2016, are as follows:

	Thousands of euros	
	2017	2016
Balance at January 1,	**398**	**353**
Translation differences	(57)	80
Acquisition of a subsidiary	117	-
Allowances	96	-
Payments	-	(35)
Balance at December 31,	**554**	**398**

The provision for other litigation mainly covers claims brought against the Brazilian subsidiary by the Brazilian tax authorities and certain company employees. After seeking appropriate legal counsel, the directors consider that the result of the litigation will not significantly differ from the amounts provisioned at 31 December 2017.

17.4. Provision for guarantees / refunds

A provision is recognised for warranty claims anticipated for products sold during the last year, based on past experience regarding the volume of returns. Most of these costs are expected to be incurred in the following year.

17.5. Safety in the workplace provision

The safety in the workplace provision covers claims brought against the Group by certain employees, most of whom are based in the US, related to workplace accidents. These claims did not arise as a result of a specific incident, but are customary practice in many companies. After seeking appropriate legal counsel, the directors consider that the result of the litigation will not significantly differ from the amounts provisioned at 31 December 2017.

17.6. Emission rights provision

The emission rights provision includes the estimated consumption of emission rights during 2017 and 2016 valued in accordance with the measurement standard described in Note 4.14.

17.7. Contingent assets and liabilities

(a) Contingent liabilities

At year end, there were several legal claims filed against the Brazilian subsidiary totalling 4 million euros (2016: 4.4 million euros). As indicated in Note 17.3, at 31 December 2017, a 0.4 million euro provision was recognised (2016: 0.4 million euros). In the opinion of the Group's legal advisors in Brazil, all those which are not recognised under liabilities are considered to be potential risks, or that possible related amounts cannot be determined at the moment. Based on historic experience, the related amounts of all possible claims are under 5%.

Also, at year-end there were a number of ongoing lawsuits against Griffith Colombia, S.A. Griffith Colombia, S.A. held exclusive sales rights for Viscofan Group's products in Colombia since 2006. As a result of the end of its business relationship in November 2012, Griffith Colombia stopped paying invoices, which were guaranteed by bills of exchange, to two Viscofan Group companies (Viscofan do Brasil Sociedade Comercial e Industrial Ltda. and Viscofan CZ, s.r.o.) amounting to approximately 1.2 million USA dollars, arguing a right to retention because of the indemnity it considered due. The two Group companies concerned have started legal proceedings against Griffith in their respective countries seeking to enforce the bills of exchange. In Brazil, Viscofan do Brasil won its lawsuit and received the amounts owed. In the Czech Republic, a ruling in favour of Viscofan CZ was also issued, in February 2017. However, Griffith does not have any assets in that country allowing the ruling to be enforced. As of the date of this report, no alternative has been found for enforcement. The claims process for terminating the sales relationship started by Griffith in Columbia is still open, with no relevant advances taking place in 2017.

On 15 June 2017, lawsuits were filed against Vector Europe NV and Vector Packaging Europe NV by Bellota de Encino BVBA ("Bellota") seeking compensation and damages for the termination of their respective management agreements. Vector Europe NV and Vector Packaging Europe NV reject the claims, arguing, among other things, that the nature and quality of the services effectively provided did not match what was established in the agreements and that the calculation of the compensation was incorrect. A ruling is pending and the risk of some of Bellota de Encino BVBA's claims being accepted is probable. However, the court's stance on the pleas submitted by Vector Europe NV and Vector Packaging Europe NV is uncertain. The companies have set aside provisions covering a portion of the amounts claimed, so the proceedings are unlikely to have a significant affect.

Berkes Construcción y Montajes, S.A. and Viscofan Uruguay, S.A. have filed lawsuits against each other, combined in a single proceeding, as a result of the agreement for the construction of the plant. Viscofan Uruguay believes there are deficiencies and non-compliance in the works carried out, and has withheld amounts so as to force Berkes to remedy them, while Berkes believes that the deficiencies and non-compliance are insignificant, and that the amounts withheld by Viscofan Uruguay are excessive and claims payments of the amounts. The ruling at first instance accepted Viscofan Uruguay, S.A.'s claims, but determined a smaller amount for the deficiencies and non-compliance by Berkes Construcciones y Montajes, S.A. than claimed. Viscofan Uruguay, S.A. has appealed the ruling, although the difference in the estimated amounts would not have a significant impact on Viscofan Uruguay, S.A.'s financial statements.

(b) Contingent assets

On 5 June 2014, the Murcia Provincial Court notified IAN, S.A.U. of a ruling relating to the appeal filed by Mivisa Envases, S.A. against the first instance sentence of Mercantile Court No. 1 of Murcia, issued in the judicial proceedings initiated by the claim filed by IAN, S.A.U. against Mivisa Envases, S.A. on the grounds that the company was infringing two of its patents that protect the can-opening system known commercially as 'Abre-ras'. The appeal judgment overturned the ruling in the first instance and dismissed the initial claim made by IAN, S.A.U. declaring the second patent ES 22256219 null due to lack of originality and inventiveness. Thus, the ruling found that there was no breach on the part of Mivisa Envases, S.L. and no compensation is due. IAN, S.A.U. filed an extraordinary appeal to the Supreme Court for procedural infraction on 22 September 2014. On 3 May 2017, the Supreme Court ruled in favour of Industrias Alimentarias de Navarra, S.A.U. (IANSA) and against Mivisa Envases, S.A. (now Crown Foods España, S.A.) for infringement of a patent that protects the can-opening system known commercially as 'Abre-ras'. As per the contract of sale of Industrias Alimentarias de Navarra, S.A.U., dated 10 March 2015, the compensation resulting from the legal proceedings corresponds to Viscofan, S.A. The enforcement action is ongoing to determine the payment of interest and the date on which Crown Foods España, S.A. effectively ceased the patent infringement. At 31 December Viscofan, S.A. has not collected anything.

Viscofan S.A. filed legal proceedings before the Mercantile Court against Sayer Technologies S.L. for revealing confidential information. The lawsuit is in the evidence phase.

In relation to the regulation of the electricity sector in Spain, Viscofan, S.A. maintained its appeal before the Chamber of the Supreme Court against Royal Decree 413/2014 of 15 July against the ruling of the Directorate General of Energy Policy and Mining on 15 July 2015, which determined the registration of the pre-assigned remuneration of 2,146 MW, requesting the specific remuneration scheme commence from the installation's startup date, or subsidiarily as of 9 November 2014, (the date upon which this should have been resolved). Currently the procedure is pending voting and ruling.

Viscofan S.A. also filed ratifications for the tax returns or self-assessments on the Electricity Production Value corresponding to 2013, 2014, and 2015, as it considered that it violates different European legal precepts and the Spanish constitution.

On 6 June 2017 Viscofan, S.A. filed a lawsuit against its supplier Talleres Ezma, S.A. for defects in products supplied to Viscofan Uruguay, S.A., which also caused quality problems in its collagen casings, amounting to 443,000 euros. The procedure is in the evidence phase and the result is uncertain, although due to the partial acknowledgement of the damages presented by Talleres Ezma, S.A. in its reply, Viscofan, S.A. expects that it will consider its claim and recover part thereof.

18. Trade creditors, other accounts payable and payables to public authorities.

18.1. Trade and other payables

The breakdown of "Trade and other payables" is as follows:

	Thousands of euros	
	2017	2016
Suppliers	28,445	26,039
Amounts owed for services received and other payables	27,474	23,689
Customer advances	2,663	3,799
Remuneration pending payments	13,287	11,913
Balance at December 31,	**71,869**	**65,440**

A breakdown by currency is as follows:

	Thousands of euros							
	Euros	US dollars	Czeck crown	Brazilian real	Mexican peso	Chinese yuan	Others	*Total carrying amount*
2017	35,919	18,028	2,138	4,072	3,368	3,954	4,390	***71,869***
2016	31,389	18,456	2,142	4,205	3,451	2,212	3,585	***65,440***

18.2. Payable to public administrations

The breakdown of this heading is as follows:

	Thousands of euros	
	2017	2016
VAT payable to Treasury	1,299	2,250
Amounts payable to the Treasury for withholdings	6,147	5,416
Payable to social security agencies	2,276	1,781
Other public bodies	1,063	709
Balance at December 31,	**10,785**	**10,156**

A breakdown by currency is as follows:

	Thousands of euros							
	Euros	US dollars	Czeck crown	Brazilian real	Mexican peso	Chinese yuan	Others	*Total carrying amount*
2017	7,495	91	480	631	790	848	450	***10,785***
2016	6,906	8	432	-	2,032	525	253	***10,156***

18.3. Information on late payments to suppliers in Spain in commercial transactions

In accordance with the Third transitory provision "Disclosure requirements" of Law 15/2010 dated 5 July, information the average payment period to Spanish Group suppliers to the Spanish entities included in the consolidated group follows:

	Days	
	2017	2016
Average supplier payment period	25.96	33.57
Ratio of transactions paid	25.96	38.15
Ratio of unpaid transactions	25.95	11.98

	Thousands of euros	
	2017	2016
Total payments made	127,742	129,987
Total unmade payments	10,112	15,430

19. Current and non-current financial liabilities

The breakdown of current and non-current financial liabilities, taking into account discounted contractual maturities at 31 December 2017 and 2016, is as follows:

	Thousands of euros					
	Up to 3 months	3 months to 1 year	1 to 5 years	More than 5 years	*Carrying amount*	*Fair value*
Bank borrowings	2,418	3,768	55,968	6,678	*68,832*	*68,832*
Accrued interest payable	206	22	-	-	*228*	*228*
Finance lease payables	38	119	33	-	*190*	*190*
Derivative financial instruments	3	20	1	-	*24*	*24*
Other financial liabilities	7,363	5,429	8,617	3,039	*24,448*	*24,448*
Total at December 31, 2017	**10,028**	**9,358**	**64,619**	**9,717**	***93,722***	***93,722***

	Thousands of euros					
	Up to 3 months	3 months to 1 year	1 to 5 years	More than 5 years	*Carrying amount*	*Fair value*
Bank borrowings	1,468	9,866	34,287	7,700	*53,321*	*53,321*
Accrued interest payable	124	57	-	-	*181*	*181*
Finance lease payables	55	127	160	-	*342*	*342*
Derivative financial instruments	167	2,667	133	-	*2,967*	*2,967*
Other financial liabilities	11,571	4,017	9,918	2,669	*28,175*	*28,175*
Total at December 31, 2016	**13,385**	**16,734**	**44,498**	**10,369**	***84,986***	***84,986***

All current and non-current financial liabilities are included in Level 2 within the valuation hierarchies: assets and liabilities whose fair value has been determined with technical valuation techniques that use hypotheses observable in the market.

As can be seen in the previous table, the carrying amount of financial liabilities agrees with the fair value as the long-term debt corresponds to financing obtained in recent years under similar conditions to those currently obtainable in the market.

The classification was determined based on actual maturities of balances drawn down from credit lines. Thus, the balance drawn down from credit lines whose annual renewal has already been agreed upon subsequent to year end are included in the 3-month period.

Financial liabilities for bank borrowings bearing interest at floating rates are referenced to Euribor or Libor plus an average spread of 0.744 percentage points (0.65 percentage points in 2016).

The average interest rate on financial liabilities for bank borrowings in 2017 is 1.067% (1.546% in 2016).

As of 31 December 2017, all Libor loans are written off.

"Other financial liabilities" at 31 December 2017, both current and non-current, mainly includes:

- A loan from the parent amounting to 3,333 thousand euros. The nominal amount received from COFIDES (Compañía Española de Financiación del Desarrollo) totalled 5,000 thousand euros. It accrues interest at market rates.
- Loans with interest rates sponsored by entities such as the CTDI and the Ministry of Economy and Competitiveness amounting to 10,211 thousand euros.
- Non-current assets suppliers, amounting to 8,079 thousand euros.

31 December 2016 mainly includes:

- A loan from the parent amounting to 4,167 thousand euros. The nominal amount received from COFIDES (Compañía Española de Financiación del Desarrollo) totalled 5,000 thousand euros. It accrues interest at market rates.
- Loans with interest rates subsidised by entities such as the Government of Navarre, CDTI (Centre for Industrial Technological Development), and the Ministry of Economy and Competitiveness, amounting to 7,973 thousand euros.
- Non-current assets suppliers, amounting to 11,631 thousand euros.

The Group recognizes the implicit interest on these loans using market interest rates.

A breakdown by currency is as follows:

	Thousands of euros							
	Euros	US dollars	Czeck crown	Brazilian real	Mexican peso	Chinese yuan	Others	*Total carrying amount*
2017	80,371	10,091	1,393	-	21	-	1,846	***93,722***
2016	60,794	16,781	2,107	1,283	1,394	-	2,626	***84,985***

The limits, the amount drawn down, and the drawable amount under credit and discount lines, as well as customer invoice advances at December 31 are as follows:

	Thousands of euros	
	2017	2016
Limit	112,009	118,915
Amount draw down	2,993	2,671
Drawable amount	109,016	116,244

The undiscounted value of financial liabilities classified by maturity at 31 December 2017 and 2016 is as follows:

	Thousands of euros						
	Less than 1 year	From 1 to 2 years	From 2 to 3 years	From 3 to 4 years	From 4 to 5 years	More than 5 years	*Total*
Borrowings - debt principal	6,186	22,690	11,440	11,440	10,398	6,678	*68,832*
Interest	820	684	368	229	108	39	*2,248*
Financial liabilities - borrowings	**7,006**	**23,374**	**11,808**	**11,669**	**10,506**	**6,717**	***71,080***
Debt principal	12,948	2,966	2,031	2,302	1,351	3,039	*24,637*
Interest	72	52	37	21	9	11	*202*
Other financial liablities	**13,020**	**3,018**	**2,068**	**2,323**	**1,360**	**3,050**	***24,839***
Total at December 31, 2017	**20,026**	**26,392**	**13,876**	**13,992**	**11,866**	**9,767**	***95,919***

	Thousands of euros						
	Less than 1 year	From 1 to 2 years	From 2 to 3 years	From 3 to 4 years	From 4 to 5 years	More than 5 years	*Total*
Borrowings - debt principal	11,334	4,522	17,422	6,172	6,171	7,700	*53,321*
Interest	1,333	1,050	937	501	347	193	*4,361*
Financial liabilities - borrowings	**12,667**	**5,572**	**18,359**	**6,673**	**6,518**	**7,893**	***57,682***
Debt principal	15,769	3,043	3,070	1,907	2,058	2,669	*28,516*
Interest	713	319	243	166	118	67	*1,626*
Other financial liablities	**16,482**	**3,362**	**3,313**	**2,073**	**2,176**	**2,736**	***30,142***
Total at December 31, 2016	**29,149**	**8,934**	**21,672**	**8,746**	**8,694**	**10,629**	***87,824***

At 31 December 2017, the Group had reverse factoring facilities with a joint limit of 5,600 thousand euros (3,100 as at 31 December 2016), as well as multi-risk policies totalling 8,000 thousand euros, as in December 2016.

20. Derivatives

The breakdown of balances which include the values of derivatives at 31 December 2017 and 2016 is as follows:

	Thousands of euros			
	2017		2016	
	Financial assets	Financial liabilities	Financial assets	Financial liabilities
Exchange rate insurance	4	1	-	133
Raw materials hedges	318	-	2,798	-
L.T. Derivatives	**322**	**1**	**2,798**	**133**
Exchange rate insurance	1,004	23	-	2,828
Interest rate hedges	-	-	2	7
Raw materials hedges	1,763	-	1,439	-
S.T. Derivatives	**2,767**	**23**	**1,441**	**2,835**
Total	**3,089**	**24**	**4,239**	**2,968**

20.1. Raw material hedges

A significant amount of the Group's production costs is linked to energy costs. For this reason, and in order to mitigate the negative effect that variations in energy prices could have on energy prices, in 2016 the parent entered into hedging contracts on the cost of gas for a total of 1,200,000 MWh, covering gas purchases for the period from February 2016 to January 2019, the contracted prices of which range from 1.65 to 2.00 euro cents per kilowatt hour. The amount contracted in 2016 and earlier, for the year 2017, amounts to a total of 575,000 MWh. These contracts were arranged based on the parent's hedging policies, which cover up to 80% of the foreseen gas consumption.

The valuation formula used included, among other variables, Brent forward prices; and there are no significant inefficiencies.

20.2. Exchange rate insurance

Part of the fair value of the exchange rate insurances at year end was recognised as income or expense on the consolidated income statements for 2017 and 2016. The amount recognised directly in the consolidated income statements relates to exchange rate insurances designated as hedges to cover amounts payable or receivable recognised in the consolidated statements of financial position at the exchange rate at year end. No significant inefficiencies were noted in 2017 and 2016 in any derivative financial instruments contracted.

The Viscofan Group uses derivatives to hedge exchange rates in order to mitigate the possible adverse effects that exchange rate fluctuations might have on transactions in currencies other than the functional currency of certain Group companies.

The nominal value of the main exchange rate insurances in effect at 31 December 2017 and 2016, is as follows:

	Thousands of euros	
	2017	2016
US dollar	51,700	71,200
Pounds sterling	6,600	7,450
Canadian dollar	600	400

20.3. Interest rate hedges

At 31 December 2017 the Group did not have any interest rate swaps. These were 3,200 thousand euros at December 2016, entered into in 3 contracts under which the Group received variable interest rates linked to EURIBOR and LIBOR and in exchange paid fixed interest rates of 1.56% (600 thousand euros for notional amounts), 1.69% (600 thousand euros for notional amounts), and 2,000 euros (600 thousand euros for notional amounts).

21. Income tax

The breakdown for deferred tax assets and liabilities, by type, is as follows:

	Thousands of euros					
	Activos		Pasivos		Neto	
	2017	2016	2017	2016	2017	2016
Non-current assets	4,818	2,536	17,069	19,590	(12,251)	(17,054)
Current assets	7,447	7,228	2,047	1,635	5,400	5,593
Non-current liabilities	4,285	4,508	340	99	3,945	4,409
Current liabilities	922	2,057	1,058	1,487	(136)	570
Total at December 31,	**17,472**	**16,329**	**20,514**	**22,811**	**(3,042)**	**(6,482)**

Deferred tax assets, on current assets, are mainly due to the effect on tax of the elimination of the margin in inventory acquired between Group companies, as well as provisions on inventories that are not tax-deductible in some countries. With respect to the deferred tax asset from non-current assets, this relates mainly to the activation of tax credits for tax losses in Belgium. In addition, deferred tax assets arising from current and non-current tax liabilities relate mainly to provisions at different Group companies that will be used for tax purposes when applied. A large number of the provisions described in Note 17 have led to adjustments in the tax assessment basis in the different countries.

Deferred tax liabilities arising from non-current assets for the years ended 31 December 2017 and 2016, mainly relate to the application of different amortisation rates by certain Group subsidiaries (mostly in the USA) than those used for tax purposes. Also included is the tax effect of net unrealised gains on PP&E items acquired in different business combinations (Germany and Serbia).

The breakdown of changes during the year in recognised deferred tax assets and liabilities arising from temporary differences recognised as income tax expense/(income) on the consolidated statement of recognised income and expense and as "Other income and expenses" on the consolidated comprehensive income statement is as follows:

	Thousands of euros	
	2017	2016
Non-current assets	(5,628)	(1,673)
Current assets	(63)	529
Non-current liabilities	319	959
Current liabilities	1,205	(1,132)
Consolidated income statement	**(4,167)**	**(1,317)**
Non-current assets	825	1,839
Current assets	256	752
Non-current liabilities	145	(1,965)
Current liabilities	(499)	(750)
"Other comprehensive income" on the consolidated statements of comprehensive income	**727**	**(124)**
Total changes in taxes and deferred tax liablities	**(3,440)**	**(1,441)**

The breakdown of deferred taxes charged directly against "Other comprehensive income" on the consolidated income statement is as follows:

	Thousands of euros	
	2017	2016
Actuarial gains/(losses) on pension plans		
Germany	217	(768)
Other countries	-	(44)
Unrealized gains/(losses) on cash flow hedges	(256)	2,063
Changes due to translation differences	766	(1,375)
Charged directly against "Other comprehensive income" on the consolidated income statement	**727**	**(124)**

The major components of income tax expense for the years ended 31 December 2017 and 2016, are as follows:

	Thousands of euros	
	2017	2016
Income tax expense for the year	28.050	31.573
Adjustment to income tax from prior years	(546)	(12)
Current income tax	**27.504**	**31.561**
Origination and reversal of temporaty differences	(4.166)	(1.317)
Deffered income tax	**(4.166)**	**(1.317)**
Tax on income expense	**23.338**	**30.244**

A reconciliation between tax expense/(income) on continued operations and the product of profit before tax multiplied by the tax rate prevailing in Spain on 31 December, is as follows:

	Thousands of euros	
	2017	2016
Profit before tax for the year	**145,357**	**155,255**
28% tax rate	40,700	43,471
Effect of application of tax rates in each country	(5,813)	(5,169)
Deductions generated	(9,056)	(6,399)
Adjustment to income tax from prior years	(546)	(12)
Change rate impact in USA (2017) and SPAIN (2016)	(732)	(28)
Impact of permanent differences	(1,215)	(1,619)
Tax on income expense	**23,338**	**30,244**

During 2016 the Chinese subsidiary Viscofan Technology (Souzhou) Co. Ltd.'s rating was again deemed as "High Tech" for 3 years and therefore its tax rate dropped from 25% to 15%.

Viscofan CZ, s.r.o. obtained investment incentives from the Czech Republic's Ministry of Industry and Commerce which will materialize in deductions in upcoming years. The maximum amount of the deduction is 3.65 million Czech crowns corresponding to investments of up to 16.23 million Czech crowns over the next 9 years. The deduction to be applied each year may not cause the effective corporation tax expense to be less than that from the two preceding years. In 2017 no deductions were applied because the aforementioned requirement was not met (0.73 million euros in 2016). At December 31, incentives pending application in upcoming years amounted to 1.75 million euros.

Koteks Viscofan, d.o.o. may avail itself of a tax incentive which would reduce the corporate income tax quota 83% in tax returns presented until 2021 thanks to investments and the creation of jobs in the Serbian Republic.

In addition, Uruguay's Ministry of Economy and Finance approved in 2012 the exemption from corporation tax for an amount related to the eligible investment, which will be applicable for a period of 25 years. The exemption may not exceed a maximum percentage of net tax revenue (90% in the first half of the 25-year period and thereafter will fall to 10%).

Income tax payable from continued operations was calculated as follows:

	Thousands of euros	
	2017	**2016**
Current tax	28.050	31.573
Withholdings and payments on account	(25.367)	(28.498)
Total at December 31,	**2.683**	**3.075**

This amount is broken down in the consolidated statement of financial position as follows:

	Thousands of euros	
	2017	**2016**
Tax assets receivable	3,834	3,449
Tax liabilities payable	(6,517)	(6,524)
Total at December 31,	**(2,683)**	**(3,075)**

In accordance with current legislation, taxes cannot be considered definitive until they have been inspected by the tax authorities or the inspection period of four years has elapsed. At 31 December 2017, the parent and subsidiaries in Spain are open to inspection of all applicable taxes to which they are liable and for which the corresponding inspection periods have yet to expire. The situation of foreign companies depends on the legislation prevailing in each country.

Due to the different possible interpretations of prevailing legislation, additional liabilities could be identified in the event of inspection. Nonetheless, parent management considers that any additional liabilities that might arise would not have a significant impact on these consolidated financial statements.

22. Risk management

Risk management is controlled by the Group, in keeping with policies approved by the Board of Directors. The *risk control system is described in section E. Risk management and control systems* of the Annual Corporate Governance Report from the parent company, listing those that might affect the achievement of objectives, their materiality in 2016, and response and supervision plans. We will now focus on the financial risks described below.

The Group's activities are exposed to various financial risks: foreign currency, credit, liquidity and interest rate risk in cash flows and fair value. The Group's global risk management program focuses on the uncertainty of financial markets and aims to minimize the potential adverse effects on the Group's profitability. Certain risks are hedged by derivative instruments.

22.1. Exchange rate risk

As the Group operates internationally, it is exposed to variations in exchange rates, particularly the US Dollar. The exchange rate risk arises from future commercial transactions, recognised assets and liabilities and net investments abroad.

The risk management policy of the Group is to cover the net balance between collections and payments in currencies other than the functional currency with the most net risk. Therefore, forward currency contracts were formalised at the time the yearly budget was prepared; EBITDA forecasts were used as the basis for the following year, the degree of exposure, and the degree of risk the Group is willing to assume.

The following table shows the sensitivity of a possible exchange rate variation on net results for the year arising from certain currencies in the countries in which the Group carries out its activities, while maintaining the other variables constant:

Thousands of euros

	2017		2016	
	+ 5%	- 5%	+ 5%	- 5%
US dollar	5,631	(5,094)	3,331	(3,013)
Czech Crown	(1,522)	1,378	(878)	795
Brazilian Real	696	(630)	808	(730)
Chinese Yuan Renmimbi	1,016	(920)	1,761	(1,592)

The following table shows the impact on consolidated equity of changes in the exchange rates of certain currencies of countries where the Group conducts business:

	Thousands of euros			
	2017		2016	
	+ 5%	- 5%	+ 5%	- 5%
US dollar	7,031	(6,360)	6,453	(5,838)
Czech Crown	2,562	(2,317)	2,117	(1,915)
Brazilian Real	4,926	(4,456)	5,455	(4,935)
Chinese Yuan Renmimbi	3,048	(2,757)	5,033	(4,553)

22.2. Credit risk

The Viscofan Group's main financial assets are cash balances, trade and other receivables, and investments, which represent the Group's maximum exposure to credit risk.

The Group's credit risk relates mainly to trade receivables. Amounts reflected on the consolidated balance sheet, net insolvency provisions, estimated based on experiences gleaned from prior years, age, and valuation in the current economic environment. This would be the maximum amount of exposure to this type of risk.

There is no significant concentration of credit risk within the Group; its exposure is spread among a large number of counterparties and customers. No clients or associated group companies represented sales and amounts receivable higher than 10% of total risk.

The Group has a credit policy, with exposure risk managed as part of its normal course of business. Credit evaluation of clients is performed in all cases where amounts exceed a set limit. It is habitual practice of Group companies to partially cover non-payment risk through contracting loan guarantee and sureties covering approximately 90% of each client's debt. For countries at risk, coverage is reduced to 80%. In Countries without insurance coverage, guarantees such as advances and deposits on account are mandatory.

Credit risk arising from liquid funds and derivative financial instruments is limited due to the fact that counterparties are banking institutions with high credit ratings assigned by international agencies.

The Directors consider that during 2017, there were no significant assets which might be impaired as concerns their net realisable value.

22.3. Liquidity risk

The Group has a prudent policy to cover its liquidity risks which is focused on having sufficient cash and marketable securities as well as the ability to draw down sufficient financing through its existing borrowing facilities to settle the market positions of its short-term investments. Given the dynamic nature of its underlying business, the Group aims to be flexible with regard to financing through drawdowns on its contracted credit lines.

The Group adequately monitors each month expected collections and payments to be made in the coming months and analyses any deviations from expected cash flows in the previous month to identify any possible deviations which might affect liquidity.

The following ratios show the level of liquidity at 31 December 2017 and 2016:

	Thousands of euros	
	2017	**2016**
Current asstes	445,091	453,537
Current liabilities	(113,556)	(118,917)
Working capital	**331,535**	**334,620**
Current liabilities	113,556	118,917
% working capital/current liabilities	**291.96%**	**281.39%**
Cash and cash equivalents	28,143	45,054
Available borrowing facilities (Note 19)	109,016	116,244
Cash and available on credit and discount lines	**137,159**	**161,298**
% cash and cash equivalents+available on credit and discount lines/Current liabilities	**120.79%**	**135.64%**

The amounts available on credit and discount lines do not include confirming lines or multi-risk policies which are described in Note 19.

Certain of the Group's non-current loans must meet a series of ratios calculated based on its consolidated financial statements. Lack of compliance represents an increase in finance costs and, depending on the case, represents the early termination of a contract. As of 31 December 2017 and 2016, all the main ratios have been satisfactorily met and neither Viscofan, S. A. nor any of its material subsidiaries were in breach of their financial commitments or any kinds of obligation that could trigger their early redemption.

In 2017 and 2016 there were no defaults or other noncompliance of the principal, interest, or repayments of debts with credit entities. No defaults are foreseen for 2018.

22.4. Interest rate risks in cash flows and fair value

The Group manages interest rate risk by maintaining a balanced portfolio of fixed and floating rate loans and credits. The Group's policy is to hold between 50% and 85% of its loans at a fixed interest rate. To manage it, the Group receives fixed-interest loans. At 31 December 2017, approximately 81% of the Group's loans are remunerated at a fixed interest rate (2016: 70 %).

The Group does not own significant remunerated assets.

At 31 December 2017 and 2016 the structure of financial liabilities subject to interest rate risk once hedges through the derivatives arranged have been taken into account is as follows:

	Thousands of euros	
	2017	2016
Bank borrowings	69.250	53.844
Other financiasl debt with expense	16.369	16.544
Total	**85.619**	**70.388**
Fixed interest rate (*)	69.708	49.127
Variable interest rate	15.911	21.261

(*) Granted loans included

In 2017 and 2016, the floating interest rates on loans are linked to Euribor and Libor dollar.

The Group is likewise exposed to changes in the interest rates used to calculate the pension plan obligations in US and Germany (Note 17.1).

The following table shows the sensitivity of profit (loss) for the year to a possible 1% variation in discount and/or interest rates:

	Thousands of euros			
	2017		2016	
	+ 1%	- 1%	+ 1%	- 1%
Pension plans commitments				
Germany	(164)	176	(166)	160
Plans in other countries	(21)	22	(19)	18
Financial debt				
Euribor	(171)	169	(277)	278
Libor	(16)	16	(34)	25

22.5. Fuel price risk (gas and other oil derivatives)

The Viscofan Group is exposed to variations in Brent prices, which is the main indicator affecting the price of gas and other fuels used in processing its casings.

The Group policy is to set the prices for main fuels through the arrangement of year-long contracts with suppliers, or by using hedging policies (Note 20.1). It thus attempts to mitigate the impact of Brent variations on the consolidated income statement.

The following table reflects the sensitivity to a possible Brent price fluctuation on 10% of operating results.

	Thousands of euros	
	2017	2016
+ 10%	2,614	1,689
- 10%	(2,625)	(1,690)

23. Transactions and balances with related partied

The operations with directors and members of senior management are detailed in Note 24. No material transactions have been carried out with the Company or its group of companies that were outside the ordinary course of business of the company or were not carried out under normal market conditions.

Financial debt includes a 2.50 million euro loan (2016: 3,75 million euros) granted in 2013 by a financial entity linked to Corporación Financiera Alba, S.A., which owns 11.32% of the Company's shares at year-end 2017 (2016: 11.02%). Payments made, including financial expenses, totalled 1,300 thousand euros (2016: 1.328 thousand euros). During 2017 and 2016, no additional services were provided by companies related to the shareholder: All transactions take place in normal market conditions.

24. Information on the Board of Directors of the Parent and Key Group Personnel

Directors compensation is outlined in Article 27 ter of the bylaws and remuneration policies approved by the shareholders during their general meeting.

The breakdown for Board remuneration in 2017 and 2016 is as follows:

	Thousands of euros					
	Salaries	**Fixed remuneration**	**Allowances**	**Variable short-term remuneration**	**Remuneration: seniority and commission**	***Total***
Mr. José Domingo de Ampuero y Osma	362	350	-	147	-	*859*
Mr. Nestor Basterra Larroudé	-	330	33	-	100	*463*
Ms. Agatha Echevarría Canales	-	255	33	-	100	*388*
Mr. José Antonio Canales García	357	-	-	285	-	*642*
Mr. Alejandro Legarda Zaragüeta	-	80	30	-	30	*140*
Mr. Ignacio Marco-Gardoqui Ibáñez	-	80	30	-	65	*175*
Mr. José María Aldecoa Sagastasoloa	-	80	33	-	30	*143*
Mr. Jaime Real de Asúa y Arteche	-	80	33	-	30	*143*
Mr. Juan March de la Lastra	-	80	33	-	20	*133*
Mr. Santiago Domecq Bohórquez	-	80	33	-	30	*143*
Total 2017	**719**	**1,415**	**258**	**432**	**405**	***3,229***

	Thousands of euros					
	Salaries	**Fixed remuneration**	**Allowances**	**Variable short-term remuneration**	**Remuneration: seniority and commission**	***Total***
Mr. José Domingo de Ampuero y Osma	354	350	-	104	-	*808*
Mr. Nestor Basterra Larroudé	-	330	33	-	100	*463*
Ms. Agatha Echevarría Canales	-	255	33	-	100	*388*
Mr. José Antonio Canales García	342	-	-	205	-	*547*
Mr. Alejandro Legarda Zaragüeta	-	80	33	-	35	*148*
Mr. Ignacio Marco-Gardoqui Ibáñez	-	80	33	-	63	*176*
Mr. José María Aldecoa Sagastasoloa	-	80	33	-	30	*143*
Mr. Jaime Real de Asúa y Arteche	-	80	33	-	27	*140*
Mr. Juan March de la Lastra	-	80	30	-	20	*130*
Mr. Santiago Domecq Bohórquez	-	51	21	-	20	*92*
Ms. Laura González Molero	-	29	12	-	-	*41*
Total 2016	**696**	**1,415**	**261**	**309**	**395**	***3,076***

Remuneration paid to Ms. Laura González Molero correspond till the month of April, when she stepped down as member of the parent's Board of Directors, in accordance with the decision made during the General Shareholders' Meeting held on 21 April 2016.

During the same meeting, Mr. Santiago Domecq Bohórquez was appointed Propriety Director in representation of Angustias y Sol, S.L.

The two Executive directors, José Domingo de Ampuero y Osma and José Antonio Canales García earned a variable compensation totalling 432 thousand euros (2016: 309 thousand euros). This was calculated based on EBIDTA, net profit, sales, and share price values which were determined in accordance with the annual plan as well as personal performance.

At 31 December 2017 and 2016, no advances or loans had been granted to the Viscofan Group, nor did the Group have any pension commitments or other non-current savings plans. Likewise, no type of guarantee was granted on behalf of any present or former members of the Board of Directors, related individuals or entities. In addition, no remuneration was based on shares or share options.

During 2017, amounts were paid for insurance premiums covering the civil liability of its directors for damage caused by acts or omissions in their position amounting to 50 thousand euros (51 thousand euros in 2016).

In 2017 and 2016 the members of the Board of Directors and related individuals or entities did not perform any transactions with the Company or with Group companies other than in the ordinary course of business or on terms other than on an arms' length basis.

Viscofan's directors have communicated that insofar as article 229 of the Capital Companies Law is concerned they do not have any conflicts of interest with the Company.

In 2017, all the Group companies had no legal person administrators in any companies

The Viscofan Group has contracts with its two executive directors which include golden parachute clauses. The cancellation of these contracts in certain objective terms not attributable to these board members will entitle them to an indemnification. The average total indemnity payable is two the annual salary, and includes a non-competition condition.

The breakdown of parties holding executive positions during 2017 follows:

Name	Position	Company
Mr. Andrés Díaz	Chief Operations Officer	Viscofan Group
Mr. Armando Ares (*)	Chief IR & Corporate Communications Officer	Viscofan Group
Mr. César Arraiza	Chief Financial Officer & IT	Viscofan Group
Ms. Elena Ciordia (*)	Chief Legal Officer	Viscofan Group
Mr. Gabriel Larrea	Chief Commercial Officer	Viscofan Group
Mr. José Angel Arrarás	R&D and Quality Officer	Viscofan Group
Mr. José Ignacio Recalde	Chief Technology & Diversification Officer	Viscofan Group
Mr. Juan José Rota (*)	Chief Human Resources Officer	Viscofan Group
Mr. Oscar Ponz	Chief Plastic Business Unit Officer	Viscofan Group
Mr. Ricardo Royo	Chief Europe Business Officer	Viscofan Group
Ms. Belén Aldaz (*)	Human Resources Manager	Viscofan, S.A.
Mr. Jesús Calavia (*)	Industrial Manager	Viscofan, S.A.
Ms. Mary Carmen Peña (*)	Financial Manager	Viscofan, S.A.
Mr. Miloslav Kamis	General Manager	Gamex CB s.r.o, Viscofan CZ, s.r.o.
Mr. Iñigo Martinez	General Manager	Koteks Viscofan d.o.o.
Mr. Bertram Trauth	General Manager	Naturin Viscofan GmbH
Mr. Eduardo Aguiñaga	General Manager	Viscofan de México S.R.L. De C.V,
Mr. Luis Bertoli	General Manager	Viscofan do Brasil, soc. com. e ind. Ltda.
Mr. Juan Negri	General Manager	Viscofan Technology (Suzhou) Co. Ltd.
Mr. Angel Maestro	General Manager	Viscofan Uruguay, S.A.
Mr. Domingo González	General Manager	Viscofan USA Inc.

(*) Incorporated in 2017 as senior management to develop and maintain an effective and efficient management system within the strategic design of the organisation.

In 2017, remuneration received by key management personnel totalled 4,161 thousand euros, and does not include any additional payment for pluri-annual complements. During 2016, remuneration amounted to 2,595 thousand euros and did not include any additional payments for multiannual allowances. This amount does not include the abovementioned payments made to José Antonio Canales García and José Domingo de Ampuero y Osma, which is reflected further on.

25. Environmental information

The cost of items related to the Group's environmental projects acquired during 2017 was 51,141 thousand euros (2016: 34,837 thousand euros), with an accumulated amortisation of 28,434 thousand euros (2016: 21,848 thousand euros).

In accordance with the 2013-2020 National Emission Allowance Assignment Plan, and after applying the inter-sectoral adjustment factors outlined in Appendix II to EU Decision 2013/448/EU to non-electricity generators, and the annual 1.74% annual reduction in electricity generators, in accordance with Articles 8 and 9 bis of EC Directive 2003/87/EC, the Group was assigned emission allowances equivalent to 356.915 tones.

The emission rights consumed by the Company during 2017 and 2016 amounted to 250,324 and 240,356 tonnes, respectively.

In 2017, the Group incurred in environmental protection and improvement costs amounting to 3,797 thousand euros. In 2016 this amount totalled 3,598 thousand euros.

The Group arranged civil liability insurance coverage for damages to third parties caused by accidental and unintentional contamination; the insurance coverage refers to any possible risk involved and to date no significant claims in environmental matters have been filed.

The parent's directors do not deem it necessary to make any provisions to cover environmental contingencies and expenses.

26. Audit fees

The auditors of the Group's consolidated Financial Statements, PricewaterhouseCoopers Auditores, S.L. in 2017, and other related companies as defined in the fourteenth additional disposition of legislation governing the reform of the financial system have accrued fees for professional services for the year ended 31 December 2017 as follows:

	Thousands of euros		
	In the parent's Company	In other companies	*Total*
PwC Auditores, S.L.	84	76	*160*
PwC Network	-	405	*405*
Audit services	**84**	**481**	***565***
PwC Auditores, S.L.	4	-	*4*
PwC Network	-	-	-
Other services	**4**	**-**	***4***
Total at December 31, 2017	**88**	**481**	***569***

The financial statements of the parent and the main Group companies for 2016 were audited by Ernst & Young, and earned net fees for professional services as detailed below:

	Thousands of euros		
	In the parent's Company	In other companies	*Total*
Audit services	107	609	*716*
Other related audit services	23	-	*23*
Other services	178	26	*204*
Total at December 31, 2016	**308**	**635**	***943***

Audit services detailed in the above tables include the total fees for services rendered in 2017 and 2016, irrespective of the date of invoice.

27. Subsequent Events

On 15 January 2018, the Court dismissed the appeal filed by Crown Foods España, S.A. against the execution of the Supreme Court ruling for patent infringement and ordered the payment of 8,458 thousand euros corresponding to 15% of the profit obtained from exploiting the patent infringement from 16 July 2006 to 8 January 2013.

As per the contract of sale of Industrias Alimentarias de Navarra, S.A.U., dated 10 March 2015, the result of the litigation is owned by Viscofan S.A. and, therefore, the indemnity corresponds to Viscofan S.A.

The enforcement procedure is in progress with respect to the remaining amounts in dispute.

On 21 February 2018 Transform Pack Inc. was acquired for a value of 2 million US dollars.

In their meeting held on 28 February 2018, the Board of Directors agreed to propose a final dividend payment amounting to 0.92 euros per share on 7 June 2018. Thus, total remuneration for shareholders amounts to 1.55 euros per share, including the interim dividend of 0.62 euros per share paid on 21 December 2017, the abovementioned complementary dividend of 0.92 euros per share, and the per diem payment for attendance at the General Shareholders' Meeting of 0.01 euros per share. This proposal increases total remuneration by 6.9% as compared to the total of 1.45 euros approved for the previous year.

In addition, at the meeting held on 28 February 2018 the Board of Directors agreed to distribute an extraordinary dividend of €0.13 per share to be paid on 22 March 2018, which corresponds to the contribution to 2018 net profit of the one-off gain from the Supreme Court ruling in the action brought by Industrias Alimentarias de Navarra S.A.U. against Mivisa Envases S.A.U. (now Crown Food España S.A.U.) for the infringement of a patent which, according to the sale contract of Industrias Alimentarias de Navarra, S.A.U., belongs to Viscofan S.A.

There are no significant events in addition to those mentioned above, from the year-end until the date of preparation of these annual accounts

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(Free translation from the original in Spanish, in event of discrepancy, the Spanish-language version prevails)

1- LETTER FROM THE CHAIRMAN

In 2017, we carried out the projects defined in our MORE TO BE 2016-2020 strategic plan with a view to transforming our company into an authentic global leader in the casings market. In this very demanding market, we must rapidly respond to the needs of our worldwide customers, providing them with the best guarantees and product quality.

And this is exactly what Viscofan has done throughout 2017: a wide array of projects at all our facilities transforming our company and, most likely, the way we compete in the future.

I would first like to highlight the new plant in Cáseda, which was built in record time. The first metres produced at this plant became a reality in less than 18 months following the board's approval. This significantly complex project concluded satisfactorily with a remarkably low accident rate, one that is much lower than the accident rates in other projects of comparable breadth. While the notable swiftness in this regard is excellent for generating returns on the project, the special care with which it was carried out is nevertheless much more important, since we are dealing with personal safety.

In collagen, we also completed the scheduled extensions in Serbia and China to gain better response times for our customers and buttress a more competitive cost structure.

Some projects, such as the inauguration of the clean room in Germany, entailed the application of our knowledge to other fields. A plant that has all the guarantees for producing collagen for medical use. Being capable of producing at the demanding levels of a medical product is a good demonstration of our technological know-how and the quality that Viscofan can offer with our products. In November 2017, we also inaugurated the hydrolysed collagen plant in Germany for producing nutritional supplements and skin and joint healthcare products.

Viscofan continues making strides in its commitment to sustainability, human rights and the environment as a partner in the United Nations Global Compact. Within this framework regarding the importance of safety and sustainability in our activities, 60% of our manufacturing plants were ISO and OSHA certified for guaranteeing these standards in 2017 and our target for 2018 is to certify 100% of our plants.

Our acquisition of Supralon's European companies in November 2017 shored up our positioning near the top in the world of plastic casings. While substantial margins are not easily secured in such a highly competitive market, there are nevertheless opportunities for growth and product development that could be combined with the business opportunities of other Viscofan technologies.

In 2017, we grew in terms of earnings in line with the market guide to reach a new high water mark despite the worse-than-expected foreign exchange rates. We also met the growth expectations in terms of operating income and EBITDA, though this growth did not translate directly into net profit, which decreased compared to the previous year because of exchange rate differences.

With our impressive team, today Viscofan is a much stronger leader than last year. We are now 4,554 people in 16 countries. We are a diverse mix of cultures sharing a single passion and spirit of nonconformity, continuous improvement, research and innovation, recognised by the market and our collaborators.

An excellent example of this spirit is the 2017 REDFUE (Red Española de Fundaciones Universidad Empresa) award that we received in recognition of our efforts in research and support for research centres and

universities, and in administrating R&D activities in different countries, encouraging us to continue driving this culture through talent and innovation.

A team capable of harnessing and investing in growth projects with the aim of medium- and long-term improvement.

Viscofan boasts a solid balance and operating cash flow generation sufficing to continue improving shareholder remuneration to a total of €1.55 per share for 2017 and has also proposed an extraordinary dividend of 13 cents per share in 2018 against the extraordinary results reported in 2018 resulting from the compensation received from patent infringements.

Viscofan is presently a more agile, more solid, and more effective leader with €75 million in investment projects in 2018 aimed to increase our revenues, EBITDA and net income in conditions of adverse foreign exchange rates and cost inflation. We trust that we will achieve results to continue outpacing the rest of the market and benefit from current and future emerging opportunities for growth in our sector.

On my own behalf and on the behalf of the Board of Directors and the entire Viscofan team, we thank you for your support and trust.

José Domingo de Ampuero y Osma
Chairman

2 - FINANCIAL RESULTS

2A- MAIN HIGHLIGHTS OF THE JANUARY-DECEMBER 2017 RESULTS

In 2017 the casings market posted robust growth in volumes, driven by the emerging regions, highlighting the recovery of the Brazilian market

Against this backdrop, Viscofan has strengthened its leadership position with volume growth across all casing families: cellulose, collagen, fibrous and plastic casings. This performance was largely underpinned by the emerging countries of Latin America, Asia and Eastern Europe, which contrasts with the more modest showing of the developed markets, chiefly in North America, owing to the decline in cellulose casing volumes in the USA.

In 2017, the Viscofan Group carried out a large number of projects under the MORE TO BE 2020 strategic plan, the aim of which is to spearhead the main casings markets strengthening service, cost and technology strategic axis. As a result of this strategic drive, the volume of investment hit a new record high of €107.2 million in 2017.

Particularly noteworthy were the outlay on the construction of the new plant in Cáseda (Spain), which entailed total investment of €56 million, of which €44 million was invested in 2017, and start-up costs of around €2 million to commence trial production in December 2017. This plant features state-of-the-art technology for the production of viscose-based casings, which means customers will benefit from a marked improvement in terms of quantity and quality thanks to product improvements and production efficiency gains. Investment also included €6 million in the installation of the best environmental solutions in the market.

The plant features machinery with new fibrous technology which has already been approved by customers at the start of 2018. We expect fibrous casing customers to experience improved service levels once the Viscofan Group is able to offer a better response to the market thanks to the production of these casings in the two main markets: Europe and North America.

Furthermore, the plant has been designed to accommodate new leading-edge cellulose casing capacity from 2018 in keeping with Viscofan's planned growth strategy for this technology.

Also noteworthy is the investment in collagen technology. In China new machinery has been installed in the Suzhou (China) factory, making it more self-sufficient to supply the Chinese collagen market, the largest in the world for this technology, while in Novi Sad (Serbia) premium quality collagen machinery has been installed to cope with the growth in this technology and improve service to our customers.

At the same time, the Viscofan Group is continuing to progress in plastics technology by carrying out significant operational and commercial investment. In November 2017 the Viscofan Group acquired the Supralon companies in Europe, which dovetail with the activities of the Vector companies in the USA and Europe bought in October 2016. With these acquisitions, the Viscofan Group moves a step closer to achieving leadership of the global plastic casings market in terms of revenues, in line with the goals of the MORE TO BE strategic plan.

In 2017 efficiency gains and production cost savings were achieved at plants in a year marked by hefty investment, which in the short term entails a recruitment drive, commissioning costs associated with the start-up of new operations and higher amortisation and depreciation expenses owing to the larger industrial equipment base.

This backdrop of organic growth and strong investment activity coincided with a highly volatile exchange rate environment, with the euro making strong gains towards the end of the year against the main currencies, in particular vis-a-vis the US$, the BRL and the CNY. This fluctuation caused a significant slowdown in results in the fourth quarter.

Although exchange rates were significantly below those forecast in initial guidance, the results achieved by the Viscofan Group are in line with the objectives set at the start of the year in terms of revenue and EBITDA, while net profit was a little lower due to negative exchange differences.

Net bank debt at the end of 2017 stood at €41.1 million, 0.2 times EBITDA, with robust cash generation which enables the Group to marry the high level of investment in our plants to improve capacity and deliver operational improvements, to take advantage of sector consolidation opportunities such as the acquisition of Supralon and the continued improvement of shareholder remuneration by paying a final dividend of €0.92 per share, for a total of €1.55 per share. This means remuneration is 6.9% higher than in 2016.

2B- CHANGES IN THE SCOPE OF CONSOLIDATION

Supralon:

In November 2017, the Viscofan Group signed a SPA agreement with a group of private investors for the cash purchase of 100% of Supralon International AG, Supralon Verpackungs AG and their subsidiaries. Supralon Produktions und Vertriebs GmbH and Supralon France SARL.

The subsidiaries were included in the Viscofan Group consolidation scope as of December 1, 2017 using the full consolidation method.

Vector:

In October 2016, the Viscofan Group signed a SPA agreement with a group of private investors for the cash purchase of 100% of the shares of Vector USA Inc. and Vector Europe NV, including their subsidiaries in Europe (Vector Packaging Europe NV. and Vector UK Ltd.).

The subsidiaries were included in the Viscofan Group consolidation scope as of November 1, 2016 using the full integration method.

2C- 2017 RESULTS ANALYSIS

Selected figures. Viscofan Group income statement ('000 €)

	Accumulated			
	Jan-Dec' 17	Jan-Dec' 16	*Change*	*Like-for-like (2)*
Revenue	778,136	730,833	6.5%	3.4%
Recurring EBITDA (1)	206,763	201,134	2.8%	2.9%
Recurring EBITDA Margin (1)	*26.6%*	*27.5%*	-0.9 p.p.	-0.1 p.p.
EBITDA	211,235	204,065	3.5%	
EBITDA Margin	*27.1%*	*27.9%*	-0.8 p.p.	
EBIT	154,853	154,366	0.3%	
Net profit	122,019	125,011	-2.4%	

(1) Recurring results: a) In 2017 the figure excludes the positive impact of €4.5 million from the net impact of compensation for the fire in Germany following the deduction of non-recurring stock, clearance and cleaning costs; and the management costs associated with the acquisition of the Supralon companies in Europe, inter alia. b) In 2016 the figure excludes €2.9 million associated with the acquisition of the Vector companies in the US and Europe.

(2) Like-for-like: Like-for-like growth excludes the impact of the variation in exchange rates, the effect of the change in the consolidation scope and the non-recurring gains of the business.

In 2017, Viscofan posted volume growth across all casing families, with this growth accelerating in the final quarter. This growth is being driven by the strong performances in Latin America, Europe and Asia. In North America, conversely, the decline in sales in the United States and the weakness of the dollar continue to take a toll.

In the full year to 31 December 2017, revenue advanced by 6.5% to €778.1 million. Casing sales contributed €734.1 million to this total (+6.2% vs. 2016), and revenue from co-generation sales amounted to €44.1 million in the same period (+11.2% vs. 2016).

In like-for-like terms[1] consolidated revenue advanced 3.4% compared with 2016, with foreign exchange differences reducing consolidated revenue by -0.6 p.p., while changes in the consolidation scope contributed +3.7 p.p. to growth.

The breakdown and geographical performance[2] of revenue in 2017 is as follows:

- Europe and Asia (55.8% of the total): Reported revenue totalled €434.1 million, up 5.6% compared with 2016 and 3.9% in like-for-like terms, boosted by higher sales volumes in both Europe and Asia.
- North America (29.3% of the total): Revenue amounted to €228.1 million, up 4.9% from 2016, helped by the incorporation of Vector. In like-for-like terms, revenue fell by -0.4%.
- Latin America (14.9% of the total): Revenue grew 13.2% in 2017 vs. 2016 to €115.9 million, driven by volume growth in Brazil and other countries in the region. This increase in sales corresponds with like-for-like growth of 9.6% compared with 2016.

Operating expenses

In 2017 the Viscofan Group combined efficiency gains in several factories with intense investment activity, standing out the new plant in Cáseda (Spain), which commenced trial production in December 2017, entailing start-up costs of around €2 million.

Against this backdrop, the performance of the main operating expenses was as follows:

The cost of consumption[3] advanced by 3.9% vs. 2016 to €210.7 million, resulting in a gross margin[4] of 72.9% in 2017 (+0.7 p.p. vs. 2016).

Personnel expenses grew by 9.3% in 2017 compared with 2016 to €184.3 million owing to the inclusion of the workforce of Vector in the United States and Europe and the increase in personnel recruited, most notably in Spain. The average headcount in December 2017 was 4,554 employees, up 4.4% compared with the average in 2016.

In the full year, Other operating expenses advanced 9.5% compared with 2016 to €189.9 million, with energy supply costs growing by 7.4% in 2017 vs. 2016.

EBITDA

EBITDA in 2017 grew by 3.5% vs. 2016 to €211.2 million, driven by the growth in sales volumes and the contribution of Vector.

1 Like-for-like: In comparative terms, like-for-like growth excludes the impact of exchange rate variations, the effect of the change in the consolidation scope (Vector and Supralon) and the non-recurring results of the business.
2 Revenue by origin of sale.
3 Consumption costs = Consumables +/- Changes in inventory of finished goods and work in progress.
4 Gross margin = (Revenue - Consumption costs) / Revenue

In like-for-like terms[3], EBITDA advanced 2.9% compared with 2016, with a like-for-like annual EBITDA margin of 27.4% (-0.1 p.p. vs. 2016), while the exchange rate reduced annual recurring EBITDA growth by -1.8 p.p.

Net profit

Cumulative depreciation costs in 2017 grew by 13.4% vs. 2016 to €56.4 million, chiefly due to the larger tangible asset base following the investment carried out under the current MORE TO BE strategic plan.

As a result, the Group obtained EBIT of €154.9 million in 2017, up 0.3% year-on-year.

In 2017 the net finance loss stood at -€9.5 million owing to the negative exchange differences of -€8.5 million, mainly arising from the balance sheet balances in the Czech Republic, and which compares with the net finance gain of €0.9 million in 2016, when foreign exchange differences were positive totalling +€3.0 million.

Profit before tax amounted to €145.4 million in 2017 while taxes totalled €23.3 million. In 2017 the tax rate stood at 16.1%, lower than the figure of 19.5% in 2016, mainly due to the positive impact of tax reform in the United States, which resulted in a €0.7 million reduction in deferred tax liabilities.

The difference between the theoretical tax rate for 2017 (28%) and the effective tax rate (16.1%) is basically due to the different taxes paid by non-resident subsidiaries in Navarre (Viscofan S.A. tax domicile) which pay tax in all countries in which they operate, applying the corporate (or similar) tax rate in force on profits for the period and tax allowances for investments by various Group subsidiaries.

Finally, Net profit in December 2017 stood at €122.0 million (-2.4% vs. 2016).

Investment

2017 saw a high level of investment as a result of the multiple projects carried out under the MORE TO BE strategic plan. The most notable is the new plant in Cáseda (Spain), which means that since the end of 2017 the Viscofan Group has boasted the most cutting-edge viscose-based casing facility. Machinery for the production of fibrous casings has already been installed in Europe and initial testing is being carried out at the start of 2018 with very positive results.

In 2017 new collagen capacity was also installed and started up in China and Serbia.

Overall, the Viscofan Group invested €107.2 million in 2017. The favourable market conditions and the good results achieved in testing the new installations support the MORE TO BE strategy in continuing investments to strengthen the competitive position of the Viscofan Group.

The breakdown by type of investment in 2017 is as follows:

24% of investment was in capacity and machinery.
51% of investment was in process improvements.
7% of investment was in energy equipment and in plant safety, hygiene and environmental improvements.
Ordinary investments accounted for the remaining 18%.

Dividend

The Board of Directors of the Viscofan Group has agreed to propose to the General Shareholders' Meeting the distribution of a final dividend of 0.92€ per share, with an amount of €42.9 million to be paid out on 7 June 2018.

This means total shareholder remuneration amounts to €1.55 per share, consisting of:

- An interim dividend of 0.62 euros per share paid on December 21, 2017.
- A proposed final dividend of €0.92 per share for approval at the General Shareholders' Meeting,
- and an attendance bonus at the General Meeting of 0.01 euros per share.

The remuneration proposed is 6.9% higher than the total remuneration of €1.45 per share approved last year, implying distribution of a total of €72.2 million, equivalent to 59% of the total Net profit attributed to the Viscofan Group.

Equity

The Group's Equity in 2017 stood at €727.7 million, up 2.8% year-on-year due to the booking of a Net profit of €122.0 million from which is deducted €28.9 million as an interim dividend against 2017 earnings (+8.8% vs. 2016).

Acquisition of treasury shares

At December 31, 2017 the Company owned no treasury shares.

Bank debt

The increase in shareholder remuneration, the stepping-up of the pace of investment projects, and the acquisition of Supralon companies in Europe by €12.0 million, of which €10.5 million have been paid out in cash in 2017, having agreed a deferred payment for the outstanding amount, were largely financed by cash flows from transactions, leaving Net bank debt[5] in December 2017 at €41.1 million compared with €8.8 million at the end of December 2016.

Financial commitments

Based on estimated growth, the Group plans to invest to strengthen its leadership position in the casings market and to continue improving the service it provides, as well as to upgrade its existing industrial equipment and operations. Commitments include new capacity, technological upgrades, process optimisations and environmental, health and safety investments. Accordingly, investment commitments at the end of 2017 amounted to €7.0 million (€7.5 million at the end of 2016).

At 31 December 2017, the Group had buildings and other assets obtained under financial leases whose minimum payments and present value amounted to €0.2 million (€0.4 million at 31 December 2016).

The Group also has various properties and other items of tangible assets under lease arrangements. Future minimum payments for these contracts at 31 December 2017 amounted to €7.6 million (€7.9 million at 31 December 2016).

Outlook for 2018

The first few months of 2018 confirm the trend of growth in market volumes amid increased pressure on production input costs and greater currency weakness. In this environment, the Viscofan Group is continuing to invest in the improvement of its production plants in line with the MORE TO BE strategic plan, with the aims of reducing its cost structure and continuing to improve service and technological development levels. Against this backdrop, the Viscofan Group forecasts growth in revenue of between 4% and 6%, growth in EBITDA of between 2% and 5%, and 2% to 5% in Net Profit, underpinned by

[5] Net bank borrowings = Non-current bank borrowings + Current bank borrowings - Cash and cash equivalents

investment of €75 million (down -30% vs. 2016). The baseline hypothesis for these objectives involves an average exchange rate scenario of 1.25US$/€.

Non-recurring impacts

The breakdown of non-recurring impacts booked in 2017 and 2016 is as follows:

In 2017 it is related with the positive impact of €4.5 million from the net impact of compensation for the fire in Germany following the deduction of non-recurring stock, clearance and cleaning costs; and the management costs associated with the acquisition of the Supralon companies in Europe, among others.

In 2016 the Viscofan Group booked a gain of €4.5 million corresponding to the difference between the cost of business combination and the assignment of the purchase price to the acquired assets of the Vector companies in the US and Europe. In addition, it was booked under "Other operating expenses" the management expenses associated with the acquisition of the Vector companies in the US and Europe amounting to €1.5 million in EBITDA and €1.1 million in Net profit.

3 - NON-FINANCIAL STATEMENT

3A-BASIS OF PREPARATION

Viscofan regards Corporate Responsibility as the way in which it relates to all its stakeholders: shareholders, the market (from suppliers to customers), employees and society.

This commitment stems from the Company's mission to "Meet the world's food industry needs through the ad-hoc meat production and sale of casings which add value to our stakeholders" and is implemented through specific initiatives and monitoring tasks.

Scope:

This non-financial statement covers the period from 1 January to 31 December 2017, for the financial year of the Viscofan Group, consisting of Viscofan S.A. and all subsidiaries except for the companies acquired in November 2017: the Supralon Group, where a homogenisation process is to be performed to bring it into line with the policies and standards of the Viscofan Group.

Legal Basis and Principles:

The preparation of the non-financial statement is based on the European Directive 2014/95/EU on Non-Financial Information, and Royal Decree 18/2017, of 24 December, which transposes such Directive and by means of which the Code of Commerce, the revised text of the Spanish Corporate Enterprises Act approved by Royal Legislative Decree 1/2010, of 2 July, and Act 22/2015, of 20 July, on Auditing of Accounts, are amended as regards to non-financial and diversity information.

Likewise, the non-financial statement has been prepared in accordance with recognised international frameworks, with special emphasis on the United Nations Global Compact, to which Viscofan is a signatory.

3B-MATERIALITY AND RISK MATRIX

In drafting this report we have taken into account the most important identifiable aspects in reflecting the economic, environmental and social impacts of the Group's operations, which may be of great importance or have an effect on the decisions of stakeholders, taking into account their perceived impact and probability of occurrence. On the basis of this analysis we set priorities, making sure that the Group's strategy is consistent with the expectations of all stakeholders.

This materiality analysis takes into account the identification of the main issues addressed in the company's communication with the different stakeholders through the communication channels established to such effect. This information is used to carry out a risk matrix, which helps to perform a follow-up of them and set the mitigation measures thereof. Likewise, each risk is identified according to the strategic axis MORE TO BE in which its impact may have an effect: Service, Technology or Cost.

In 2017, the risk identification and management process was reviewed with the support of an external consultant, and a new tool that facilitates its management has been included. As a result of this study, 35 new key risk indicators (KRI) were included, 26 existing KRI were modified, and 18 KRI were eliminated.

The risks identified as being most critical (having a major expected impact and greater probability of occurrence) are:

- Competitive environment of the sector. Competitors: The strategies of our competitors could affect our position and, therefore, the achievement of our objectives, especially price drops and greater commercial efforts in certain markets.

- Cybersecurity: A cyber-attack is a malicious action that aims to damage the availability of assets, data confidentiality or the integrity of an organisation's information. The risk of an attack is a growing issue, due to the increase in Viscofan's visibility in recent years as sector leader and example of best industry practices, due to greater mobility of our human teams and due to the opening up of our industrial environment to the Internet (remote access to entities and persons outside Viscofan). An organisation that is aware of the risk that exists both inside and out of its perimeter can minimise the likelihood of being attacked.

- Human capital. Innovation and technology development are the key to the Group's strategy, and are based on human capital. For this reason, investment in attracting and talent development is key to prevent their departure.

- Know-how disclosure: Viscofan's products are the result of major technological developments, and know-how is therefore a key element. Leakage of information through social networks is an increasingly frequent factor in the era of technology and therefore has to be considered.

- Exchange rate: It is associated with fluctuations between one currency and another, whereby changes in currency value lead to changes in the valuation of total wealth. Especially due to the fluctuation of the Euro against US$, given the long exposure of the Viscofan Group to the US currency, with a higher percentage of revenue in US$ than that of costs.

- Customer satisfaction: Customer satisfaction is the basis for continuity, stability and loyalty of relationships. It is mainly linked to product quality and to customer-orientation and services provided. Shortcomings in any of these aspects can lead to customer loss.

- Taxation: Multinational presence and the large number of commercial transactions and financial operations is subject to tax regulation in the different countries, which may take back or generate resources for the Group.

- Property damage: The risk of a sudden impairment loss on property and assets due to extraordinary circumstances.

Risks occurred during the year are listed in section E of the Annual Corporate Governance Report.

3C-GENERATED AND DISTRIBUTED MAIN VALUE

The Viscofan Group has identified the principal stakeholders: shareholders, the market (which includes subgroups: customers, suppliers, banks and market agents), employees, and society:

Stakeholder	Concept	Million euro
Customers	Casings, energy sales and other income	785
Banks	Bank debt and financial expenses	13
Economic value generated		**798**

Stakeholder	Concept	Million euro
Suppliers	Raw Materials and services	-412
Suppliers	Capex	-110
Employees	Personnel expenses and others	-158
Society	Direct taxes	-56
Shareholders	Dividends payment	-69
Market	Companies acquisitions	-9
Economic value distributed		**-815**
Cash increase (+) or decrease (-)		**-17**

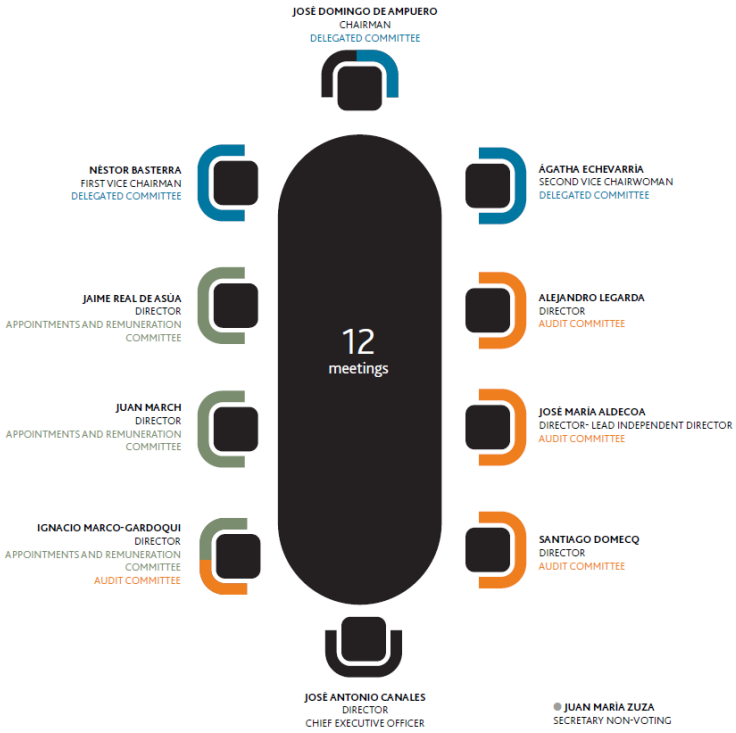
3D-CORPORATE GOVERNANCE

3D1-SHAREHOLDER STRUCTURE

At December 31, 2017 the Parent Company was aware of the following shareholders with a direct or indirect stake of over 3%, in addition to those of the Board of Directors:

	% holding 31/12/2017
Corporación Financiera Alba, S.A.	11,32%
APG Asset Management N.V.	5,17%
Angustias y Sol S.L.	5,00%
Norges Bank	4,96%
Marathon Asset Management, LLP	4,93%
Others Board of Directors	0,86%
Free Float	67,76%

3D2-BOARD OF DIRECTORS



JOSÉ DOMINGO DE AMPUERO

CHAIRMAN
Executive Director
Industrial Engineer from Bilbao's Higher School of Industrial Engineers and Master of Business Administration from the University of Southern California. Los Angeles. USA.

His extensive professional career has led him to hold various important positions, such as Vice-Chairman of Naviera Vizcaína, Chairman of S.A. de Alimentación, Vice-Chairman of BBVA Bancomer (México), Chairman of Bodegas y Bebidas, Vice-Chairman of Banco Bilbao Vizcaya Argentaria S.A., Vice-Chairman of Iberdrola, Chairman of Cementos Lemona S.A. and member of the Board of Directors of the Asociación para el Progreso de la Dirección.

He is currently Chairman of Autopista Vasco-Aragonesa S.A. and director of Corporación Financiera Alba and Tubacex S.A.

Amongst other business activities, he is member of the Basque Business Circle, and its former chairman, member of the Board of Caridad de la Santa y Real Casa de Misericordia of Bilbao, and its former chairman.

He is the Executive Chairman of Viscofan S.A. and of its Delegated Committee.

NÉSTOR BASTERRA

FIRST VICE-CHAIRMAN
External Director
Law degree and Economics graduate from the University of Deusto. He also holds an MBA from IESE.

He has spent most of his professional career working in banking, both internationally and in Spain, as head of the Capital Market and Corporate Banking departments in Bank of America and Banco Santander.

He is currently the Vice-chairman of Iberpapel Gestión S.A. and Board Member of Amistra SGIIC S.A.

He is the First Vice-Chairman of the Board of Directors of Viscofan S.A. and member of its Delegated Committee.

ÁGATHA ECHEVARRÍA

SECOND VICE-CHAIRWOMAN
External Director
Law degree and Business Studies graduate from Universidad Pontificia de Comillas (ICADE).

She has broad professional experience in a number of multi-nationals, including the audit firm Touche and Ross, S.A., British Petroleum España, S.A. and the investment bank Charterhouse Limited in which she was Managing Director and Director of its Spanish subsidiary, and founder and director of D+A Documentación y Análisis S.A.

She has acted as a business strategy adviser to family firms and is currently Director of Papelera Guipuzcoana de Zicuñaga, SA.

She is the Second Vice-Chairwoman of the Board of Directors of Viscofan S.A. and member of its Delegated Committee.

JOSÉ ANTONIO CANALES

GENERAL MANAGING DIRECTOR
Executive Director
Degree in Economics and Business from Deusto Business School, Advanced course of studies in International Transport & Distribution at the London School of Foreign Trade.

He has acquired in-depth knowledge of the casing business as a result of his experience obtained in Viscofan Group, which he joined in 1996 as General Manager of Viscofan do Brazil, leading the expansion of Viscofan Group in South America until his appointment in 2006 as General Manager of Viscofan, S.A. and of the Group of companies of which it is the parent. He continues to hold this position today, from which he has become a key contributor to reinforce Viscofan leadership worldwide and international expansion.

He is a member of the Board of Directors of Maxam Corporation Holding, S.L, and board member representing Viscofan Group in Fundación Cetena (CEMITEC).

He is also a member of the Board of Directors of Asociación Centro Rafaela María de Acción Social, for the integration of people with disabilities in Vizcaya.

In 2014 he joined the Board of Directors of Viscofan S.A. as Executive Director.

ALEJANDRO LEGARDA

Independent Director

Industrial Engineer from the Higher School of Industrial Engineers of San Sebastián. Master in Economics and Business Administration from IESE (Barcelona) and Doctor in Innovation Economics from the Universidad Politécnica de Madrid.

With broad experience in industry, he became General Managing Director of Construcciones y Auxiliar de Ferrocarriles, S.A. (CAF) in 1992 until 2014, and is now a member of its Board of Directors.

He was an Independent Director of Pescanova, S.A. between 2013 and 2017.

Since 2008 he has served as chairman of the Mexican company Ferrocarriles Suburbanos S.A.P.I. de CV, dedicated to the transport of passengers in Mexico City.

From 2017 he is the Chairman of Nortegas S.A., natural gas distribution company in the north of Spain.

He joined the Board of Directors of Viscofan,S.A. as an Independent Director in 2006, and in 2007 became a member of the Audit Committee.

IGNACIO MARCO-GARDOQUI

Independent Director
Economics degree from Deusto University.

Mr. Marco-Gardoqui has a long professional career, he has worked for financial institutions, and his activities have covered teaching, consulting, and the press world, where he has a strong reputation for his active contribution as economic expert and columnist for Vocento Group.

He also has developed wide experience in several industrial companies, belonging to several Boards of Directors. Currently he is Director of Progénika Biopharma, Minerales y Productos Derivados and Tubacex S.A.

Previously, he has been a member, amongst others, of the Board of Directors of Técnicas Reunidas, Banco del Comercio, IBV, Banco de Crédito Local, Schneider Electric España, Iberdrola Ingeniería y Construcción (Iberinco SA) and was chairman of Naturgás.

He is member of the Board of Directors of Viscofan, S.A, Chairman of its Audit Committee and member of the Appointments and Remuneration Committee.

JOSÉ MARÍA ALDECOA

Lead Director
Independent Director
Technical Electronic Engineer from the Polytechnic School of Mondragón. Graduate from the Executive Management Programme at IESE.

Throughout his long professional career, he has held various posts at COPRECI (1971-1982). He was Managing Director of Fagor Electrónica and member of the Board of Directors of Fagor, S. Coop. (1982- 1991).

Between 1984 and 1991, he was Vice-Chairman of ANIEL (National Association of Electronic Industries) and Chairman of the Components Board. He was also member of the Board of Directors of the European Electronic Components Association (EECA) between 1986 and 1991. Between 1992 and 2012, he held various positions at Mondragón Corporación and, in 2007, he was appointed Chairman of the General Board, a position he held until July 2012.

He has a wealth of experience in the international industrial world, especially in Asia, including the creation of Fagor Electrónica in Hong Kong, the integration of the production plants of Orkli, Orbea, Mondragón Automoción in the industrial park of Kunshan (China) and the opening of the industrial park of Pune in India. He has sat on the Board of Directors of various automotive and components companies (Copreci-Czech Republic, Copreci-Mexico, Vitorio Luzuriaga, Fagor Ederlan-Brazil, Paranoa-Cicautxo-Brazil, FPK, Fagor Ederlan Slovakia), and was director (1992-2006) and Chairman (2007-2012) of Mondragón Inversiones.

He was also Chairman of the Engineering Faculty of the University of Mondragón (1998-2002).

He was an independent director and member of the Delegated Committee of Gamesa Corporación Tecnológica, S.A.

He is member of the Board of Directors of Viscofan S.A. and member of its Audit Committee. In 2014 he was appointed as Lead Independent Director.

JAIME REAL DE ASÚA

Independent Director
Industrial engineer, specialising in industrial organisation from the ETSII (Bilbao).

He is currently Non Executive Chairman of the Board of Directors of Elecnor S.A., Chairman of its Executive Committee and member of its Appointments and Remuneration Committee. He is also Chairman of the Infrastructures Committee of Elecnor and Director of Enerfín Enervento S.A., Enerfín Sociedad de Energía, S.L., and Celeo Concesiones e Inversiones, S.L.U., all of which belong to the Elecnor Group. He is also member of the Advisory Board of BBVA for the Northern region.

He has also been Chairman and Director of Adhorna Prefabricación S.A. until its takeover merger by Elecnor in 2015, and Director and secretary of Cantiles XXI, S.L. Furthermore, from 1987 to 2012 he was director of Internacional de Desarrollo Energético, S.A. (IDDE).

At the same time, from 1981 until 2011 he was linked to Grupo Cementos Portland Valderrivas, where he held different management positions and was a member of the Board of Directors of various companies of this Group.

He is member of the Board of Directors of Viscofan, S.A, and Chairman of its Appointments and Remuneration Committee

JUAN MARCH

Nominee Director
Degree in Administration and Business Management from Universidad Carlos III of Madrid.

He has completed the Global Markets Training Program of J. P. Morgan and the Owner/President Management Program of Harvard Business School.

He has developed his professional career at J.P. Morgan, London/Madrid.

He was General Manager and Chairman of March Asset Management SGIIC, Madrid.

He is currently Executive Chairman of Banca March S.A., Vice-Chairman of Corporación Financiera Alba and Board Member of the Juan March Foundation.

Likewise, he was member of the Board of Directors and the Executive Committee of ACS, of the Board of Directors of Acerinox, S.A and of the Strategic Committee of Indra Sistemas, S.A.

Nominee Director of Viscofan, S.A, representing Corporación Financiera Alba S.A. and member of its Appointments and Remuneration Committee.

SANTIAGO DOMECQ

Nominee Director

He has studies at the School of Economic and Business Sciences of Universidad Pontificia Comillas-ICADE (Madrid) and at the School of Economic and Business Sciences of the University of Cádiz (UCA). Specialisation course in Managing Agrifood Companies (DEA) at the International Institute San Telmo (Seville).

Throughout his broad professional experience as a businessman he was, among others, Director of Coca-Cola Iberian Partners, S.L. until 2015, and prior to that, from 1997 Director of Refrescos Envasados del Sur, S.A. (RENDELSUR), company that joined Coca-Cola Iberian Partners S.L. in 2013.

Currently he is Director of Algar Aguas de Cádiz, S.A., Member of the Provincial Board of Cádiz, Member of the Natural Park of Los Alcornocales and Member of the Provincial Environment Council.

He is the Sole Director of Angustias y Sol, S.L and of its group of subsidiary companies operating in the financial, agriculture and livestock sectors, among others.

Nominee Director of Viscofan, representing Angustias y Sol S.L., and member of its Audit Committee

JUAN MARÍA ZUZA

Secretary Non-Director
Law degree from the University of Navarra.

Practising lawyer with his own law office, founded by him, ZUZA ABOGADOS. Working mainly in the area of civil and mercantile private litigation, and qualified in Navarre Local Law. He has been a faculty member of the two law schools, Escuelas de Práctica Jurídica, in Navarre since they were first created.

He is member of the Advisory Board of Civil Local Law of Navarre, appointed by the Lawyers' Associations of the Autonomous Community of Navarre.

He is on the list of arbitrators in Mercantile Law of the Arbitration Court of the Chamber of Commerce and Industry in Navarre and has been Treasurer for the governing committee of the professional association of lawyers (Colegio de Abogados) in Pamplona for ten years.

He also is member of Fundación Universidad-Sociedad and Member of the Guarantees Committee of the School of Legal Sciences of the Public University of Navarre.

He was awarded the Order of Merit in Law Practise by the Plenary of the General Council of Spanish Lawyers. He was also awarded the 2nd Class Distinguished Cross of the Order of St. Raimundo de Peñafort by the Ministry of Justice.

He has experience as a legal advisor to, and member of, many Boards of Directors, particularly in the role of Secretary of the Board.

3D3-ORGANISATIONAL CHART OF THE GROUP

JOSÉ ANTONIO CANALES	General manager Director
CORPORATE MANAGEMENT DIVISION	
ANDRÉS DÍAZ	Chief Operations Officer
JOSÉ ÁNGEL ARRARÁS	R&D and Quality Chief Officer
GABRIEL LARREA	Chief Commercial Officer
CÉSAR ARRAIZA	Chief Financial Officer & IT
ÓSCAR PONZ	Chief Plastic Business Unit Officer
CORPORATE SERVICE DIVISION	
JUAN JOSÉ ROTA	Chief Human Resources Officer
ELENA CIORDIA	Chief Legal Officer
ARMANDO ARES	Chief IR & Corporate Communications Officer
RICARDO ROYO	Chief Europe Business Officer
IÑAKI RECALDE	Chief Technology & Diversification Officer
REGIONAL UNIT MANAGEMENT	
BERTRAM TRAUTH	General Manager Germany
MILOSLAV KAMIS	General Manager Czech Republic
IÑIGO MARTÍNEZ	General Manager Serbia
DOMINGO GONZÁLEZ	General Manager USA
EDUARDO AGUIÑAGA	General Manager Mexico
LUIS BERTOLI	General Manager Brazil
ÁNGEL MAESTRO	General Manager Uruguay
JUAN NEGRI	General Manager China
JESÚS CALAVIA	Industrial Manager Spain
MARY CARMEN PEÑA	Financial Manager Spain
BELÉN ALDAZ	Human Resources Manager Spain

3D4-GOOD GOVERNANCE PRACTICES

General principles of good governance in the Viscofan Group

Viscofan considers that good corporate governance is a key factor for generating value, improving economic efficiency, and bolstering the trust of its shareholders and other stakeholders, thanks to the appropriate segregation of functions, duties, and responsibilities, among all the Company's governing and administrative bodies.

To this end, Viscofan has an unwavering commitment to good corporate governance, understood as the code of ethics of the governing bodies of companies. Its main purpose is to provide a high level of trust to make its business goals and structure compatible with the protection of shareholders' and other stakeholders' interests.

Viscofan's commitment to corporate governance and its ongoing improvement has been a constant feature that has driven to include corporate governance principles and the principal recommendations of such principles, regardless of their scope of application at any given time. Viscofan has progressively strengthened its structure to ensure monitoring of the evolution of the principles of good corporate governance, in Spain and worldwide, and a continuous analysis of such evolution, adapting them to the circumstances of society, to reach the best level of compliance.

Given that Viscofan's actions are global, international good governance principles are monitored and analysed to foster their incorporation when they can contribute to the development of society and its business, with better guarantees for its shareholders.

Governing and supervisory bodies

Viscofan has the following internal bodies that it considers necessary to ensure that everything functions in line with good governance recommendations:

Shareholders and the General Meeting

The General Meeting of Shareholders is the supreme governing body of the Company in which shareholders decide by a majority vote on the affairs within the scope of their authority. The General Meeting of Shareholders is one of the most important moments of corporate life and will shaping. Viscofan has established the principle of "one share, one vote", which promotes equality among all of the company's shareholders.

There is only one class of shares, giving the same rights and obligations to all of the Company's shareholders. There are no restrictions to voting and no limit to the number of votes that can be cast by one single shareholder.

Over recent years, Viscofan has taken a number of steps to facilitate transparency, fluid communications and shareholder involvement. A particularly noteworthy initiative is a bonus for attendance payable to the shares present or represented at the General Meeting of Shareholders that have duly evidenced their attendance or representation thereat, which is recorded in the Policy to encourage shareholders to take part in the General Meeting of Shareholders approved by the Board of Directors.

In 2017, a proposal was submitted again for a bonus per share of €0.01. For the same purpose, Viscofan also grants shareholders the option of remote voting or, where appropriate, of granting proxies electronically, including such delegation, where appropriate, voting instructions.

Likewise, Viscofan published on its website an attendance, proxy appointment or remote voting card to make it easier for shareholders to exercise their rights through its use and a questionnaire to respond to the most commonly asked questions, formal and tangible, directed by its shareholders, depository institutions and other intermediaries on the development of the General Meeting and other items included in the agenda, and it continues to promote continuous dialogue with shareholders, their representatives and advisors through the Investor Relations Department and the Shareholder Desk to ensure access to information that is necessary for them to exercise their rights and take appropriate decisions.

As a result of these measures, at the General Meeting held on April 27, 2017, 79.12% of the company's share capital participated, 80.08% in 2016 and 73.06% in 2015, maintaining the high attendance percentage in the General Meetings of the last 5 years, higher than 73% and above the average for listed companies, which is especially significant taking into account the company's high free-float.

Viscofan publishes on its website information on its annual reports, results and strategic programmes; corporate governance structure, with detailed information of its members. This includes the director class

to which they belong, in the case of nominee directors indicating the shareholder they represent, personal and biographical profile, Directorships held in other companies, date of appointment and number of shares or stakes in the Company, the composition and positions held in Board's committees; Company's internal rules, including codes and policies drawn up voluntarily; information on the General Meetings; and any news, modifications or important events that may occur, both on the Group's activities and on its corporate governance and structure.

As from the notice of the General Meeting of Shareholders, Viscofan includes a link on its website with direct access to all the information related to the General Meeting, including electronic means for the delegation of votes and remote vote, and the card that can be used to exercise such rights, along with a list of questions received on the General Meeting and answer to them.

Likewise, the company places an online forum which aims to facilitate communication among shareholders with reference to the General Meeting, in which they can publish:

- Any supplementary proposals to the agenda announced in the notice of the General Meeting.
- Requests of support for such proposals.
- Initiatives to reach the percentage required to exercise statutory non-controlling shareholder rights.
- Offers or requests to act as a voluntary proxy.

Finally, the shareholders also have a specific e-mail address (info-inv@viscofan.com) and a specific telephone number: +34 948 198 436.

Board of Directors

The Board of Directors is the body in charge of representing and managing the Company. Its chief function is the general supervision of Viscofan S.A., and where applicable, the companies comprising the Group.

The Board of Directors consists of ten directors, of which two are executive, two are nominees, representing the shareholders Corporación Financiera Alba, S.A., and Angustias y Sol S.L., two are external and the other four are independent, thus complying with the most recent recommendations for good corporate governance in that the number of nominee and independent directors should constitute an ample majority on the Board of Directors. The Secretary to the Board is not a Director.

In order to perform the functions with the required rigor and efficiency, the Board of Directors of the Company prepares an annual schedule of meetings of the Board and the various committees, so that the directors can better plan their time and to encourage commitment to, and attendance of meetings. Furthermore, the annual plan includes visits to some of the Group's centres and involvement of the management to better monitor the Group strategy and that of each of its companies. The Board holds regular meetings for which directors receive the information they need well in advance, including, as appropriate, the minutes or reports of the different Board Committees. The Board met on 12 occasions in 2017, and the Board Chairman attended all the meetings. The attendance percentage of the directors was 100%, taking into account that two directors gave voting instructions for two meetings.

Likewise, the Board and its different Committees carry out their annual evaluation, coordinated by the Secretary and conducted by the Lead Director in the case of the Executive Chairman, to whom the Appointments and Remuneration Committee submits its report, where it analyses the formal and material aspects of its activity, the performance of the directors and Chairmen of each of the Committees and that of the Board itself, including any observations that may be useful to improve its work. In 2016 Spencer Stuart, as independent external consultant, was commissioned to assess the Board and its Committees. The result of this assessment was highly satisfactory although actions are still carried out mainly to ensure the participation of directors, encouraging commitment to, and attendance of meetings and providing

them with the tools to thoroughly examine specific aspects of their particular activity and environment of the different production centres and to better monitor the Group strategy and that of each of its companies.

Full information of the Board of Directors is permanently accessible in the "Corporate Governance" section of the Company's website, which also includes individualised information of the category of each of the directors, reviewed every year, once it has been verified by the Appointments and Remuneration Committee, membership in the different Committees, and other relevant details, as referred above in this report. Details of individual remuneration are included in the Remuneration Report presented to the General Meeting for approval in an advisory vote, as part of the application of the remuneration policy approved by the General Meeting.

Board of Directors Committees

The Board has created three committees in support of its functions:

Delegated Committee:

Made up of three Directors, the Chairman and two Vice-Chairmen. This Committee has done a considerable amount of work as the permanent delegation of the Board, helping to closely follow-up on the Group's transactions in different places.

The Delegated Committee met on 10 occasions in 2017. In the exercise of its duties it analysed the issues to be addressed by the Board of Directors and supervised the implementation at the Group's various subsidiaries of the strategy approved by the Board and, with the utmost transparency, submitted to the Board the proposals that arose so that the Board could adopt the resolutions it considered appropriate. It also furnished all Board members with the minutes of its meetings.

It carried out a strategic analysis to study potential growth, both organic and acquisition-led, and a variety of investment possibilities. By means of an example, in 2017 the Board of Directors purchased 100% of the share capital of the Supralon companies in Europe, monitored the investment to build the plant in Cáseda (Spain) where new technology is to be built also in 2018, monitored the investment to increase the collagen capacity of the plants of Suzhou (China) and Koteks (Serbia), with the support of the analyses performed by the Delegated Committee. The Committee looked at the various technological products and families, product development and energy optimisation.

Whenever the Committee considered it appropriate, not only the members of the Committee and Secretary took part in the meetings, but also the Director General Manager and various Senior Managers.

Audit Committee:

The Audit Committee consists of three independent directors and one nominee director appointed by the Board of Directors pursuant to a report by the Appointments and Remunerations Committee, bearing in mind accounting, auditing and risk management knowledge, skills and experience. Its Chairman is the independent director Mr. Ignacio Marco-Gardoqui.

The Audit Committee's tasks include those provided for in the law, highlighting, among others, supervising the preparation and integrity of the financial information of the Company, including the SCIIF review, reviewing, analysing and commenting financial statements and other relevant financial information with Management, internal and external auditors, monitoring the suitability of the control policies and procedures in place, reviewing the internal control and risk-management systems, supervising internal auditing services and verifying that Top Management contemplates its recommendations, proposing external auditors, overseeing their independence, reviewing the audit plan, results of its execution, supervising compliance with internal codes of conduct and good governance guidelines, hearing, and where possible, responding to initiatives, suggestions, or complaints from shareholders in relation to the

committee's scope of action, setting up and overseeing a whistle-blowing mechanism enabling employees to communicate confidentially and, if deemed necessary, anonymously, their concerns regarding possible irregular and potentially significant practices with the company, particularly those relating to accounting, finances and auditing, human rights and corruption.

In 2017 the Audit Committee put forward to the Board of Directors the designation of PricewaterhouseCoopers S.L. as the new Accounts Auditor of Viscofan S.A. and the consolidated Group for 2017, 2018 and 2019.

The Audit Committee met 8 times in 2017, on 2 occasions with the previous external auditors from EY, and on 2 occasions with the current external auditors of PwC. Throughout its relationship with its external auditor, and as one of its obligations, it ensured that the financial statements were presented without reservations or qualifications, and with total independence. Whenever the Audit Committee considered it appropriate, it required the presence of members of the management team, the internal audit and external auditors.

Finally, it informed the Board of Directors of all of its activities, also delivering all the minutes of its sessions to the Board Members, as well as the information related to the risk map and the tax issues.

Appointments and Remuneration Committee:

The Appointments and Remuneration Committee is made up of three directors, all of which are non-executive, appointed by the Board of Directors, and most of them are independent. Its Chairman is the independent director Mr. Jaime Real de Asúa.

This Committee evaluates the qualifications, experience and knowledge required by the Board to define the needs of the candidates to fill each vacancy, proposes the appointment of independent directors and reports on other board members and appointments/removals of senior management, sets a target for the least represented gender and prepares guidelines on how to achieve it, examines and organises the succession of the Chairman and chief executive and proposes to the Board the remuneration policy for Directors and senior management, as well as the remuneration policies covering shares and options, where applicable, and long-term policies for remunerating board members and top executives.

The Appointments and Remuneration Committee met 7 times in 2017 and whenever it considered appropriate, it required the presence of members of the Top Management.

This committee has carried out its functions, both by regulation, and those set out in the Company's Bylaws and Board of Directors Regulations

It reviewed the qualification of directors, it prepared reports for the assessment of executive directors and the assessment of the Committee itself and it headed the assessment of the Board and its committees concerning 2017

It analysed the competencies knowledge and experience required to be a Board member, it requested the presence of the Lead Director in order to learn about the concerns of non-executive directors, it submitted to the Board of Directors the proposals and reports for the re-election or appointment of Directors, whose appointments are proposed to the General Shareholders' Meeting of the Company for approval.

It revised the succession plan of the Chairman, the Director General Manager and Senior Management, and the talent management policy

Concerning remuneration matters, it applied the current remunerations policy approved by the General Board and created the remunerations table for the application of this policy, including the annual

remuneration. It proposed annual retribution and monitored triennial remuneration requirements, both for Directors and Top management, as well as the wage policy for Top Management.

In addition, aiming to present a compensation policy to the Board of Directors for the coming years for submission to the General Shareholders' Meeting to be held in 2018, this Committee was advised by external consultant experts, with the target to keep on adapting to the best practices of remuneration, attraction and retention of talent necessary to contribute to reinforce the leadership of Viscofan in a competitive environment.

The Committee for work-life balance of employees of the Viscofan Group reports to the Appointments and Remuneration Committee.

The composition, functions, organisational and operational rules, as well as the duties assigned to each one of the Board committees are detailed in the internal regulations of the company, described below, and in the Annual Corporate Governance Report. Likewise, upon call notice of the General Meeting of Shareholders, as mentioned above, the annual activities report of the Audit Committee and those of the Appointments and Remunerations Committee, as well as the independent reports of the auditor and third party transactions drafted by the Audit Committee are all published. All information on the Committees, functions, composition and activities, as well as its different reports and the proposal on the Board's remuneration referred to above can be consulted on its website www.viscofan.com.

Internal Regulations in the scope of good governance policy

The internal rules governing the aforementioned bodies, supplemented by the applicable rules to ensure good corporate governance in the Viscofan Group, are available to shareholders and the general public on the Company's website (www.viscofan.com), as well as in compulsory publications and registration, on the website of the CNMV (www.cnmv.es) and the Mercantile Registry of Navarre www.rmbmnavarra.com, respectively.

The internal regulations are principally made up of:

- **Articles of Association:** These are the basic rules governing the Company and all its bodies. The articles set out the main features and operating principles of the General Meeting of Shareholders, the Board of Directors and its committees.

- **Regulations of the General Meeting of Shareholders:** This text lays down the regulations governing the General Meeting of Shareholders to ensure transparency and safeguard shareholders' rights, and their access to Company information. The rules stipulate the formalities of calling, attending, holding and recording General Meetings of Shareholders and of access to prior and General Meeting information by shareholders.

- **Regulations of the Board of Directors:** These set down the principles of action of the Board of Directors, including an appraisal mechanism, and its organisational and operating rules, the standards of conduct of Directors, their duties and the overarching principles that should guide their decisions. They also govern committees existing within the Board of Directors, their organisational and operational rules, and their remit and powers.

- **Code of conduct:** This text lays down the ethical principles and action standards that must be followed by directors, managers and employees of Viscofan Group throughout the development of their professional activity. The general ethical principles included in such Code can be summarised in: Respect and Defence of Human Rights; Sustainability; Integrity, Responsibility and Transparency; Respect and Non-Discrimination; Efficiency; and Loyalty.

Likewise, within the regulatory compliance system, the Viscofan Group has approved and made available to employees on the internal network, action policies in the following areas:

Commercial:

- **Commercial Practices Manual:** The commercial activity has the opportunity and the obligation of providing a reliable picture of the quality and good practices of the Viscofan Group, to all those interlocutors with which we are likely to have a relationship.

  This document notes the guidelines and standards that have to be taken into account throughout the development of a commercial activity within the Viscofan Group. Its aim is to ensure the security of such activity and reduce its risks, by guiding and setting the conduct guidelines that are admitted by the organisation.

- **Policy of Business Courtesies:** Around the world there are generally accepted customs and practices which include awards, gifts or other courtesies as a show of cordiality, fondness and appreciation. However, under the guise of business courtesies, there might be a granting of advantages with the hidden purpose of influencing decisions of one of the parties to the commercial relationship, vitiating it.

  The purpose of the policy of business courtesies of the Viscofan Group is to establish an objective criterion that sets the difference between business courtesies and the eventual granting of advantages with another purpose, as to avoid the latter.

- **Policy to outsource commercial services: distributors, agents and other**: The policy to outsource commercial services is developed due to the growing need of incorporating new control guarantees in business management. An important part of our sales takes place through external business services and, therefore, their correct identification, follow-up and control are required for smooth business operation.

Ensuring Good Governance

- **Risk Control and Management Policy:** The purpose of the Risk Control and Management Policy is to set the basic principles and the general action framework to control and manage risks of all nature faced by the Viscofan Group in order to identify, measure, prevent and mitigate their impact in its activity, in case of any occurrence.

- **Corporate Social Responsibility Policy:** It acknowledges the commitment of the Viscofan Group to developing its activities responsibly, maximising the creation of sustainable and shared value for its stakeholders (shareholders, employees, the market and the society as a whole), identifying, preventing and correcting the possible negative impacts of its actions.

- **Human Rights Policy:** The Viscofan Group aims to highlight its support and contribution to the spreading and respect of Human Rights within its scope of action, with its adherence to the United Nations Global Compact with regard to Human Rights, work, environment, anti-corruption and with the incorporation of the Human Rights Policy and the Global Compact to its internal regulations. By doing so, it emphasises its promotion and compliance, by incorporating the policy to the organisational and compliance control structure of the Group.

- **Communication policy with shareholders, institutional investors and its representatives or advisors:** In order to ensure on-going communication and give certainty to shareholders on the transparency and access to information and pay particular attention to their points of view on corporate governance rules and practices, among others, the Company's Board of Directors

approved a Communication policy with shareholders, institutional investors and their representatives or advisors based on the principles of equality, transparency and legality.

- **Internal Code of Conduct on Matters Relating to the Securities Market:** Rules of conduct to ensure that the institutional and personal acts of the Company Directors and employees strictly comply with current laws and regulations on transparency in the markets and to protect investors' interests.

- **Director selection policy:** The Appointments and Remunerations Committee drafts this policy in order to provide the Board of Directors with candidates that can offer the competencies, knowledge and experience required for the Board at all times, taking account of the vacancies to be covered and the structure and composition of the Board.

- **Policy to encourage shareholders to take part in the General Meeting of Shareholders: attendance fee.** All shareholders may exercise their attendance and participation rights in accordance with objective non-discrimination criteria and, therefore, the application of this policy will benefit all shareholders who comply with such requirements.

Financial resources management

- **Policy on Internal Control of the Financial Information:** Viscofan trades in the Spanish stock market, and therefore the internal control systems of the Viscofan Group need to be able to give reasonable assurance on the financial information that is prepared, showing an accurate, true, correct, complete and homogeneous picture of the economic situation, complying with the applicable legal obligations of Viscofan SA and of each of the companies comprising the Group.

  This policy includes the basic general principles of the Policy on Internal Control of the Financial Information, which shall be further developed in manuals and guidelines.

- **Tax Strategy:** It embodies the principles and basic lines that will govern the tax strategy of the Viscofan Group in accordance with the applicable legislation and with best tax practices, avoiding risks and inefficiencies and ensuring adequate coordination of tax practise in each jurisdiction and its alignment with the long-term business strategy of the Group.

Information management

- **Personal Data Protection Policy:** The protection of natural persons with regard to the processing of personal data is a fundamental right that must be respected.

  The Data Protection Policy establishes the commitment of the Viscofan Group with personal data privacy and protection of all natural persons linked with the Viscofan Group. The purpose of the Personal Data Protection Policy is to ensure personal data protection, setting the common principles and guidelines for the Viscofan Group in compliance with and adequacy of the applicable legislation.

- **Authorisation Policy on Computer Access and Profiles:** The computer systems and networks of the Viscofan Group form a unit of work and information the protection of which requires the creation of measures that ensure its correct use. Resources management must be performed through authorisations. In the IT area, authorisation access and user permissions are used as a security system to limit and control access to computer systems and networks.

- **Password Policy:** One of the basic principles to ensure security of computer systems and networks within the Viscofan Group, is to regulate and limit their access.

- **Computer Systems and Networks Management Policy:** This document outlines the Computer Systems and Networks Management Policy of the Viscofan Group. The IT departments manage and support the computer systems and networks of the Viscofan Group, to assist the operational processes of the Group and match its objectives and strategies. Its management must ensure availability, and combine both the functionality and operability of systems and networks, and their security.

- **Policy on Audiovisual Information Control:** Viscofan's leadership of the casings sector is greatly underpinned by the development and constant evolution of manufacturing technologies in the different product families. Protecting this technology and its know-how is vital for the company to continue the creation of value in the long-term. This, and the fact that capturing audiovisual means are readily available, requires standardisation in its use through the Policy on Audiovisual Information Control.

Personnel management

- **Policy on Staff Selection and Recruitment:** The activity and the development of the Viscofan Group are largely determined by the effort, work and commitment of the people that make it up. This requires a solid policy on staff selection and recruitment so as to ensure objectivity and qualification of new staff, and the selection of the people who best meet the requirements in each case.

- **Policy on New Recruits' Reception:** The purpose of the reception policy reflected in this document is to ensure an appropriate reception, with an overall and efficient view, to all our new staff members of the Viscofan Group, so as to guarantee their knowledge of the position, duties to be performed and the internal rules and procedures that have to be complied with, and to speed up the adaptation of new employees to the Group.

- **Training Policy:** The aim of the Training Policy is to guarantee that Viscofan Group's employees have all the knowledge and skills necessary for optimum execution of the duties assigned to them, improving or updating their performance.

- **Staff Leave Procedure:** The aim of the Staff Leave Procedure of the Viscofan Group is to establish a smooth and safe process that is able to guarantee business security and continuity due to any person's leave, with the same guarantees and level of confidentiality, and avoiding the loss of other resources.

Production

- **EHS (environment, health & safety) policy:** This is the commitment to undertake industry best practices on this matter, as befits our position and world leading vocation.

- **Basic principles in safety, health and hygiene matters:** The basic principles in safety, health and hygiene matters embody the commitment of the Viscofan Group to implement and follow-up a Prevention Management System to ensure safety, health and hygiene at the facilities of the Viscofan Group, in accordance with the applicable rules in each case and based on the internal requirements set across the Group or in each one of the companies. The main purpose of these principles is prevention, through the performance and implementation of effective actions prior to the materialisation of risks, in order to avoid them, or to reduce their impact if they were to take place.

- **Food Regulation Policy:** Its purpose is to ensure compliance with and adequacy to food regulations that are applicable to the activities and products of the Viscofan Group, identifying the necessary channels for their control, analysis and monitoring.

- **Control procedure instructions in case of product recall:** The purpose of this procedure is to set action recommendations to ensure the quick identification and recall of products that might represent a risk for food safety, in case of crisis, in order to protect consumers, brand image in the market and the interests of the Viscofan Group and its customers.

Travel and expense management

- **Policy on Management of Purchases for Assets and Contracts for Services:** The management of purchases for assets and contracts for services must satisfy the needs of the Viscofan Group as best possible. This policy aims to increase the activity's security and control and reduce its risks, by guiding and setting the conduct guidelines that are admitted by the Group.

- **Policy on Business Expenses**: The international expansion of the Viscofan Group and its commitment to deliver products in the world market result in the need for continuous staff movements and give rise to numerous expenses away from the location of each company, its offices or production plants.

  Such expenses and the requirements that must be met in accordance with the internal regulations and applicable laws have to be regulated in each case, so that they are borne by the different companies of the Group.

- **Code of conduct for trips and stays abroad:** It sets out the action principles and behavioural pattern that must be followed by directors, managers and employees of the Viscofan Group in their trips, travel or stays, both temporary and permanent, in countries other than their country of origin, as a result of their professional relationship with the Viscofan Group.

In order to watch and monitor the adequate implementation and follow up of the regulations, and the management and maintenance of an internal channel for complaints, the Viscofan Group has specific committees:

- **Regulatory Compliance Committee:** The Regulatory Compliance Committee includes among its duties that of overseeing risks specific to the Company in relation to criminal liability or any other breach of Company regulations (internal and external).

- **Ethics Committee:** The Ethics Committee is responsible for opening, on its own account or at the request of a third party, the investigation of any situation that may give rise to a situation of risk for the Viscofan Group, as a result of a breach of the Viscofan Group's internal regulations or any other circumstance. To this end, Viscofan has a channel for complaints that is also accessible to all employees, to communicate any signs that might be seen as a risk, available through Vinsite (internal communication platform for employees of the Viscofan Group), mail or physical mail to the Ethics Committee at Viscofan's head offices in Navarre. In 2017 the Ethics Committee met on 2 occasions and completed the investigation of 2 matters raised.

3E-BUSINESS MODEL

3E1-MISSION, VISION AND VALUES

The Viscofan Group aims to meet food industry needs through the production and sale of customized casings, and to seize the business opportunities that arise from know-how achieved by the company.

Casings play a fundamental role in the production value chain of cold meats, as they contribute to their final appearance and at the same time can provide improvements in productivity and added value to meat processors.

The Viscofan Group has achieved world leadership with a technological proposal and a unique production and commercial presence in the sector.

For 2020 the Viscofan Group has a clear vision: To become a real global leader, "The Casing Company" with the aim of achieving a triple leadership in service, cost and technology in all the meat casing markets where the Viscofan Group is present.

This ambitious vision is executed through the strategic plan MORE TO BE, based on the company's values (service, quality, team work, pioneers and focus on results) and on the non-negotiable ethical principles that arise from fundamental human rights (respect and non-discrimination, responsibility, efficiency, loyalty, integrity and sustainability).

3E2-MARKET ENVIRONMENT

Environment and market

1 - Introduction to the casings market

Casings are soft, cylindrical containers used to keep mixture of stuffed meat, either fresh or processed. Casings can be animal gut or customized.

The Viscofan Group is the world leader in customized casings for the meat sector, also known as artificial casings because traditionally these products have replaced animal gut (mainly bladders and intestines) used by meat processors to stuff the meat.

Men have stuffed meat in animal gut from ancient times, but customized casings originated at the beginning of the 20th century when, due to the difficulties faced in obtaining animal gut, volatility in prices and problems of the cold meat production industry, other alternatives emerged in different countries based on different materials that could be used for sausage and cold meat production as an alternative to animal gut. This change involves a qualitative leap for meat processors, achieving better quality, productivity and food safety standards.

Nowadays meat producers have a wide range of technological alternatives in the production of cold meat, according to production and product specifications, combining a better range of casings with substantial production savings.

The casings market has an estimated value of €4,400 million. Meat processors get to decide whether to use animal gut (approximately half of the market) or customized casings made up of different materials, according to production and product specifications, combining a better range of casings with substantial production savings. As a result, the higher production requirements and meat processors' sophistication, the greater the tendency toward customized casings rather than animal gut.

Production mode of customized vs animal gut casings.

Customized casings can be of natural or synthetic origin:

Customized casings of natural origin

Cellulose: Approximately 11-12% of the total casings market. Cellulose casings are made from natural cellulose. They are used primarily in the manufacture of industrially cooked sausages (frankfurters, Vienna sausages, hot-dogs, etc.).

The casing is generally used only as a cooking mould, and the manufacturer peels it off before sale to the end-consumer.

Using a complex manufacturing process, the cellulose molecules are chemically and mechanically depolymerised and subsequently repolymerised in either cylindrical or tubular form, according to the customer's requirements.

Fibrous: Account for around 5% of the total casings market. They are cellulose casings reinforced with manila hemp, which makes for high strength and highly uniform calibre. Fibrous casings are primarily used for large caliber sausages and slicing meats such as mortadella, ham, pepperoni, etc.

Collagen: Approximately 24-25% of the casings market is represented by casings that use collagen as their raw material. Collagen is obtained from cow and pork hides and processed using sophisticated technology so that it can be shaped into casings.

Collagen casings are of two kinds: small calibre (e.g. fresh sausages, bratwurst etc.) and large calibre (e.g. salami, bierwurst etc.). The key difference between both collagen casings lies in the thickness of the casing wall and the way the collagen is processed to withstand a given degree of stress when filled and holding in the weight of the meat.

Customized casings of synthetic origin

Plastic: Approximately 11-12% of the market. Plastic casings are made from a range of plastic polymers providing barrier properties, mechanical strength, thermal shrinkage, and heat resistance, depending on the application requirements of the product.

2 - Analysis on the growth factors within the casings sector

Throughout history this market has proven to be correlated with population and its growth, the evolution of food consumption habits and the sophistication of meat processors, who may decide to use animal gut or customized casings in their production process. These factors are behind a growth of between 2% and 5%, which is the historic average of the casings market.

In 2017 casings market has once again delivered an average historic growth rhythm thanks to the rebound in volumes in Latin America and the robustness of the Asian and European market, in contrast against the weakened US market.

The above market context suffered a highly volatile currency environment, especially in the second half, driven by the depreciation of the US dollar against the euro.

2.1. Evolution of the population

The world grows in terms of population at a yearly average rate of 1% according to FAO, which expects it to reach 7,700 million people by 2020, 300 million more than now.

Emerging markets are the engine of population growth, in this sense, Asia, Africa and Latin America make up more than 90% of the annual world population growth.

The bigger demographic mass is led by these emerging markets, which steadily grow in importance with regard to the total. In 2017 more than 83% of the population concentrated in these areas.

Population grows in terms of wealth. In this sense, the IMF estimates an annual GDP per capita growth of 4% up to 2020, for an unequal world, with emerging areas below US$ 10 thousand, which set the world average per capita GDP in 2017.

2.2. Eating habits

In today's world the greater need and demand of meat is an undeniable fact. According to FAO growth perspectives for the meat market remain solid. In global terms, world meat demand is estimated to rise at a sustained annual pace of 2%.

By region, in Europe and USA, the largest meat producers in the 20th century, growth in consumption is now moderate. However, emerging areas are leading global growth.

This growth is due to globalisation of eating habits, an increase in the purchasing power of middle classes and population growth in cities, driven also by rural to urban migration. In this sense, approximately 54% of population is concentrated currently in urban centres, a figure which is expected to rise up to 56% in 2020, according to FAO estimates.

2.3 - Technological development and sophistication of meat processors

During recent years, customer demands have evolved significantly. Access to information and diversity of the supply has allowed consumers to enjoy more alternatives when acquiring cold meats and, therefore, also to demand more quality, for example as to food safety and convenience.

But, in turn, meat processors need greater flexibility and customisation to adjust to new preferences and to the dynamism of the environment, which includes volatility of costs of production input, increases in labour costs, requirements on the quality/price bundle imposed by supply chains, regulatory development, globalisation and the size of meat processing companies, which makes faster production increasingly important, with stability in quality parameters, seeking greater automation and lower production waste.

In this sense, the development of customized casings has proven to be a powerful ally in competitiveness, especially in the regions of Europe and North America, where the use of casings is most common, with per capita consumption of €1 per person per year, as against €0.5 of Latam and €0.1 in Asia.

3 – Position of Viscofan in the casings market

In 2017 the Viscofan Group continued to reinforce its leadership position by revenue while improving its value proposal and position in the market. The wide geographical, technological and product range have permitted this performance, which means to be "The Casing Company", the world casings leader, with an estimated market share above 16% and around 32% in the customized casings segment.

GEOGRAPHIC DIVERSITY:

Viscofan has the largest production and commercial presence of the market. Headquartered in Navarre (Spain) and with 17 manufacturing plants across Spain, Germany, Belgium, Czech Republic, Serbia, United States, Mexico, Brazil, Uruguay and China.

Products are distributed to over 100 countries around the world, with a large network of distributors, agents and own commercial offices in Spain, Germany, Belgium, Czech Republic, Serbia, United Kingdom, France, Russia, United States, Mexico, Canada, Brazil, Costa Rica, Thailand and China.

TECHNOLOGY AND PRODUCT DIVERSITY:

Technology diversity makes it possible to offer the market a global solution, being the only one in the sector with proprietary technology in the main available technologies: cellulose, fibrous, plastic and collagen.

This technology diversity makes it possible for the Viscofan Group to offer an extensive product portfolio, adapted to the different needs of customers, and helping them, in turn, to develop their product range of our customers. In this sense, in 2017 almost 55% of casings sales came from customers who buy products from the four main technologies.

3E3-MORE TO BE STRATEGY

In previous strategic periods named Be ONE and Be MORE, the Viscofan Group transformed itself, adjusting to macroeconomic and market environments in order to create long-term value, with a clear focus on developing competitiveness in cost and then improve its technological capacity.

The transformation of the Viscofan Group is not unconnected with the transformation of today's world, which has also affected our customer´s needs, market possibilities and the new world cost and funding structure.

In such a demanding environment, the Viscofan Group bolstered its position of leadership in the sector while continuing to develop the activities included in its MORE TO BE 2016-2020 strategic plan, a natural evolution in the context of the transformation of Viscofan and the environment, focused on leading in all the main casings market in terms of service, cost, and technology.

The current strategy means a step further in the track record that began with the Be ONE (2009-2011) strategic plan. After the acquisitions carried out, this strategic plan decided to restructure operations, perform a management plan to improve economies of scale, which the Viscofan Group didn't have before. This approach made Viscofan become a very efficient company, which gave cost optimisation the greater weight of management.

Once that goal was accomplished, Be MORE (2012-2015) strategic plan committed to greater development. The best technological improvements introduced, without giving up competitive cost advantage, gave us a more global presence in collagen and in other families, enabling us to reach other markets and a new scale.

But if we really want to be a global leader, we have to lead our key markets. In order to reach that, we need to continue progressing in our costs, our technology and, of course, going a step forward in our level of service.

And that is exactly what guided the Viscofan Group towards its new vision: Become an authentic global leader.

This vision means that:

- THE CASING COMPANY puts all its efforts in creating value for SHAREHOLDERS sustainably.
- THE CASING COMPANY is the global leader in all families of meat casings and actively promotes the development of NEW MARKETS.
- THE CASING COMPANY is the preferred option of our CUSTOMERS and desired by competitors.
- THE CASING COMPANY is BENCHMARK of the sector in efficiency and productivity in all its casing technologies.
- THE CASING COMPANY has THE BEST MARKET TEAM, attracts and maintains talent and develops its capacities.
- Ultimately, THE CASING COMPANY leads in SERVICE, COSTS and TECHNOLOGY.

This triple leadership arises with the conviction that a global leader creates value when it is productive for its stakeholders, and at the same time sustainable, in the long term. In order to achieve this, the Viscofan Group performs multiple initiatives that can be grouped in three strategic pillars and throughout all organisational departments:

Service axis:

This axis groups all initiatives aimed at offering solutions to meet needs, and addressable with a greater range of products, greater proximity, better assistance, greater adaptability, etc.

An example of the initiatives aimed at improving the service axis are: the development of new products for the market; the investment on the new plant in Spain, where fibrous technology has been installed in order to better meet the needs of our European customers, among others; and the acquisitions of plastic technologies to have a bigger range of products and greater proximity to the customer.

Technology axis:

Our productive process is based on proprietary technology where know-how of people is essential. This continuous improvement production model is based on Excellence Centres and technology transfer to other centres.

In 2017 the following was carried out: fibrous technology production improvements in North America, acquisition of plastic companies with added-value plastic technology, productive improvements in large calibre collagen technology and tests and investments to implement new technologies in cellulose casings.

Cost axis:

In 2017 steps have been taken to launch projects aimed at improving costs, seeking to save money with the accreditation of new suppliers, improved productivity in plants, most notably the plants of Latin America and Europe, capacity increases that have enabled economies of scale, especially in China, and the development of more efficient technologies in production.

4 – Expected results in 2018

From this angle, we can confidently face 2018, during which we expect to keep seeking growth in our key financial indicators while moving forward with our projects defined for the MORE TO BE 2016-2020 strategic period.

As in the previous strategic plans, the first phase requires intense operating activity. In the "MORE TO BE" plan this higher operating activity is accompanied by new increased investment to continue to improve commitment to the market. If investments in 2017 reached €107 million, in 2018 we expect an investment

volume of around €75 million. From these investments, we can highlight investment expected for the deployment of new technology machinery at the Cáseda plant. Therefore, close to 16% of total investments will be assigned to increase production capacity, 62% to process improvements, 10% to EHS projects to improve environmental, health, and safety matters, and 12% to other recurring investments.

As a result of this commitment, the key position of Viscofan in a market with solid growing perspectives and multiple projects, lead the Group to expect revenue growth of between 4% and 6%, growth in EBITDA of between 2% and 5%, and 2% to 5% in Net Profit. The baseline hypothesis for these objectives involves an average exchange rate scenario of 1.25US$/€.

3E4-COMMERCIAL MANAGEMENT AND SUPPLY CHAIN

Our product range:

Viscofan offers the widest range of casing solutions for cold meat production. Each one of our casings is developed to reduce time and eliminate production stages, allowing substantial saving, and fostering the production of new products and appliances (different cold meats, such as mortadellas, frankfurts, mini-snacks, salamis, etc.).

Viscofan offers customers a Technical Support service, which is a competitive advantage and of great help to customers when deciding, from the wide range of casings, which one is adequate for the needs of each product. This work is especially important because our customers do not increasingly divide by technology, but rather use various technologies for different products, depending on the degree of sophistication of the meat processor.

The position of Viscofan as "The Casing Company" saves costs and facilitates interaction with meat processors, who decide to use technology according to product specifications. In this sense, there are no customers for each technology, but instead total sales to customers buying products in all our technologies is close to 55% of the Group's revenue. This is a growing trend according to the sophistication of meat processors.

Brands

The Viscofan Group carries out its commercial activity through different commercial brands, especially: Viscofan-The Casing Company®, Viscofan Bioengineering®, Naturin®, Vector®, Nanopack-Technology and Packaging®, Supralon® and recently added Collinstant® (in Bioengineering) and Edicurve® and Efidry® (in the area of products).

Quality, service and food safety

The Viscofan Group places the customer at the centre of its operational decisions, continuously trying to provide him with the best value proposition in order to strengthen efficiency and have a greater diversification in the product, while maintaining strict quality and food safety controls.

In this respect, Viscofan has the largest commercial network in the industry and the level of service of its technicians is widely recognised throughout the market. As customized casing experts, we are the only company of the sector offering a global and integrated service to our customers, so we can offer the casing alternative that better suits customer's needs.

In a continuous improvement model, through multidisciplinary teams representing sales, production, and research & development areas, the Viscofan Group identifies the issues that cause most concern to the meat industry and analyses, develops and implements the related improvements.

Maintaining our leadership position in the global market in an environment as dynamic as the current one would be impossible without Viscofan's excellent level of service and diversification; as a result of our presence in 16 countries, serving more than 1,700 customers in 100 different countries.

The Group's global exposure has been recognised in different occasions. Viscofan received, among others, the Aster award to its business life in 2013, granted by ESIC (Business and Marketing School), the Award for a trajectory of Internationalisation was granted to Viscofan by the Business Circle, along with Wharton University of Pennsylvania; and the export award granted by the Chamber of Commerce and Industry of Navarre.

The Supply Chain department has the purpose of improving the service to our customers and optimising working capital. In order to achieve these objectives, initiatives have been launched to improve and standardise management tools in the supply chain in order to comply with the standards set by different customers. The coordination of the different corporate teams has also been enhanced, in an attempt to simplify the number of contacts between the orders and the claims processes, taking advantage of a single scale in the casings market, which helps to speed up management and improve our customer service.

Communication channels with our customers.

Our proposal to create value is supported by a fluid channel of communication and relationship with our customers, mainly through:

1.-Seminar and events organised by Viscofan
2.-Technical Service
3.-Customer Service
4. Active participation in sector trade fairs, especially in the IFFA in Germany, the biggest world fair of the food sector, which takes place every three years in Frankfort, and the last edition of which took place in 2016
5. Visits to customers
6. Local presence of the company itself or through agents and distributors
7. Access to own extranet (Visnet) accessible at www.viscofan.com

Labelling of products and services

The Code of Conduct of the Viscofan Group establishes that "relationships with customers will be based on respect and transparency".

On the basis of this principle, the Viscofan Group provides the specifications of its products and services in the labelling of its products in accordance with the defined labelling process, and complying with the requirements of legal rules on this matter.

Commercial messages fall within principles of transparency and veracity where no subjective comparisons are made nor is information given when it conflicts with third party rights. These action policies extend to all geographical areas where the Viscofan Group has a commercial presence.

In 2017 no cases of non-compliance have been detected with regard to marketing communications, nor have there been any complaints on undue use of labelling information.

Suppliers

The Viscofan Group carries out its activities by transforming raw materials through a physical and chemical complex process to customized casings to meet customers' specifications.

According to the technology used, different materials are required. The most important materials in our production process are high purity cellulose, hides, manila hemp and polyamides, along with auxiliary substances used for chemical transformation.

Each year Viscofan Group allocates value to suppliers of goods and services, and they are essential for casings production. They are expected to be innovative and efficient, and for them to comply with legal and functional requirements, and with the required ethical practices.

To this end, all suppliers of raw materials, packaging and maintenance must approve an internal accreditation procedure comprising an on-site auditing by the quality team of Viscofan, or the completion of a questionnaire. In both cases, among other matters, the following systems are assessed: quality management, food safety management (in the case of suppliers, of raw materials), safety and occupational health management, environmental management and human rights management.

Likewise, within the code of conduct, Viscofan rejects any form of child labour. Similar commitment to the one of our code of ethics is required for suppliers.

In this sense, from 2017 all companies that comprise the Viscofan Group started to fully accredit and examine human rights and environmental issues of new suppliers of raw materials and accreditation is expected to reach 100% for suppliers of raw materials by 2020.

For the production of collagen, the acquisition of animal hide (mainly cows) is required. In Europe this must comply with the European regulations of welfare of animals at the time of slaughter.

Communication channels with our suppliers.

Communication with suppliers is carried out through meetings, attendance to fairs and different contact via telephone and mail.

Commitment with local suppliers.

The activity of Viscofan Group in the countries in which it operates is geared to value creation for all stakeholders, including local suppliers. In this sense, in 2017 74.4% of purchases in all the Group were focused on these suppliers.

Average payment period

In 2015 Law 31/2014 came into force, amending the Spanish Companies Act with a view to improving corporate governance. Under this law, companies unable to present abridged income statements must indicate in their management reports the average supplier payment period, calculated using the criteria approved by the Ministry of Finance and Public Administrations, in accordance with section three of the second final provision of Organic Law 2/2012 of 27 April on Budgetary Stability and Financial Sustainability.

In relation to this reporting requirement, the average payment period of the companies in the Viscofan Group in Spain in 2017 was 26 days (34 days in 2016) lower than the maximum under Spanish law.

The average payment period was calculated in accordance with the Resolution dated 29 January 2016, of the Spanish Accounting and Auditing Institute, on the information to be included in annual financial statements in relation to the average supplier payment period in commercial operations.

Also, note 18.3 of the annual consolidated financial statements shows the information on the average supplier payment period during the year.

Product safety and food hygiene from the supplier to the customer

One of the main purposes of casing is to protect the product that it contains. Processed meat is a basic food product for thousands of millions of people across the world. Viscofan, as leader of this sector, is highly aware of industry requirements to ensure that the production process and the end-product strictly comply with legal specifications and have passed suitable controls to achieve optimal quality and offer customers guaranteed safety and hygiene.

The Company's commitment to quality and food hygiene takes the form of our mandatory processes applied throughout the production process and involve stringent working practices that are audited both internally and externally.

This commitment starts by choosing the raw materials, both main ones (cellulose, collagen skin, manila hemp, polyamides and natural gas) and auxiliary substances, used for the chemical and mechanical transformation of raw materials throughout the productive process.

For such selection, the Viscofan Group sets an accreditation system of suppliers in order to comply with demanding quality, safety and cost requirements, and with the defence and respect of human rights, rejecting child labour. This system enables impartial and objective treatment in the selection processes for suppliers and contractors.

Aware of the strategic importance of an adequate supply of raw materials and services, the Viscofan Group commits with its suppliers and establishes relationships with them based on reciprocal contributions and mutual respect, founded on trust and quality of products and services.

On the other hand, to guarantee at all times the excellence of products and services, ensured for customers and for the final consumer, Viscofan has a product safety and food hygiene system that covers all of these aspects: manufacturing facilities are built to food safety specifications, employees are trained in food hygiene and product safety, raw materials are tested for compliance with specifications previously agreed with certified suppliers, systems are in place to detect defective materials in the production system, pest control is implemented and policies are in place to monitor hazardous substances, personal hygiene and visitors.

These protocols configuring our product safety and quality system are based on the following core principles:

1. **Hazard analysis and critical control point:** Viscofan has a hazard analysis and critical control point (HACCP) system in place. The company formed an inter-disciplinary team that assesses every step of the production process to detect possible hazards (physical, chemical and microbiological pollution, including allergens), identify critical control points, establish relevant controls and take any required corrective action. The system is annually updated in line with any changes in the production process.

2. **Compliance with the applicable laws:** casings manufacturing is becoming more tightly regulated, in the area of food safety, by countries and supranational institutions, making up a growing and constantly changing battery of rules.

   This regulatory framework directly affects the activity of different production plants due to laws in the country of origin and requirements in the receiving countries, and internationally recognised standards.

   Given how complex this situation is, the Patents & Regulatory Affairs Division reinforces the compliance of our products with different food safety regulations. This division's main functions are as follows:

   - Monitoring food industry regulatory frameworks at a national and international level, especially any regulation concerning the casings sector, and ensuring said regulations are adopted and complied with internally.
   - Review regulatory compliance in each of the production plants, coordination and establishment of action plans.
   - Liaising with public agencies and trade associations related with the regulation of matters affecting the food and meat product casings industry.

3. **Product traceability and certification:** Viscofan operates a product traceability system that enables us to identify, at any time and in full detail, the history of every unit and even sub-unit sold, from receipt of raw materials to product use by our customers. In Europe, Viscofan fully implements a food traceability system under Regulation (CE) 178/2002.

4. **Audit and certification:** To ensure that our product safety and food hygiene systems comply with requirements, our production processes are audited internally on a regular basis. Our production facilities are also continuously audited by the health authorities, numerous customers and, as appropriate, certification authorities.

   Viscofan has internationally developed certifications for meat processors to homologate new suppliers and commercialise their products in the main distribution chains around the world:

   - ISO 9001. International quality management systems standard, based on the compliance of requirements on product and service.
   - BRC - Global Standard for Food Safety: The global standard for food safety is aimed at ensuring that suppliers comply with the requirements that guarantee the safety of food.
   - BRC/IoP - Global Standard For Packaging and Packaging Materials: This certification is aimed at producers of packages and materials in contact with food.

Underlying key aspects:

- Ensure food safety. Efficient and dynamic control of risks.
- Compliance with applicable legislation in producing countries and with the requirements of the receiving countries ad with internationally recognised standards.
- Reduction of costs of possible errors of any production chain.
- Organised and efficient communication of all interested parties (internal, suppliers, customers, authorities).
- Provide trust to customers/consumers.

Some communities also require compliance of specific regulations for products to ensure that they are suitable for the members of such communities. As a result, the Viscofan Group is certified Halal, which ensures compliance with the regulations of Islamic communities and certified Kosher, which is the requirement for food consumption among the Jewish community.

CERTIFICATIONS	ISO 9001	BRC FOOD	BRC PACKAGING
Spain	X	X	X
Germany	X	X	
Serbia	X		X
Czech Republic	X	X	X
USA	X		X
Mexico	X		X
Brazil Itu	X	X	X
Brazil Ermelino	X		(2019)
China	X	X	X
Uruguay	X	X	
Vector Belgium	X		X
Vector USA	(2018)*		SQF M-2**
Nanopack	X		X

X Certified
() Scheduled date

*ISO 9001 expected to be in place by the end of the year for Vector USA.
**SQF Food safety system based on hazard analysis.

3E5-R&D AND INNOVATION

Viscofan's products look simple and are simple to use. This belies the sophisticated technology underlying the manufacturing process which only a few companies worldwide have developed.

The cold meat production sector requires high performance products at very competitive costs, in order to enable large scale production. Responding to this demand implies a huge technological and development challenge that Viscofan performs successfully as the major casings supplier, using the four most common materials that are currently available in the market: cellulose, collagen, fibrous and plastic.

Therefore, Viscofan takes the view that its leading position in the highly competitive world market can only be sustained by cutting-edge efforts in research and development of its technology and products. Only through the application of this philosophy will Viscofan be able to continue advancing in its leadership of innovation in the global artificial casings market, benefiting all of its stakeholders.

Constant innovation required by our globalised world must be taken into account. The products of Viscofan must be compatible with the food habits and uses of millions of world consumers, their preferences and evolution over time. Viscofan couples its growth as a business with the development of its innovation capability so that it can access the best technologies available on the market, implement them and improve them, and develop its own technologies to create an enduring competitive edge.

The complexity of Viscofan's production process and the sophisticated technology underlying its products mean that research and development units are structured into teams specialised by casing type, mainly at centres of excellence (i.e. sites that stand out due to their management, proactivity, service, knowledge, productive quality innovation and are a reference of best practices for the rest of production sites of the company). R&D staff comprises 135 employees across the Group. The corporate research and development centre in Spain coordinates and supports the specific research and development activities conducted at each production plant, and coordinates the multidisciplinary teams which exchange best practices, technological knowledge and ideas across product sites.

Technology is transferred from centres with technology development units for both products and processes to all the Group's other facilities. The goal is to harmonise and standardise production standards worldwide, based on the most advanced concepts and processes relating to both manufacturing technologies and philosophies of control, quality and product features that have made Viscofan what it is today.

At present, there are strategic product and technology development projects across the entire casings range in progress (cellulose, collagen, fibrous and plastic casings), as well as other diversification products aimed at developing applications that equip Viscofan with the product range required to reinforce its presence in the world market. On-going and completed Research, Development and Innovation projects focus mainly on:

- The development of new products according to the target markets defined in the expansion plan, and new generation implementations, designed and oriented towards offering customers products with differential performance and features.
- The development of active casings that are able to confer functionalities to the meat product they contain.
- The development of production alternatives and technological solutions through radical breakthroughs which allow an increase in added value or significantly reduce production costs for meat casings through modernisation, streamlining and simplification, improving Viscofan's competitiveness.
- Research in the area of raw materials aimed at developing technological processes that enable an adequate range of materials to manufacture casings.
- Technological support for improving existing products and processes, and for the Company's international expansion, all this adhering to Viscofan's technological and quality standards and current regulations, as well as the optimisation of production costs.

Support from international research centres

Viscofan has a long track record of working with Spanish and international public and private research centres in different countries. Notable in Spain: The University of Navarra, the Public University of Navarra, the Multidisciplinary Centre of Technology for Industry (CEMITEC), the National Centre for Technology and Food Safety (CNTA), the Plastics Technology Centre (AIMPLAS) and the Agricultural and Food Technological Centre (AINIA).

At international level, the following collaborations should be noted: the University of South Carolina (USA); MORE Institute Research, Hochschule Manheim and the Fraunhofer Institute (Germany); and the University of Suzhou (China). The principal issues on which these collaborations are based are: food safety, analysis and development of new materials, process and food industry engineering, advanced physical and chemical analysis, basic research on materials and alternative uses and other packaging systems.

Moreover, Viscofan is importantly supported by the different administrations of the countries where it develops R&D activities, for example: the Centre for Technical Industrial Development (CDTI) and the Spanish Ministry for the Economy and Competitiveness (MINECO), the Federal Ministry of Education Research in Germany and other entities in Brazil and Mexico.

Viscofan plays an active role in the artificial casings industry and is, therefore, involved in several industry associations and groups that seek to cooperate towards enhancing the industry's contribution to the community. These institutions include:

- **Comité International de la Peliculle Cellulosique (CIPCEL).** Based in Brussels, comprises the leading producers of regenerated cellulose film products.
- **Collagen Casing Trade Association (CCTA).** Also based in Brussels, comprises the leading producers of collagen casings worldwide.
- **Centro Español de Plásticos (CEP).** This is the Spanish association of entities relating to the manufacture and processing of plastics.
- **Gelatin Manufacturers of Germany (GMG).** An organisation of German gelatin producers.
- **AINIA.** Food Technological Centre based in Spain that supports R&D of its partners, specially in the areas of quality, food safety, sustainability, environment, design and industrial production.
- **ANICE.** The Spanish National Association of the Meat Sector is the biggest meat association in Spain to give advise, represent and defend the sector's interests.
- **National Centre for Technology and Food Safety (CNTA),** the purpose of which is to provide advanced technological services to improve competitiveness in the food sector through quality and innovation and under the principle of food safety.
- **AIMPLAS.** The Plastics Technology Centre offers integral solutions to companies within the plastic sector through the technical implementation of R+D+i projects.

3E6-BIOENGINEERING

Viscofan's BioEngineering unit is the result of the extensive knowledge of the company around collagen and its processing. The creation of this area within the company is based on the conviction that the company must apply its knowledge to help improve welfare and health throughout the community.

Collagen is a protein used in medicine and nutrition, which is providing society with new solutions to Health. Viscofan BioEngineering has developed a range of products based in collagen for biomedical and nutrition appliances.

In 2017 this division reached an important milestone with the opening of two new plants in Germany (Weinheim) with productive capacity for nutrition and medical markets.

In November the new collagen hydrolysates plant began its operation, which will enable us to produce COLLinstant® for the nutrition market. Collagen hydrolysates are used as a component of nutritional supplements that improve the health of skin, bones and articulations. As the biggest manufacturer of collagen, with COLLinstant® Viscofan will now access this high-potential market.

In May we also inaugurated the medical collagen plant in which we produce the collagen suspension Viscolma® and collagen membranes that are used as coating, as a quality collagen source or as medical implants. BioEngineering works with its customers in the development of medical products with this unique collagen that we have in Viscofan. The new medical plant is equipped with cutting-edge technology to process collagen and will work under a quality management system certified by ISO 13485, which is required for medical products.

An example of the use of solutions developed with Viscofan's collagen materials is the product VB-C01, which combines a CCC collagen membrane and allogeneic stem cells from fatty tissue to treat patients with heart failure. As of the end of 2017 we requested permission to commence a clinical trial of this product in 2018. This trial will be financed by the Spanish Ministry for the Economy and Competitiveness, and Viscofan works on it through a research consortium with the Clinical University of Navarra, the Hospital Gregorio Marañón of Madrid and the Minimal Invasive Surgery Centre Jesús Usón in Cáceres (Spain).

In 2017 Bioengineering closed as a year with a lot of activity in the installation of capacities, with the aim of achieving better revenue in 2018, which proves the Group's commitment with diversification as a source of sustainable growth.

3F-RISK MANAGEMENT

In line with the corporate social responsibility policy, risk management aims to balance the will of value creation for our stakeholders and the risks associated with business, commercial, operational, labour, financial and social initiatives.

Based on the code of ethics of the company and its values, this priority is present in all good corporate governance practices, guaranteeing an appropriate segregation of functions, duties and responsibilities, and developed from a regulatory point in line with internal policies and rules that are compulsory for all employees within the Viscofan Group.

In 2017, we have reviewed process management and risk monitoring through the assessment of an independent company. With this study, 35 new key risk indicators (KRI) were included, 26 existing KRI were modified, and 18 previous KRI were eliminated. A new computer tool to enable management was also implemented.

With regard to this, section *E) of the Annual Corporate Governance Report* of the Viscofan Group describes the main risks and uncertainties, the bodies responsible for drawing up and enforcing the risk management system, the description of the main risks, level of tolerance and risks occurred in the year.

3G- WORK MANAGEMENT

The Viscofan Group's leadership is underpinned by the differential value of know-how and commitment of all employees. It employed a total of 4,748 individuals at year end, including the personnel of Supralon, which makes up a team of competitive, multicultural, growing, trained, qualified professionals, and who despite their cultural differences, share solid common values and ethical principles.

The Group's average workforce increased in 2017, a rise chiefly attributable to Viscofan's hiring of additional personnel to enhance the service levels required in our global leadership. In 2017 the net increase in average headcount was 191 people to 4,554 people, growing by 4.4% compared with 2016, mainly due to new hiring of personnel for the new plant in Cáseda (Spain), and to increased productivity in China (for collagen casings) and Serbia (for large-calibre collagen casings) and the incorporation of the average workforce of Supralon.

In fact, the Viscofan Group creates jobs in view of permanence, promoting talent development and team commitment. This is reflected in a turnover rate of 3.8% in 2017.

At the end of 2017, 92% of the Group's employees had open-ended contracts.

Average workforce. Type of contract	Male	Female	Total
Open-ended contracts	2,994	1,186	4,180
Temporary contracts	247	127	374
TOTAL	**3,241**	**1,313**	**4,554**

**Includes Supralon*

The average age of the staff is 41 years old. Of the total employees, 34% are under the age of 35, 17% are between the ages of 35 and 40, 23% are between the ages of 41 and 50, 12% are between the ages of 51 and 55, 9% are between the ages of 56 and 60, and 5% are over the age of 60.

A breakdown of the average age of the staff is as follows:

Breakdown of average workforce by age	Male	Female	TOTAL
Under 17	0	0	0
Under 35	1,046	505	1,551
35 to 40	503	251	754
41 to 50	791	280	1,071
51 to 55	410	136	546
56 to 60	314	110	424
Over 60	177	31	208
TOTAL	**3,241**	**1,313**	**4,554**

**Includes Supralon*

Efficient and committed team:

Employees are a fundamental part of the MORE TO BE Strategic Plan. Thus, their know-how, commitment, constantly evolving work and improvement are a clear competitive advantage for the Group.

In a year of growth in staff members due to the projects that have been carried out, we should note an increase by average earnings per employee with €170.9 thousand in 2017 against €167.5 thousand in 2016.

Type of contract	2009	2010	2011	2012	2013	2014	2015	2016	2017 *
Average workforce	3,625	3,523	3,699	3,776	3,955	4,067	4,233	4,363	4,554
Income. Thousand €	490,125	538,456	564,544	649,176	660,201	687,063	740,770	730,833	778,136
Income per employee	**135.2**	**152.8**	**152.6**	**171.9**	**166.9**	**168.9**	**175.0**	**167.5**	**170.9**

**Includes Supralon in 2017*

International staff in a global world:

Viscofan is made up of a group of people who spread widely over the different countries in which the company has a strategic presence: Spain, Germany, Belgium, Brazil, Canada, China, Costa Rica, United States, France, Mexico, United Kingdom, Czech Republic, Russia, Serbia, Thailand and Uruguay which represents a rich and complex multicultural environment and also presents a challenge and an opportunity for international development for Group's employees.

In fact, there are numerous projects to transfer knowledge between the different production plants, and to develop specific global training seminars for Group employees. The Group's international nature is reflected in the 16 countries where Viscofan is present.

In 2017 a geographical breakdown of the average staff is as follows:

Geographical breakdown of average workforce	Male	Female	TOTAL
Spain	573	172	745
Rest of Europe and Asia	1,449	717	2,166
North America	829	271	1,100
Latin America	390	153	543
TOTAL	**3,241**	**1,313**	**4,554**

**Includes Supralon*

International mobility is constant in Viscofan. An example of this is that in 2017 an average of 32 employees participated in international projects as long-term expatriates. The vast variety of nationalities both at origin and destination is the result of an internationalisation strategy and initiatives to reinforce international mobility and transfer best practices through benchmarking from the group to all its subsidiaries.

Our status as global company makes the volume of frequent and occasional travellers very high, and consequently one of the objectives of Viscofan is to promote a greater level of safety in such movements. To achieve this, there are "Risk Reports" from those countries where we are present, at the production or commercial subsidiary level, which include recommendations, emergency telephones, directory of medical facilities, etc.

Development and retention of talent.

Breakdown of employees by categories	Male	Female	TOTAL
Directors	85	14	99
Technicals	765	264	1,029
Administratives	46	145	191
Specialists	653	226	879
Labourers	1,692	664	2,356
TOTAL	**3,241**	**1,313**	**4,554**

**Includes Supralon*

The Viscofan Group, via the Human Resources departments of its various subsidiaries, promotes personal development through initiatives that enhance knowledge management and enable employees' skills to be harnessed with a view to achieving the Group's objectives. Training is a primordial goal within the Group for its personnel. Training is continuous, thereby boosting personal and professional development. With this aim, the Human Resources team managed more than 136,800 training hours. For this commitment to human capital training, the group has invested about €2,382 thousand, of which €619 thousand correspond to training and explicit awareness in the areas of safety and health, and €2,229 thousand to the improvement of current performance, and to the incentivise the professional career of employees.

Investment in Health and Safety training	Hombre	Mujer	Total
Investment in thousand €	541.9	77.3	619.2
€ per employee that receives training	239.0	89.0	197.0

Within the training plan, some of the issues that have been addressed in connection with Human Rights are: the use of gender-neutral language, corporate social responsibility, gender equality and sexual harassment for a total of 337 hours.

The Group also fosters participation in the main universities of the countries where it develops its activity. With the aim of attracting and developing talent, the group has managed 39 internship and fellowship processes, with over 38,500 hours of work training.

This collaboration was recognised and Viscofan received in 2017 the University-Enterprise Award, granted by the Red Española de Fundaciones Universidad Empresa (REDFUE).

The purpose of the Viscofan Group is to forward development of a personal high-performing culture and evaluate the established objectives through a performance assessment process.

In particular, performance assessment is a process of planning, monitoring and evaluating the objectives that are defined by each person responsible with each member of their team. This methodology improves the professional capacity of each person and aligns individual expectations with objectives.

In 2017, 27% of the Group's staff was subject to a performance assessment process. The breakdown by gender and professional category is as follows:

Performance review	Male	Female	TOTAL	% over average workforce
Directors	57	10	67	68%
Technicals	287	111	398	39%
Administratives	20	76	96	50%
Specialists	138	66	204	23%
Labourers	295	149	444	19%
TOTAL	**797**	**412**	**1,209**	**27%**

**Includes Supralon*

Selection, promotion and social networks:

In a growing team, the policy on staff selection and recruitment is key to ensure Viscofan's continuity in leadership. In this sense, development and recognition of Viscofan group's staff is being stepped up by listing the company's job vacancies in internal information channels and the intranet.

In 2017, the attraction talent strategy was consolidated through international management tools for selection, hiring, internal mobility and expatriation processes. In this way, throughout the third year of operation of the job site available on the group's website and corporate Linkedin profile, we received over 1,500 CVs, and we therefore have more than 11,000 candidates in our data bases who are interested in becoming part of the Viscofan Group.

Within the aim of improving the attraction talent strategy, we have updated the search and recruitment tools of candidates, associated with Viscofan's website, which will be completed with a new module of vacancy selection and management. The number of followers in our corporate Linkedin profile is now about 4,571, representing an increase of 28% on 2016.

The industrial nature of the group needs to combine a great number of labourers with specialised staff. This is an increasingly demanding and global industry in terms of requirements, which requires greater knowledge and expertise. To face this challenge, the group invests in staff know-how, added to the continuous training effort carried out for current staff.

In this sense, the Group has 981 employees with university degrees, of which 54 hold a doctorate.

Communication channels with employees:

In order to inform employees on general and specific news of the group in different areas, and to obtain their opinion on various matters, Viscofan provides employees with different information channels:

1) **Employee's Channel**. In this section, Viscofan's intranet allows direct and useful communication with employees, including information on new working opportunities within the Group.

2) **News and announcements portal (Vinsite)**. The group periodically publishes the past appointments, organisational changes, strategic projects, launching of new products, financial results of the Group, tenders, etc.

3) "**Vis a Vis", in-house magazine for employees**. Viscofan edits and publishes biannually an in-house magazine in the main languages of the group (Spanish, English, Chinese, Czech, Serbian, German and Portuguese). Employees can find different content, such as a Letter of the CEO, interviews to employees, articles on meetings and seminars, stories on corporate teams, etc.

4) **Viscofan Opinion Survey.** Study on the work environment in Viscofan, both in Spain and in the other subsidiaries. Direct opinion of employees on different matters such as work organisation, content of the job or corporate image is obtained by means of this survey. The following edition of the Viscofan Opinion Survey is scheduled for 2018.

5) **Meetings and presentations.** Different departmental meetings and corporate management presentations to the rest of the staff take place during the year. Development of these activities as a cohesive element within the multinational group has requested the incorporation of follow-up KRI, to record the total number of *intercompany* and interdepartmental meetings each year.

Equality and work-life balance policies:

Work environments must allow our employees to develop and give their very best, regardless of their race, ethnic background, gender or gender identity, sexual orientation, age, religion or nationality, etc.

Within this subject, the 2016-2019 II Equality Plan is being executed in Viscofan S.A. The objective, as with I Plan, is to propose improvements and establish equality and work-life balance objectives within the company. Through the GEW (Gender Equality in the Workplace) process, the plan has centred on four main areas: leadership; policy and strategy; people; and process management and relationship with the environment; so that a specific action plan is in place for each through to 2019.

The Viscofan Group has created a Corporate Equality Committee, reporting to the Appointments and Remuneration Committee, which analyzes opportunities and monitoring initiatives to facilitate balance between the professional activity and the family. This Committee met on 2 occasions in 2017.

Increase women's employability in an industrial sector which has traditionally employed manpower is one of Viscofan's equality objectives.

Workplace health and safety:

Corporate workplace safety policies are the responsibility of the EHS department, working in close partnership with the corporate and local Human Resources departments. In this sense, measures and investments continue to be implemented to improve working conditions. In addition, the Viscofan Group works to obtain reliable and consistent indicators to measure and compare performance in the various countries in which the Group operates, in this way extending best health and safety practices to its production centres.

Viscofan considers that accidents may be prevented, and that is why not only does the group work to have safer facilities but to make all staff aware of the importance of attitude in relation to safety. Viscofan Group still makes huge efforts to standardize its procedures while also communicating its policies throughout the companies using specific courses and informational materials, available to employees at their areas of work.

In order to carry out these initiatives, the Group has the EHS policy, approved by the Board of Directors, pointing out the following relevant guidelines with regard to workplace safety:

- Provide employees with a safe and healthy workplace.
- Identify and comply with applicable legislation and regulation in terms of Environment, Health and Safety (EHS) in each of the locations where the group does business, and any other voluntarily-acquired commitments of Viscofan to improve these areas.
- Ensure that management, employees and all staff working for the organisation (or on its behalf) are aware of this policy and are trained, according to their responsibilities, to comply with it.
- Set indicators to assess the evolution of our performance in these areas.
- Promote a culture of continuous improvement in EHS, defining objectives and implementing corporate standards.
- Develop a cooperation relationship with stakeholders, so as to enable open and objective dialogue and help ease joint responsibility on these issues.

The indicator of hours lost per accident or occupational disease is linked again to management's variable retribution. This year the percentage was 0.37% against 0.34% in 2016, with a total of 31,228 lost hours. This evolution is quite significant taking into account the huge construction works and civil works associated to the healthy pace of capital expenditure in Spain.

	2016	2017
Lost hours	26,728	31,228
Lost time accidents / Total of working hours	0.34%	0.37%

Training in accident prevention and in the importance of safe behaviour patterns is one of the cornerstones of health protection of our employees. In 2017 we had over 29,530 hours of safety and prevention training, representing an increase of 3,230 hours on this training compared to the previous year. This training includes basic prevention measures that have to be adopted in the workplace, or the importance of day-to-day heart-healthy habits, the role of middle-level management and the improvement of safety leadership. In must be noted as well that in 2017 no deaths resulted from accidents at work, as in the preceding year.

Investment in Health and Safety training	Male	Female	Total
Investment in thousand €	541.9	77.3	619.2
€ per employee that receives training	239.0	89.0	197.0

At the same time, the importance attached by the Viscofan Group to work safety is reflected by the inclusion of OHSAS 18.001 certificate to all its manufacturing plants, within the proposed objectives for MORE TO BE 2016-2020. In 2017 the plants of Uruguay, China, México, Serbia and Brazil certified their safety and health management system according to standard OHSAS 18.001.

The breakdown of the Group's plants with OHSAS 18.001 certificate is the following:

Certifications	OHSAS 18.001
Spain	✓
Germany	✓
Serbia	✓
Czech Republic	1Q2018e
USA	
Mexico	✓
Brazil Itu	✓
Brazil Ermelino	✓
China	✓
Uruguay	✓
Vector Belgium	
Vector USA	
Nanopack	

3H-DEFENCE OF HUMAN RIGHTS

The Viscofan Group highlights its support and contribution to the spreading and respect of Human Rights within its scope of action, with its adherence to the United Nations Global Compact and with the incorporation of the Human Rights Policy to its internal regulations, approved by the Board of Directors.

Based on this policy, the Viscofan Group undertakes to respect Human Rights in all its activities, anywhere in the world. This policy is based on the following principles: universality, progressivity, integrity and complementarity, inalienability, transnationality and international protection.

This code of conduct states that the Viscofan Group's employees, within their scope of action, must contribute to respecting and protecting human rights, especially child exploitation, and must avoid any conduct detected on the job which is contrary to their tenets.

The employees of the Viscofan Group, within their geographical compass and cultural diversity, will especially abstain from using any behaviour involving discrimination on grounds of race, sex, nationality, language, religion, ideology or any other individual, social or personal circumstance (disability, economic position, trade union membership, etc.), and promote work with dignity, preventing any type of exploitation, with special care taken to avoid child labour.

Therefore, the Viscofan Group puts all the means available to avoid our activities and decisions from having a negative impact on human rights. In this sense, the Group has mechanisms to address claims and concerns on this matter, covered by the Ethics Committee.

The Viscofan Group sets common basic guidelines on Human Rights, which are related to various areas of the organisation, from Human Resources, to supplier relationship management. Guidelines on aspects like freedom of association, abolition of child and forced labour, equality, or facilitating access to the labour market of anyone with a disability.

In 2017 398 employees in our head offices and the production centre at Cáseda and Urdiain received specific training on human rights and social responsibility. Furthermore, Viscofan has embraced the commitment to certify its Cáseda plant towards respect of human rights and corporate social responsibility in the course of 2018.

As signatories of the Global Compact, the Viscofan Group protects free association of employees. Within equality and protection of employee's interests, about 80% of the company's employees are covered by general collective conditions governing their work activity, therefore improving the minimum conditions set by different labour legislations. The employees of the plants of Spain, Czech Republic, United States, Mexico, Brazil, Germany and Belgium are protected by collective agreements.

China adopted a new regulation in 2017 which enables employees' representation, thus bringing the possibility of employees' right to association in 100% of the companies that belong to the Viscofan Group.

The minimum remuneration of employees in each case is considered in accordance with the salary level and legal rules of each country where Viscofan carries out its activities.

The Collective Agreements of the different locations where the Viscofan Group is present establish certain specifications as to the periods of notice due to operating changes. For example, in the case of Spain and the Czech Republic, the period of notice is of 15 days.

Within the code of conduct, Viscofan rejects any form of child labour. None of the hired staff members of Viscofan is under 17 years of age. Likewise, the Viscofan Group requires suppliers to have a similar commitment in accordance with our code of ethics.

To defend and protect human rights Viscofan promotes work with dignity and prevention of forced labour. This risk has been specifically included by the Global Risk Committee in its risk matrix so as to detect any breach thereof.

Within these objectives, the Ethics Committee is responsible for opening, on its own account or at the request of a third party, the investigation of any situation that may give rise to a situation of risk for the Viscofan Group, as a result of a breach of the Viscofan Group's internal regulations or any other circumstance. To this end, Viscofan has a channel for complaints that is also accessible to all employees, to communicate any signs that might be seen as a risk, available through Vinsite (internal communication platform for employees of the Viscofan Group), mail or physical mail to the Ethics Committee at Viscofan's head offices in Navarre.

In 2017 the Viscofan Group recorded no case of discrimination, forced labour or child exploitation through any of its available channels.

3I-FIGHT AGAINST CORRUPTION

The Viscofan Group is firmly committed to and ensures that its operations are based on the rule of law, ethical principles and fighting corruption. This is the commitment behind Principle 10 of the Global Compact "Companies have to fight corruption in all its forms, including extortion and bribery". For that purpose, guidelines are laid down to guide behaviour of people in the sphere of action of the Group.

Firstly, the Code of Conduct concerns the prevention of any manner of corruption. This rule is applicable to 100% of its business units. This is also supported by the policy of Human Rights which, among its commitments, lays down that the Viscofan Group will fight corruption in all its forms, including extortion and bribery.

In particular, the Code of Conduct establishes the following: "as to fighting bribery and corruption, employees may not make or accept, directly or indirectly, payments, gifts or compensation in their commercial, professional or administrative relations, regarding either public or private institutions. Any commercial hospitality or gifts whose purpose is prohibited by law or by whatsoever regulation shall not be allowed, except for those specifically provided for in the Viscofan Group Commercial Hospitality Policy."

The Global Risk Committee carries out an analysis of fraud risks, and its different forms are regulated in various policies; and sets specific controls and mechanisms to reduce their likelihood. Identified risks are conflict of interest and internal fraud, private corruption, and fraud and misleading advertising.

The Group has mechanisms to address claims and concerns on this matter, covered by the Ethics Committee.

In 2017 no corruption case was received or confirmed leading the Ethics Committee to initiate an investigation or take actions.

3J-ENVIRONMENT

Viscofan is global and operates in a world of increasing population and consumption, with a greater use of natural resources and growing social awareness to ensure their efficient use, balancing economic growth and environmental and social needs to embark a sustainable future. Viscofan acknowledges and undertakes to responsibly protect and preserve the environment and to efficiently use energy and resources.

This company's commitment is based on human rights and on the following corporate principles:

- Maintain a preventive approach that favours the Environment (identification of environmental aspects).
- Undertake initiatives to promote greater environmental awareness (mainly through training).
- Encourage the development and dissemination of Environment-friendly technologies (vaporisers, catalytic gas purification, etc.).

In this way, the EHS corporate policy, defining the values of the organisation and laying down as priorities:

- Identify and comply with applicable legislation and regulation in terms of Environment, Health and Safety (EHS) in each of the locations where the Group does business, and any other voluntarily-acquired commitments of Viscofan to improve these areas.
- Pursue constant improvement in all areas of operation, especially in those related to environment, health and safety of employees.
- Responsibly use raw materials, energy and water.
- Ensure that management, employees and all staff working for the organisation, or on its behalf, are aware of this policy and are trained, according to their responsibilities, to comply with it.
- Set indicators to assess the evolution of our performance in these areas.
- Promote a culture of continuous improvement in EHS, defining objectives and implementing corporate standards.
- Develop a cooperation relationship with stakeholders, so as to enable open and objective dialogue, and help ease joint responsibility on these issues.

To ensure the application of the principles contained in the policy, EHS Management guidelines have been developed by the Viscofan Group, setting the common implementation bases for safety, occupational health and environment management systems. It covers a total of 15 guidelines, specifying requirements for many other areas such as regulatory compliance, risk identification and assessment, and environmental aspects or emergency preparedness. In 2017 we continued to implement the guidelines in the companies Vector USA and Vector Europa, acquired in October 2016, with the aim of completing implementation in 2018.

We also believe in the effectiveness of dialogue with our different stakeholders in order to get to know about their concerns and different improvement proposals in this matter.

The Viscofan Group wants to promote a productive model that supports long-term sustainability in the use of resources and that helps to prevent climate change. In this way, the importance attached by Viscofan to EHS is reflected by the inclusion of ISO 14.001 standard to all its manufacturing plants, within the proposed objectives for MORE TO BE 2016-2020. In 2017 the Group made progress in that direction and Viscofan's plants of Czech Republic, Germany, China, Mexico, Serbia and Brazil certified their environmental management systems according to ISO 14.001 standards.

With these certifications the Viscofan Group substantially exceeds the target of certifying two management systems in at least half of the manufacturing plants (ISO 14.001 and OHSAS 18.001 in safety). Although, the target for 2018 is to continue with the certification process of those plants that haven't yet obtained it.

The breakdown of the Group's plants with ISO14.001 certificate is the following:

Certifications	ISO 14.001
Spain	✓
Germany	✓
Serbia	✓
Czech Republic	✓
USA	
Mexico	✓
Brazil Itu	✓
Brazil Ermelino	✓
China	✓
Uruguay	1Q2018e
Vector Belgium	
Vector USA	
Nanopack	

Viscofan participates in the United Nations Global Compact from 2015, clearly in line with its aim towards sustained growth, and with the Sustainable Development Objectives concerning the environment (climate change, conservation of marine resources, protection of ecosystems, sustainable water management).

The cost of items related to the Group's environmental projects acquired during 2017 was €47.8 million (2016: €34.8 million), highlighting the investment made in 2017 for the new plant in Cáseda (Spain) and an accumulated amortization of €28.4 million (2016: €21.8 million).

In 2017, the Group incurred in environmental protection and improvement costs amounting to €3.8 million. In 2016 this amount totalled €3.6 million.

The Group arranged civil liability insurance coverage for damages to third parties caused by accidental and unintentional contamination; the insurance coverage refers to any possible risk involved and to date no significant claims in environmental matters have been filed.

The Parent's Directors do not deem it necessary to make any provisions to cover environmental contingencies and expenses.

The Viscofan Group's basic tenets are two-fold, covering and guiding all of the company's environmental projects:

- The sustainable use of resources
- Contribute to avoiding climate change

The sustainable use of resources

The Viscofan Group will approach its sustainability target as it strengthens its capabilities of more efficiently employing available resources, including yet not limited to raw materials, energy or water resources.

Viscofan's manufacturing plants in 10 different countries, each one with its specific environmental legislation, present a particular challenge to establish uniform reporting criteria. New resources and tools were incorporated in 2016 to unify the reporting criteria throughout all Group manufacturing plants. New environmental management indicators were established for the MORE TO BE 2016-2020 strategic period, which, including water management, extend the raw materials-production-waste management cycle and establish direct and indirect CO2 emissions measurements.

Water management

As we are working in an environment where there is a growing demand for industrial water, the optimisation of its use is one of the cornerstones sustaining Viscofan's environmental policy. We have identified the key management indicators with a twofold purpose: optimise water consumption at the company subsidiaries whenever possible and improve the water purification process with a view to reducing the pollution load thereof.

In 2016 and 2017, continuing with the water management improvement processes that began in 2015, the Group took further steps regarding the knowledge and optimisation of supply sources at the different companies.

A baseline of 100 was set for the 2015 water usage intensity ratio (cubic metres per metre of production) to track the intensity of our water consumption in the following years, which is as follows:

	Base 100. Year 2015		
	2015	2016	2017
Water consumption in litres / Produced metres	100	103	97

At the Viscofan Group, the total water capture by source type is broken down as follows:

	%	
Water withdrawal by source	**2016**	**2017**
Surface water	38%	39%
Ground water	27%	29%
Municipal water supplies	34%	33%
TOTAL	**100%**	**100%**

Moreover, the Viscofan Group continues working on water recycling projects at the manufacturing plants in Koteks (Serbia), Pando (Uruguay) and Suzhou (China), which we expect to result in additional improvements.

There was no record in 2017 of the organisation's water capture significantly affecting any water sources. All captures are strictly regulated by the public sector, which assign permits and determine the maximum permitted capture volumes to preclude significant effects.

Additionally, Viscofan is aware that proper water management also includes correctly purifying its wastewater and minimising the impact of its activities on the environment. In 2017, purification technology was implemented in Suzhou (China) and further improvements were made in this regard in Cáseda (Spain) and Zacapu (Mexico). Wastewater broken down by destination is as follows:

	%	
Water discharge	**2016**	**2017**
Fresh water surface	63%	66%
Municipal treatment plant	37%	34%
TOTAL	**100%**	**100%**

Raw materials and waste

Waste reduction and an improvement in waste recovery are further lynchpins of the EHS policy, prioritising management systems using less processing in this regard. The efficient use of raw materials is therefore essential and has a twofold positive effect benefiting Viscofan and the environment alike.

Reducing waste generation, optimising waste management and prioritising recovery or recycling above other systems such as destruction or disposal must also become cornerstones in EHS management in the coming years. In 2017, the percentage of recovered waste was 56% versus 60% in 2016.

In this regard, the Viscofan Group continues taking steps to improve waste management to increase recovery. The transfer of knowledge from some centres to others and the research into new uses or new processes for handling waste are the engagement plans that we carried out in 2017 and will continue into 2018.

The following breakdown is a detail regarding the management of waste and by-products by category, tonnes of waste and intensity ratio thereof:

	%	
Waste and subproducts management	**2016**	**2017**
Reused	17%	16%
Recycled	11%	12%
Composted	30%	27%
Recovery	1%	1%
Incinerated	8%	7%
Landfill	32%	35%
Others	1%	2%
TOTAL	**100%**	**100%**
TOTAL waste. Tonnes	**44,201**	**46,498**
Waste in tonnes / Produced metres. Base 100 2016	**100**	**104**

Waste tonnage increased in 2017, primarily due to own inefficiencies in the commissioning processes of new facilities, capacity increases in different plants, and the inclusion of Vector companies in Europe and the USA acquired at the end of 2016 into the perimeter of consolidation.

The Viscofan Group has implemented an environmental management system with a view to preventing spills and leaks, in which it has established management mechanisms and technical control elements. Should they occur, this system has detection, reporting and anomaly correction methods, including ones for predictive purposes.

In 2017, Viscofan Group facilities had no significant spills/leaks, defined as spills/leaks that caused external facility damage that should be reported to the corresponding administration.

Contribution to prevent climate change

The Viscofan Group's sustainability approach focuses on an efficient use of energy with low environmental impact. We strive to promote the rational and efficient use of energy throughout Viscofan's value chain from our manufacturing plants to our suppliers. To do so, our strategy entails reducing greenhouse gas emissions while mitigating the adverse effects of these gases on our environment.

We believe that an efficient use of energy is key to reaching our goal to prevent climate change. Viscofan's strategy for reducing overall CO2 emissions includes using heat, even in the effluents from our production processes, and replacing systems requiring elevated amounts of energy with more efficient systems.

Reducing our energy requirements and harnessing the different forms of energy present in our processes to a maximum.

The Viscofan Group's energy consumption in 2017 reduced by 5.0% versus 2016:

	Giga Wh	
	2016	2017
Energy consumption within the organization	2,271	2,158

The Viscofan Group also established the energy intensity indicator for analysing the efficiency of harnessing the different forms of energy throughout the organisation. The calculation was made on baseline of 100 for 2016, dividing consumed energy in absolute terms by metres of production.

Energy intensity. Base 100 year 2016	2016	2017
Internal consumption in KWh /Produced metres	100	94

With energy efficiency in our sights, Viscofan continuously invests in adopting new and more efficient technologies in different process areas. One example thereof is the investment made in 2017 at the manufacturing plant in Cáseda (España), where an energy exploitation system was installed in the drying air. Another example was the new and more efficient energy model implemented in Zacapu (Mexico) for reducing gas consumption by 34% and CO2 emissions by over 1,300 tonnes monthly.

The following data reflects the savings in tonnes of CO2 from the use of cogeneration at the plants in Cáseda (Spain) and Weinheim (Germany):

	Tonnes		
	2015	2016	2017
CO2 tons that have been saved due to energy optimization	89,387	86,946	97,231

The efficient use of energy when manufacturing packaging is a competitive advantage. In this regard, the Viscofan Group has achieved energy and production savings from its cogeneration plants in Cáseda (Spain) with an installed power capacity of 48 MW, in Zacapu (Mexico) with 0.6 MW, and Weinheim (Germany) with 8.7 MW.

This energy management model lets the Group produce over half of its total energy using ISO 50001 certified energy efficiency management systems. This energy efficiency management system prepares us for compliance with RD 56/2016 on energy efficiency, which concerns energy audits and transposes the European Union's Energy Efficiency Directive (2012/27/EU).

The use of cogeneration as energy and heat generation sources entails a reduction in emissions compared with other conventional steam generation systems. The avoided CO2 emissions in Cáseda for instance were greater than 30%.

The breakdown of direct and indirect CO2 emissions and their intensity is as follows:

	Tonnes		
CO2 emissions	2015	2016	2017
Direct	449,233	384,292	370,491
Indirect	95,643	119,069	151,495
TOTAL	**544,876**	**503,361**	**521,986**

	CO2 emissions/Produced metres		
Base 100 year 2015	2015	2016	2017
CO2 emissions intensity	100	90	94

Regarding the emissions of ozone depleting substances, NOx, SOx and other atmospheric pollutants, the corporate EHS department has begun a consolidated compilation of information thereon with a view to improving management in this regard in 2018.

Economic resources allocated to Environmental, Health and Safety projects

This growing commitment to sustainability is also apparent in the financial dimension, where the 2017 investments in EHS projects stood at €7.5 million, representing 7% of the Group's total investments, with prominent amounts allocated for: optimising steam and energy generation facilities, wastewater purification, improving fire protection facilities, ergonomic improvements, restructuring water usage, new wastewater treatment facilities, equity security, etc.

3K- OUR RELATIONSHIP WITH THE COMMUNITY

The Viscofan Group has a Corporate Social Responsibility (CSR) policy that entails allocating resources and proprietary know-how in support of social initiatives that contribute to the communities where we have operations.

Some of these social initiatives via different Group subsidiaries in 2017 included:

- Young refugees were given training at Naturin Viscofan (Germany). The company is part of the local organisation Weinheimer Bündnis Ausbildung, which works to help integrate young refugees arriving in Germany through inclusion into the workforce. In this regard, we had a young refugee for one week as an intern at our facilities in March 2017 accompanied by and under the supervision of the human resources department.

- In the Czech Republic in June 2017, several Viscofan CZ employees ran a solidarity race to raise funds for the local NGO Centrum Balzaka, which assists disabled children.

- Viscofan Mexico launched a campaign to help the victims of the earthquakes in Chiapas and Puebla. The initiative collected material aid for the victims, primarily essentials such as food, medical equipment, hygiene products, etc., and donations made by workers and the company. The initiative was channelled through the Zacapu Rotary Club, which handled distribution.

- Ayuda en Acción (Help in Action). Still in Mexico, Viscofan partnered with the Mexican Association to Help Children With Cancer (AMANC). 2017 will mark the third straight year that Viscofan donates $10,000 in support of this association's efforts in the Mexican State of San Luis Potosí, where Viscofan has a manufacturing plant. The donation will go to supporting treatments, easing the burden of housing, and providing psychosocial support to sick children and their families.

- In Spain, Viscofan S.A. is a co-sponsor of the fifth edition of the "Impulso Emprendedor" (Entrepreneurial Drive) promoted by the Navarran European Business Innovation Centre, whose purpose is to create innovative companies in the region. Viscofan participates as a co-sponsor and mentor in one of the selected projects, providing its corporate vision and knowledge.

- Viscofan is part of the CETENA foundation, which was founded to promote and develop scientific research, technology development and boosting innovation activities to improve company competitiveness.

- Orizont Project. Viscofan is collaborating with this project led by the Government of Navarre, which aims to finance and advise on various agri-food entrepreneurship projects intended to be implemented in the region.

- Museo del Prado Foundation. Viscofan's desire to promote art and culture has led the company to sponsor some cultural initiatives led by the Prado Museum.

- Library of the Monastery of Leyre. For yet another year, Viscofan has collaborated in the project restoring several books of the Monastery of Leyre (Navarre) dating back to the 16th and 17th centuries.

4-VISCOFAN ON THE STOCK MARKET

Stock markets

2017 is characterized by an acceleration in world growth after two consecutive years of slowdown. According to estimates by the International Monetary Fund (IMF), global GDP will grow at +3.6% in 2017, up from +3.2% in 2016 and +3.4% in 2015. A better economic environment supported, among other things, by a more favourable world financial situation, greater business and consumer confidence, signs of improvement in emerging raw material exporters, and the revival of world investment by stimulating manufacturing activity.

Thanks to this economic recovery, an environment of less geopolitical uncertainty, and the approval of tax reform in the United States at the end of the year, some equity indices have reached historic highs.

Thus, the main stock market indices have shown a positive performance. It is noteworthy in the United States the S&P 500 index, which closed 2017 with an appreciation of 19.4%, in Europe the Euro Stoxx 600 rose by 7.7%, in Spain the Ibex 35 by +7.4%, the German DAX by +12.5% and the French CAC by +9.3%.

Viscofan shares

Viscofan shares are listed on the Spanish stock markets of Madrid, Barcelona and Bilbao. In addition, the shares have been trading on the continuous market since its flotation in December 1986, belong to the Ibex 35 index, the Madrid Stock Exchange General Index (IGBM) and form part of the Consumer Goods segment of the food subsector, as well as the Euro Stoxx Food & Beverage index and the Eurostoxx 600 index.

Viscofan closed 2017 with a share price of €55.01 per share, a year-on-year increase of 17.4% and an increase to 20.6% after including dividends paid out during the year. The average daily market price for the year was €51.25 and Viscofan's market capitalisation was €2,564 million at the end of 2017.

During the year, overall over 38.7 million shares in Viscofan were traded, with a trading volume of €1,995 million, which is equivalent to a daily average of €7.8 million.

Creating shareholder value

Throughout the different strategic plans, the Viscofan Group has built a sound and flexible business model. This characteristic entails the creation of cash flows that allow investment projects to be carried out in order to improve value creation, which is shared with shareholders in cash and at the same time maintaining a sound balance sheet structure.

In this respect, the stock market continues to recognise the Viscofan Group's value creation, and is combined with the Group's commitment to shareholder remuneration. Thus, in the last ten years the average annual return has been 14%, and 16% taking into account shareholder remuneration. Analysing the creation of value over time, this is greater for shareholders who have held shares in Viscofan for a longer period of time. For example:

The investment of a shareholder who invested 1,000 euros in Viscofan shares at the end of December 2007, and held them at 31 December 2017, was worth 3,796 euros, and in these 10 years this shareholder also received 703 euros in dividends, a combined return of 350%.

The Viscofan Group is immersed in the strategic period known as MORE TO BE, which covers the period between 2016 and 2020, looking ahead in its value creation proposal that entails the objective of leading the main casings markets in service, technology and cost. An ambitious and investment-intensive target, with €193.9 million earmarked for investments in 2016 and 2017 and without requiring additional efforts from shareholders while maintaining a sound balance sheet.

In addition, the financial and operational strength of the company allows for a further increase in shareholder remuneration. Thus, the remuneration proposed by the Board of Directors for 2017 amounts to €1.55 per share, 6.9% higher than that distributed in 2016 and represents a total distribution of €72.2 million, equivalent to 59.2% of the total net profit attributed to the Viscofan Group.

In terms of profitability, the total dividend proposed for 2017 is 3.0% of the average share price during the year.

Viscofan, its shareholders and investors

One of Viscofan's objectives, through its Department of Investor and Shareholder Relations, is to create value for the investor community by improving accessibility, the transparency of information and providing shareholders with relevant information in order to gain a better understanding of the company itself and its results, strategy and operations.

Viscofan return vs. Ibex 35

		Sell (31/12)										
Buy (31/12)		2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	TSR
2007	Viscofan	-2.9%	22.7%	95.9%	97.9%	195.6%	185.6%	204.3%	284.3%	223.5%	279.9%	14.3%
2007	Ibex 35	-39.4%	-21.4%	-35.1%	-43.6%	-46.2%	-34.7%	-32.3%	-37.1%	-38.4%	-33.8%	-4.0%
2008	Viscofan		26.3%	101.7%	103.8%	204.5%	194.1%	213.4%	295.7%	233.2%	291.3%	16.4%
2008	Ibex 35		29.8%	7.2%	-6.8%	-11.2%	7.8%	11.8%	3.8%	1.7%	9.2%	1.0%
2009	Viscofan			59.7%	61.4%	141.0%	132.8%	148.1%	213.3%	163.8%	209.7%	15.2%
2009	Ibex 35			-17.4%	-28.3%	-31.6%	-16.9%	-13.9%	-20.1%	-21.7%	-15.9%	-2.1%
2010	Viscofan				1.1%	51.0%	45.8%	55.4%	96.2%	65.2%	94.0%	9.9%
2010	Ibex 35				-13.1%	-17.2%	0.6%	4.3%	-3.2%	-5.1%	1.9%	0.3%
2011	Viscofan					49.4%	44.3%	53.8%	94.1%	63.5%	91.9%	11.5%
2011	Ibex 35					-4.7%	15.8%	20.0%	11.4%	9.2%	17.2%	2.7%
2012	Viscofan						-3.4%	2.9%	30.0%	9.4%	28.5%	5.1%
2012	Ibex 35						21.4%	25.9%	16.9%	14.5%	23.0%	4.2%
2013	Viscofan							6.6%	34.6%	13.3%	33.0%	7.4%
2013	Ibex 35							3.7%	-3.8%	-5.7%	1.3%	0.3%
2014	Viscofan								26.3%	6.3%	24.8%	7.7%
2014	Ibex 35								-7.2%	-9.0%	-2.3%	-0.8%
2015	Viscofan									-15.8%	-1.1%	-0.6%
2015	Ibex 35									-2.0%	5.2%	2.6%
2016	Viscofan										17.4%	17.4%
2016	Ibex 35										7.4%	7.4%

Communication channels

Viscofan provides the investment community with a multitude of communication channels: presentations at seminars and events organised by the financial community, road shows with institutional investors, whether they are promoted by the company or by brokers, earnings presentations, the General Meeting of Shareholders, organised visits to Viscofan's head office, telephone calls to a dedicated investor and shareholder helpline, a special e-mail address, the notifications and regular public information submitted

to the CNMV (Spanish National Securities Market Commission), as well as the information published on the website www.viscofan.com, especially in the Investor Relations section in which Viscofan makes the latest news, relevant facts, reports and quarterly presentations of results, annual report, share price performance, etc. available to the public.

- Investor and shareholder phone: +34948198436
- Investor Relations Email: info-inv@viscofan.com
- Website, investor relations section

The communication effort carried out throughout all these years has been recognised by the investment community. Institutional Investor in its "All European Executive Team" awarded Viscofan in 2016 the 1st CEO for Sell-Side and 2nd Best CEO combined, and 3rd IR for Sell-Side of the Paper & Packaging sector. Also in previous years, in 2015 the 2nd Best IR for Sell-Side and in 2012 the 1st Best IR professional for the Sell-Side in the packaging and food sector.

Bidirectional communication is important, since the questions and concerns of the Financial Community are taken into account and transmitted within the company, making it possible to have a better overall view of it. In 2017, the most frequently asked questions related to the development of the MORE TO BE strategic plan, shareholder remuneration, the recovery of the Brazilian casings market, the impact of exchange rate fluctuations, investments projects, especially in fibrous and plastic technologies, and Vector's and Supralon's acquisitions.

Viscofan maintains fluid communication with the financial markets, so that in 2017 a total of 19 analysis companies, Spanish and international alike, covered Viscofan on a recurring basis. In this respect, more than 125 analyst reports were published in 2017 on Viscofan.

At the same time, in 2017 Viscofan held 257 face-to-face meetings with investors, both shareholders and non-shareholders interested in the company, in 2016 there were 251, 282 in 2015, 282 in 2014, 293 in 2013 and 207 in 2012; these meetings were held in 8 different countries.

STOCK EXCHANGE HIGHLIGHTS

	Strategy M ORE TO BE 2016-2020		Strategy Be MORE Period				Strategy Be One Period		
Share price €	**2017**	**2016**	**2015**	**2014**	**2013**	**2012**	**2011**	**2010**	**2009**
Year-end price	55.01	46.85	55.64	44.07	41.35	42.81	28.66	28.36	17.76
Year high	56.33	56.06	60.93	48.36	43.70	42.81	30.59	29.65	18.20
Year low	46.75	41.84	43.04	36.24	35.65	28.45	22.51	17.64	12.81

	Year end	Year end	Year end	Year end	Year end	Year end	Year end	Year end	Year end
Viscofan in the stock market evolution	**2017**	**2016**	**2015**	**2014**	**2013**	**2012**	**2011**	**2010**	**2019**
% annual change Viscofan	17.4%	-15.8%	26.3%	6.6%	-3.4%	49.4%	1.1%	59.7%	26.3%
% annual change IGBM	7.6%	-2.2%	-7.4%	3.0%	22.7%	-3.8%	-14.6%	-19.2%	27.2%
% annual change IBEX 35	7.4%	-2.0%	-7.2%	3.7%	21.4%	-4.7%	-13.1%	-17.4%	29.8%
% annual change Euro STOXX 600	7.7%	-1.2%	6.8%	4.4%	17.4%	14.4%	-11.3%	8.6%	28.0%
% annual change Medium Cap	4.0%	-6.6%	13.7%	-1.8%	52.0%	13.8%	-20.7%	-5.6%	13.8%
% annual change Sub sector Food and beverages IGBM	5.2%	-5.4%	26.4%	-5.2%	4.7%	25.0%	-6.3%	25.3%	7.0%

Stock market trading data	**2017**	**2016**	**2015**	**2014**	**2013**	**2012**	**2011**	**2010**	**2009**
Market capitalization at year-end (millions of €)	2,563.7	2,183.4	2,593.0	2,053.6	1,927.1	1,995.1	1,335.7	1,321.7	827.7
Traded volume (million of €)	1,995.2	2,707.1	3,179.9	3,233.0	2,506.4	1,426.9	1,274.1	925.4	663.1
Daily average trading volume (million of €)	7.8	10.5	12.3	12.6	9.8	5.6	5.0	3.6	2.6
Traded shares	38,658,041	54,701,597	58,329,352	78,062,343	63,212,344	41,360,939	47,049,517	41,668,063	42,112,723
Daily average of traded shares	151,600	212,022	225,210	304,931	247,892	161,566	183,787	162,766	165,798

	Year end	Year end	Year end	Year end	Year end	Year end	Year end	Year end	Year end
Share ratios	**2017**	**2016**	**2015**	**2014**	**2013**	**2012**	**2011**	**2010**	**2019**
Listed shares	46,603,682	46,603,682	46,603,682	46,603,682	46,603,682	46,603,682	46,603,682	46,603,682	46,603,682
Earnings per share (1)	2.620	2.684	2.575	2.284	2.178	2.254	2.172	1.745	1.379
Remuneration per share (2)	1.550	1.450	1.350	1.180	1.120	1.100	1.000	0.800	0.623

(1) Net earnings per share is calculated by dividing net profit by the average weighted number of ordinary shares in circulation during the year, excluding treasury stock
(2) Includes: dividends, capital reimbursement, refund of issue premium and bonus for attending the General Meeting

5-SUBSEQUENT EVENTS

- On 15 January 2018, the Court dismissed the appeal filed by Crown Foods España, S.A. against the execution of the Supreme Court ruling for patent infringement and ordered the payment of 8,458 thousand euros corresponding to 15% of the profit obtained from exploiting the patent infringement from 16 July 2006 to 8 January 2013.

  As per the contract of sale of Industrias Alimentarias de Navarra, S.A.U., dated 10 March 2015, the result of the litigation is owned by Viscofan S.A. and, therefore, the indemnity corresponds to Viscofan S.A.

  The enforcement procedure is in progress with respect to the remaining amounts in dispute.

- On 21 February 2018 Transform Pack Inc. was acquired for a value of 2 million US dollars.

- In their meeting held on 28 February 2018, the Board of Directors agreed to propose a final dividend payment amounting to 0.92 euros per share on 7 June 2018. Thus, total remuneration for shareholders amounts to 1.55 euros per share, including the interim dividend of 0.62 euros per share paid on 21 December 2017, the abovementioned complementary dividend of 0.92 euros per share, and the per diem payment for attendance at the General Shareholders' Meeting of 0.01 euros per share. This proposal increases total remuneration by 6.9% as compared to the total of 1.45 euros approved for the previous year.

- In addition, at the meeting held on 28 February 2018 the Board of Directors agreed to distribute an extraordinary dividend of €0.13 per share to be paid on 22 March 2018, which corresponds to the contribution to 2018 net profit of the one-off gain from the Supreme Court ruling in the action brought by Industrias Alimentarias de Navarra S.A.U. against Mivisa Envases S.A.U. (now Crown Food España S.A.U.) for the infringement of a patent which, according to the sale contract of Industrias Alimentarias de Navarra, S.A.U., belongs to Viscofan S.A.

There are no significant events in addition to those mentioned above, from the year-end until the date of preparation of these annual accounts

6-ANNUAL CORPORATE GOVERNANCE REPORT

ANNUAL CORPORATE GOVERNANCE REPORT 2017

Viscofan S.A

Year end: 31/12/2017

(Free translation from the original in Spanish. In the event of discrepancy, the Spanish-language version prevails)

A,- OWNERSHIP STRUCTURE OF THE COMPANY

A.1- Fill in the following table on the company's share capital:

Date of last change	Share capital (euros)	Number of shares	Number of voting rights
14/04/2011	32,622,577.40	46,603,682	46,603,682

S Indicate if there are different classes of shares with different rights associated with them

NO

A.2- Detail the direct and indirect owners of significant holdings in your company at year-end, excluding directors:

Name or company name of the Shareholder	Number of direct voting rights	Number of indirect voting rights	% of total voting rights
MARATHON ASSET MANAGEMENT, LLP	0	2,296,698	4.93%
NORGES BANK	2,309,975	0	4.96%
APG ASSET MANAGEMENT NV	2,408,875	0	5.17%
MR. SANTIAGO DOMECQ BOHORQUEZ	0	2,332,021	5.00%
CORPORACION FINANCIERA ALBA SA	5.277.014	0	11.32%

Name or company name of the indirect shareholder	Through: name or company name of the direct shareholder	Number of total voting rights
MARATHON ASSET MANAGEMENT, LLP	OTHER SHAREHOLDERS OF THE COMPANY	2,296,698
MR. SANTIAGO DOMECQ BOHORQUEZ	ANGUSTIAS Y SOL S.L.	2,332,021

Indicate the most significant movements in the shareholding structure during the year.

Name or company name of the shareholder	Date of transaction	Description of the transaction
MARATHON ASSET MANAGEMENT, LLP	24/04/2017	Exceeded 5% of the share capital
MARATHON ASSET MANAGEMENT, LLP	28/04/2017	Down from 5% of the share capital
NORGES BANK	19/09/2017	Down from 5% of the share capital

A.3- Fill in the following tables about members of the Board of Directors of the Company with voting rights on company shares:

Name or company name of the Director	Number of director voting rights	Number of indirect voting rights	% of total voting rights
MR JOSE ANTONIO CANALES GARCIA	16,061	6,299	0.05%
MR IGNACIO MARCO-GARDOQUI IBAÑEZ	30,276	5,000	0.08%
MR. JOSÉ DOMINGO DE AMPUERO Y OSMA	61,015	0	0.13%
MR. ALEJANDRO LEGARDA ZARAGüETA	8,250	0	0.02%
MRS. AGATHA ECHEVARRIA CANALES	42,869	0	0.09%
MR. NESTOR BASTERRA LARROUDÉ	212,452	0	0.46%
MR. JUAN MARCH DE LA LASTRA	0	18,307	0.04%
MR. JOSÉ MARÍA ALDECOA SAGASTASOLOA	0	0	0
MR. SANTIAGO DOMECQ BOHORQUEZ	0	2,332,021	5.00%
MR. JAIME REAL DE ASÚA Y ARTECHE	0	0	0

Name or company name of the indirect shareholder	Through: name or company name of the direct shareholder	Number of total voting rights
MR. JOSÉ ANTONIO CANALES GARCIA	Other shareholders of the Company	6,299
MR. JUAN MARCH DE LA LASTRA	ATACAMPA S.A..	18,307
MR. IGNACIO MARCO-GARDOQUI IBAÑEZ	PROMOCIONES GARDAL XXI, S.L.	5,000
MR. SANTIAGO DOMECQ BOHORQUEZ	ANGUSTIAS Y SOL SL	2,332,021

Total % of voting rights of the Board of Directors:	5.86%

Fill in the following tables with the members of the company's Board of Directors with voting rights on company shares

Name of director (person or company)	Number of direct voting rights	indirect rights		Number of equivalent shares	% of total voting rights
		Direct owner	Number voting rights		

A.4-Where applicable, indicate any family, commercial, contractual or corporate relationships between holders of significant shareholdings, insofar as the company is aware of them, unless they are of little relevance or due to ordinary trading or exchange activities

Related name (person or company)	Type of relationship	Brief description

No applicable

A.5- Where applicable, indicate any commercial, contractual or corporate relationships between holders of significant shareholdings, and the company and/or its group, unless they are of little relevance or due to ordinary trading or exchange activities:

Related name (person or company)	Type of relationship	Brief description
CORPORACIÓN FINANCIERA ALBA S.A MR. JOSÉ DOMINGO DE AMPUERO Y OSMA.	CORPORATE	MR. JOSE DOMINGO DE AMPUERO Y OSMA IS MEMBER OF ITS BOARD OF DIRECTOR
CORPORACIÓN FINANCIERA ALBA S.A MR. JUAN MARCH DE LA LASTRA	CORPORATE	MR. JUAN MARCH DE LA LASTRA IS VICECHAIRMAN OF ITS BOARD OF DIRECTOR
ANGUSTIAS Y SOL SL MR. SANTIAGO DOMECQ BOHÓRQUEZ	CORPORATE	MR. SANTIAGO DOMECQ BOHORQUEZ IS SOLE ADMINISTRATOR OF ANGUSTIAS Y SOL S.L.

A.6- Indicate whether the company has been informed of any shareholder agreements that may affect it as set out under articles 530 and 531 of the Corporate Enterprises Act. Where applicable, briefly describe them and list the shareholders bound by such agreement:

Participants in shareholders agreements	% of share capital affected	Brief description of agreement

NO

Indicate whether the company is aware of the existence of concerted actions amongst its shareholders. If so, describe them briefly.

Participants in concerted action	% of share capital affected	Brief description of concerted action

NO

Expressly indicate whether any of such agreements, arrangements or concerted actions have been modified or terminated during the fiscal year:

NO

A.7- Indicate whether any person or organisation exercises or may exercise control over the company pursuant to article 5 of the Securities Exchange Act. If so, identify names:

NO

A.8- Fill in the following tables about the Company's treasury stock

At year-end:

Number of direct shares	Number of indirect shares (*)	% of total share capital
0	0	0%

(*) Through:

Name of direct owner of shareholding (person or company)	Number of direct shares
Total:	0

Give details of any significant changes during the year, pursuant to Royal Decree 1362/2007.

Explain the significant changes

A.9- Describe the conditions and term of the prevailing mandate from the general meeting to the Board of Directors to issue, buy back and transfer treasury stock :

Extract of the Minutes of the General Shareholders Meeting held on 30 April 2013 on second call, the following resolution was adopted by majority:

The proposal is to cancel the authorisation for acquiring own shares that was given to the Board of Directors at the Company's General Shareholders' Meeting of 23 May 2012.

The proposal is to authorise the Board of Directors to buy and sell on the market, through the person, Company or institution that it deems advisable, shares in the Company at the market price on the transaction date, for the maximum number of shares permitted by the Corporate Enterprises Act and related provisions, with the minimum price not being below the nominal value or more than 15% higher than the share price listed on the Spanish Automated Quotation System at the time of the acquisition.

The proposed authorisation is for the maximum term envisaged by law, 5 years, and will run from the date of the resolution. It is conferred upon the Board subject to existing legal restrictions on the purchase of treasury shares and, more specifically, those restrictions prescribed by Articles 146 and 509 of Corporate Enterprises Act. In the event the Board of Directors should need to exercise the authorisation conferred upon it by the General Shareholders' Meeting, the Company's treasury shares would be subject to the treasury shares regime set forth in Article 148 of the Corporate Enterprises Act (CEA).

A.9 bis- Estimated floating capital:

	%
Estimated floating capital	67.76

A.10 Indicate whether there is any restriction on the transferability of securities and/or any restriction on voting rights. In particular, report the existence of any restrictions that might hinder the take-over of control of the company by purchasing its shares on the market

NO

A.11- Indicate whether the General Meeting has agreed to adopt measures to neutralise a public takeover bid, pursuant to Act 6/2007.

NO

If so, explain the measures approved and the terms and conditions under which the restrictions would become inefficient:

A.12- Indicate whether the company has issued securities that are not traded on a regulated market in the EU.

NO

Where applicable, indicate the different classes of shares, and what rights and obligations each share class confers.

B- GENERAL SHAREHOLDER'S MEETING

B.1- Indicate and, if applicable, explain whether there are differences with the minimum requirements set out in the Corporate Enterprises Act ("CEA") in connection with the quorum needed to hold a valid General Shareholders' Meeting.

NO

B.2- Indicate, and where applicable give details, whether there are any differences from the minimum standards established under the Corporate Enterprises Act (CEA) for the adoption of corporate resolutions

NO

Describe any differences from the minimum standards established under the CEA.

B.3-Indicate the rules applicable to amendments to the company bylaws. In particular, report the majorities established to amend the bylaws, and the rules, if any, to safeguard shareholders' rights when amending the bylaws..

There is no specific regulation for amending the articles of association other than that provided for by applicable regulations concerning the requirements established by art. 194 of the Corporate Enterprise Act for a reinforced quorum and by the remaining provisions of section VIII of the aforementioned act.

The requirements for passing resolutions set forth in article 21 of the Bylaws and articles 18 and 22 of the Regulations of the General Shareholders' Meeting match those stated above

B.4- Indicate the data on attendance at the general shareholders' meetings held the year to which this report refers and the previous year:

Attendance information					
General Shareholders Meeting Date	% shareholders present	% Attending by proxy	% voting remotely		Total
			Electronic vote	Other	
21/04/2016	13.90%	18.08%	0.00%	48.10%	80.08%
27/04/2017	17.20%	21.53%	0.00%	40.39%	79.12%

B.5- Indicate the number of shares, if any, that are required to be able to attend the General Meeting and whether there are any restrictions on such attendance in the bylaws:

YES

Number of shares necessary to attend the General Shareholders' meeting:	1,000

B.6- Section repealed

B.7- Indicate the address and means of access through the company website to the information on corporate governance and other information on the general meetings that must be made available to shareholders on the company's website.

The information is published on Viscofan's website whose address is: www.viscofan.com

The information relating to Corporate Governance is available on the Corporate Responsibility tab, which can be found at the top of the website homepage. Once inside the tab, the information can be accessed by clicking on Corporate Governance to be found in the menu on the left.

The information relating to the General Shareholders' Meetings is permanently available on the Investor Relations tab, located at the top of the website homepage. Once inside the tab, the information can be accessed by selecting the General Shareholders' Meeting section. Moreover, as of the date of publication of the notice to hold a new General Meeting, a direct link is enabled on the company's Home Page to the notice of meeting. In accordance with the shareholders' right to information, there is also access to legally-required documentation and other documentation for information purposes.

C.- CORPORATE GOVERNANCE STRUCTURE

C.1- Board of Directors

C.1.1- Maximum and minimum number of directors established in the bylaws:

Maximum number of Directors	10
Minimum number of Directors	3

C.1.2 Fill in the following table on the Board members:

Name of director (person or company)	Representative	Type of directorship	Position on the board	Date first appointed	Date last appointed	Election procedure
MR JOSE DOMINGO DE AMPUERO Y OSMA		EXECUTIVE	CHAIRMAN	27/02/2009	07/05/2015	VOTE AT THE GENERAL SHAREHOLDER 'S MEETING
MR NESTOR BASTERRA LARROUDE		OTHER EXTERNAL	1st VICE-CHAIRMAN	29/07/1997	11/04/2014	VOTE AT THE GENERAL SHAREHOLDER 'S MEETING
MS AGATHA ECHEVARRÍA CANALES		OTHER EXTERNAL	2nd VICE CHAIRWOMAN	24/06/1998	11/04/2014	VOTE AT THE GENERAL SHAREHOLDER 'S MEETING
MR ALEJANDRO LEGARDA ZARAGÜETA		INDEPENDENT	DIRECTOR	22/05/2006	23/05/2012	VOTE AT THE GENERAL SHAREHOLDER 'S

						MEETING
MR IGNACIO MARCO - GARDOQUI IBAÑEZ		INDEPENDENT	DIRECTOR	01/01/2010	21/04/2016	VOTE AT THE GENERAL SHAREHOLDER 'S MEETING
MR JOSÉ MARÍA ALDECOA SAGASTASOLOA		INDEPENDENT	DIRECTOR	23/05/2012	23/05/2012	VOTE AT THE GENERAL SHAREHOLDER 'S MEETING
MR. JAIME REAL DE ASUA Y ARTECHE		INDEPENDENT	DIRECTOR	11/04/2014	11/04/2014	VOTE AT THE GENERAL SHAREHOLDER 'S MEETING
MR. JOSE ANTONIO CANALES GARCÍA		EXECUTIVE	DIRECTOR	11/04/2014	11/04/2014	VOTE AT THE GENERAL SHAREHOLDER 'S MEETING
MR. JUAN MARCH DE LA LASTRA		NOMINEE	DIRECTOR	07/05/2015	07/05/2015	VOTE AT THE GENERAL SHAREHOLDER 'S MEETING
DON SANTIAGO DOMECQ BOHÓRQUEZ		NOMINEE	DIRECTOR	21/04/2016	21/04/2016	VOTE AT THE GENERAL SHAREHOLDER 'S MEETING

Total number of Directors	10

Indicate the severances that have occurred on the Board of Directors during the reporting period:

C.1.3- Fill in the following tables on the Board members and their different kinds of directorship:

EXECUTIVE DIRECTORS

Name of director (person or company)	Position within company organisation
MR JOSE DOMINGO DE AMPUERO Y OSMA	Chairman
MR. JOSE ANTONIO CANALES GARCÍA	Managing Director/CEO

Total number of Executive Directors	2
% of total directors	20.00%

EXTERNAL NOMINEE DIRECTORS

Name of director (person or company)	Name or business name of the significant shareholder represented or proposing nomination.
MR. JUAN MARCH DE LA LASTRA	CORPORACION FINANCIERA ALBA SA
MR. SANTIAGO DOMECQ BOHORQUEZ	ANGUSTIAS Y SOL S.L.

Total number of nominee directors	2
% of total directors	20.00%

EXTERNAL INDEPENDENT DIRECTORS

Name of director (person or company)

MR ALEJANDRO LEGARDA ZARAGÜETA

Profile

Industrial Engineer from the Higher School of Industrial Engineers of San Sebastián. Master in Economics and Business Administration from IESE (Barcelona) and Doctor in Innovation Economics from the Universidad Politécnica de Madrid.

With broad experience in industry, he became General Managing Director of Construcciones y Auxiliar de Ferrocarriles, S.A. (CAF) in 1992 until 2014, and is now a member of its Board of Directors.

He was an Independent Director of Pescanova, S.A. between 2013 and 2017.

Since 2008 he has served as chairman of the Mexican company Ferrocarriles Suburbanos S.A.P.I. de CV, dedicated to the transport of passengers in Mexico City.

From 2017 he is the Chairman of Nortegas S.A., natural gas distribution company in the north of Spain.

He joined the Board of Directors of Viscofan,S.A. as an Independent Director in 2006, and in 2007 became a member of the Audit Committee.

Name of director (person or company)

MR IGNACIO MARCO-GARDOQUI IBAÑEZ

Profile

Economics degree from Deusto University.

Mr. Marco-Gardoqui has a long professional career, he has worked for financial institutions, and his activities have covered teaching, consulting, and the press world, where he has a strong reputation for his active contribution as economic expert and columnist for Vocento Group.

He also has developed wide experience in several industrial companies, belonging to several Boards of Directors. Currently he is Director of Progénika Biopharma, Minerales y Productos Derivados, Tubacex S.A.

Previously, he has been a member, amongst others, of the Board of Directors of Técnicas Reunidas, Banco del Comercio, IBV, Banco de Crédito Local, Schneider Electric España, Iberdrola Ingeniería y Construcción (Iberinco SA) and was chairman of Naturgás.

He is member of the Board of Directors of Viscofan, S.A, Chairman of its Audit Committee and member of the Appointments and Remuneration Committee.

Name of director (person or company)

MR JOSÉMARÍA ALDECOA SAGASTASOLOA

Profile

Graduate in Technical Electronic Engineer from the Polytechnic School of Mondragón. Graduate from the Executive Management Programme at IESE.

Throughout his long professional career, he has held various posts at COPRECI (1971-1982). He was Managing Director of Fagor Electrónica and member of the Board of Directors of Fagor, S. Coop. (1982- 1991).

Between 1984 and 1991, he was Vice-Chairman of ANIEL (National Association of Electronic Industries) and Chairman of the Components Board. He was also member of the Board of Directors of the European Electronic Components Association (EECA) between 1986 and 1991. Between 1992 and 2012, he held various positions at Mondragón Corporación and, in 2007, he was appointed Chairman of the General Board, a position he held until July 2012.

He has a wealth of experience in the international industrial world, especially in Asia, including the creation of Fagor Electrónica in Hong Kong, the integration of the production plants of Orkli, Orbea, Mondragón Automoción in the industrial park of Kunshan (China) and the opening of the industrial park of Pune in India. He has sat on the Board of Directors of various automotive and components companies (Copreci-Czech Republic, Copreci-Mexico, Vitorio Luzuriaga, Fagor Ederlan-Brazil, Paranoa-Cicautxo-Brazil, FPK, Fagor Ederlan Slovakia), and was director (1992-2006) and Chairman (2007-2012) of Mondragón Inversiones.

He was also Chairman of the Engineering Faculty of the University of Mondragón (1998-2002).

He was an independent director and member of the Delegated Committee of Gamesa Corporación Tecnológica, S.A.

He is member of the Board of Directors of Viscofan S.A. and member of its Audit Committee. In 2014 he was appointed as Lead Independent Director.

Name of director (person or company)

MR JAIME REAL DE ASUA Y ARTECHE

Profile

Industrial engineer, specialising in industrial organisation from the ETSII (Bilbao).

He is currently Non-Executive Chairman of the Board of Directors of Elecnor S.A., Chairman of its Executive Committee and member of its Appointments and Remuneration Committee. He is also Chairman of the Infrastructures Committee of Elecnor and Director of Enerfín Enervento S.A., Enerfín Sociedad de Energía, S.L., and Celeo Concesiones e Inversiones, S.L.U., all of which

belong to the Elecnor Group. He is also member of the Advisory Board of BBVA for the Northern region.

He has also been Chairman and Director of Adhorna Prefabricación S.A. until its takeover merger by Elecnor in 2015, and Director and secretary of Cantiles XXI, S.L. Furthermore, from 1981 to 2012 he was director of Internacional de Desarrollo Energético, S.A. (IDDE).

At the same time, from 1981 until 2011 he was linked to Grupo Cementos Portland Valderrivas, where he held different management positions and was a member of the Board of Directors of various companies of this Group.

He is member of the Board of Directors of Viscofan, S.A, and Chairman of its Appointments and Remuneration Committee.

Total number of Independent Directors	4
% of total directors	40.00%

Indicate if any independent director receives from the company, or from its group, any quantity or benefit for an amount other than the director remuneration, or maintains or has maintained, during the last fiscal year, a commercial relationship with the company or with any company of its group, whether in his/her own name or as a significant shareholder, director or senior officer of an entity that maintains or had maintained this relationship.

NO

Where applicable, include a reasoned statement from the Board with the reasons why it deems that this director can perform his/her duties as an independent director.

OTHER EXTERNAL DIRECTORS

Identify all other external Directors and explain why these cannot be considered nominee or independent Directors and detail their relationships with the company, its executives or its shareholders.

Name of director (person or company)	**Reasons**
MRS. AGATHA ECHEVARRIA CANALES	More than 12 years on the Board of Directors.
MR. NESTOR BASTERRA LARROUDE	More than 12 years on the Board of Directors.

Total number of other external directors	2
% of total directors	20.00%

Indicate any changes that may have occurred during the period in the type of directorship of each director:

C.1.4- Fill in the following table with information regarding the number of female directors over the last 4 years, and the category of their directorships:

	Number of females directors				**% of total female directors of each category**			
	Period 2017	**Period 2016**	**Period 2015**	**Period 2014**	**Period 2017**	**Period 2016**	**Period 2015**	**Period 2014**
Executive	0	0	0	0	0	0	0	0
Nominee	0	0	0	0	0	0	0	0
Independent	0	0	1	1	0	0	20.00	20.00
Other external	1	1	1	1	50.00	50.00	50.00	50.00
TOTAL	1	1	2	2	10.00	10.00	20.00	22.22

C.1.5- Explain the measures, if any, that have been adopted to try to include a number of female directors on the Board that would mean a balanced presence of men and women.

Explanation of measures:

The duties of the Appointments and Remuneration Committee include establishing a representation target for the least represented gender on the board or directors, and preparing guidelines on how to achieve this objective. The Appointments and Remuneration Committee complies with the Board Member selection policy in which it is specifically established that the Committee must take account of the representation target established for the least represented gender and must include persons of the said gender amongst potential candidates.

The Appointments and Remuneration Committee has taken account of the gender diversity in the analysis prior to proposing candidates to cover the vacancies created on the Board of Directors, as one of the key factors to be taken into account, although weighting these factors with the diversity of competencies, knowledge and experience, all in accordance with the principles of equality, transparency and legality.

C.1.6- Explain the measures, if any, agreed by the Appointments Committee to ensure that selection procedures do not suffer from implicit biases that may hinder the selection of female directors, and that the company deliberately seeks and includes potential female candidates that meet the professional profile sought:

Explanation of measures

The Appointments and Remuneration Committee has worked on ensuring the presence of candidates in the selection processes to cover any director vacancies that may arise, including amongst the requirements to be taken into account, that the total number of candidates to be analysed is considered equally men and women, in order to guarantee gender diversity.

Furthermore, the Board of Directors has assessed in the view of current legislation, the Board of Directors Regulations and the directors selection policy, the competency, experience and merits of the candidates and has kept in mind the report made by the Appointments and Remuneration Committee in accordance with that established in article 529. decies. 6 of the Companies Act, in view of the Board needs assessing the diversity in its composition and structure and the conditions that the directors must have to exercise their positions, and the dedication required to appropriately perform their task..

When, despite any measures that might have been adopted, the number of female directors is low or zero, explain the reasons:

Explanation of reasons

See C.1.6 bis

C.1.6.bis- Explain the conclusions of the Appointments Committee regarding verification of compliance with the board member selection policy. And, in particular, explain how this policy is fostering the goal for 2020 to have the number of female board members represent at least 30% of the total number of members of the board of directors.

Explain the conclusions

The Appointments and Remuneration Committee considers that the director selection policy has been properly complied with, for a number of reasons: all of the recommendations made to the General shareholders' meeting have been supported by a prior analysis of the needs of the Board in they kept in mind the competencies, knowledge and experience of the directors and candidates, assessing the diversity, promoting the search for different alternatives of candidates that fit the profile and selecting them in accordance with the principles in this policy.

The Committee considers that there is a need to analyse the implementation of the policy on a yearly basis, and also in the longer term, taking account of any projected vacancies, based on the director term of appointment, in order to guarantee at all times the quality of the Board's decisions and its ability to effectively promote corporate interest. In this aspect, the Committee works taking into account the 2020 objective and hopes to be able to include in their appointment proposals some female candidate for the General Shareholders' Meeting of 2018

C.1.7- Explain the form of representation on the Board of shareholders with significant holdings.

The company maintains an on-going dialogue with institutional shareholders and investors, in accordance with its communication policy. As a result of these contacts, the company considers the participation in the Board of those significant shareholders that could be interested specifically in take part in the governance bodies of the company whose interests converge with those of the company in the creation of long-term value for all of the interest groups and analyses the different factors that could contribute to propose this participation, keeping in mind the internal policies of these shareholders, the structure of the share ownership and the composition of the Board at all times.

At this time the Board has two nominee directors.

C.1.8 - Explain, where applicable, the reasons why nominee directors have been appointed at the behest of a shareholder whose holding is less than 3% of the capital:

Name or company name of the Shareholder	Justification

Indicate whether formal petitions have been ignored for presence on the Board from shareholders whose holding is equal to or higher than that of others at whose behest nominee directors were appointed. Where applicable, explain why these petitions have been ignored.

NO

C.1.9- Indicate if any director has stood down before the end of his/her term of office, if the director has explained his/her reasons to the Board and through which channels, and if reasons were given in writing to the entire Board, explain below, at least the reasons that were given:

C.1.10 - Describe any powers delegated to the Chief Executive Officer(s), if any:

Name of director (person or company)	Brief description
MR JOSE DOMINGO DE AMPUERO Y OSMA	In his role as Chairman of the Board, he has granted powers of representation, powers relating to the purchase or sale, powers relating to personnel, to charges, payments, contracts, auctions and transactions, to checking accounts, credit or savings, to bills of exchange and promissory notes, securities, guarantees, and supplementary powers to the previous
MR. JOSÉ ANTONIO CANALES GARCÍA	In his position as managing director, he has been granted powers of representation, powers relating to purchase or disposal, powers relating to personnel, collections, payments, contracts, tenders and transactions, Current accounts, credit and savings accounts, bills of exchange and promissory notes, securities and shares, bonds and guarantees, and complementary powers to the above

C.1.11- Identify any members of the Board holding positions as directors or managers in other companies belonging to the listed company's group

Name of director (person or company)	Name of the Group Company	Position	Does the director hold executive functions?
DON JOSÉ ANTONIO CANALES GARCÍA	VECTOR USA INC	VICECHAIRMAN	NO
DON JOSÉ ANTONIO CANALES GARCÍA	VECTOR PACKAGING EUROPE NV	VICECHAIRMAN	NO
DON JOSÉ ANTONIO CANALES GARCÍA	VECTOR EUROPE NV	VICECHAIRMAN	NO
DON JOSÉ ANTONIO CANALES GARCÍA	NANOPACK TECHNOLOGY & PACKAGING S.L.	CHAIRMAN	NO
DON JOSÉ ANTONIO CANALES GARCÍA	GAMEX CB S.R.O.	DIRECTOR	YES
DON JOSÉ ANTONIO CANALES GARCÍA	KOTEKS VISCOFAN D.O.O.	DIRECTOR	NO
DON JOSÉ ANTONIO CANALES GARCÍA	NATURIN VISCOFAN GMBH	DIRECTOR	YES
DON JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN CZ S.R.O.	DIRECTOR	YES
DON JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN DO BRASIL SOCIEDADE COMERCIAL E INDUSTRIAL LTDA	MEMBER OF THE ADVISORY BOARD	NO
DON JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN TECHNOLOGY SUZHOU CO. LTD.	DIRECTOR	NO
DON JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN URUGUAY S.A.	DIRECTOR	NO
DON JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN USA INC	DIRECTOR	NO
DON JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN UK LIMITED	DIRECTOR	NO
DON JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN CANADA INC	SECRETARY	NO
DON JOSÉ ANTONIO CANALES GARCÍA	ZACAPU POWER S. DE R.L. DE C.V.	VICECHAIRMAN	NO
DON JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN CENTROAMÉRICA COMERCIAL SOCIEDAD ANÓNIMA	SECRETARY	NO
DON JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN DE MEXICO S. DE R.L. DE C.V.	VICECHAIRMAN	NO
DON JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN DE MEXICO SERVICIOS S. DE R.L. DE C.V.	VICECHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	GAMEX CB S.R.O.	CHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	KOTEKS VISCOFAN D.O.O.	CHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO	VISCOFAN CANADA. INC	CHAIRMAN	NO

Y OSMA			
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	VECTOR USA INC	CHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN CENTROAMÉRICA COMERCIAL SOCIEDAD ANÓNIMA	CHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	VECTOR PACKAGING EUROPE NV	CHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	VECTOR EUROPE NV	CHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN USA INC.	CHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN DO BRASIL SOCIEDADE COMERCIAL E INDUSTRIAL. LTDA	CHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN CZ S.R.O.	CHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN TECHNOLOGY SUZHOU CO. LTD.	CHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	NATURIN VISCOFAN GMBH	CHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN UK LIMITED	DIRECTOR	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN DE MÉXICO S. DE R.L. DE C.V.	CHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	ZACAPU POWER S. DE R.L. DE C.V.	CHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN DE MEXICO SERVICIOS S. DE R.L. DE C.V.	CHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN URUGUAY S.A.	CHAIRMAN	NO
DON NÉSTOR BASTERRA LARROUDÉ	GAMEX CB S.R.O.	VICECHAIRMAN	NO
DON NÉSTOR BASTERRA LARROUDÉ	KOTEKS VISCOFAN D.O.O.	VICECHAIRMAN	NO
DON NÉSTOR BASTERRA LARROUDÉ	VECTOR USA INC	DIRECTOR	NO
DON NÉSTOR BASTERRA LARROUDÉ	VECTOR UK LIMITED	DIRECTOR	NO
DON NÉSTOR BASTERRA LARROUDÉ	VECTOR PACKAGING EUROPE NV	DIRECTOR	NO
DON NÉSTOR BASTERRA LARROUDÉ	VECTOR EUROPE NV	DIRECTOR	NO
DON NÉSTOR BASTERRA LARROUDÉ	VISCOFAN USA INC.	VICECHAIRMAN	NO

DON NÉSTOR BASTERRA LARROUDÉ	VISCOFAN DO BRASIL SOCIEDADE COMERCIAL E INDUSTRIAL. LTDA	MEMBER OF THE ADVISORY BOARD	NO
DON NÉSTOR BASTERRA LARROUDÉ	VISCOFAN CZ S.R.O.	VICECHAIRMAN	NO
DON NÉSTOR BASTERRA LARROUDÉ	VISCOFAN TECHNOLOGY SUZHOU CO. LTD.	DIRECTOR	NO
DON NÉSTOR BASTERRA LARROUDÉ	NATURIN VISCOFAN GMBH	VICECHAIRMAN	NO
DON NÉSTOR BASTERRA LARROUDÉ	VISCOFAN URUGUAY S.A.	VICECHAIRMAN	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	SUPRALON INTERNATIONAL AG	DIRECTOR	NO
DON JOSÉ ANTONIO CANALES GARCÍA	SUPRALON INTERNATIONAL AG	DIRECTOR	NO
DON NÉSTOR BASTERRA LARROUDÉ	SUPRALON INTERNATIONAL AG	DIRECTOR	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	SUPRALON VERPACKUNGS AG	CHAIRMAN	NO
DON JOSÉ ANTONIO CANALES GARCÍA	SUPRALON VERPACKUNGS AG	DIRECTOR	NO
DON NÉSTOR BASTERRA LARROUDÉ	SUPRALON VERPACKUNGS AG	DIRECTOR	NO
DOÑA ÁGATHA ECHEVARRÍA CANALES	SUPRALON VERPACKUNGS AG	DIRECTOR	NO
DON JOSÉ DOMINGO DE AMPUERO Y OSMA	SUPRALON FRANCE SARL	DIRECTOR	NO
DON JOSÉ ANTONIO CANALES GARCÍA	SUPRALON FRANCE SARL	DIRECTOR	NO
DON NÉSTOR BASTERRA LARROUDÉ	SUPRALON FRANCE SARL	DIRECTOR	NO
DON JOSÉ ANTONIO CANALES GARCÍA	SUPRALON PRODUKTIONS UND VERTRIEBS GMBH	DIRECTOR	NO

C.1.12- Detail, where applicable, any company directors that sit on Boards of other companies publicly traded on regulated securities markets outside the company's own group, of which the company has been informed:

Name of director (person or company)	Name of the listed company	Position
MR JOSE DOMINGO DE AMPUERO Y OSMA	CORPORACION ALBA SA	DIRECTOR
MR JOSE DOMINGO DE AMPUERO Y OSMA	TUBACEX S.A.	DIRECTOR
MR NESTOR BASTERRA LARROUDÉ	IBERPAPEL GESTIÓN SA	DIRECTOR
MR ALEJANDRO LEGARDA ZARAGÜETA	CONSTRUCCIONES Y AUXILIAR DE FERROCARRILES SA	DIRECTOR
MR IGNACIO MARCO-GARDOQUI IBAÑEZ	TUBACEX. S.A.	DIRECTOR
MR IGNACIO MARCO-GARDOQUI IBAÑEZ	MINERALES Y PRODUCTOS DERIVADOS, S.A.	DIRECTOR
MR. JAIME REAL DE ASUA Y ARTECHE	ELECNOR S.A.	CHAIRMAN
MR. JUAN MARCH DE LA LASTRA	INDRA SISTEMAS SA	DIRECTOR
MR. JUAN MARCH DE LA LASTRA	CORPORACIÓN FINANCIERA ALBA SA	VICECHAIRMAN

C.1.13- Indicate and, where applicable, if board regulations have established rules on the maximum number of company boards on which its directors may sit:

YES

Explanation of rules:

According to that established in article 21 of the Board of Directors Regulations the directors of the Company may not form part of more than three Board of Directors of listed companies, in addition to that of Viscofan, S.A.

C.1.14- Section repealed.

C.1.15- Indicate the overall remuneration of the Board of Directors:

Remuneration of the Board of Directors (Thousand Euros)	3,229
Cumulative amount of rights of current Directors in pension scheme (thousands of euros	0
Cumulative amount of rights of former Directors in pension scheme (thousands of euros)	0

C.1.16- Identify members of senior management that are not in turn executive directors, and indicate the total remuneration accruing to them during the year:

Name (person or company)	Position(s)
MR GABRIEL LARREA	CHIEF COMMERCIAL OFFICER VISCOFAN GROUP
MR CÉSAR ARRAIZA	CHIEF FINANCIAL OFFICER VISCOFAN GROUP
MR JOSÉ IGNACIO RECALDE	CHIEF TECHNOLOGY & DIVERSIFICATION OFFICER VISCOFAN GROUP
MR. ANDRES DÍAZ	CHIEF OPERATIONS OFFICER VISCOFAN GROUP
MR. RICARDO ROYO	CHIEF EUROPEAN BUSINESS OFFICER VISCOFAN GROUP
MR MILOSLAV KAMIS	GENERAL MANAGER GAMEX CB SRO., MANAGING DIRECTOR VISCOFAN CZ SRO
MR. BERTRAM TRAUTH	GENERAL MANAGER NATURIN VISCOFAN GMBH
MR. ÓSCAR PONZ	CHIEF PLASTIC BUSINESS UNIT OFFICER
MR LUIS BERTOLI	GENERAL MANAGER VISCOFAN DO BRASIL S.COM E IND. LTDA
MR ANGEL MAESTRO	GENERAL MANAGER URUGUAY S.A.
MR IÑIGO MARTINEZ	GENERAL MANAGER KOTEKS VISCOFAN DO.O.
MR JUAN NEGRI	GENERAL MANAGER VISCOFAN TECHNOLOGY SUZHOU INC
MR EDUARDO AGUIÑAGA	GENERAL MANAGER VISCOFAN DE MEXICO SRL DE CV
MR DOMINGO GONZÁLEZ	GENERAL MANAGER VISCOFAN USA INC. & CEO VECTOR USA
MR JOSE ANGEL ARRARÁS	R&D AND QUALITY CHIEF OFFICER VISCOFAN GROUP
MR. JESÚS CALAVIA	INDUSTRIAL DIRECTOR VISCOFAN SPAIN
MS. MARÍA DEL CARMEN PEÑA	FINANCIAL DIRECTOR VISCOFAN SPAIN
MR. ARMANDO ARES	CHIEF INVESTOR RELATIONS & CORPORATE COMMINICATIONS OFFICER VISCOFAN GROUP
MR. JUAN JOSÉ ROTA	CHIEF HUMAN RESOURCES OFFICER VISCOFAN GROUP

MS. ELENA CIORDIA	CHIEF LEGAL OFFICER VISCOFAN GROUP
MS. BELÉN ALDAZ	HUMAN RESOURCES DIRECTOR VISCOFAN SPAIN

Total senior management remuneration (thousand Euros)	4,161

C.1.17. Indicate the identity of the Board members, if any, who are in turn members of the Board of Directors in companies of significant shareholders and/or in entities of their group:

Name or company name of the Director	Company name of the major shareholder	Position
MR JOSE DOMINGO DE AMPUERO Y OSMA	CORPORACION FINANCIERA ALBA SA	DIRECTOR
MR. JUAN MARCH DE LA LASTRA	CORPORACION FINANCIERA ALBA SA	VICECHAIRMAN
MR. SANTIAGO DOMECQ BOHORQUEZ	ANGUSTIAS Y SOL	SOLE ADMINISTRADOR

Detail the relevant affiliations, other than those considered in the above paragraph, that link Board members to significant shareholders and/or companies in their group:

C.1.18- Indicate whether there has been any change in the Board regulations during the year:

NO

C.1.19- Indicate procedures for selection, appointment, re-election, assessment and removal of directors. List the competent bodies, the procedures to be followed and the criteria to be employed in each procedure:

The selection, appointment, re-election, assessment and removal processes of the Directors are regulated in the articles of association, the Board Regulation and the Director´s Selection Policy. In their respective competencies, the General Shareholder´s Meeting, the Board of Directors and the Appointments and Remuneration Committee intervene in the different procedures.

The Board of Directors Selection Policy establishes that the Appointments and Remuneration Committee will be responsible for analysing the composition and structural needs of the Company's Board of Directors at all times, and for regulating the procedure to follow whenever there is a vacancy within the Board of Directors to ensure a search for candidates that is based on the principles of equality, transparency and legality, in order to provide the Board of Directors with candidates that can offer the competencies, knowledge and experience required for the Board at all times, taking account of the vacancies to be covered and the structure and composition of the Board, avoiding any implicit bias that may involve some type of discrimination and taking account of diversity, particularly the measures to be applied in order to meet the representation target for the least-represented gender on the Board of Directors and to facilitate the inclusion of female directors on the board.

Pursuant to Article 26 of the Articles of Association: Their appointment of directors will correspond to the General Shareholders' Meeting in accordance with article 243 of the Capital Companies Act.

And Article 27 sets forth that:

To be appointed to the position of director, the status of shareholder is not a requirement. The term of office for Directors is four years from the date they are appointed.

The appointment of Directors will cease when their term of office has ended and the next General Shareholders' Meeting has been held or the period stipulated by law for holding the Shareholders Meeting to resolve on the approval of the prior year's accounts has passed.

Article 27 bis establishes limits on the re-election of Independent Directors:

Independent directors may not be re-elected or appointed for a new term of office under the same classification when they have sat on the company's Board for a term of twelve (12) years as from the date on which they were first appointed.

The independent directors who reach the limit of twelve (12) years provided in the foregoing paragraph while their term of office is in progress may continue in their post and maintain their classification as independent until the completion of their term of office.

In this respect, Article 8 of the Board Rules sets forth: Article 8. Appointment of Directors.

The shareholders at the General Shareholders' Meeting or the Board of Directors itself will elect the Directors in the circumstances provided in law.

The Board of Directors must ensure that the procedures to select its members favours the diversity of gender, experiences, knowledge and that there is no implicit bias that may involve some type of discrimination, and, in particular, they should facilitate the selection of women directors.

The proposals relating to the appointment or re-election of directors, within the limits set out in the articles of incorporation, shall be made by the Appointments and Remuneration Committee in the case of independent directors and by the Board itself, subject to a report by the Committee, in the case of the other directors.

Any proposals must be accompanied, in any case, by an explanatory report from the Board, assessing the competence, experience and merits of the candidate proposed, and shall include the presence on the Board of a reasonable number of independent directors and shall tend to maintain a majority of directors who are external to management.

The Directors will hold their posts for the term provided in the company bylaws, and may be elected either once or several times. The independent directors may not be re-elected or appointed for a new mandate with the same qualification when they had performed

continuously the position of directors of the Company for a period of twelve (12) years starting from the date of their first appointment.

The independent directors who reach the limit of twelve (12) years provided in the foregoing paragraph while their term of office is in progress may continue in their post and maintain their classification as independent until the completion of their term of office.

Furthermore, Article 14 of the Board of Directors Regulations includes the Appointments and Remuneration Committee and sets forth:

The mission of the Appointments and Remuneration Committee, amongst others, will be as follows:

a) Evaluate the qualifications, knowledge and experience required by the Board and, as a result, define the functions and skills required from the candidates due to cover each vacant position and evaluate the amount of time and dedication required for the effective performance of their mandate.

b) Provide the Board of Directors with proposals for the appointment of independent Directors for appointment by co-optation or submission for voting at the General Shareholders' Meeting. Submit proposals for the re-election or removal of such Directors.

c) Provide information on proposals for the appointment of all other Directors for appointment by co-optation or submission for voting at the General Shareholders' Meeting, as well as proposals for their re-election or removal by the General Shareholders' Meeting.

Pursuant to Article 16 of the Board Regulations, relating to the Appraisal of the Board of Directors and the Committees: Each year the Board of Directors will evaluate:

a) the quality and efficiency of the operation of the Board itself;

b) the performance of their functions by the Chairman of the Board and the company's chief executive, based on the report raised by the Appointments and Remuneration Committee; should the Chairman have the capacity of executive director, then the coordinating director shall direct the periodical evaluation of the Chairman of the Board of Directors.

c) the operation of the Board's Committees, based on the report raised by each committee.

The Board must propose, based on the results of the said evaluation, an action plan to correct any shortcomings detected.

In compliance with this article of its Regulation, lead by the Appointments and Remuneration Committee or by the coordinating director, in the case of the Chairman, and coordinated by the Board Secretary, the Board will annually perform the assessment of the Board and all their Committees, analysing, among others, different formal and material aspects of the activity of each of them, as well as the content of the meetings, access to business knowledge, information regarding necessary aspects for the development of their duties, the presence of

officers in the meetings of the Board and the different Committees, the quality of the debates and decision-making, the performance by the directors and the Chairman of each committee and the Board, the qualification of the directors and the Board Secretary, the quality in the achievement of the objectives.

Suggestions are also requested, together with the inclusion of any comment that may help improve the performance of each one.

Each Director and the members of the Committees make their own individual analysis in accordance with guidelines and provide the results to the Secretary of the Board anonymously. After consolidating the results that are obtained, the Secretary gives them to the Board or to each of the Committees, where applicable, for internal debate and to resolve, where applicable, on the actions that help improve the operation and fulfilment of the functions of the Board and each Committee.

Additionally, the Board of Directors will perform the evaluation of the Chairman based on the report submitted by the Appointments and Remuneration Committee and headed by the coordinating director.

In fiscal year 2016, in accordance with the recommendations of Good Governance of listed companies, the Board of Directors commissioned an external consultant to provide services as a facilitator and leader of the self-assessment process of effectiveness of the operation of the Board. To perform the self-assessment process, an interview outline was established, taking into account the particular situation and best practices of Corporative Management.

The external consultant held individual interviews with all members of the Board of Directors, in which the quality and efficiency of the Board operation were analysed, as well as the operation and composition of its committees, the diversity of its composition, and the competencies of the Board, the performance of the Board Chairman and of the company's top executive.

In particular, a detailed analysis in the following areas was performed in the self-assessment process:

- Organisation of the Board
- Organisation of the Committees
- Composition of the Board
- Involvement of the Board
- Communication with Shareholders and Regulators
- Talent Management and Succession Plans
- Risk Management
- Future Issues
- Suggestions

The self-assessment report includes the conclusions drawn and has been presented to the

Appointments and Remuneration Committee and to the Board of Directors.

The removal of directors is governed by the following articles of the Regulations of the Board of Directors: Article 28. Separation of Directors.

Directors will serve at the pleasure of the Board of Directors and if the Board considers it appropriate, they will tender their resignation in the following cases:

a) When they become subject to any of the disqualifications or prohibitions set down in law.
b) When their remaining on the Board could undermine the Company's interests or when the reasons for which they were elected no longer apply.
c) Directors representing a controlling shareholder will tender their resignations when the shareholder they represent sells a substantial part of its stake.

The Board of Directors may not propose the removal of independent directors before the end of their term of office, unless the Board considers there is due cause following a report to such effect from the Appointments and Remuneration Committee.

When a director steps down before the end of his/her term of office, whether by resigning or for any other reason, he/she must explain the reasons for his/her departure in a letter to be sent to all other members of the company's Board of Directors.

The departure will be reported to the CNMV (National Securities Market Commission) as a material event, and the reason for the departure will be reported in the Annual Corporate Governance Report.

Article 29. Directors' Duties after Separation

After separation upon completion of the period for which they were elected or for any other reason, the Directors may not serve at any entity competing with the Company and its corporate group for a period of two years unless the Board of Directors grants dispensation from this requirement or shortens its term.

C.1.20- Explain to what degree the self- assessment has led to significant changes in its internal organization and the procedures applicable to its activities

Description of amendments:
As a result of the assessments made during recent years, the Board of Directors has included the following measures:

Drafting of an annual meeting calendar of the Board and the different committees to improve planning of the directors and to be able to facilitate their commitment and attendance to the meetings, in addition to the annual plan it includes visits to one of the Group centres, to be able to deepen in specific aspects of their activity and particular environment and, where

applicable, promote continuous training in the knowledge of the activity of the Group of companies of which the Company is the mother company.

There has also been an increase in the involvement of management in some meetings of the Board, in order to gain an insight into their fields of competence and to better monitor the Group strategy and that of each of its companies. In this regard, it is planned to devote to the Board meeting when a Top Management member attends.

Improvements have been made in the documentation sent to the directors prior to the meetings.

In addition, it has been proposed to strength the internal control and cybersecurity system.

C.1.20bis- Describe the assessment process and the assessed areas conducted by the board of directors assisted, as the case may be, by an external consultant, regarding the diversity in its composition and capacities, duties and composition of its committees, the performance of the chair of the board of directors and the fist executive of the company, and the performance and contribution of each board member.

In compliance with this article of its Rules, headed by the Appointments and Remuneration Committee or by the Coordinating Director, in the case of the Chairman, and coordinated by the Secretary of the Board, the Board makes an annual assessment of the Board itself and all its Committees, analysing, amongst other factors, a number of formal and material aspects of the activity of each one, in addition to the content of the meetings, access to business knowledge, information on factors that are required in order to carry out their duties, the presence of directors at the meetings of the Board and the various Committees, the quality of the debates and decision making, the performance of the directors and Chairmen of each of the committees and the Board itself, the qualification of the directors and the Board Secretary, the quality in the achievement of objectives.

Suggestions are also requested, together with the inclusion of any comment that may help improve the performance of each one.

Each Director and the members of the Committees make their own individual analysis in accordance with guidelines and provide the results to the Secretary of the Board anonymously. After consolidating the results that are obtained, the Secretary gives them to the Board or to each of the Committees, where applicable, for internal debate and to resolve, where applicable, on the actions that help improve the operation and fulfilment of the functions of the Board and each Committee.

Additionally, the Board of Directors will perform the evaluation of the Chairman based on the report submitted by the Appointments and Remuneration Committee and headed by the coordinating director.

In the 2016 tax year, in accordance with the recommendations of Good Governance of listed companies, the Board of Directors commissioned an external consultant to provide services as a facilitator and leader of the self-assessment process regarding the effectiveness of the Board operation. To perform the self-assessment process, an interview outline was established, taking into account the particular situation and best practices of Corporative Management.

The external consultant maintained individual interviews with each and every one of the members of the Board of Directors, during which they analysed the quality and efficiency of the operation of the board, the operation and composition of its committees, the diversity in the composition and competencies of the board, the performance of the chairman of the board and the first executive of the company.

In particular, in the self-assessment process a profound analysis was performed in the following areas:

- Organisation of the Board
- Organisation of the Committees
- Composition of the Board
- Involvement of the Board
- Communication with Shareholders and Regulators
- Talent Management and Succession Plans
- Risk Management
- Future Issues
- Suggestions

The conclusions obtained in the self-assessment process have been included as improvements in the operation of the Board and their committees during 2017, as mentioned in the previous section C.1.20.

After having performed the self-assessment process with the advice from an external consultant for fiscal year 2016, in 2017 the Company carried out an internal assessment of the Board.

C.1.20.ter Break down, where pertinent, the business relationship that the consultant or any company of its group maintains with the company or any company of its group.

The external consultant that provided their services as facilitator and leader of the self-assessment process in fiscal year 2016, Spencer Stuart, only has provided to the company the services related with the self-assessment of the Board of Directors.

C.1.21- Indicate the circumstances under which Directors are obliged to resign.

In accordance with the provisions of art. 24 of the Regulations of the Board, with regard to the duty to avoid conflicts of interest, the directors shall inform the company and, where appropriate, shall resign, in cases in which the credit and reputation of the Company may be damaged and, in particular, in criminal proceedings in which they may appear as defendants,

informing of the progress of any such prosecution. In this event, the Board will examine the case. The progress of the case shall be monitored and, in view of the same, a decision shall be taken as to whether or not the Director should continue in office.

Furthermore, according to article 28 of the Board of Director Regulations, Directors will serve at the pleasure of the Board of Directors and if the Board considers it appropriate, they will tender their resignation in the following cases:

a) When they become subject to any of the disqualifications or prohibitions set down in law.
b) When their remaining on the Board could undermine the Company's interests or when the reasons for which they were elected no longer apply.
c) Directors representing a controlling shareholder will tender their resignations when the shareholder they represent sells a substantial part of its stake

C.1.22- Section repealed.

C.1.23 Are reinforced qualified majorities required, other than the legal majorities, for some type of resolution?

NO

C.1.24 Explain whether there are specific requirements, other than those regarding directors, to be appointed Chairman of the Board of Directors.

NO

C.1.25- Indicate whether the Chairman has a casting vote.

YES

Matters on which a casting vote may be made
Pursuant to Article 28 of the Articles of Association:

Resolutions shall be adopted by absolute majority vote of the Directors attending the meeting and the Chairman shall have the casting vote.

Article 7 of the Board Rules sets forth the same thing.

C.1.26- Indicate whether the bylaws or the Board Regulations establish an age limit for directors:

NO

C.1.27- Indicate whether the bylaws or the Board Regulations establish a limited term of office for independent directors, other than that established by law

NO

C.1.28- Indicate whether the bylaws or the Board Regulations establish specific rules for proxy voting in the Board of Directors, the way this is done and, in particular, the maximum number of proxies a director may have, and whether it has established any limit regarding the categories that may be delegated beyond the limits stipulated by legislation. If so, briefly give details on such standards

The Board Regulations cover proxy voting at the Board of Directors or delegation in any of its members: Article 34. Use of Delegated Voting:

If the Board of Directors or any of its members request representation for himself/herself or for another individual and, in general, when the request is made in public, the document describing the empowerment must contain or have attached the agenda, as well as the applications for instructions to exercise the right to vote and the indication of how the representative is to vote if no precise instructions are given.

The delegations of votes received by the Board of Directors or any of its members will be executed in full accordance with the instructions received accordingly and the minutes will record the exercise and identification of the voting instructions received when they include a vote against the Board's proposals in order to protect the rights that may correspond to the delegating shareholder, where applicable.

Directors who have made public requests for representation may not exercise their voting rights pertaining to the represented shares in relation to the business on the agenda in which they have a conflict of interests and, in all cases, in relation to:

a) His/her appointment, ratification, removal or resignation as a Director.
b) The bringing of an action for liability against him/her.
c) The approval or ratification of transactions with the company in relation to which the director has a conflict of interests.

C.1.29- Indicate the number of meetings the Board of Directors has held during the year. Where applicable, indicate how many times the Board has met without the Chairman in attendance. In calculating this number, proxies given with specific instructions will be counted as attendances.

Number of Board Meetings	12
Number of Board Meetings not attended by the Chairman	0

If the Chairman is an executive Director, indicate the number of meetings held without an executive director present or represented and chaired by the Lead Director:

Number Meetings	0

Indicate the number of meetings of the Board's different committees have held during the year

Number of Delegated Committee Meetings	10
Number of Audit Committee Meetings	08

Number of Appointments and Remuneration Committee Meetings	07

C.1.30- Indicate the number of meetings held by the Board of Directors during the year attended by all its members. In calculating this number, proxies given with specific instructions will be counted as attendances

Number of meetings attended by all directors	12
% of attendances to total votes during the year	100.00%

C.1.31- Indicate whether the individual and consolidated financial statements presented for Board approval are certified beforehand:

YES

Where applicable, identify the person(s) who has(have) certified the Company's individual and consolidated financial statements to be filed by the Board:

Name	**Position**
MR JOSÉ ANTONIO CANALES GARCÍA	GENERAL MANAGER
MR CÉSAR ARRAIZA ARMENDÁRIZ	CHIEF FINANCIAL OFFICER VISCOFAN GROUP
MRS MARÍA DEL CARMEN PEÑA RUIZ	FINANCIAL DIRECTOR VISCOFAN S.A.

C.1.32- Explain the mechanisms, if any, established by the Board of Directors to prevent the individual and consolidated financial statements that it files from being presented to the General Meeting with a qualified auditors report.

To avoid any qualifications in the audit report on the financial statements prepared by the Board of Directors and submitted to the General Shareholders' Meeting, the Board has delegated this task to the Audit Committee, other functions, as provided in article 13 of the Board Regulations:

D) In relation with the external auditor:

Ensuring that the accounts prepared by the Board of Directors are put before the General Shareholders' Meeting without qualifications in the associated audit report.

For practical purposes, the Audit Committee will ensure compliance with the necessary mechanisms established to perform continuous control over the preparation of financial information at every level, from its start to its consolidation in the Viscofan Group companies.

Both the corporate financial department and the internal audit department have

collaborated closely with the Audit Committee to establish, put in place and monitor the most appropriate controls for guaranteeing the truthfulness of the financial information to ensure that it gives a true and fair view of the Group's financial situation.

The internal audit department has also included the continuous review of said controls in its annual plan for various subsidiaries, where said review will apply to the financial departments and areas that also take part in preparing the information: operations, human resources, purchasing and commercial, etc.
Both the internal audit department and the corporate financial department have collaborated actively with the Audit Committee to coordinate and monitor the evolution of the control system, proposing corrective measures where necessary and verifying their effectiveness.

The Audit Committee, internal audit and corporate financial departments have also held informative and follow-up meetings with external auditors to give them the characteristics of the internal control system and its implantation in all the Group's companies and to involve them in their fulfilment and maintain bidirectional communication to allow better monitoring of the improvements that have been put in place. All with the aim of continuing to guarantee the operation of the Group's financial information with greater control at all levels.

Furthermore, the company has maintained a policy of pre-closing the year on 31 October in order to anticipate and correct any incidents that may have arisen during the year.

C.1.33- Is the company Secretary a director?

NO

Complete if the Secretary is not also a Director:

Name or corporate name of Secretary	Representative
Juan Maria Zuza Lanz	

C.1.34- Section repealed.

C.1.35- Indicate what mechanisms the company has established, if any, to preserve the independence of the external auditors, the financial analysts, the investment banks and the rating agencies.

Article 13 of the Board of Directors Regulations, confers upon the Audit Committee the following duties relating to the external auditor:

D) In relation with the external auditor:

(4) Safeguarding the independence of the financial auditor, paying particular attention to any circumstances or questions that could jeopardise such independence, or any others relating to the process of auditing the accounts:

(i) the Audit Committee will ensure that the company publicly discloses any changeover of the financial auditor and includes a simultaneous statement and

details of any possible disagreement with the outgoing auditor. If the financial auditor walks away, the committee will explore the underlying causes.

(ii) the Audit Committee will likewise ensure that the company and the auditor adhere to current regulations safeguarding the independence of the auditors, and those governing the provision of non-audit services and the limits on the concentration of the auditor's business.

(iii) Maintaining the necessary contact with the auditor in order to receive information on all matters that could jeopardise the independence thereof, and any other matters related to the audit procedure.

(iv) Annually receiving from the auditors their statement of independence in relation to the related party or parties, in addition to a statement relating to additional services provided and the fees received by the external auditor or by the persons and entities related thereto, in accordance with the audit provisions set out in the regulations.

(v) It shall annually issue, prior to the report on the auditing of the accounts, a report expressing its opinion on the independence of the auditor, containing the valuation of any additional services provided, considered on an individual basis and as a whole, in relation to the status of independence or to the rules governing the audit.

Article 5 of the Regulations of the Board of Directors includes the following powers among those reserved exclusively for the Board of Directors sitting in full session, in addition to those reserved for the Board by law:

e) The determination of the policy on information to shareholders, markets and public opinion.

With regard to analysts and investment banks, the mechanisms envisaged under Article 35 of the Regulations of the Board of Directors, coupled with the company's commitment to monitoring applicable law, ensure that independence is upheld and that the information is made available to everyone at the same time and under the same conditions, thus ensuring equal access to such information.

Article 35 - Communications with shareholders and with the Securities Markets.

The Board shall ensure that accurate, reliable information is offered to the Company's shareholders and to the market with respect to any piece of information on the Company's activities, its earnings, shareholders with significant stakes, related-party transactions, shareholder agreements, treasury shares and any other information that must be disclosed pursuant to the law or the company by-laws, as well as any information deemed by the Board to be in the interest of the public.

The periodic financial information shall be homogeneous and reliable and, as appropriate, shall be submitted to the relevant Committee. The Board shall also immediately provide information to the public on:

a) Relevant facts that could materially influence the formation of stock market prices.
b) Substantial amendments to the Company governance rules.
c) Treasury share policies that Company may propose to carry out exercising the authorisations conferred by the shareholders at the General Shareholders' Meeting.

To such end the Board of Directors shall use all means at its disposal to keep the information

on the Company's web page up to date and to coordinate its content with the documents filed with and recorded at public registries.

The policy on communication with shareholders, institutional investors and their representatives or advisors establishes that the communication and the dialogue with the shareholders, and institutional investors and their representatives and advisors, and with the financial market in general, is based on principles of equality, transparency and legality, to provide the necessary information that guarantees the exercise of their rights and immediate, truthful and non-discriminatory decision making, ensuring the accessibility of this information to all shareholders.

C.1.36- Indicate whether the company has changed its external auditor during the year. If so, identify the incoming and outgoing auditors:

YES

Outgoing auditor	Incoming auditor
Ernst & Young, S.L.	PriceWaterhouseCoopers Auditores, S.L.

If there has been any disagreement with the outgoing auditor, describe the content thereof:

NO

C.1.37- Indicate whether the audit firm does other work for the company and/or its group other than the audit. If so, declare the amount of fees received for such work and the percentage of such fees on the total fees charged to the company and/or its group:

NO

C.1.38- Indicate whether the audit report on the annual financial statements for the previous year contained reservations or qualifications. If so, indicate the reasons given by the chair of the audit committee to explain the content and scope of such reservations or qualifications.

NO

C.1.39- Indicate the number of consecutive years during which the current audit firm has been auditing the financial statements for the company and/or its group. Indicate the percentage of the number of years audited by the current audit firm to the total number of years in which the annual financial statements have been audited:

	Company	Group
Number of consecutive years	1	1
Number of years audited by current audit firm / number of years the company has been audited (%)	3.70%	4.17%

C.1.40- Indicate and, where applicable, give details on the existence of a procedure for directors to engage external advisory services:

YES

Description of procedure:

According to article 18 of the Board Regulations,
´Through the Chairman, Directors may request the hiring of such external advisors as they deem necessary for the proper performance of their work as Directors. The full Board is empowered to adopt any relevant resolutions as to whether or not such external advisory services shall be performed, what person or entity shall provide such services, the limitations on access to the Company's proprietary information that such advisor shall have and the approval, as appropriate, of the relevant expense item´.

C.1.41- Indicate and, where applicable, give details on the existence of a procedure for directors to obtain the information they need to prepare the meetings of the governing bodies with sufficient time:

YES

Description of procedure
Article 17 of the Board of Directors Regulations sets forth the following:

"The directors will receive the necessary information for the performance of their task on time and with the appropriate depth to the issues to be handled, unless there are urgent reasons for their exceptional meeting or assembling.

The directors may gather additional information when considered advisable. The request shall be channelled through the Secretary of the Board".

C.1.42- Indicate and, where applicable give details, whether the company has established rules requiring directors to inform and, where applicable, resign under circumstances that may undermine the company's credit and reputation:

YES

Description of rules:

This was dealt with in point C.1.21 above.

C.1.43- Indicate whether any member of the Board of Directors has informed the company of any legal suit or court proceedings against him or her for any of the offences listed in article 213 of the Corporate Enterprises Act

NO

Indicate whether the Board of Directors has analysed the case. If so, explain the grounds for the decision taken as to whether or not the director should retain his/her directorship or, where applicable, describe the actions taken or planned to be taken by the Board of Directors on the date of this report.

C.1.44- Detail significant agreements reached by the Company that come into force, are amended or concluded in the event of a change in the control of the company stemming from a public takeover bid, and its effects.

No significant agreements have been made with these characteristics.

C.1.45- Identify in aggregate terms and indicate in detail any agreements between the company and its directors, managers or employees that have guarantee or ring-fencing severance clauses for when such persons resign or are wrongfully dismissed or if the contractual relationship comes to an end due to a public takeover bid or other kinds of transactions.

Number of beneficiaries: 2

Beneficiary type

Chairman and General Manager Director

Description of the agreement

In both cases: Indemnity of two years' salary in the event of irregular termination, with two years of non-competition.

Indicate whether these contracts must be disclosed to and/or approved by the company or group governance bodies:

Body authorising the clauses:

Board of directors (yes) General shareholders meeting (no)

	YES	NO
Is the General Meeting informed of the clauses?	X	

C.2 - **Board of Directors Committees**

C.2.1- Detail all the Board Committees, their members and the proportion of executive, nominee, independent and other external directors sitting on them

DELEGATED COMMITTEE

Name	Position	Category
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	CHAIRMAN	EXECUTIVE
MS ÁGATHA ECHEVARRÍA CANALES	DIRECTOR	OTHER EXTERNAL
MR NÉSTOR BASTERRA LARROUDÉ	DIRECTOR	OTHER EXTERNAL

% Executive Directors	33.00%
% Nominee Directors	0.00%
% Independent Directors	0.00%
% Other External Directors	66.67%

Explain the committee's duties, describe the procedure and organisational and operational rules and summarize the main actions taken during the year.

The delegated committee is regulated in article 30.1 of the Company By-Laws and in article 12 of the Board Regulations. These articles establish the following:

Company By-Laws. Article 30.1.

The Executive Committee or Delegate Committee will comprise a minimum of three and a maximum of five members. The following will be members of the Executive Committee: the Chairman, the First Vice-Chairman, and one to three Directors appointed by the Board itself pursuant to legal requirements.

The Executive Committee will adopt its resolutions by majority vote and the Chairman will have the casting vote. The Chairman of the Board will chair the Committee. As a permanent delegation of the Board of Directors, the Executive Committee will exercise all the powers of the Board, except for the following: Sale, exchange and tax of property, industrial or business facilities and businesses of all type, constitution and modification of royalties regarding these properties, facilities and businesses, disposal, availability, control and property taxes, constitution and modification of mortgage loans, submit questions to private arbitrations and those legally not delegable.

Board of directors regulations. Article 12,- Executive Committee.

The Executive Committee will comprise the number and type of members set down in the company bylaws. The Secretary of the Board of Directors will also serve as secretary of the Executive Committee.
The Board of Directors is empowered to appoint and remove its members based on a report by the Appointments and Remuneration Committee. The agreement must be approved by favourable vote of two thirds

of the components of the Board. The members of the Executive Committee will automatically cease to sit on the Committee when they cease to serve as directors of the Company.

The Executive Committee will possess such authority and powers as are awarded by the company bylaws and, as appropriate, by the pertinent resolutions of the Board of Directors or the shareholders at the General Shareholders' Meeting.

The Executive Committee will perform its duties with the utmost transparency before the Board, informing the latter of all business discussed and all resolutions adopted, and furnishing all directors with the minutes of its meetings.

Summary of its most important actions in 2017:

The Delegated Committee has met on 10 occasions.

In the exercising of their competencies the Committee has expanded upon the issues to be dealt with by the Board of Directors and has supervised the implementation of the strategy in the different Group subsidiaries, approved by the Board, and with maximum transparency

criteria, has transferred the proposals that emanate from it to the Board so that it can adopt the agreements that it considers timely. It also furnished all directors with the minutes of its meetings.

The Delegate Committee has carried out strategic analyses to study potential growths – both organic and inorganic – as well as different investment possibilities. As an example, in fiscal year 2017 the Board

of Directors has acquired 100% of the Social Capital of the companies Supralon International AG, Supralon Verpackungs AG, and their participants: Supralon Produktions und Vertriebs GmbH and Supralon France SARL; to the investments to install productive fibrous capacity in Cáseda (Spain) and to the increase of collagen capacity in Suzhou (China) and Koteks (Serbia), having the support of the analyses made by the Delegated Committee. It has examined the different products and families (collagen, cellulose, fibrous and plastics), product development and energy optimisation.

It has examined the progress of the corporate financial year, month by month, with regard to production and also with regard to the consolidated sales and results for the Group and each investee company.

They have participated in the meetings not only the members of the Committee and the Secretary, but also, occasionally, when required by the Committee, on time and participating exclusively in that relating to the issues in which they were asked to report, the General Manager Director and other members of Top Management.

Indicate whether the composition of the Delegated Committee/Executive Committee reflects the distribution of different classes of directorship on the Board

NO

Otherwise, explain the composition of the Executive or Delegated Committee

The Delegated Committee comprises an executive director and two other external consultants, due to their knowledge of the business and the industry in which the Company operates. The delegated committee performs an extensive work as permanent delegation of the Board, mainly aimed at deepening in all matters that require a greater analysis, monitoring and preparation, and contributing in the establishment of objectives, strategies, control and monitoring of them.

The Delegated Committee also has ongoing direct contact with senior management at the different production locations around the world and different corporate areas. This allows the Board to gain more detailed knowledge of the day-to-day reality of the Viscofan Group's activity and to better focus the meetings on Group strategy.

AUDIT COMMITTEE

Name	Position	Category

MR. IGNACIO MARCO-GARDOQUI IBAÑEZ	CHAIRMAN	INDEPENDENT
MR. AEJANDDRO LEGARDA ZARAGüETA	DIRECTOR	INDEPENDENT
MR JOSÉ MARÍA ALDECOA SAGASTOSOLOA	DIRECTOR	INDEPENDENT
MR. SANTIAGO DOMECQ BOHÓRQUEZ	DIRECTOR	NOMINEE

% Nominee Directors	25%
% Independent Directors	75%
% Other External Directors	0%

Explain the committee's duties, describe the procedure and organizational and operational rules and summarize the main actions taken during the year.

The Audit Committee is regulated in article 13 of the Board Regulations, which establishes its composition, the appointment and termination of its members, and their main duties. Article 30, section 2 of the Bylaws is supplemented by the reference to holding meetings, constitution and adopting agreements.

The Board Regulations establish the following.

Article 13,- Audit Committee

There will be an Audit Committee of the Board of Directors which will be formed by a minimum of three and a maximum of five members

The Audit Committee shall be exclusively comprised of non-executive Directors appointed by the Board of Directors. At least two must be independent Directors and one appointed taking into account his/her knowledge and experience in accounting, auditing or both.

Its members will be appointed by the Board of Directors with the legal requirements, prior report of the Appointments and Remuneration Committee, having present the knowledge, aptitudes and experience in matters of accounting, auditing or risk management of the directors and, will be automatically dismissed when they no longer hold a director position in the Company or in accordance with a resolution by the Board of Directors.

Committee members will be automatically dismissed when they no longer hold a Director post in the Company or in accordance with a resolution by the Board of Directors.

Audit Committee members will appoint a Chairman selected from the independent Directors that form the Committee, who will be replaced every four years and the Chairman may be re-elected one year after he/she ceases to serve as Chairman.

The Audit Committee shall be empowered to request the presence of any member of the Management team or any member of the Company's staff at its meetings, as well as the presence of the Company's independent auditors or any Company advisor whose presence is deemed advisable. All of the aforementioned shall be bound to cooperate and facilitate access to the information they have.

The Audit Committee will report to the Board on the business it addresses and on all resolutions adopted at the Board meetings convened for such purpose, and will provide to all directors with the minutes of its meetings. Notwithstanding the foregoing and if the Chairman of the committee deems it necessary based on the urgency and importance of the business in question, the information will be passed to the Board at the first meeting to be held after the committee meeting.

Notwithstanding other functions set out in the governing legislation, company by-laws or assigned to it by the Board of Directors, the Audit Committee's mission will include the following:

A) To report to the General Shareholders' Meeting on any issues or concerns raised by shareholders and falling within its remit.

B) Proposing the appointment of the financial auditor to the Board of Directors, which will then pass the matter on to the General Shareholders' Meeting in addition to the conditions of recruitment.

C) With respect to internal control and reporting systems:

(a) Overseeing the process of preparing and ensuring the integrity of the financial information relating to the company and its group, ensuring that the financial information internal control system (ICFR) is correctly designed and that all legal requirements have been met, and defining an appropriate consolidation perimeter, taking into account, among other aspects, possible complex corporate structures, instrumental or special purpose entities, the correct application of accounting criteria

(b) Overseeing the process devised by senior management for instituting lawsuits, making assessments and reaching significant estimates, and the impact thereof on the financial statements.

(c) Reviewing, analysing and discussing the financial statements and other relevant financial information with the senior management team and the internal and external auditors so as to ensure that the information is reliable, understandable and relevant, and that the accounting standards used for the preceding year have been duly followed.

(d) Monitoring the suitability of the control policies and procedures in place. Reviewing the internal control and risk-management systems, including tax risks, so that the main risks can be correctly identified, managed and reported.

(e) Discussing with the auditor any significant shortcomings in the internal control system, detected during the audit.

(f) Overseeing the internal auditing services, including, in particular:

(i) proposing the selection, appointment, re-election and separation of the head of internal auditing;

(ii) approving the annual internal audit work plan relating to the evaluation of the ICFR, and receiving regular information on the results of the work performed, including any

incidents that may arise. The Audit Committee will likewise receive an annual activities report and action plan to correct any deficiencies detected;

(iii) Ensuring the independence and efficiency of the internal audit function;

(iv) Proposing the budget for this same internal function;

(v) Receiving periodic information on its activities, and;

(vi) Verifying that senior management takes into account the conclusions and recommendations set forth in its reports.

D) With respect to the external auditor:

(1) Ensuring that the accounts prepared by the Board of Directors are put before the General Shareholders' Meeting without qualifications in the associated audit report,

(2) Overseeing compliance with the audit agreement, collecting information on the audit plan and its execution and ensuring that the opinion on the annual accounts and the main contents of the audit report are drawn up clearly and accurately.

(3) Monitoring the decisions of the senior management team regarding any adjustments recommended by the external auditor, and to hear and, where applicable, mediate any disagreements between both parties

(4) Safeguarding the independence of the financial auditor, paying particular attention to any circumstances or questions that could jeopardise such independence, or any others relating to the process of auditing the accounts:

(i) the Audit Committee will ensure that the company publicly discloses any changeover of the financial auditor and includes a simultaneous statement and details of any possible disagreement with the outgoing auditor. If the financial auditor walks away, the committee will explore the underlying causes.

(ii) the Audit Committee will likewise ensure that the company and the auditor adhere to current regulations safeguarding the independence of the auditors, and those governing the provision of non-audit services and the limits on the concentration of the auditor's business.

(iii) Maintaining the necessary contact with the auditor in order to receive information on all matters that could jeopardise the independence thereof, and any other matters related to the audit procedure.

(iv) Annually receiving from the auditors their statement of independence in relation to the related party or parties, in addition to a statement relating to additional services provided and the fees received by the external auditor or by the persons and entities related thereto, in accordance with the audit provisions set out in the regulations.

(v) Annually issuing, prior to the report on the auditing of the accounts, a report expressing its opinion on the independence of the auditor, containing the valuation of any additional services provided, considered on an individual basis and as a whole, in relation to the independence or with the rules governing the audit.

(5) Attempting to ensure that the group's auditor also audits each component group company

(E) Reporting to the Board of Directors on the following issues, before the latter adopts the corresponding resolutions:

(a) The regular financial information the company has to publish, ensuring that it is prepared in accordance with the same standards and practices as those used for the annual accounts and, for such purpose, weighing up the merits of conducting a limited audit of the external auditor.

(b) The creation or acquisition of interests in special purpose vehicles or those domiciled in countries or territories considered tax havens, plus any other similar transactions or operations which, owing to their complexity, might diminish the group's transparency.
(c) Related transactions

(F) Address and, where appropriate, respond to any initiatives, suggestions or complaints raised by shareholders in relation to the Committee's remit, as referred to the Committee by the Company's General Secretary.

(G) Set up and supervise a mechanism enabling employees to communicate confidentially and, if deemed necessary, anonymously, their concerns regarding possible irregular and potentially significant practices within the company, particularly those relating to accounting, finances and auditing.

(H) Supervision of compliance with internal codes of conduct and rules on corporate governance.

Likewise, Article 30.2 of the Articles of Association, as well as that already established in Article 13 of the Board Regulation, adds the following:

"The Audit Committee will meet every time the Chairman calls a meeting, through decision of the Board of Directors or following the request of the majority of its members.

The Audit Committee shall have a valid quorum whenever the majority of its members are present at the meeting, in person or represented.

Agreements shall be adopted through absolute majority of the members that attend the meeting and the casting vote will be that of the Chairman in the event of a tie.

The agreements shall figure in the minutes book of the Audit Committee, and should be signed by the Chairman of this body, as should the certifications that emerge from the resolutions adopted.

Summary of its most important actions

The Audit Committee met on ten occasions in 2016, three of which with external auditors. Whenever considered pertinent, it required the presence of members of the management team, of the Compliance committee, internal auditing committee and external auditors, that appeared before the Committee on three occasions, with the purpose of reporting on the most important aspects identified in the External Audit process, both in its preliminary phase, and during its performance and the final close of the year.

On 21 April, as a result of the expiry of the four-year mandate of Mr. Alejandro Legarda Zaragüeta as the Chairman of the Committee, Mr. Ignacio Marco-Gardoqui was unanimously appointed the new Chairman of the Audit Committee.

He has been fulfilling the duties pertaining to the position, in accordance with the regulations as well as those included in the Company By-Laws and the Board of Directors Regulations:

With regard to the external audit, in the preliminary phase the review from pre-closure to 31 October was carried out, enabling EY and the Committee to identify and anticipate the tasks of the external audit as well as the issues that given their uniqueness or accounting impact, require a special mention, such as that included in the Management Report that accompanies the Consolidated Report.

The auditor independence has been ensured, and because the annual accounts are presented without exception.

In accordance with the current legal provisions in Spain, Act 22/2015 of 20 June and Regulation (EU)-537/2014, in 2016 the Committee supervised and coordinated a selection for professional auditing services for the 2017-2019 period, as a result of which the Audit Committee put forward to the Board of Directors the designation of PricewaterhouseCoopers Auditores S.L. as the new Accounts Auditor for its subsequent submission to the General Shareholders' Meeting to be held in 2017.

Each quarter the Committee has supervised the SCIIF and the financial information to transfer to the CNMV and market, requesting the presence of the Management and the members of the Group Financial Department to contrast the evolution of the business and the most significant targets and operations and its accounting, as well as the Consolidation activities along with the Group's Financial Director and the Internal Audit. For the third year the EY was requested to assess the evolution of the implementation of SCIIF in the Group during 2016, taking the CNMV-issued Guide as a reference.

Throughout 2016 the Committee focussed its efforts on a continuous improvement of the control environment. It carried out a close follow up of the Financial Information Internal Control System (SCIIF), of the Group Regulatory Compliance System and of the Internal Audit activities.

The Audit Committee supervised the follow-up of the Internal Audit Plan, the update of the Compliance System, the review of the criminal risks map, and the formalisation of the Ethics and Regulatory Compliance Manual. It has also supervised the Risk Map of the Group, and its adaptation to the new Strategic Plan MORE TO BE 2016-2020, for its later transfer to the

Board of Directors, the Group's Tax Strategy, later approved by the Board of Directors, and formalised the regular follow-up of the Group's taxation.

In terms of the 2014/95/EU Directive, the Committee analysed the situation of the Corporate Social Responsibility (CSR). It also carried out a self-assessment of all of its members in terms of its activity throughout 2016, with the help of the External Consultant, Spencer Stuart. The result of this was satisfactory in content and performance.

Finally, it informed the Board of Directors of all of its activities, also delivering all the minutes of its sessions to the directors, as well as the information related to the risk map and the tax issues.

Identify the Director member of the Audit Committee who has been appointed on the basis of knowledge and experience of accounting or auditing, or both and state the number of years the chairman is in that position:

Name of Director with experience	Mr. IGNACIO MARCO-GARDOQUI IBAÑEZ
Number of years as Chairman	2

APPOINTMENTS AND REMUNERATION COMMITTEE

Name	Title	Category
MR JAIME REAL DE ASUA Y ARTECHE	CHAIRMAN	INDEPENDENT
MR IGNACIO MARCO-GARDOQUI IBAÑEZ	DIRECTOR	INDEPENDENT
MR. JUAN MARCH DE LA LASTRA	DIRECTOR	NOMINEE

%Nominee Directors	33.33%
% Independent Directors	66.67%
% Other External Directors	0.00%

Explain the committee's duties, describe the procedure and organizational and operational rules and summarize the main actions taken during the year.

The Appointments and Remuneration Committee is regulated in article 30, section 3, of the Articles of Incorporation of the Company and in article 14 of the Board Rules, governing its composition, the appointment and cessation of its members, and their principal duties.

We attach below the content referring to the Board Regulations as a broader and more complete draft of the duties, procedures, organisation and operation rules of the Appointments and Remuneration Committee. Article 14 establishes the following:

The Appointments and Remuneration Committee will be formed by a minimum of three and a maximum of five members and will be exclusively comprised of non-executive Directors appointed by the Board of Directors. At least two must be independent Directors.

Committee members will be automatically dismissed when they no longer hold a Director post in the Company or in accordance with a resolution by the Board of Directors.

Committee members will appoint a Chairman selected from the independent Directors that form part of the Committee. The purpose of the Appointments and Remuneration Committee will be as follows:

a) Evaluate the qualifications, knowledge and experience required by the Board and, as a result, define the functions and skills required from the candidates due to cover each vacant position and evaluate the amount of time and dedication required for the effective performance of their mandate.

b) Set a representation target for the least represented sex on the Board of Directors and prepare guidelines on how to achieve this target.

c) Provide the Board of Directors with proposals for the appointment of independent Directors for appointment by co-optation or submission for voting at the General Shareholders' Meeting. Submit proposals for the re-election or removal of such Directors.

d) Provide information on proposals for the appointment of all other Directors for appointment by co-optation or submission for voting at the General Shareholders' Meeting, as well as proposals for their re-election or removal by the General Shareholders' Meeting.

e) Provide information about proposals for appointing and dismissing senior management and the principal conditions of their contracts.

f) Review and organise the succession procedure for the Chairman of the Board of Directors and the Chief Executive Officer and, as the case may be, submit proposals to the Board of Directors to ensure that such succession is handled in an ordered and planned manner.

g) Propose to the Board of Directors the remunerations policy of the directors and senior officers, as well as the individual remuneration and the rest of the contractual conditions of the executive directors, and ensure its observance.

The Appointments and Remuneration Committee will report to the Board of Directors on the business it addresses and all resolutions it adopts.

Summary of its most important actions.

The Appointments and Remuneration Committee met on seven occasions and, whenever considered appropriate, the presence of senior management members was requested.

It fulfilled its normal duties, as established in the regulations and those set out in the Company By-Laws and the Board of Directors Regulations.

It reviewed the qualification of directors, it prepared reports for the assessment of executive directors and the assessment of the Committee itself and it headed the assessment of the Board and its committees regarding its activities in 2017.

It analysed the competencies, knowledge and necessary experience in the Board, it requested the presence of the Lead Independent Director to know the concerns of the non-executive directors, it made recommendations to the Board of Directors for proposals and reports for the re-election or appointment of Directors, whose appointments will be proposed to the Company's General Shareholders' Meeting for its approval.

It organised the succession plan of the Chairman, the General Manager Director and Top Management and the talent management policy.

In terms of remunerations it applied the current remunerations policy and it drew up the box of remunerations applying this policy, including the annual variable remuneration, it proposed the annual variable remuneration and monitored the compliance with the requirements for the triennial remuneration, both for the directors and for top management, as well as the wage policy for top management.

It also worked with the assessment of expert external consultants in the revision of the remunerations policy of the directors and top management to present to the Board a remunerations policy for the coming years for its submitting to the General Shareholders' Meeting to be held in 2018, with the objective of continuing adjusting to the best practices of remuneration, attraction and retention of necessary talent to contribute to reinforcing the leadership of Viscofan in a competitive environment.

In addition, the Committee for work-life balance of Viscofan Group workers has reported to this Commission.

C.2.2- Fill in the following table with information on the number of female directors sitting on Board Committees over the last four years

	Number of female directors							
	Year 2017		Year 2016		Year 2015		Year 2014	
	Number	%	Number	%	Number	%	Number	%
Delegated Committee	1	33.33%	1	33.33%	1	33.33%	1	33.33%
Audit Committee	0	0	0	0	0	0	0	0%
Appointments and Remunerations Committee	0	0	0	0	0	0%	1	33.33%

C.2.3- Section repealed

C.2.4- Section repealed.

C.2.5 Indicate, where applicable, the existence of regulations for the Board Committees, where they can be consulted and any amendments made to them during the year. Indicate whether an annual report on the activities of each committee has been drawn up voluntarily.

Committee name

APPOINTMENTS AND REMUNERATION COMMITTEE

Short description:

It is regulated in article 30 of the Company By-Laws, registered in the Commercial Register and published on the company's website in consolidated text including all the current availabilities.

It is governed also by the Regulations of the Board of Directors, which are available on the company's website and have been duly filed with the Spanish CNMV and with the Commercial Registry.

The text in force was transcribed in point C.2.1 above.

The Committee drafts an annual report of activities whose summary is included in point C.2.1

At the same time, the chairman of the Committee presented to the General Shareholders' Meeting a summary of his annual activity report.

Committee name

DELEGATED COMMITTEE

Short description:

The Delegate Committee is governed by Article 30 of the company's Articles of Association, as filed with the pertinent Commercial Registry and published on the company's website as a consolidated text encompassing all current provisions.

It is similarly governed by Article 12 of the Regulations of the Board of Directors, which are available from the company's website and have been duly filed with the Spanish CNMV and with the Companies Registry.

The text in force was transcribed in point C.2.1 above.

The Delegate committee regularly reports to the Board of Directors on all the matters discussed at its meetings and provides the minutes thereof.

Committee name

AUDIT COMMITTEE

Short description:

The Audit Committee is governed by Article 30 of the Company By-Laws, as posted on the company's website, and by Article 13 of the Regulations of the Board of Directors, which is similarly available from the company's website and has likewise been duly filed with the Spanish CNMV and with the Companies Registry.

The Committee draws up an annual report of activities whose summary is included in point C.2.1.

This report summary is submitted to the General Shareholders' Meeting on an annual basis for information purposes.

The Committee also drafts a report on auditor independence and a report on related party transactions, which are made available to the shareholders.

C.2.6- Section repealed.

D.- RELATED-PARTY TRANSACTIONS AND INTRA-GROUP TRANSACTIONS

D.1 - Explain the procedure, if any, for approving related-party and intra-group transactions

Procedures for approving related party transactions

Corresponds to the Board of Directors as one of the matters reserved exclusively for the Board by virtue of Article 5 of the Board Regulations:

e) Transactions made by the company with directors, major shareholders or shareholders with Board representation, or with other persons related thereto ("associate transactions").

However, the Board's authorisation shall not be required for related-party transactions that simultaneously meet the following three conditions:

1. They are governed by standard agreements applied across the board to a large number of customers;

2. They are arranged at prices or rates set on a general basis by the party acting as supplier of the goods or services in question;

3. The amount thereof is no more than 1% of the Company's annual revenue.

The Board will approve related-party transactions following a favourable report from the Audit Committee, according to article 13.E. (c) of the Board of Director Regulations.

D.2. Detail any significant transactions, entailing a transfer of a significant amount or obligations between the company or its group companies, and the company's significant shareholders:

Name of significant shareholder (person or company)	Name of the company or group entity	Type of transaction	Type of transaction	Amount (in thousands of Euros)
Corporación Financiera Alba S.A.	Viscofan S.A.	Contractual	Financing agreement: Loans	1,250
Corporación Financiera Alba S.A.	Viscofan S.A.	Contractual	Interest paid	50

D.3- Detail any significant transactions entailing a transfer of a significant amount or obligations between the company or its group companies, and the directors and/or senior managers:

Name of the directors and/or senior managers (person or company)	Name of the related party (person or company)	Nature of relationship	Nature of transaction	Amount (in thousands of Euros)
NONE				

D.4 - Detail the significant transactions in which the company has engaged with other companies belonging to the same group, except those that are eliminated in the process of drawing up the consolidated financial statements and that do not form part of the company's usual trade with respect to its object and conditions.

In any event, provide information on any intragroup transaction with companies established in countries or territories considered tax havens.

Name of the Group Company	Brief description of the transaction	Amount (in thousands of Euros)
NONE		0

D.5- State the amount of the transactions carried out with other related parties.

NONE

D.6- Detail the mechanisms established to detect, determine and resolve possible conflicts of interest between the company and/or its group, and its directors, managers and/or significant shareholders.

Article 22 of the Board Regulations, relating to the duty of loyalty establishes the obligation of the Company directors to perform their duties under the principle of personal responsibility with freedom of opinion or judgement and independently with regard to third party relations and instructions.

The duty to prevent conflicts of interest is governed in article 24 of the Board of Directors Regulations. Use of Delegated Voting:

Article 24. Duty to avoid conflicts of interest

The directors shall adopt the measures required to avoid situations of conflict with the company interest and with their duties towards the company and its group of companies, and they shall be obliged to inform the Board, prior to occurrence or as soon as they are aware of the existence thereof, with the obligation to immediately resign should the said conflict persist or should their presence on the board be contrary to the company's interests.

Directors shall refrain from discussing and voting on matters in which they have either a direct or indirect interest, even though related parties, except in the agreements or decisions affecting their capacity as member of the board, such as their appointment or removal from positions within the Board.

Likewise, the directors shall refrain from conducting transactions with the company, except for ordinary transactions, of little importance, made in standard conditions for customers.

Any situations of conflict of interest in which the Directors are involved, shall be included in the annual corporate governance report.

The directors shall inform the company and, where appropriate, shall resign, in cases in which the reputation of the Company may be damaged and, in particular, in criminal proceedings in which they may appear as defendants. The progress of the case shall be monitored and, in view of the same, a decision shall be taken as to whether or not the Director should continue in office.

Directors cannot, either personally or through an intermediary, carry out activities or hold positions of any nature in businesses or companies that are currently or potentially competitors of Viscofan and its group of companies, neither may directors act as a representative or consultant to such businesses or companies or perform any other activity that puts them in a situation of conflict of interests with the Company.

Moreover, the duty of loyalty and the duty to avoid conflicts of interest are extended to related parties, according to the definition included in the Board Regulations, in the version approved by the Board at its meeting held on 26 February 2015:

Article 26,- Related parties

The director's duty of loyalty, of avoiding conflicts of interest and of abstention in its various areas, also covers those activities performed by the director related parties, based on the definition contemplated in this regulation.

For the purpose of this regulation, the following shall be considered to be related parties:

1) The Director's spouse or spousal equivalent.
2) The ascendants, descendants and siblings of the Director or spouse.
3) The spouses of the ascendants, descendants and siblings of the Director.
4) The companies in which the administrator, either personally or through an intermediary, directly or indirectly, holds or has the power to hold control, holds an executive position or has a significant shareholding.

If the administrator is a legal person, then the following shall be understood to be related parties:

1) The partners who, in relation to the legal person administrator, hold or may hold, directly or indirectly, the control, hold an executive post or who have a significant shareholding.
2) De jure or de facto administrators, official receivers, and those attorney-in-fact with general powers of legal person administrator.
3) Companies forming part of the same group, that constitute a decision making unit due to the fact that one of them holds or has the power to hold, directly or indirectly, the control of the rest, or because the said control corresponds to one or several natural persons acting together as one.
4) Those persons that, in accordance with the paragraph above, are related to the directors of the legal person administrator.

With regard to the duties in relation to significant shareholders, article 32 puts the responsibility on the directors acting on their behalf, for extending to the shareholders the duties of the directors, in addition to those legally stipulated or set out in the Articles of Incorporation.

Likewise, the regulation stipulates that any transactions performed with the said significant shareholders must be approved by the full Board and must be included in the company's annual report and in the corporate governance annual report.

Finally, Article 34 of the Regulations of the Board of Directors, regulating the use of voting by proxy, reads as follows:

Directors who have made public requests for representation may not exercise their voting rights pertaining to the represented shares in relation to the business on the agenda in which they have a conflict of interests and, in all cases, in relation to:

a) His/her appointment, ratification, removal or resignation as a Director.
b) The bringing of an action for liability against him/her.
c) The approval or ratification of transactions with the company in relation to which the director has a conflict of interests.

Furthermore, the Viscofan Group Code of Conduct includes among its general ethical principles loyalty, in accordance with which directors, managers and employees of the Viscofan Group, as well as any person that develops his/her professional activity within the Viscofan Group, should act with loyalty in the permanent defence of the Group's interests and shall refrain in particular from carrying out any actions and operations, of whatever nature, that could mean a conflict between their personal interests and those of the Group, and even more so when those actions could be in the interest of competing companies. Likewise, among the action recommendations, the Code includes information regarding conflicts of interest:

"Viscofan Group employees shall notify the Regulatory Compliance Committee, or, where applicable, the Viscofan S.A. Board of Directors, regarding any economic, family or any other link that could give way to conflicts of interest because it could compromise their impartial action. In the event of a conflict of interest, the employees will be governed by the principles of independence and abstention, and, by virtue of these, shall refrain from performing operations in which conflicts of interest exist, unless under the strict authorisation of the Viscofan S.A. Board of Directors".

D.7- Are more than one of the Group's companies listed in Spain as publicly traded companies

NO

Identify the subsidiaries listed in Spain:

Subsidiaries listed

Indicate whether the respective areas of business and any potential relations between them and any potential business relations between the holding company and the listed subsidiary and other group companies have been publicly defined

Define any potential business relations between the holding company and the listed subsidiary company and between the listed subsidiaries and other group companies

Identify the mechanisms established to resolve any potential conflicts of interest between the listed subsidiary and other companies of the group:

Mechanisms to resolve possible conflicts of interest

E. - RISK CONTROL SYSTEMS

E.1 - Explain the scope of the company's Risk Management System, including risks of a tax-related nature

The risk management system of the Viscofan Group is regulated by the Policy on risk management control approved in 2017, whose object is to establish basic principles and the general framework for acting for the control and risk management of any nature to which the Viscofan Group faces with the purpose of identifying, measuring, preventing and mitigating their possible impact on its activity in the case of occurrence.

The control and risk management policy establishes 3 basic principles:

Integration:
The control and risk management of the Viscofan Group must guarantee the preventative identification of the different risks that may affect their activity, integrating, coordinating and governing all the actions aimed at preventing and mitigating these risks via a system that involves all the companies over which they have effective control, reaching all their employees, including senior management, and the Company's Board of Directors.

The Company's control and risk management is based on a code of conduct that indicates the ethical principles and behaviour guidelines, supplemented by the internal operational policies, divided into: general policies, specific policies, and local policies. This risk management system and its policies come within the limits provided for in the rules and regulations applicable to the activity of the Viscofan Group.

Continuity:
The control and risk management must be reviewed and updated periodically to adjust to the situation of the Viscofan Group at all times in order to guarantee the preventative identification continuously in time and the adaptation to the mitigating measures and information and control systems of the different risk that could affect the evolution of this activity in a socio-economic, political and changing environment in their different geographic locations, as well as the composition of the Viscofan Group throughout time.

Transparency:
The control and risk management must guarantee reliable information to all the interest groups: shareholders, market, employees and the entire company, of the inherent risks to the Viscofan Group and the systems developed for their prevention and mitigation that

contributes to the compliance of the growing requirements for information in different areas of the company's activity.

The general policy on control and risk management and their basic principles are materialised via an integral continuous control and risk management system, supported by different internal bodies that have different duties and responsibilities, and by a consistent process, at least, in the following actions:

a) Identify the main strategic, operating, information and compliance risks, keeping in mind their capacity to negatively affect the creation of sustainable value and shared for their interest group on behalf of the Viscofan Group, and in accordance with their circumstances and the development of their activity within the Strategic Plan MORE TO BE 2016-2020.

b) Fix a level of risk that is considered acceptable in accordance with the circumstances of the Viscofan Group at all times via the establishment of tolerances and adopt the means of measurement and control that allow for appropriately monitoring its evolvement.

c) Identify, implement and maintain an integrated control system in the internal regulations of the Viscofan Group identifying or, where applicable, approving the codes, policies and procedures aimed at mitigating the identified risks in case they materialise.

d) Assess the suitability and efficiency of the control system and its application, as well as its compliance by all the Viscofan Group employees.

e) Review and, if applicable, adapt and reinforce the compliance system determining specific action plans in the case that the occurrence of one of the main risks negatively affects the creation of long-term sustainable value.

Knowing the location of each risk on the inherent and residual map and its tolerance to the risk requires an on-going dialogue between the interest groups through the channels established by the company. This system enables the Organisation to measure how mitigating the measures adopted have been and to focus on the risks that are still outside of the comfort zone, adding corrective and preventive measures that allow the impact and/or probability of the risk occurring to be lowered.

Managing corporate risks is not a serial process, in which each component only affects the next, but rather it is a multi-directional and iterative process in which one component can influence any other.

The monitoring of the company's Risk Management System is performed through a number of risk management committees, as set out in point E.2. In this same point the duties regulated specifically by the Company are developed, and that are attributed in each case to the different bodies involved in the risk management, which includes participation in the personnel risk control and forecasting system for both participating companies (local level) and on a corporate level.

The Global Risk Committee met on 3 occasions this year 2017 with the purpose of updating the map. Though it is possible that there are additional risks that are not identified and that could also negatively affect the achievement of Viscofan Group objectives.

The existing risk map has been defined in accordance with the code of ethics, internal regulation and the Strategic Plan MORE TO BE, which encompasses the period from 2016-2020, and is presented adopting the COSO methodology, grouping the existing risks in four categories:

1. Strategy,
2. Operations,
3. Information,
4. Compliance.

The objectives of this update are several:

a) Continued consulting to members regarding the necessity of adding a risk map,
b) Incorporate the criminal risks identified by the Compliance Committee to the risk map,
c) Review the assessment of the risks on the residual risk map, taking into account the mitigating measures implemented and the events occurring in the world that could impact us,
d) Improve the risk management with the implementation of the tool "Risks Management" of SAP GRC
e) Identify risk indicators to each risk to facilitate their monitoring and assigning of individual thresholds.

The collection of these measures is reflected in the internal regulation, in the financial information internal control system, and in the code of conduct that is implemented across the entire Group

E.2- Identify the corporate bodies responsible for drawing up and enforcing the Risk Management System, including tax-related risks

Name of the committee or body
BOARD OF DIRECTORS
Description of functions
In powers", the risk control and management policy and the periodic monitoring of internal information accordance with Art. 5 of the Company Board of Directors Regulations, relating to Exclusive and control systems constitute one of the matters that may only be heard and addressed by the Board of Directors when in full session.

Name of the committee or body
AUDIT COMMITTEE
Description of functions
The Audit Committee, through its duties in relation to the internal control and reporting systems, is responsible for overseeing the preparation and control of the financial information in general and, specifically, all the procedures implemented for this purpose.

Furthermore, a specific duty of the Audit Commission is to oversee the suitability of the control procedures and policies implemented and to review the internal control systems and risk management, in order to ensure that the main risks are identified, managed and effectively disseminated.

Name of the committee or body

INTERNAL AUDIT

Description of functions

On their behalf, the Internal Audit Department has among their objectives the assessment and control of the risks of any nature to which the Organisation faces and for which purpose it is capable of examining and assessing the systems and procedures of control and mitigation of all risks, as well as the methodologies used. It has a broad presence on specific risk Committees: Global Risks Committee, Credit Risks Committee and Investments Committee.

Name of the committee or body

REGULATORY COMPLIANCE COMMITTEE

Description of functions

The Regulatory Compliance Committee includes among their duties that of supervising specific risks of the Company in relation with the criminal responsibility or any other regulation incompliance of it and assess, analyse, implement or improve and monitor a system of compliance aimed at avoiding the criminal responsibility on behalf of the Company.

Name of the committee or body

ETHICS COMMITTEE

Description of functions

The Ethics Committee is responsible for opening, on its own account or at the request of a third party, the investigation of any situation that may give rise to a situation of risk for the Viscofan Group as a result of a breach of the Viscofan Group's internal regulations or any other circumstance.

Name of the committee or body

GLOBAL RISK COMMITTEE

Description of functions

The Global Risk Committee is a collegiate body whose purpose is to deepen the identification, analysis and revision of the main inherent risks that affect the organisation, assess the exposure to it and formulate the recommendations and necessary actions for handling the risks within the reasonable margins.

The Global Risk Committee is therefore an authority of analysis, definition, advising and coordination in terms of risk and its management.

Name of the committee or body

CREDIT RISK COMMITTEE

Description of functions

The Credit Risk Committee is established as a supervisory and control body for those risks related to customer payment management. The objective of this Committee is to delve into the prevention, monitoring and solution of the risks mentioned, via the creation and implementation of the instruments considered most appropriate at the time.

Name of the committee or body

INVESTMENTS COMMITTEE

Description of functions

The main purpose of the Investment Committee is to control and supervise compliance with the Investment Plan approved by the Board of Directors. To achieve this, it meets on a

quarterly basis for the purposes of performing periodic follow-up checks on the correct application of approved investments and controlling the efficient use of Group resources and investments.

Name of the committee or body
SENIOR MANAGEMENT
Description of functions
Senior management is responsible for identifying and assessing the risks to which the Group is exposed in the course of its business and for taking appropriate measures to prevent the appearance of these risks or, if they do appear, to reduce or eliminate their impact. Therefore, it plays a fundamental role in designing and implementing control mechanisms and ensuring their fulfilment across the organisation.

Name of the committee or body
EMPLOYEES
Description of functions
Finally, the remaining Viscofan Group employees shall comply with the measures in place in the risk control and prevention systems and, where applicable, report any behaviour they consider may be a possible risk to the Viscofan Group.

In order to facilitate coordination tasks, better identify risks and risk prevention and control actions, certain individuals were identified at local levels who will coordinate their actions with the competent bodies at the corporate level.

E.3- Indicate the principal risks, including tax-related risks that could prevent business targets from being met

The risks were identified following the COSO methodology, and are shown on the Viscofan Group's risk map under qualitative and quantitative parameters. To summarise, the main risks are indicated that may affect the sustainability of the Viscofan Group and the achieving of the business objectives defined in the current strategic plan. MORE TO BE 2016-2020.

1. Strategic risks: Those risks that affect the objectives at a high level, aligned with the mission of the Viscofan Group. The company has identified the following specific risks within this category: Natural disasters, Country risk, Competitive environment risks and of the market of the sector (competitors, customers and substitute products), Reputation risk, Company ownership risk, Risk of obsolescence-innovation, Cybersecurity risk.

2. Information risks: Those risks that affect the reliability of information supplied and objectives regarding the availability of sufficient capital and resources to carry out the activity and achieve the financial objectives of the company. The company has identified the following specific risks within this category:
IT contingencies, integrity of the development of financial information, financing and lack of liquidity, exchange rate, interest rate, budgetary control, and pension plans.

3. Transaction risks: Those risks that affect the objectives related to efficient use of resources and continued long-term activity, including reputational risks.
The company has identified the following specific risks within this category: Significant damages, Business continuity, Energy market, Client dissatisfaction, Transport risk, Lack of raw

materials, Civil responsibility, Disclosure of know-how, Human capital, Group cohesion, Dietary risk, Sabotage.

4. Compliance risks: Those risks affecting the objectives relating to compliance with applicable laws and rules and regulations, including internal rules, in addition to the protection of employees and the company: Environment, Work accidents, Work safety and hygiene, Evolution of the regulatory framework, Multinational dietary legislation compliance, Compliance of obligations arising from commercial relationships, Corporate risk, Criminal responsibility of legal persons, LOPD risk, Taxation.

E.4- Identify whether the entity has a risk tolerance level, including tax-related risks

The company has a risk map in which the risks are quantitatively and qualitatively rated, making it possible to define a tolerance level for the risk identified. The appetite accepted for the risk is supported by the strategy defined and is reviewed by the various risk committees.

Prior to establishing preventive and corrective measures for each risk identified, the company and the various bodies exercising the functions referred to above, shall discuss the probability of occurrence of each risk, the consequences of the different scenarios in the event of occurrence and the impact that the said occurrence could have on the Group, on its activity and on its financial statements, in addition to its resilience in each case. With this data the criticality is determined, to match it with the prevention and correction measures to be implemented.

There are key risk indicators (KRI) defined for each risk and the tolerance thresholds for all of them. Some, for example in "Serious work accidents" established a tolerance level of zero.

They are the object of a continuous monitoring of those risks that are in the very high criticality area.

E.5- State what risks, including tax-related risks, have occurred during the year.

Risk is inherent in any business activity and, although the actual company diversification, at a geographic level (sales and production), and with regard to the product range, is a measure in itself that mitigates the risks identified on the risk map, this global nature also means that, during the financial year, adverse circumstances also develop, making it difficult to achieve the objectives established in the budget for the year.

However, in the course of the tax year, the measures implemented and the quantification of the said risks have not prevented the company from achieving the financial objectives established and reported to the investment community.

In this context, some of the risks to materialise with the most significant impact are as follows:

Materialised risk in the course of the fiscal year : Financial risk: exchange rate

Circumstances giving rise to the risks:
In 2017, the exchange market faced a large volatility due to macroeconomic changes, economic and monetary policies carried out by competent authorities in different countries. In this sense, variations in the currencies that the Group uses have experienced a great fluctuation, in particular the United States dollar, Brazilian real, Czech koruna, Chinese renminbi and the

British pound, and not only in ratio terms, but that the volatility among maximums and minimums of change has been very drastic in the fiscal year and has significantly impacted the changing of the incomes and in negative exchange differences.

Functioning of the control systems:
Viscofan attentively watches for opportunities to take out exchange rate hedges, endeavouring to cover the transaction flows between different currencies, as required by circumstances. Over the last few years, the company has strengthened the treasury team and has contracted out reporting systems in order to improve the hedging capacity to minimise risk. However, the volatility of the currencies is also driving up the cost of the hedges.

Materialised risk in the course of the fiscal year. Strategic risk. Competitive Environment of the sector.

Circumstances giving rise to the risks:
In 2017, the competitive environment in the United States market endured a level of prices and commercial offers on behalf of the competitors, particularly in cellulose technology that has brought the loss of significant customers in the country.

Functioning of the control systems:
Monitoring work of this market has been performed, maintaining disciplined trading policies that will not damage the financial objectives of profitability. The specific projects were reinforced in the United States, increasing the product portfolio (especially in other casings technologies) and that pursue improving the levels of service, quality and productivity that entails a greater protection of the market share in adverse scenarios.

Materialised risk in the course of the fiscal year: Compliance risk. Taxation

Circumstances giving rise to the risks:
In 2017, the Viscofan Group included in the scope of consolidation the companies of Supralon in Europe due to the purchase in November 2017 of 100% of their Social Capital. Among the purchased companies is Supralon International AG, located in Liechtenstein, country considered a tax haven.

Functioning of the control systems:
The Group has a fiscal policy that establishes that "it will prevent the presence of tax havens when it tries to transfer income". Based on this strategy, they decided to analyse the situation in Supralon International AG to adjust to the fiscal strategy of the Group in 2018.

Materialised risk in the course of the fiscal year: Operational risk. Customer dissatisfaction

Circumstances giving rise to the risks:
In 2017, some casings were produced in the US that did not meet to the requirements of some customers, causing its removal and compensation.

Functioning of the control systems:
The quality team in the US reinforced and carried out investments in the factory to ensure that the production met the requirements demanded by the customers and proceeded to remove the defective products from warehouses.

E.6- Explain the response and supervision plans for the principal risks faced by the company, including tax-related risks

1. Strategic risks

Natural disasters

In 2015 the company completed the preparation of the Corporate level Business Continuity Plan which commenced in the previous financial year and has now moved down to a local level in order to individually equip the production plants with the responsiveness and adaptability in the face of any contingency, including natural disasters.

On the other hand, we are working on intra-group diversity, in other words the production of any plant may be assumed by another group plant in the event of a natural disaster or similar circumstances.

In this respect, particular mention should be made of all the work carried out in the various plants with regard to EHS, since this function was created. This has led to greater uniformity in the management and analysis criteria in this area, as well as in the promotion of improvement-driven initiatives. The close collaboration with the Risk Engineering departments of the insurance companies is allowing Viscofan to gain a better knowledge of its risks and to implement measures/make investments that have a direct impact on the reduction in risk exposure, including Natural Disasters.

Country risk

The Credit Risk Committee met periodically in order to analyse the actual risk to customers of the entire Group, analyse potential delays, review compliance with established procedures, verify the status of insurance policy coverage and conditions, review the risk in different countries, especially the current political and financial instability in certain countries, including Spain, and adopt the measures required in each case to ensure, or, where applicable, decrease, this exposure by changing sales conditions, requesting collection assurance measures, etc.

Cyber-safety risk

A cyber-attack is a malicious action that aims to damage the availability of assets, data confidentiality or the integrity of an organisation's information. The risk of an attack is a growing issue, due to the ever-increasing computerisation of the systems and a greater use of network settings.

An organisation that is aware of the risk that exists both inside and out of its perimeter can minimise the possibility of being attacked. In this respect, Viscofan has a Recovery Plan implemented within its IT area, a contingency plan that ensures the continuity of operations, and installed software and hardware aimed at protecting information. It has also increased employee awareness regarding the risks of cyber-safety, and has implemented an access policy for current external suppliers that require regular access.

2. Financial Risks and Exchange Rate Systems

Viscofan is attentive to new business and exchange rate hedging opportunities, advisable at any given time, and which make it possible to reduce the impact of this risk.

Financial control of transactions
In 2017, the company has expanded its corporate management control team in order to conduct a more exhaustive analysis of production costs and to improve the reporting systems. This team will also facilitate the work of financial support, depending on the needs of the various Group subsidiaries.

Computing contingencies.
Once the company defined the contingency plan to reduce the impact of a systems failure, this plan was then implemented, including servers located in different cities, to guarantee system operation in less than twenty-four hours following any type of occurrence, and ensuring the continuity of activity in the event of damage.

3. Operational risks.

Energy market.
The company is analysing a number of alternatives in order to obtain the most benefit from reductions in energy costs. In addition, following the regulatory changes made in Spain throughout the fiscal years of 2013 and 2014, the company is making studies and contingency plans to reduce the impact of new regulatory changes in the future. In Germany, the Group has invested in a cogeneration turbine to reduce the plant's dependence on third party supplies.

This is more efficient with regard to energy costs whilst the company has taken an important step forward in environmental terms, due to the drop in the consumption of primary energy at this plant. The Group is also performing a viability study of the use of cogeneration in other locations, for example, in Mexico in 2017 they installed a new more efficient energy model.

Scarcity of raw materials.
Distinct strategies have been followed for diversification and the homologation of new suppliers in each product line, all directed at the approval of alternative suppliers in order to lower dependency and gain increased flexibility with regard to fluctuations in supply and demand.

Likewise, there has been in-house work directed at adapting a number of processes in order to permit the use of different raw materials.

Furthermore, a corporate head of purchasing has been appointed in order to increase the negotiating possibilities with the various suppliers.

Environmental, safety and hygiene risks
The Board of Directors has endorsed a new corporate policy on the Environment, Safety and Hygiene, which is mandatory for all Viscofan Group collaborators. In order to ensure that all the Viscofan Group collaborators comply with the principles contained in this corporate EHS policy, a set of guidelines has been defined to implement the policy (Viscofan EHS Management Guidelines). The key objective of these guidelines is to provide all the group companies with a sound management system in the Environment and Occupational Health and Safety areas. This commitment is reflected in the signing of the United Nations Global Compact during fiscal year 2015 and renewed in 2016 and the start of the certification obtained in several plants of the group under internal standards such as ISO 50.001, ISO 14.001 or OSHAS 18.001

4. Compliance risks

Evolution of the framework regulation

Every effort has been made to monitor the regulatory amendments. Whenever possible, the company has carried out prevention actions on the possible impacts that these changes could cause.

Compliance management is also one of the cornerstones of the EHS management guidelines, defining the need to implement legal requirement identification systems and to conduct periodical compliance audits.

The financial area has legal and tax advice to monitor the evolution of the tax regulation in the different countries where the Viscofan Group operates, and in 2016 the Tax strategy was approved.

Monitoring system and complaints channel

The Group has a complaints channel available for all locations, and an Ethics Committee to favour the use of this channel and provide greater protection to any collaborators who may use the said complaints channel.

These specific tasks and projects come within the framework of the general policy conducted this year, with an increase in the monitoring measures in the different risk areas in order to control any potential occurrence and incident and to establish the prevention and control measures required, or to adapt those already in place, and to ensure compliance with the same. In this respect, in fiscal year 2017 a policy of obliged compliance was approved: the Human Rights Policy.

F. - SYSTEMS OF INTERNAL RISK MANAGEMENT AND INTERNAL CONTROL OVER FINANCIAL REPORTING (ICFR)

Describe the mechanisms comprising the risk management and control systems for financial reporting (ICFR) in the entity.

F.1 The entity's control environment

Give information, describing the key features of at least:

F1.1 Which bodies and/or functions are responsible for: (i) the existence and maintenance of an adequate and effective ICFR; (ii) its implementation; and (iii) its supervision.

Article 5 of the Board Regulations includes among the powers of exclusive knowledge of the Board of Directors as a whole:

"vii) The control and risk management policy, and the periodic monitoring of internal information and control systems".

Furthermore, article 13 of the Viscofan Board of Directors Regulations lists the functions of the Audit Committee in relation to internal information and control systems.

Among these functions, the Committee has assigned the following supervision and review functions:

"Overseeing the process of preparing and ensuring the integrity of the financial information relating to the company and its group, ensuring that the financial information internal control system (ICFR) is correctly designed and that all legal requirements have been met, and defining an appropriate consolidation perimeter, taking into account, among other aspects, possible complex corporate structures, instrumental or special purpose entities, the correct application of accounting criteria".

The Audit Committee was created in 1999 and its composition and activity have progressively adapted to the recommendations of the Code of Corporate Good Governance. It currently comprises four members, three of them independent directors and the fourth a proprietary director. During 2017, they met on 8 occasions, four of them with the external auditors (two meetings with EY, auditors until 2016, and two meetings with PwC, auditors as of 2017). Whenever considered appropriate, it has required the presence of members of the management team, the internal audit department and external auditors.

The Committee carries out the tasks assigned to it, as established in the applicable regulations and those set out in the Company By-Laws and in the Board of Directors Regulations. By way of example, it presented a report to the General Shareholders' Meeting on the Committee's activities.

The Committee supervises, analyses and communicates the activities performed by the Internal Audit department, the financial information drafting process, the intermediate financial statements, the provisional treasury statement prior to approval of the interim dividend distribution in addition to the Internal Control Over Financial Reporting System. The latter is subject to a continuous improvement process and was reviewed by PwC in 2017. The Committee has also supervised the progress made in the compliance system.

In its relations with the external auditor and as one of its duties, the Committee has ensured that the annual accounts are presented with no reservations or qualifications, and that the independence of the auditor is guaranteed.

Finally, it informed the Board of Directors of all its activities and submitted all the minutes of its meetings to the Directors, as well as information on the risk map and tax matters.

For its part, the general duties of the Internal Audit Department include the review and evaluation of the risk control and mitigation systems and procedures for all risks, as well as the methodologies used.

Specifically, with regard to the control of the financial information, it examines and assesses the reliability of the financial information, from an accounting and management point of view, checking that it is complete and correct. It also reviews the recording procedures
, and proposes corrective measures, which are reported to the Audit Committee and to the Corporate Finance Division.

Furthermore, the Internal Audit Department reports the results of all the auditing, inspection and consulting activities to the Audit Committee and keeps it informed of the same, and, where appropriate, the Directors concerned are also informed.

For its part, according to the Policy on Internal Control of the Viscofan Group's Financial Information, the Corporate Finance Division is responsible for carrying out:

- The design, start-up and dissemination of the financial information internal control system (hereinafter, ICFR).

- The definition, review and dissemination of the accounting policies and procedures to be applied, aiming to guarantee uniformity in the processes and in the accounting information.

- The definition of the process of preparation of the financial information and identification of risks that may affect its reliability.

- Identification of the control activities to be carried out to mitigate risks and the supervision of their appropriate performance both at local and corporate level.

- Supervision of the suitable design and use of the financial reporting systems. And to the Finance Departments of each of the Group companies:

- Compliance with the common accounting principles and policies.

- Dissemination of the ICFR among the local organisation, identifying those responsible for the execution of each control activity.

- Coordination of the work of the other local departments so that the local financial information is prepared in accordance with the objectives set.

- Performance of the control activities allocated to the department, and supervision of the activities that correspond to the rest of the departments (sales, purchasing, production, warehouse, maintenance, etc.).

Finally, all other Group Departments are to cooperate in the dissemination of the ICFR within their area of responsibility. Each Department shall also be responsible for applying the corresponding controls to their area and for the coordination with the rest of the departments in applying ICFR, with the supervision of the corporate departments and of correcting the weaknesses identified by the Internal Audit Department in their function of supervising the system

F.1.2- Whether, especially in the process of drawing up the financial information, the following elements exist:

- Departments and/or mechanisms responsible for: (i) the design and review of the organisational structure; (ii) the clear definition of lines of responsibility and authority, with an adequate distribution of tasks and functions; and (iii) ensuring that sufficient procedures exist for their correct dissemination within the entity.

The General Management and the Corporate Human Resources Division, supervised by the Internal Audit Department, are responsible for the design and review of the organisational

structure and for the definition of the lines of responsibility and authority, and the appropriate distribution of tasks and roles.

The Corporate Human Resources Division has procedures for updating corporate-level organisational structures and those of each of the Group subsidiaries. Dissemination is via the corporate Human Resources Management platform and the corporate intranet, with the current organisation charts of each company and any major changes being managed and published on the latter.

Financial Management has organisational structure charts with the composition of the financial departments of each subsidiary company, as well as information about the tasks performed by different members of these departments. Each team has a person responsible for the ICFR at local level, responsible for disseminating it to the rest of the departments involved, checking that each one of them carries out the checks allocated and regularly reporting on the operation of the system.

The aim of all of this is to guarantee that the internal control principles are suitably disseminated within the organisation, contributing to improved quality of control over financial information.

- Code of conduct, approval body, degree of dissemination and instruction, principles and values included (indicating whether specific mention is made of recording the transactions and drawing up of the financial information), body in charge of analysing non-compliance and proposing corrective measures and sanctions

The Board of Directors approves the Code of Conduct at the proposal of the Regulatory Compliance Committee. The code affects the Boards of Directors, Senior Management and the rest of the Group's employees in their daily professional performance, regarding the relations and interactions they have with all their stakeholders.

The current Viscofan Group Code of Conduct was approved by the Board of Directors at its meeting held on 29 February 2012. Its principles and action guidelines include regulatory compliance, integrity, responsibility, transparency and confidentiality. Furthermore, it also includes the criteria to be taken into account by employees who participate in the preparation of financial information, previously regulated in the Policies that are in force.

Specifically, the Group has implemented an Internal Control Over Financial Reporting Policy, with the specific aim of establishing the necessary guidelines to ensure suitable preparation and subsequent dissemination of financial information, which establishes the governing principles and describes the duties and responsibilities of each of the Departments, financial or otherwise, at Group and local level.

The Human Resources Department is responsible for the "Induction Procedure" , in which each new employee receives a copy of the Code of Conduct and the policies coming within the compliance system. It establishes the required conduct guidelines to ensure that Group personnel act correctly, regardless of the country or department in which they work. Finally, each employee must fill-in a form in which he/she signs a pledge to comply with, and implement the Code of Conduct and Internal Rules.

Additionally, each of the Group companies has a Local Supervisor appointed by the Board of Directors who is in charge of monitoring the Group's Compliance System and ensuring all local employees, technicians and managers receive the necessary training.

This compliance system has been widely disseminated and is available to employees on the Group Intranet.

In 2017, the Viscofan Group Compliance system was strengthened through various actions. Firstly, a new Compliance site on the intranet was launched with access to the Code of Conduct and the various policies and procedures that Group employees must comply with; secondly, the incorporation of a new employee in the Corporate Legal department in charge of the ongoing implementation and supervision of the Compliance system; and finally, approval and publication of new regulations in to the Compliance system (Tax strategy, access and use of systems by externals, Dietary Regulations).

- Whistle-blowing channel, to allow financial and accounting irregularities to be communicated to the Audit Committee, as well as possible non-compliance with the code of conduct and irregular activities in the organization, reporting where applicable if this is confidential in nature.

Article 13 of the Board of Directors Regulations allocates the following role to the Audit Committee: "Set up and supervise a mechanism enabling employees to communicate confidentially and, if deemed necessary, anonymously, their concerns regarding possible irregular and potentially significant practices within the company, particularly those relating to accounting, finances and auditing".

The whistle-blowing channel has been created for this purpose, as a virtual space for Group employees to discuss matters associated with compliance with the Code of Conduct and, generally, with all of the Viscofan Group's compliance systems, especially when there are signs of non- compliance.

This whistle-blowing channel makes it possible to establish a suitable channel to facilitate reporting to the Audit Committee of any financial and accounting irregularities, guaranteeing the confidentiality of communications.

The Audit Committee has delegated the management of this whistle-blowing channel to the Ethics Committee, whose main objective is to manage the communications received via the Whistle-Blowing Channel and to analyse any practices that may be considered as non-compliant. The Ethics Committee reports directly to the Audit Committee.

- Periodic training and refresher courses for employees involved in preparing and revising the financial information, and in ICFR assessment, covering at least accounting standards, audit, internal control and risk management

The aim of the Viscofan Group Training Policy is to guarantee that Group employees have all the knowledge and skills necessary for optimum execution of the duties assigned to them, improving or updating their performance.

Concerning one of the principles of this Policy, namely, planning, and in accordance with the responsibilities described therein, each year the Annual Training Plan is prepared, in which the managers of each department take part. Together with Human Resources Management, they identify training opportunities and the programmes to be carried out during the year.

In the case of the personnel involved in the preparation and review of the financial information for specific training intended to cover the specific needs of each individual or, if applicable, a department, the external training actions for the review of standards and accounting procedures are combined with internal training, mainly concentrated on the dissemination of policies and procedures and on the execution of the internal controls included in the ICFR.

Specifically, in 2017 all employees responsible for financial reporting at Viscofan Group companies were invited to attend a meeting which dealt with the latest developments regarding the Group's internal accounting regulations. They were also updated on other processes, such as the annual budget, and other aspects related with management control. All the documentation used in the internal training sessions is posted on the Group's intranet, so that it is available to users for further consultation.

F.2- Financial reporting risk assessment

Provide information on, at least, the following:

F.2.1- The key features of the risk identification process, including error and fraud risks, with respect to:

- Whether the process exists and is documented.

The two areas most directly involved in the identification of risks that could affect the drafting of financial information are the Corporate Finance Division and the Internal Audit Division. In their daily activities, permanent communication is encouraged between these two departments to analyse how the ICFR is working and identify risk areas for which additional controls should be incorporated into the system.

Subsequently the Internal Audit Division's quarterly report informs the Audit Committee of the main risks identified in the period, together with a risk assessment based on quantitative criteria (Materiality Policy) or qualitative criteria (processes) and the oversight of corrective actions implemented in previous periods.

- Whether the process covers all the objectives of financial reporting (existence and occurrence; completeness; valuation; presentation, breakdown and comparability; and rights and obligations), whether the information is updated and with what frequency.

In each process and sub-process that affects the preparation of financial information, the Group identifies the risks that may materialise taking the following information into account:

- Description of the existing control objectives to meet the business targets defined by the Company and guarantee the reliability of the financial information.
- Possibility of the occurrence of an error risk, according to its impact on the financial statements, being categorised as follows:

> Validity: All transactions generated in the period are valid.

> Integrity: All transactions have been recorded correctly.
> Registry: All transactions have been accurately entered into the accounts.
> Cut-off: All transactions recorded represent economic events that occurred during the period in question; transactions are recorded in the corresponding period.
> Assessment: Assets and liabilities are correctly valued (they appropriately reflect the existing circumstances of the business and its financial conditions).
> Presentation: The financial statements are appropriately presented and disclosed.

At the meetings discussed above, a conclusion may be reached as to the need or not to modify the existing risk map, following an analysis of the information complied.

- The existence of a process for identifying the consolidation perimeter, taking into account aspects including the possible existence of complex corporate structures, instrumental or special purpose vehicles.

In accordance with the Board of Directors Regulations, the Board shall be exclusively responsible for defining the structure of the corporate group. In turn, the Audit Committee shall oversee the appropriate scope of consolidation, taking into account, among other aspects, the possible existence of complex corporate structures and special purpose vehicles.

The Viscofan Group Accounting Policy Manual determines that the responsibility of keeping the scope of consolidation duly updated lies with the Consolidation Area, which forms part of the Corporate Finance Division. The corporate operations that could affect the scope are reported appropriately by the General and Legal Divisions.

The Audit Committee is informed about structural and corporative modification operations that are planned for its analysis and preliminary report to the Board of Directors regarding its economic conditions and accounting impact.

Independently of the fact the Group can grow either via acquisitions or organic growth, the Group's corporate strategy is to maintain as simple a structure as possible, in order to facilitate control of the business, from both an operational and a financial and accounting perspective.

In this way, except for the company Nanopack Technology y Packaging, S.L., the Parent company of the Group, that is Viscofan S.A., wholly owns the Group companies, either directly or indirectly and, in this latter case, the shareholding is always through other companies in the Group. In the case of Nanopack S.A., the Group has a 90.57% shareholding in Nanopack Technology y Packaging S.L.

During fiscal year 2016, the share capital of Vector USA Inc. and Vector Europe NV were purchased, which in turn is the owner of Vector Packaging Europe NV and of Vector UK Ltd. During 2017 it has advanced in the corporate integration of the companies of the Vector group within the Viscofan Group. Also during 2017, the capital share of the European companies of Supralon were purchased (Supralon International AG, Supralon Verpackungs AG, and their participants: Supralon Produktions und Vertriebs GmbH and Supralon France SARL).

In addition, it is the exclusive knowledge of the Board of Directors in full to create or acquire interests in special purpose vehicles or institutions registered in countries or territories regarded as tax havens, as well as any other transactions or operations of a similar nature whose complexity might impair the transparency of the group.

According to article 13 of these same Regulations, the Audit Committee is responsible for informing the Board, prior to it making the corresponding decisions in this area.

- Whether the process takes into account the effects of other types of risks (operational, technological, financial, legal, tax-related, reputational, environmental, etc.) insofar as they impact the financial statements.

Periodically, the Audit Committee evaluates the situation of the main risks that affect the Group, in accordance with the description given in section E of the Annual Corporate Governance Report. For said purpose, it is supported by the Global Risks Committee, set up at the Audit Committee's proposal and representing the Group's General Management and other divisions (Production, Financial, Legal and Commercial) and Internal Audits.

Specifically, control of risks covers following mentioned risk categories:

- Concerning the risks of reliability of the financial information, as described above.
- Concerning criminal risks. The Regulatory Compliance Committee is responsible for monitoring all matters related to risk prevention and the identification of measures for detecting possible crimes, fraud or conduct contrary to Group policy in relation to the criminal liability of companies.
- Concerning general risks. The responsibility is shared between the Global Risk Committee, which identifies the risk map and starts up the control policies to mitigate them, and the Audit Committee, which supervises the suitability of the policies and control procedures implemented, and reviews the risk management systems, so that the main risks are identified, made known and are managed appropriately.

In the 2016 the Global Risks Committee reviewed the existing map of risks established in accordance with the code of ethics, internal regulation and the Strategic Plan MORE TO BE, which encompasses the 2016-2020 period. This review was performed using the COSO methodology, grouping existing risks into four categories:

1. Strategy,
2. Operations,
3. Information,
4. Compliance.

These categories are described in Section E.2 of this report. The integrity of the elaboration of financial information is included in the Risks category of Information.

In 2017, a review of the risk management model was performed of the Viscofan Group taking advantage of the implementation of the Risk Management module of the SAP GRC application for the overall risk management.

- Which of the entity's governance bodies supervises the process.

Article 13 of the Viscofan Board of Directors Regulations assigns the Audit Committee the role of monitoring the risk management carried out by the Group.

"Monitoring the suitability of the control policies and procedures in place. Reviewing the internal control and risk-management systems, so that the main risks are properly identified, managed and reported".

Furthermore, one of the objectives of the Internal Audit Division is the identification and assessment of any type of risk faced by the Organisation, and to this effect, it is authorised to examine and evaluate the systems and procedures in place for the control and mitigation of all risks, as well as the methodologies used.

F.3- Control activities

Provide information, indicating the main characteristics, about the existence of at least the following:

F.3.1 Procedures for review and authorisation of the financial information and the description of the ICFR, to be published on the securities markets, indicating who is responsible for it, and the documentation describing the activity flows and controls (including those concerning risk of fraud) for the different types of transactions that may materially impact the financial statements, including the procedure for closing the accounts and the specific review of the relevant judgments, estimates, valuations and projections.

The procedures existing in the Viscofan Group define the activities and controls to be carried out in the process of drafting the financial information, distinguishing the following stages until its dissemination:

- Recording of daily operations by each local department involved, including the book closing for each subsidiary.
- Carryover of financial information for consolidation.
- Consolidation of the information.
- Validation and approval of the financial information.
- Publication and dissemination of the information.

In accordance with what is set forth in the Policy on the Internal Control of Financial Information, the Corporate Finance Division is responsible for the design, start-up and dissemination of the ICFR, and for the accounting policies and procedures to be applied, the definition of the process of preparation of the financial information and the control activities for mitigating possible risk. To do this, it receives support from the Internal Audit Division, which in its task of overseeing the comprehensive nature of the accounting and management information issued, both internally and externally, cooperates in defining the ICFR.

To do so, based on the documentation describing the flows that affect the different departments (purchasing, billing, salaries, banks and cash, etc.), the risk areas are identified and the internal controls to be carried out are proposed.

On the other hand, based on the balance sheet and profit and loss accounts, the most significant accounts are identified, analysing, by means of the controls implemented or establishing new controls if considered necessary, the coverage percentage, in order to guarantee the reliability of the information published.

In this way, adding the two approximations by process and by items in the income statement and profit and loss account, the aim is to guarantee that the controls in place cover the most significant risk areas.

To facilitate the internal control a tool has been developed on Viscofan's intranet to implement the ICFR controls, enabling the management of master control data according to subsidiary (executor, supervisor, frequency, etc.), the management of execution and supervision flows for each control, the storage of evidence of each control and access to controls and evidence from Corporate Finance and Internal Audits.

In 2017, they continued advancing in the drafting of documents describing the objectives of each control, the improvement and standardisation of evidence deposited by the different subsidiaries and the inclusion of new controls, especially in the IT processes. The implementation of GRC for the control management and IT risk maps, as well as for the management of automatic controls, is a supplement to the platform that until now had existed for the management of ICFR.

At local level, each subsidiary has a person responsible for the ICFR, who coordinates the launch, execution and supervision of the monthly controls.

When the local financial information has been generated, in accordance with the Reporting Validation and Analysis Procedure, each company should carry out the additional controls established in this Procedure, with the participation of at least two people: on the one hand, the person responsible for book closing at local level and, on the other hand, the person responsible for validating this closing, who is usually the Company finance manager or the person responsible for the commercial subsidiary.

The financial information validation procedure reported by each subsidiary makes it possible to check that the data received for consolidation is consistent with that existing in the local systems and is standardised in accordance with the corporate accounting plan in force. The computer application used for consolidation has basic controls incorporated to flag any inconsistency in the information reported.

Those responsible for the accounts inform about changes to the financial statements of their subsidiary, transmitting the most relevant accounts with details of the calculations made.

The consolidated information is reviewed by the General Management, the Corporate Finance Division and the Investor Relations and Communication Division. This review takes place before the information is sent to the Board of Directors for final approval.

The Audit Committee intervenes in the supervision of the Company's regular financial information, filling the roles assigned to it in the Board of Directors Regulations.

"Overseeing the process devised by senior management for instituting lawsuits, making assessments and reaching significant estimates, and the impact thereof on the financial statements. Reviewing, analysing and discussing the financial statements and other relevant financial information with the senior management team and the internal and external auditors so as to ensure that the information is reliable, understandable and relevant, and that the accounting standards used for the preceding year have been duly followed".

This involvement from the Audit Committee extends to permanently monitoring account auditing, holding regular meetings with the audit team to directly supervise the result of the process after both pre-closing and definitive closing of the annual accounts.
All this complies with the following roles allocated by the Board Regulations (art. 13) to the Audit Committee in relation to the external auditor:

(1) Ensuring that the accounts prepared by the Board of Directors are put before the General Shareholders' Meeting without qualifications in the associated audit report.

(2) Overseeing compliance with the audit agreement, ensuring that the audit opinion relating to the annual accounts and the main contents of the audit report are drawn up clearly and accurately.

The Commission pays special attention to proposals for improving internal control, the quality of the opinions and estimates and the accounting criteria applied in the Group.

F.3.2- Internal control procedures and policies for information systems (among others, access security, change control, their operation, operational continuity and segregation of functions) that support the relevant processes in the entity with respect to the drawing up and publication of the financial information

The main standards and procedures existing in the Viscofan Group in relation to the control of computer systems are contained in the following manuals and policies, available on the Group intranet, which regulate the use of computer systems and networks and their control and management:

- Computer systems and networks user manual
- Authorisation policy on computer access and profiles
- Password policy
- Policy on Management of IT Systems and Networks

These manuals develop the following aspects:

> The control systems should record and limit access to all Group computer systems and networks, establishing at least the creation of a username for each authorised user and the need for a password associated with it in accordance with the Password Policy.

> Management of access to any computer system or network shall comply with the provisions of the IT Profile Access Authorisation Policy. Thus, the person responsible for managing profiles and access should keep a record that justifies the authorisation of each action or modification of profiles and each access made.

> The maintenance of the computer systems and networks should include periodic measures that guarantee the copying and the possibility of backup and recovery of the data and information contained in the different computer systems and networks of the Viscofan Group in each case. Access to these copying and backup resources or mechanisms should be limited, protecting their content in all cases and establishing mechanisms for safekeeping and custody that guarantee their security.

> Any development or modification made by the computer departments to the Viscofan Group computer systems and networks shall be carried out with as much coordination as possible, requesting the authorisations necessary for its implementation or for performing any test process and, in any case, establishing at least the same measures in terms of security and limitation of access to the data.

> The security policy, change management, maintenance and handling of incidents should guarantee rapid recovery of the Viscofan Group computer systems and networks in the event of any contingency that could have an impact on their availability.

The main infrastructure of the Group is located in a main Data Processing Centre (CPD). In a second CPD the secondary infrastructure is housed to ensure the continuity of the service in case of disaster.

The Viscofan Group has a Disaster Recovery Plan, coming within the framework of processes and procedures, and which will serve to guide and support the teams during an incident. This will enable the teams to respond in a way which is as most efficient and controlled as possible, minimising the impact on users, in order to return to operational service as soon as possible.

In 2017, the Process Control module was implemented in applying SAP GRC to document and make a better management of the risks and IT process controls (development and maintenance of applications, infrastructures and operations and physical and logical security).

F.3.3-Internal control procedures and policies designed to supervise the management of activities subcontracted to third parties, and those aspects of the evaluation, calculation and assessment outsourced to independent experts, which may materially impact the financial statements

The most relevant services that the Viscofan Group assignment to independent expert third parties are the actuarial calculations on labour liabilities and the calculation of the Corporate Tax of one of the Group companies, as well as experts in assessment, due diligence, and the performing of PPA (Purchase Price Allocation) processes in the purchases of new businesses.

In any case, the criterion is maintained of working only with prestigious institutions, and the valuations received are reviewed by the financial departments involved.

F.4- Information and communication

Provide information, indicating the main characteristics, about the existence of at least the following:

F.4.1- A specific function in charge of defining and keeping the accounting policies updated (accounting policy department or area) and dealing with queries or conflicts stemming from their interpretation, ensuring fluent communication with those in charge of operations in the organization, and an up-to-date manual of accounting policies, communicated to the units through which the entity operates.

The responsibility for defining, updating and disseminating the accounting policies and procedures to be applied to guarantee standardisation of processes and accounting information lies with the Corporate Finance Division, in accordance with the Policy on the Internal Control of Financial Information.

The manuals are disseminated through the document libraries on the corporate Intranet and are available to the financial teams. Contact between corporate and local levels is continuous, and lines of communication are maintained for resolving any queries and conflicts derived from their interpretation.

In addition, regular account coordination meetings are held to transmit accounting policies, provide training in the performance of the controls included in the ICFR and check standardisation in the preparation of the information reported by each subsidiary.

F.4.2- Mechanisms to capture and prepare the financial reporting in standardised formats, for application and use by all the units of the entity or the group, that support the main financial statements and the notes, and the information detailed on ICFR.

In accordance with the Policy on the Internal Control of the Financial Information, the Group Financial Department is responsible for supervising the appropriate design and use of the financial computer systems.

For these purposes, the Corporate Finance Division has organised selection, set-up, implementation and training into a single reporting tool for consolidation for all Viscofan Group companies.

The data from the local applications are integrated into the consolidation system following a single corporate accounting procedure, the Corporate Accounting Plan. The Corporate Finance Division is responsible for reviewing the equivalence between the accounting plans from each subsidiary and the Corporate Accounting Plan in order to guarantee the standardisation of the information received.

As an additional control measure, the controlling area checkup that at the close of the fiscal year the accounting balances of the consolidation system match with the accounting balances of the financial modules of each subsidiary to ensure that the origin and destination information is the same.

The content of the information reported includes both the financial statements and most of the information necessary for preparing the tables and notes for the Annual Report of the company and subsidiaries, the first draft of which is prepared directly in this system.

F.5- Supervising the system's operation

Provide information, indicating the main characteristics, about at least the following:

F.5.1- The ICFR supervision activities carried out by the Audit Committee and whether the entity has an internal audit function whose powers include providing support to the Audit Committee in its task of supervising the internal control system, including the ICFR. Likewise, give information on the scope of the ICFR assessment carried out during the year and of the

procedure by which the person in charge of performing the assessment communicates its results, whether the entity has an action plan listing the possible corrective measures, and whether its impact on the financial reporting has been considered.

In accordance with Board Regulations. The Audit Committee is responsible for the following: "Overseeing the internal auditing services, including in particular:

(i) Approving the annual internal audit work plan relating to the evaluation of the ICFR, and receiving periodic information on the results of the work performed, including any incidents that may arise. The Audit Committee will likewise receive an annual activities report and action plan to correct any deficiencies detected;
(ii) Ensuring the independence and efficiency of the internal audit function;
(iii) Proposing the budget for this same internal function;
(iv) Receiving periodic information on its activities, and;
(v) Verifying that senior management takes into account the conclusions and recommendations set forth in its reports".

The Viscofan Group has an Internal Audit Division, which reports functionally to the Audit Committee.

The objectives set forth in the Internal Audit Statute are:

- Guaranteeing there is a suitable and adequate risk control system;
- Assisting the Board of Directors or the corresponding delegated body in the objective fulfilment of their responsibilities, offering support to the Group Management and the Organisation in the improvement and consolidation of the internal control system, procedures applied and control activities;
- Checking that, through the standardised and efficient application of the policies and procedures in the internal control system, risks are appropriately managed, facilitating the achievement of the strategic objectives of the Viscofan Group;
- Reviewing and checking that the Organisation's processes are appropriate and complied according to approved policies and procedures;
- Identifying and assessing all types of risks faced by the Organisation;
- Overseeing the comprehensiveness of the accounting and management information issued, both internally and externally, i.e., it should be complete and correct;
- Overseeing compliance with the law

The Internal Audit Division prepares Audit Plans, broken down into two classes, according to the time they are in force:

- Multi-annual plans.
- Annual plans.

Annual plans are considered the materialisation in a more limited timeframe of the generic work defined in the multi-annual plan. The latter is considered a declaration of measurable objectives for a longer period.

In addition, the Internal Audit Division carries out the following reporting work:

"It communicates with the Audit Committee and also, where applicable, the Divisions involved, keeping them informed about the results of all audit, investigation and consultancy activities. It also periodically reports to the Audit Committee on the application of the audit plans and other relevant activities; Drafts and subsequently deals with the supervisors of the assessed Divisions, if applicable, the results of the job prior to the final issuing of the reports; Drafts the degree of implementation and efficiency of the recommendations by virtue of the reports issued, and reports on this subject to the Audit Committee".

The Audit Committee holds regular meetings at which it coordinates the actions of the Internal Audit Division, prepares the action plans, reports on and monitors the progress of each of these plans and analyses the level of implementation of the recommendations that have arisen as a result of its actions.

During the financial year of 2017, the Internal Audit work plan specifically focussed on:

- Participation in the Investment Committee, overseeing and controlling its activity.

In 2017, the Investment Committee held four meetings, coinciding with the quarterly financial closures.

Investments are strictly monitored at all subsidiaries. A report is issued every fortnight and this is sent to the Committee members, making it possible to ensure that any possible deviations are quickly detected and the appropriate actions can be taken.

- Participation in the Credit Risk Committee, overseeing and controlling its activity, particularly with regard to credit risk coverage levels and the principal accounts receivable.

The Credit Risk Committee met in 2017 on four occasions.

The key objective of the Credit Risk Committee is to report on the taking out of credit insurance, compliance with established procedures and the added risk involved in selling to some countries. Furthermore, a detailed analysis is made of the total exposure of customers, particularly those with the largest amounts of matured debt.

Monitoring conducted by the Committee has made it possible to keep the amount of the debt covered compared to last year. In the course of 2017, the accident rate was maintained below 2 per thousand.

- Participation in the Global Risk Committee previously described, performing the reassessment and the redefinition of some risks of the Risk Map already existing (defined in 2016 based on the new strategic plan for the period from 2016-2020, MORE TO BE), performing a redefinition of all the KRIs associated to each of these risks and performing, also, a monitoring of the values of these KRIs.

The Committee has met three times throughout this year.

- The supervision of the ICFR, reviewing the controls made and the quality of the evidence provided, establishing appropriate corrective measures in accordance with their materiality. Especially, every quarterly closure is accompanied by a random review of the most

important controls, submitting the findings report to the Audit Committee prior to the approval of the financial information to be published.

- The review of different processes in different subsidiaries. The reviewed processes have been the process of Monthly Financial Closing, the process of Purchase Management, the process of Sales Management, the process of Warehouse Management and the process of HR Management (in one of the companies of the reviewed Groups). The implementation of the Crime Prevention and Detection System was also reviewed in these cases in the audited companies. The review of diverse corporate processes related with the HR areas and Management Control (process of Annual Budget).

- The monitoring of the implementation of the recommendations arising from the reviews of the different processes audited in the past. To do so, it has a monitoring tool of the Internal Audit recommendations, with the creation of reports for Senior Management. As of the end of 2017, however, all the new recommendations arising in the reviews of processes and audited companies are documented in the Audit Management model of SAP GRC.

- The coordination of the implementation project of the application of SAP GRC, carried out via the collaboration of the Internal Audit and Corporate Finance departments, with the support of the consulting services from an external company. The modules of the application implemented have been those of Risk Management (for the global risk management), Audit Management (for the global management of the audit processes) and Process Control (for the management of the internal control).

The activity of the Internal Audit Department is considered to be satisfactory, mainly thanks to the high implementation rate for the improvements and recommendations made in order to correct the incidents detected.

The Audit Department prepares reports on its actions, reflecting the incidents detected during the work execution and suggestions for improvement. These reports are initially discussed with the heads of the subsidiaries or departments involved.

Once the reports have been discussed with the heads and the measures to be adopted have been established, the report is sent to the Audit Committee. Those incidents identified and which could affect the financial reporting, are quantified, where applicable, and reported to the Corporate Financial Department and also to the Local Financial Departments affects, so that they may be corrected.

F.5.2- Whether there is a discussion procedure by which the auditor (in line with the technical auditing notes), the internal audit function and other experts can inform senior management and the audit committee or the directors of the entity of significant weaknesses in the internal control encountered during the review processes for the annual accounts or any others within their remit. Likewise, give information on whether there is an action plan to try to correct or mitigate the weaknesses observed. Furthermore, whether there is an action plan to correct or mitigate any weaknesses observed.

Furthermore, whether there is an action plan to correct or mitigate any weaknesses observed. In addition to the roles of the Internal Audit Division described in the previous point, the Board of Directors Regulations authorise the Audit Committee to request the presence of the external auditors whenever they consider it appropriate:

"The Audit Committee shall be empowered to request the presence of any member of the Management team or any member of the Company's staff at its meetings, as well as the presence of the Company's independent auditors or any Company advisor whose presence is deemed advisable. All of the aforementioned shall be bound to cooperate and facilitate access to the information they have".

In practice, the Audit Committee holds a minimum of three annual meetings with the external auditors, one of which coincides with the pre-audit carried out at the end of October each year and the other two with the year-end audit.

At these meetings, the auditor´s report any weaknesses in internal control that may have been detected in the audit process and that affect the internal control system. The Committee monitors them during the year, in coordination with the Internal Audit Division and the Corporate Finance Division, to identify and implement, where applicable, any measures that may be deemed advisable.

F.6 - Other relevant information

We do not consider it necessary to disclose any other information that has not been already described in the above sections.

F.7 - External audit report

Provide information about the following:

F.7.1. Whether the ICFR information disclosed to the markets has been submitted by the external auditor, in which case the entity must attach the corresponding report as an annexe. Otherwise, explain the reasons why it was not.

ICFR information has been submitted for review by our external auditors PwC, in accordance with the Professional Action Guidelines and the Audit Report form concerning ICFR-related information on listed companies as established in the circular No.7/2015 of the CNMV from 22 December 2015. The report with the conclusions of this review is attached as an annex

G. DEGREE OF COMPLIANCE WITH CORPORATE GOVERNANCE RECOMMENDATIONS

Indicate the extent to which the company follows the recommendations of the Good Governance Code of listed companies.

Should any recommendation not be followed or be only partially followed, a detailed explanation should be given of the reasons so that the shareholders, investors and the market in general have sufficient information to assess the way the company works. General explanations will not be acceptable.

1. The bylaws of listed companies should not place an upper limit on the votes that can be cast by a single shareholder, or impose other obstacles to the takeover of the company by means of share purchases on the market.

Complies

2. When a dominant and a subsidiary company are both listed, they should provide detailed disclosure on:

a) The activity they engage in and any business dealings between them, as well as between the listed subsidiary and other group companies.

b) The mechanisms in place to resolve possible conflicts of interest.

Not Applicable

3. During the annual general meeting the chairman of the board should verbally inform shareholders in sufficient detail of the most relevant aspects of the company's corporate governance, supplementing the written information circulated in the annual corporate governance report. In particular:

a) Changes taking place since the previous annual general meeting.

b) The specific reasons for the company not following a given Good Governance Code recommendation and any alternative procedures followed in its stead.

Complies

4. The company should draw up and implement a policy of communication and contacts with shareholders, institutional investors and proxy advisors that complies in full with market abuse regulations and accords equitable treatment to shareholders in the same position.

This policy should be disclosed on the company's website, complete with details of how it has been put into practice and the identities of the relevant interlocutors or those charged with its implementation

Complies

5. The board of directors should not make a proposal to the general meeting for the delegation of powers to issue shares or convertible securities without pre-emptive subscription rights for an amount exceeding 20% of capital at the time of such delegation.

When a board approves the issuance of shares or convertible securities without pre-emptive subscription rights, the company should immediately post a report on its website explaining the exclusion as envisaged in company legislation.

Complies

6. Listed companies drawing up the following reports on a voluntary or compulsory basis should publish them on their website well in advance of the annual general meeting, even if their distribution is not obligatory:

a) Report on auditor independence.
b) Reviews of the operation of the audit committee and the nomination and remuneration committee
c) Audit committee report on third-party transactions
d) Report on corporate social responsibility policy

Complies

7. The company should broadcast its general meetings live on the corporate website.

Explain

The Company considers that the transmission of the General Meeting live through the website in a smaller company is not the most appropriate measure to facilitate shareholders' participation in the General Meeting, which is confirmed by the high degree of Shareholders 'participation in the General Shareholders' Meeting via their physical presence or via the means of remote participation enabled for this purpose, for which reason the company prefers to allocate the resources that, in its case, it would have to devote to such transmission to encourage their participation through the attendance bonus and providing the shareholders with the greatest information by making available a large amount of information regarding the General Meeting from the moment of publication of the call.

8. That the audit committee ensures that the board of directors will present the accounts to the general shareholders' meeting without limitations or exceptions in the audit report and that, in the exceptional events in which there are exceptions, both the chairman of the audit committee as well as the auditors explain the content and scope of these limitations or exceptions clearly to the shareholders

Complies

9. The company should disclose its conditions and procedures for admitting share ownership, the right to attend general meetings and the exercise or delegation of voting rights, and display them permanently on its website.

Such conditions and procedures should encourage shareholders to attend and exercise their rights and be applied in a non-discriminatory manner.

Complies

10. When an accredited shareholder exercises the right to supplement the agenda or submit new proposals prior to the general meeting, the company should:

a) Immediately circulate the supplementary items and new proposals.

b) Disclose the model of attendance card or proxy or remote voting form with the necessary modifications so that they can vote on the new points of the agenda and alternative proposals in accordance with the terms as those proposed by the board of directors.

c) Put all these items or alternative proposals to the vote applying the same voting rules as for those submitted by the board of directors, with particular regard to presumptions or deductions about the direction of votes.

d) After the general meeting, disclose the breakdown of votes on such supplementary items or alternative proposals.

Not Applicable

11. In the event that a company plans to pay for attendance at the general meeting, it should first establish a general, long-term policy in this respect.

Complies

12. The board of Directors should perform its duties with unity of purpose and independent judgement, according the same treatment to all shareholders in the same position. It should be guided at all times by the company's best interest, understood as the creation of a profitable business that promotes its sustainable success over time, while maximising its economic value.

In pursuing the corporate interest, it should not only abide by laws and regulations and conduct itself according to principles of good faith, ethics and respect for commonly accepted customs and good practices, but also strive to reconcile its own interests with the legitimate interests of its employees, suppliers, clients and other stakeholders, as well as with the impact of its activities on the broader community and the natural environment.

Complies

13. The Board of Directors should have an optimal size to promote its efficient functioning and maximize participation. The recommended range is accordingly between five and fifteen members.

Complies

14. The board of directors should approve a director selection policy that:

a) Is concrete and verifiable.

b) Ensures that the appointment or re-election proposals are based on a prior analysis of the board's needs

c) Favours a diversity of knowledge, experience and gender.

The results of the prior analysis of board needs should be written up in the nomination committee's explanatory report, to be published when the general meeting is convened that will ratify the appointment and re-election of each director.

The director selection policy should pursue the goal of having at least 30% of total board places occupied by women directors before the year 2020.

The nomination committee should run an annual check on compliance with the director selection policy and set out its findings in the annual corporate governance report

Complies

15. Nominee and independent directors should constitute an ample majority on the board of directors, while the number of executive directors should be the minimum practical bearing in mind the complexity of the corporate group and the ownership interests they control

Complies

16. The percentage of nominee directors out of all non-executive directors should be no greater than the proportion between the ownership stake of the shareholders they represent and the remainder of the company's capital.

This criterion can be relaxed:

a) In large cap companies where few or no equity stakes attain the legal threshold for significant shareholdings.

b) In companies with a plurality of shareholders represented on the board but not otherwise related

Complies

17. Independent directors should be at least half of all board members.

However, when the company does not have a large market capitalisation, or when a large cap company has shareholders individually or concertedly controlling over 30% of capital, independent directors should occupy, at least, a third of the total number of directors.

Explain

The company consider that complies with recommendation 17 in accordance with the principle of proportionality among shareholder participation and representation in the board of directors, according which the relationship between nominee directors and independent directors must reflect the relationship between the percentage of capital represented in the board of directors by the nominee directors and the rest of the capital. In the Code of Good Governance of the

listed companies published by the CNMV, it specifically indicates that this proportional principle is not, however, an exact mathematic rule, but rather an approximate rule whose objective is to ensure that the independent directors have a sufficient weight in the board of directors and that any significant shareholder exercises a disproportionate influence in relation to their participation in the capital.

In this text it also clarifies that in certain situations it is considered that this percentage could be excessive and it is recommended to mitigate the application of this rule respect to those that however, do not have an elevated capitalisation considering as a reference those companies not included in the IBEX-35 index to those that would become excessively onerous the compliance of this rule, however respect to the companies in whose share ownership shareholders have presence that individually or together with others maintain an elevated percentage of its capital. For these cases it is recommended a percentage of, at least, one third.

In this sense, it is worth noting that in accordance with the principle of the rule, the inclusion in the Ibex can be used as a reference, but not as a mathematic demand, given that considering the inclusion in a reference index defined by a private institution that could be reviewed every quarter should not have been the principle of complying with or explaining for which the companies are governed their long-term corporate governance, but a reference. In this sense, the law and the code indicate as a quantitative objective criteria an elevated capitalisation and Viscofan is not included as a reference in the funds that they invest in companies of high capitalisation both in the national market and foreign investors, which are considered high capitalisation given a versatile capitalisation greater than 10 billion euros. It is worth remembering that the criteria of including in the Ibex index are not exclusively of capitalisation, but that also influence the liquidity of the value, having companies with capitalisation greater than Viscofan that is not included in this index. However, despite all these considerations, and including even though a foreign decision to the Company, outside the scope of their control that could have as a purpose modifying the monitoring of the recommendations within the same fiscal year without the possibility of doing nothing to the respect, as in this case, the Code of good governance of the companies listed approved by Agreement of the Board of the National Stock Market Committee (CNMV) on 18 February 2015, establishes that the inclusion in the IBEX is the determining criteria regardless of the data objective of capitalisation, and in this sense, the Company does not follow the recommendation that the independent directors represent half of the board even considers that for its capitalisation should fulfil the recommendation that the number of independent directors must represent, at last, a third of the total directors. The Company fulfils this recommendation.

Moreover, the Company considers that the special characteristics of its activity and industrial sector, in which a high degree of specialisation and specific knowledge in areas are required that are not at the scope of persons outside this sector, making it suitable to ensure that the Board maintains sufficient presence of directors with a lot of experience that can guarantee a suitable development of the duties of the Board, above all in that relating to the company's strategy and a continuity in this knowledge. The temporary limitation of the independent directors does not allow guaranteeing this continued presence and the Company considers that it must combine

both needs, above all to the view of the requirement for the companies that do not have a high capitalisation in accordance with the generally accepted criteria.

18. Companies should disclose the following director particulars on their websites and keep them regularly updated:

a) Background and professional experience.
b) Directorships held in other companies, listed or otherwise, and other paid activities they engage in, of whatever nature.
c) Statement of the director class to which they belong, in the case of nominee directors indicating the shareholder they represent or have links with.
d) Dates of their first appointment as a board member and subsequent re-elections.
e) Shares held in the company, and any options on the same.

Complies

19. Following verification by the nomination committee, the annual corporate governance report should disclose the reasons for the appointment of nominee directors at the urging of shareholders controlling less than 3% of capital; and explain any rejection of a formal request for a board place from shareholders whose equity stake is equal to or greater than that of others applying successfully for a nominee directorship.

Not Applicable

20. Nominee directors should resign when the shareholders they represent dispose of their ownership interest in its entirety. If such shareholders reduce their stakes, thereby losing some of their entitlement to nominee directors, the latters' number should be reduced accordingly.

Complies

21. The Board of Directors should not propose the removal of independent directors before the expiry of their tenure as mandated by the Bylaws, except where they find just cause, based on a proposal from the Nomination Committee. In particular, just cause will be presumed when directors take up new posts or responsibilities that prevent them allocating sufficient time to the work of a board member, or are in breach of their fiduciary duties or come under one of the disqualifying grounds for classification as independent enumerated in the applicable legislation.

The removal of independent directors may also be proposed when a takeover bid, merger or similar corporate transaction alters the company's capital structure, provided the changes in board membership ensue from the proportionality criterion set out in recommendation 16.

Complies

22. Companies should establish rules obliging directors to disclose any circumstance that might harm the organisation's name or reputation, tendering their resignation as the case may be, and, in particular, to inform the board of any criminal charges brought against them and the progress of any subsequent trial.

The moment a director is indicted or tried for any of the offences stated in company legislation, the board of directors should open an investigation and, in light of the particular circumstances, decide whether or not he or she should be called on to resign. The board should give a reasoned account of all such determinations in the annual corporate governance report.

Complies

23. Directors should express their clear opposition when they feel a proposal submitted for the board's approval might damage the corporate interest. In particular, independents and other directors not subject to potential conflicts of interest should strenuously challenge any decision that could harm the interests of shareholders lacking board representation.

When the board makes material or reiterated decisions about which a director has expressed serious reservations then he or she must draw the pertinent conclusions. Directors resigning for such causes should set out their reasons in the letter referred to in the next recommendation.

The terms of this recommendation also apply to the secretary of the board, even if he or she is not a director.

Complies

24. Directors who give up their place before their tenure expires, through resignation or otherwise, should state their reasons in a letter to be sent to all members of the board. Whether or not such resignation is disclosed as a material event, the motivating factors should be explained in the annual corporate governance report.

Not Applicable

25. The nomination committee should ensure that non-executive directors have sufficient time available to discharge their responsibilities effectively.

The board of directors' regulations should lay down the maximum number of company boards on which directors can serve.

Complies

26. The board should meet with the necessary frequency to properly perform its functions, eight times a year at least, in accordance with a calendar and agendas set at the start of the year, to which each director may propose the addition of initially unscheduled items.

Complies

27. Director absences should be kept to a strict minimum and quantified in the Annual Corporate Governance Report. In the event of absence, directors should delegate their powers of representation with the appropriate instructions

Complies

28. When directors or the secretary express concerns about some proposal or, in the case of directors, about the company's performance, and such concerns are not resolved at the meeting, they should be recorded in the minute book if the person expressing them so requests.

Complies

29. The company should provide suitable channels for directors to obtain the advice they need to carry out their duties, extending if necessary to external assistance at the company's expense.

Complies

30. Regardless of the knowledge directors must possess to carry out their duties, they should also be offered refresher programmes when circumstances so advise.

Complies

31. The agendas of board meetings should clearly indicate on which points directors must arrive at a decision, so they can study the matter beforehand or gather together the material they need.

For reasons of urgency, the chairman may wish to present decisions or resolutions for board approval that were not on the meeting agenda. In such exceptional circumstances, their inclusion will require the express prior consent, of the majority of directors present, which shall be duly shown in the minutes.

Complies

32. Directors should be regularly informed of movements in share ownership and of the views of major shareholders, investors and rating agencies on the company and its group.

Complies

33. The chairman, as the person charged with the efficient functioning of the board of directors, in addition to the functions assigned by law and the company's bylaws, should prepare and submit to the board a schedule of meeting dates and agendas; organise and coordinate regular evaluations of the board and, where appropriate, the company's chief executive officer; exercise leadership of the board and be accountable for its proper functioning; ensure that sufficient time is given to the discussion of strategic issues, and approve and review refresher courses for each director, when circumstances so advise

Complies

34. When a lead independent director has been appointed, the Bylaws or Board of Directors regulations should grant him or her the following powers over and above those conferred by law: chair the board of directors in the absence of the chairman and vice chairmen give voice to the concerns of non-executive directors; maintain contacts with investors and shareholders to hear their views and develop a balanced understanding of their concerns, especially those to do with the company's corporate governance; and coordinate the chairman's succession plan.

Partially Complies

The Bylaws or the rules of the Board specifically include all the duties of this point, except for maintaining contacts with investors and shareholders in order to form an opinion on their concerns, in particular, in relation to the corporate governance of the company, even though the policy on communication with shareholders, institutional investors and their representatives or advisors predicts contacts of the Coordinating Director with investments and shareholders to understand their points of view. The company is working on a modification of the Board Regulations in which all the matters of this recommendation will be included.

35. The board secretary should strive to ensure that the board's actions and decisions are informed by the governance recommendations of the Good Governance Code of relevance to the company.

Complies

36. The board in full should conduct an annual evaluation, adopting, where necessary, an action plan to correct weakness detected in:

a) The quality and efficiency of the board's operation.
b) The performance and membership of its committees.
c) The diversity of board membership and competences.
d) The performance of the chairman of the board of directors and the company's chief executive.
e) The performance and contribution of individual directors, with particular attention to the chairmen of board committees.

The evaluation of board committees should start from the reports they send the board of directors, while that of the board itself should start from the report of the nomination committee.

Every three years, the board of directors should engage an external facilitator to aid in the evaluation process. This facilitator's independence should be verified by the nomination committee.

Any business dealings that the facilitator or members of its corporate group maintain with the company or members of its corporate group should be detailed in the annual corporate governance report.

The process followed and areas evaluated should be detailed in the annual corporate governance report

Complies

37. When an executive committee exists, its membership mix by director class should resemble that of the board. The secretary of the board should also act as secretary to the executive committee.

Partially complies

The Delegated Committee is set up as a committee whose main function is to deepen in issues related with the business that due to the geographic dispersion and complexity of the Group require a greater dedication and specialisation, therefore the Company has considered that the delegated committee must have presence of directors with greater experience and knowledge of the sector and business. The Secretary of the Delegated Committee is the Secretary of the Board of Directors.

38. The board of directors should be kept fully informed of the business transacted and decisions made by the executive committee. To this end, all board members should receive a copy of the committee's minutes.

Complies

39. All members of the audit committee, particularly its chairman, should be appointed with regard to their knowledge and experience in accounting, auditing and risk management matters. A majority of committee places should be held by independent directors.

Complies

40. Listed companies should have a unit in charge of the internal audit function, under the supervision of the audit committee, to monitor the effectiveness of reporting and control systems. This unit should report functionally to the board's non-executive chairman or the chairman of the audit committee.

Complies

41. The head of the unit handling internal audit function should present an annual work programme to the audit committee, inform it directly of any incidents arising during its implementation and submit an activities report at the end of each year.

Complies

42. The audit committee should have the following functions over and above those legally assigned

1. With respect to internal control and reporting systems:

a) Monitor the preparation and the integrity of the financial information prepared on the company and, where appropriate, the group, checking for compliance with legal provisions, the accurate demarcation of the consolidation perimeter, and the correct application of accounting principles.

b) Monitor the independence of the unit handling the internal audit function; propose the selection, appointment, re- election and removal of the head of the internal audit service; propose the service's budget; approve its priorities and work programmes, ensuring that it focuses primarily on the main risks the company is exposed to; receive regular report-backs on

its activities; and verify that senior management are acting on the findings and recommendations of its reports.

c) Establish and supervise a mechanism whereby staff can report, confidentially and, if appropriate and feasible, anonymously, any significant irregularities that they detect in the course of their duties, in particular financial or accounting irregularities.

2. With regard to the external auditor:

a) Investigate the issues giving rise to the resignation of the external auditor, should this come about.

b) Ensure that the remuneration of the external auditor does not compromise its quality or independence.

c) Ensure that the company notifies any change of external auditor to the CNMV as a material event, accompanied by a statement of any disagreements arising with the outgoing auditor and the reasons for the same.

d) Ensure that the external auditor has a yearly meeting with the board in full to inform it of the work undertaken and developments in the company's risk and accounting positions.

e) Ensure that the company and the external auditor adhere to current regulations on the provision of non-audit services, limits on the concentration of the auditor's business and other requirements concerning auditor independence.

Explain

The Company considers that it fulfils the recommendation because the audit committee has effectively assigned and carries out all the duties included within, however some of them are not currently found specifically included in the internal regulation of the Company, but rather they are assigned within the broader powers to manage, administrate and represent the Company in all the points relative to the ordinary activity of which the Board has been granted in their duty of representation and administration of the Company. To leave greater constancy of its compliance, the company is working on a modification of the Board Regulations in which all the duties of this recommendation will be included specifically

43. The audit committee should be empowered to meet with any company employee or manager, even ordering their appearance without the presence of another senior officer

Complies

44. The Audit Committee should be informed of any fundamental changes or corporate transactions the company is planning, so the committee can analyse the operation and report to the board beforehand on its economic conditions and accounting impact and, when applicable, the exchange ratio proposed.

Explain

The Company considers that it fulfils the recommendation because the audit committee has effectively assigned and carries out all the duties included within, however some of them are not currently found specifically included in the internal regulation of the Company, but rather they are assigned within the broader powers to govern, administrate and represent the Company in all the points relative to the turn or traffic of it of which the Board has invested in their duty of representation and administration of the Company. To leave greater constancy of its compliance, the company is working on a modification of the Board Regulations in which all the duties of this recommendation will be included specifically.

45. Risk control and management policy should identify at least:

a) The different types of financial and non-financial risk the company is exposed to (including operational, technological, financial, legal, social, environmental, political and reputational risks), with the inclusion under financial or economic risks of contingent liabilities and other off-balance sheet risks.

b) The determination of the risk level the company sees as acceptable.

c) The measures in place to mitigate the impact of identified risk events should they occur.

d) The internal control and reporting systems to be used to control and manage the above risks, including contingent liabilities and off-balance sheet risks.

Complies

46. Companies should establish a risk control and management function in the charge of one of the company's internal department or units and under the direct supervision of the audit committee or some other dedicated board committee. This function should be expressly charged with the following responsibilities:

a) Ensure that risk control and management systems are functioning correctly and, specifically, that major risks the company is exposed to are correctly identified, managed and quantified.

b) Participate actively in the preparation of risk strategies and in key decisions about their management.

c) Ensure that risk control and management systems are mitigating risks effectively in the frame of the policy drawn up by the board of directors.

Complies

47. Appointees to the nomination and remuneration committee – or of the nomination committee and remuneration committee, if separately constituted – should have the right balance of knowledge, skills and experience for the functions they are called on to discharge. The majority of their members should be independent directors.

Complies

48. Large cap companies should operate separately constituted nomination and remuneration committees.

Explain

The composition and operation of the company is performed in accordance with the best practices and considering Viscofan as a medium capitalisation company in accordance with the commonly accepted international standards and to the track-record of corporate governance of the company. The Company considers that its current size and that of the Board of Directors does not justify the separation of both committees, which would also imply the assigning of greater resources to the Board of Directors to remunerate the members that form part of these committees

49. The Nomination Committee should consult with the company's Chairman and chief executive, especially on matters relating to executive Directors.

When there are vacancies on the board, any Director may approach the Nomination Committee to propose candidates that it might consider suitable.

Complies

50. The remuneration committee should operate independently and have the following functions in addition to those assigned by law:

a) Propose to the board the standard conditions for senior officer contracts.
b) Monitor compliance with the remuneration policy set by the company.
c) Periodically review the remuneration policy for directors and senior officers, including share-based remuneration systems and their application, and ensure that their individual compensation is proportionate to the amounts paid to other directors and senior officers in the company.
d) Ensure that conflicts of interest do not undermine the independence of any external advice the committee engages.
e) Verify the information on director and senior officers' pay contained in corporate documents, including the annual directors' remuneration statement.

Explain

The Company considers that it fulfils the recommendation because the remuneration committee has effectively assigned and carries out all the duties included within, however some of them are not currently found specifically included in the internal regulation of the Company, but rather they are assigned within the broader powers to manage, administrate and represent the Company in all the points relative to the turn or traffic of it of which the Board has been granted in their duty of representation and administration of the Company. To leave greater constancy of its compliance, the company is working on a modification of the Board Regulations in which all the duties of this recommendation will be included specifically.

51. The remuneration committee should consult with the company's chairman and chief executive, especially on matters relating to executive directors and senior officers.

Complies

52. The terms of reference of supervision and control committees should be set out in the board of directors regulations and aligned with those governing legally mandatory board committees as specified in the preceding sets of recommendations. They should include at least the following terms:

a) Committees should be formed exclusively by non-executive directors, with a majority of independents.
b) They should be chaired by independent directors
c) The board should appoint the members of such committees with regard to the knowledge, skills and experience of its directors and each committee's terms of reference; discuss their proposals and reports; and provide report-backs on their activities and work at the first board plenary following each committee meeting
d) They may engage external advise, when they feel it necessary for the discharge of their functions
e) Meeting proceedings should be recorded in minutes and a copy made available to all directors.

Not Applicable

53. The task of supervising compliance with corporate governance rules, internal codes of conduct and corporate social responsibility policy should be assigned to one board committee or split between several, which could be the audit committee, the nomination committee, the corporate social responsibility committee, where one exists, or a dedicated committee established ad hoc by the board under its powers of self-organisation, with at the least the following functions:

a) Monitor compliance with the company's internal codes of conduct and corporate governance rules.
b) Oversee the communication and relations strategy with shareholders and investors, including small and medium- sized shareholders.
c) Periodically evaluate the effectiveness of the company's corporate governance system, to confirm that it is fulfilling its mission to promote the corporate interest and catering, as appropriate, to the legitimate interests of remaining stakeholders.
d) Review the company's corporate social responsibility policy, ensuring that it is geared to value creation.
e) Monitor corporate social responsibility strategy and practices and assess compliance in their respect.
f) Monitor and evaluate the company's interaction with its stakeholder groups.
g) Evaluate all aspects of the non-financial risks the company is exposed to, including operational, technological, legal, social, environmental, political and reputational risks.
h) Coordinate non-financial and diversity reporting processes in accordance with applicable legislation and international benchmarks

Partially Complies

The Company considers that it fulfils the recommendation because the duties mentioned in the recommendation are effectively assigned and are carried out for one of the Board committees, however some of them are not currently found specifically included in the internal regulation of the Company, but rather they are assigned within the broader powers to manage, administrate and represent the Company in all the points relative to the turn or traffic of it of which the Board has been granted in their duty of representation and administration of the Company. For the better performing of these duties and to support each of the committees that they have assigned within the Board, the Company has created ad hoc committees outside of the Board of Directors, composed of employees and/or officers of the Company that report to those Board committees. Additionally, to leave greater constancy of its compliance, the company is working on a modification of the Board Regulations in which are all the duties of this recommendation will be included specifically in each of the committees to which they are assigned.

54. The corporate social responsibility policy should state the principles or commitments the company will voluntarily adhere to in its dealings with stakeholder groups, specifying at least:

a) The goals of its corporate social responsibility policy and the support instruments to be deployed.
b) The corporate strategy with regard to sustainability, the environment and social issues.
c) Concrete practices in matters relative to: shareholders, employees, clients, suppliers, social welfare issues, the environment, diversity, fiscal responsibility, respect for human rights and the prevention of illegal conducts.
d) The methods or systems for monitoring the results of the practices referred to above and identifying and managing related risks.
e) The mechanisms for supervising non-financial risk, ethics and business conduct.
f) Channels for stakeholder communication, participation and dialogue.
g) Responsible communication practices that prevent the manipulation of information and protect the company's honour and integrity.

Complies

55. The Company should report on corporate social responsibility developments in its directors' report or in a separate document, using an internationally accepted methodology.
Complies

56. Director remuneration should be sufficient to attract individuals with the desired profile and remunerate the commitment, abilities and responsibility that the position demands, but not so high as to compromise the independent judgement of non-executive directors.

Complies

57. Variable remuneration linked to the company and the director's performance, the award of shares, options or any other right to acquire shares or to be remunerated on the basis of share price movements, and membership of long- term savings schemes such as pension plans should be confined to executive directors.

The company may consider the share-based remuneration of non-executive directors provided they retain such shares until the end of their mandate. This condition, however, will not apply to any shares that the director must dispose of to defray costs related to their acquisition.

Complies

58. In the case of variable awards, remuneration policies should include limits and technical safeguards to ensure they reflect the professional performance of the beneficiaries and not simply the general progress of the markets or the company's sector, or circumstances of that kind.

In particular, variable remuneration items should meet the following conditions:

a) Be subject to predetermined and measurable performance criteria that factor the risk assumed to obtain a given outcome.

b) Promote the long-term sustainability of the company and include non-financial criteria that are relevant for the company's long-term value, such as compliance with its internal rules and procedures and its risk control and management policies.

c) Be focused on achieving a balance between the delivery of short, medium and long-term objectives, such that performance-related pay rewards ongoing achievement, maintained over sufficient time to appreciate its contribution to long-term value creation. This will ensure that performance measurement is not based solely on one-off, occasional or extraordinary events.

Complies

59. A major part of variable remuneration components should be deferred for a long enough period to ensure that predetermined performance criteria have effectively been met.

Complies

60. Remuneration linked to company earnings should bear in mind any qualifications stated in the external auditor's report that reduce their amount.

Complies

61. A major part of executive directors' variable remuneration should be linked to the award of shares or financial instruments whose value is linked to the share price.

Explain

Regardless of their links to shares awards or financial instruments referred to its value, the variable remuneration of the executive directors established in the current remunerations policy includes an annual short-term remuneration and triennial long-term remuneration, both based on a combination of parameters that permit incentivising both for the achieving of the results established annually, and the success of the multi-year strategic plan, all of this aligned with the interests of the shareholders since both keep in mind for their parameters, among others, the evolving of value of the share.

On the other hand, the executive directors have acquired shares in the stock exchange voluntarily and for their part over the years that they have been company directors. As a result of these market acquisitions, both the Chairman and the General Managing Director, have shares with a higher value than two years of fixed salary received as executives.

In addition, the Board of Directors must submit to the General Shareholders' Meeting to be held in 2018 a new remunerations policy that specifically includes the delivery of shares, options on shares or remuneration rights linked to their value within the long-term incentive plan of the executive directors.

62. Following the award of shares, share options or other rights on shares derived from the remuneration system, directors should not be allowed to transfer a number of shares equivalent to twice their annual fixed remuneration, or to exercise the share options or other rights on shares for at least three years after their award.

The above condition will not apply to any shares that the director must dispose of to defray costs related to their acquisition.

Not Applicable

63. Contractual arrangements should include provisions that permit the company to reclaim variable components of remuneration when payment was out of step with the Director's actual performance or based on data subsequently found to be misstated.

Explain

The company considers that the configuration of the current remunerations policy guarantees that there is no risk included in the recommendation because the variable components of the remuneration, which are referred to the results and data of the fiscal year immediately prior in the case of the annual variable remuneration and to the three previous fiscal years in the triennial, are only received by the executive directors once they have met the requirements for their perception, and the external auditors or other external experts have confirmed this compliance, which avoids the need to include the clauses of the recommendation.

Furthermore, the variable remunerations are limited in order to ensure that their amount is not significant in relation to the results they are linked to, in order to minimise risk.

To offer greater guarantees, the Board of Directors must also submit to the General Shareholders' Meeting to be held in 2018 a new remunerations policy that specifically includes the possibility of cancelling or returning the variable remuneration of the executive directors in certain circumstances.

64. Termination payments should not exceed a fixed amount equivalent to two years of the director's total annual remuneration and should not be paid until the company confirms that he or she has met the predetermined performance criteria.

Complies

H. OTHER INFORMATION OF INTEREST

1. If there is any other aspect relevant to the corporate government in the company or in the group entities that has not been reflected in the rest of the sections of this report, but is necessary to include to provide more comprehensive and well grounded information on the corporate governance structure and practices in your entity or its group, detail them briefly.

2. This section may also include any other relevant information, clarification or detail related to previous sections of the report insofar as they are relevant and not reiterative.

Specifically indicate whether the company is subject to corporate governance legislation from a country other than Spain and, if so, include the mandatory information to be provided when different from that required by this report.

3. The company may also indicate if it has voluntarily signed up to other international, industry-wide or any other codes of ethical principles or best practices. Where applicable, the code in question will be identified along with the date of signing. In particular, it will identify the code in question and the date adhered.

POLICIES ON DIVERSITY AND POINTS OF VIEW

In 2017, the Royal Decree law 18/2017 of 24 November came into force, by which the Code of Commerce, the revised text of the Companies Act approved by Legislative Royal Decree 1/2010, 2 July, and Law 22/2015, 20 July, from Account Auditing, were modified in subjects of non-financial and diversity information.

Establishes, among others, the obligation of disclosure of the "policies on diversity of competencies and point of view" that apply to the administration body respect to issues such as age, sex, disability, or professional training and experience. In the event that the company does not apply a diversity policy, there is no obligation to establish it, even though the statement on company governance must clearly explain the reason for which it does not apply.

The Viscofan Group does not have a specific policy on diversity of the Board of Directors; however, this subject is regulated by the Directors Selection Policy and the Board Regulations of the Group.

The policy on Selection of Directors establishes the principle of equality. Based on this, all candidates shall have the right to be considered for any vacancy produced in the Board, in accordance with objective criteria avoiding any implicit bias that may imply some discrimination, due to nationality, race, sex, ideology or any other aspect beyond their competencies, knowledge and professional experience.

It also establishes that in the candidate search process, the Appointments and Remuneration Committee will keep in mind the diversity and, more specifically, the objective of representation established for the least represented sex in the Board of Directors, including among the potential candidates, the person of this sex that holds the professional profile searched for.

At the same time, the Board of Directors Regulations contains in article 8 that the Board shall ensure that the selection procedures for their members favour diversity of gender, experience and knowledge and do not have an implicit bias that may imply any discrimination and, in particular, that facilitates the selection of directors.

In this aspect the regulation includes the need for establishing an objective of representation for the least represented sex in the board of directors and the drafting on how to reach this objective, mission of the Appointments and Remuneration Committee.

The Appointments and Remuneration Committee considers that the application of the policy of Selection of Directors must be analysed year to year but also long-term keeping in mind the prevision of the vacancies that over the course of time for those that were appointed directors, is expected to occur, to be able to guarantee at all times the quality of the decisions of the Board and their capacity to effectively promote the corporate interest. In this aspect, the Committee works keeping in mind the 2020 objective, which the number of Directors represents at least 30% of the total members of the Board of Directors.

The Appointments and Remuneration Committee has taken account of the gender diversity in the analysis prior to proposing candidates to cover the vacancies created on the Board of Directors, as one of the key factors to be taken into account, although weighting these factors with the diversity of competencies, knowledge and experience, all in accordance with the principles of equality, transparency and legality.

The Appointments and Remuneration Committee has worked on ensuring the presence of female candidates in the selection processes to cover any director vacancies that may arise, including amongst the requirements to be taken into account, that the total number of candidates to be analysed is considered equally men and women, in order to guarantee gender diversity.

This annual corporate governance report has been approved by the Company's Board of Directors in their meeting on

February 28th, 2018

List whether any Directors voted against or abstained from voting on the approval of this Report.

NO.

VISCOFAN, S.A.

Auditor's report on the
"Information concerning the System of Internal Control over Financial Reporting (SICFR)"
for 2017

"This version of our report is a free translation of the original, which was prepared in Spanish. All possible care has been taken to ensure that the translation is an accurate representation of the original. However, in all matters of interpretation of information, views or opinions, the original language version of our report takes precedence over this translation."

Auditor's report on the "Information concerning the System of Internal Control over Financial Reporting (SICFR)" of Viscofan, S.A. for 2017

For the Directors:

At the request of the Board of Directors of Viscofan, S.A. ("the Entity") and pursuant to our proposal letter dated 16 November 2017, we have applied certain procedures to the accompanying "Information concerning the SICFR" included in pages 32 to 43 of the Annual Corporate Governance Report" of Viscofan, S.A. for 2017, which summarises the Entity's internal control procedures with respect to its annual financial information.

The Board of Directors is responsible for taking the measures that are necessary to reasonably assure the implementation, maintenance and oversight of an appropriate internal control system, and for developing improvements to this system and preparing and establishing the content of the accompanying Information concerning the SICFR.

In this connection, it should be borne in mind that, irrespective of the design quality and efficiency of the Entity's system of internal control over its annual financial reporting, it can only provide reasonable - but not absolute - assurance in relation to the objectives it seeks to achieve due to the limitations inherent to any internal control system.

In the course of our audit work on the annual accounts in accordance with Technical Auditing Standards, the sole purpose of our evaluation of the Entity's internal control system is to enable us to establish the scope, nature and timing of the audit procedures on the Entity's annual accounts. Accordingly, our internal control evaluation performed for the purposes of our audit is not sufficient in scope to enable us to issue a specific opinion on the efficiency of the system of internal control over the regulatory annual financial reporting.

For the purposes of the present report, we have only applied the specific procedures described below and indicated in the *Guidelines concerning the Auditor's Report on the Information concerning the System of Internal Control over Financial Reporting for listed entities* published by the National Securities Market Commission on its website, which lays down the work to be performed, the scope of the work and the content of this report. In view of the fact that, in any event, the scope of the work resulting from these procedures is limited and substantially less than the scope of an audit or an internal control system review, we do not express an opinion on its effectiveness, its design or operational efficiency, in relation to the Entity's annual financial reporting for 2017 described in the accompanying SICFR Information. Therefore, had we applied additional procedures to those determined by said Guidelines or had we performed an audit or review of the internal control system in relation to the regulatory annual financial reporting, other matters could have come to light of which you would have been informed.

As this special work does not constitute an audit and is not subject to the Audit Law, we do not express an audit opinion in the terms envisaged in said legislation.

R. M. Madrid, hoja 87.250-1, folio 75, tomo 9.267, libro 8.054, sección 3ª
Inscrita en el R.O.A.C. con el número S0242 - CIF: B-79 031290

The procedures applied are as follows:

1. Reading and understanding of the information prepared by the Entity in relation to the SICFR – breakdown included in the management report – and evaluation of whether said information covers all the data required as per the minimum content described in Section F of the model Annual Corporate Governance Report, as established in Circular 7/2015 of the National Securities Market Commission dated 22 December 2015.

2. Making enquiries of personnel in charge of preparing the information mentioned in 1. above in order to: (i) obtain an understanding of the process followed in its preparation; (ii) obtain information that enables us to assess whether the terminology used is in line with the framework of reference; (iii) obtain information as to whether the control procedures described are implemented and functioning in the Entity.

3. Review of supporting documentation explaining the information described in 1. above and which will mainly comprise the information made directly available to the persons responsible for preparing the information on the SICFR. In this respect, that documentation includes reports prepared by the internal audit function, senior management and other internal and external specialists in their functions supporting the Audit Committee.

4. Comparison of the information detailed in 1. above with the knowledge of the Entity's SICFR obtained from the application of the procedures performed within the framework of the audit of the annual accounts.

5. Reading of the minutes of meetings of the Board of Directors, Audit Committee and other committees of the Entity for the purpose of evaluating consistency between the matters dealt with therein in relation to the SICFR and the information described in 1. above.

6. Obtention of the letter of representation concerning the work performed, duly signed by the persons responsible for the preparation and drafting of the information mentioned in 1. above.

As a result of the procedures applied to the Information concerning the SICFR, no inconsistencies or incidents have come to light that could affect it.

This report has been prepared exclusively within the framework of the requirements of article 540 of the Spanish Companies Act and Circular No.5/2013 of the National Securities Market Commission, amended by Circular No.7 2015 of the National Securities Market Commission, for the purposes of the description of the SICFR in Annual Corporate Governance Reports.

PricewaterhouseCoopers Auditores, S.L.

Original in Spanish signed by David Zubizarreta Lecumberri

28 February 2018